

Acutaas Chemical (ACUTAAS)

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40 Ani Organics Limited

CIN No. : L24100GJ2007PLC051093

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August 17, 2022

To,

The Corporate Relations Department,

BSE LIMITED,

Phiroze Jeejeebhoy Towers,

Dalal Street, Fort

Mumbai- 400 001

Scrip Code : 543349

Dear Sir/Madam, To,

The Listing Department

National Stock Exchange of India Limited,

Exchange Plaza, 5th Floor, Plot no. C-1,

G-Block, Bandra Kurla Complex,

Mumbai -400051

NSE Symbol : AMIORG

Subject: Transcript of Earnings Call for Q1 FY23 financial results held on August 10, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on August 10, 2022 post announcement of financial results for the quarter ended June30, 2022.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

EWea Kunal

CS Ekta K. Srivastava

Company Secretary & Compliance Officer

Encl : As Above

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"Ami Organics Limited

Q1FY23 Earnings Conference Call"

August 10, 2022

MANAGEMENT : M R. NARESH PATEL - CHAIRMAN AND MANAGING
DIRECTOR, AMI ORGANICS LIMITED

MR. BHAVIN SHAH - CFO, AMI ORGANICS
LIMITED

MODERATOR: M R. AMEY CHALKE - HAITONG SECURITIES

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Moderator: Ladies and gentlemen. Good day and welcome to Ami Organics Q1FY23 Earnings Conference Call hosted by Haitong Securities India. As a reminder, all participant lines will be in the listen-only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Amey Chalke, Pharma Analyst at Haitong Securities. Thank you, and over to you, sir.

Amey Chalke: Thank you. Good afternoon, everyone. I welcome everyone to the Ami organics Q1FY23 earnings call. We are joined today by senior management members including Mr. Naresh Patel, Chairman and Managing Director and Mr. Bhavin Shah, CFO. I would now like to request Mr. Naresh and Bhavin sir to share their comments on Q1FY23 results. Thank you, and over to you, sir.

Bhavin Shah: Yes. Thank you, Amey. Good evening, everyone. We are pleased to welcome you all to our earnings call for Q1FY23. Please note that a copy of our disclosure is available on the Investors section of our website as well as on stock exchanges. Please do note that anything said on this call, which reflects our outlook towards the future, or which could be construed as forward-looking statement must be reviewed in conjunction with the risks that the company faces. With that, I would like to hand over the floor to our Chairman and MD, Mr. Naresh Patel for his opening statement. Over to you, sir.

Nareshkumar Patel: Thank you, Bhavin. Good evening, everyone. I am Naresh Patel, Chairman and Managing Director of Ami Organic. I would like to welcome you all to our Q1FY23 earnings conference call. I hope you all are doing well. The current global business environment remains uncertain and challenging, driven by geopolitical conflicts and the cold war which is affecting energy prices, commodity prices and input prices across the world. Specifically for the pharma industry, this has led to higher raw material costs with a limited ability to transfer incremental cost to the customer. In fact, we have witnessed a pricing war in the US and other markets as companies scramble to maintain their market share. For intermediate players, we are at the lower end of the value chain. We have been able to pass on the cost to customers albeit, with a lag.

Coming to Ami Organics, we have entered the financial year on a positive note, amongst all the global challenges. Our revenues for the quarter grew steadily at 16% on year-on-year basis to INR 131 crore. I would like to highlight here that if you look at our past records, you will notice that our Q1 is always lower than Q2 and Q2 is always lower than Q3 and Q3 is always lower than Q4. So usually our Q4 is always the highest revenue-generating quarter and Q1 is always the lowest revenue-generating quarter therefore, I would request you all not to review our results on sequential basis as you will always see a drop in revenue from Q4 to Q1.

Coming to margins, we have been able to increase our gross margin driven by a better product mix, cost optimization measures, process improvement, the use of new technology and most importantly, our ability to pass on the incremental cost to our customers. But the EBITDA margins remained steady at Q4 levels due to high energy prices, which continue to stay at elevated levels due to global issues. To conclude on the financial performance for the quarter, I believe we have been able to improve our margins and deliver strong growth in the first quarter of the year.

Coming to the business update. On a segmental basis, our Advanced Pharmaceutical

al intermediate business grew by 15% on a year-on-year basis, whereas the Specialty Chemical business grew by 26% on year-on-year basis. I will now discuss the Advanced Pharmaceutical business growth in detail, as it still continues to be our major business contributor - around 78% to the top line.

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We have been able to register strong growth in such a challenging environment for the pharmaceutical industry because of several reasons. One, preferred supplier. As informed earlier, we are the preferred supplier for our customers. We continue to get orders as planned from our customers, as we continue to lead the market for their respective products. Usually, second and third suppliers get most affected in the environment of muted demand. Two, innovator business. Our innovator business continues to be strong, with products in the patent as well as off-patent continues to lead the market.

And third and most important, product portfolio. Ami has more than 480 products in the basket with more than 90% of them going into chronic formulation. As informed earlier, around 30-35 products contribute around 80% of the pharma intermediate business and most of our top products continue to see strong demand, with a few exceptions. This shows the sustainability of our product portfolio. I would also like to highlight that we have firm orders in hand for the coming two quarters from the export business, and the domestic business continues to see good traction. So, overall business has remained strong for the Advanced Intermediates segment.

Coming to the Specialty Chemicals business, we had a good quarter. Revenue grew 26% on a year-on-year basis. The specialty business uses more of commodity chemicals, which continues to put pressure on the margins, but we have been able to keep our margins steady at Q4FY22 levels. I believe we will start seeing strong growth from this part of the business in the current financial year. We have a couple of focus areas for this business, which will drive the overall business for the year. Let me discuss each of them with you. Number one is new products. We are planning to launch two new products under our import substitute model in the Agrochemical space. Our products are already in the sampling stage with various customers and I believe we will see commercialization in the second half of the financial year.

Number two is new technology. As we said, we are shifting a few major products of the Specialty Chemicals business to newer technologies such as continuous flow reaction, which will help us ramp up our volumes as well as improve the margins. Also, increasing wallet share. Once we improve the yield for the products using new technology, we will be able to compete with the bigger players on volume and price, which will help us increase wallet share. Finally, operational efficiency. We continue to focus on operational efficiency as well as process improvement. We have a separate team that works on this. It is a continuous process that I believe will help us improve our margins. Overall, I remain excited about the Specialty Chemical business as we have a strong plan in our hand and I am sure we will execute it well.

Moving on to the update on electrolyte additives. Currently, our product is with various customers in China and Europe. Some of these are in a very advanced stage of qualification and I expect to see some revenue from this product in Q4 of this financial year. We are also engaging with various customers in Korea, as well as India for this product. We have already acquired a land parcel in Sachin, Surat for the future expansion of the electrolyte business. As of now, our capacities in Jhagadia unit are enough to cater to the initial demand for this product

and if we see good traction from our customers, we will go for the dedicated plant for the electrolyte.

Overall, we are witnessing robust demand for our products and with firm orders in hand, I am very much optimistic about delivering sustainable growth of 25% for the financial year 2023. Please note, we have not included expected revenue from the electrolyte in these growth estimate. Now I will request our CFO, Mr. Bhavin Shah to discuss the financials. Over to you, Bhavin.

Bhavin Shah: Thank you, Mr. Naresh. Good evening, everyone. I would like to briefly touch upon the key performance highlights with the quarter ended 30th June 2022 and then we will open the floor for the Question-and-Answers. I will start with the Ami Organics Limited

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quarterly update. Revenue for the quarter was at INR 131 crore, up 15.8% as compared to INR 113 crore in Q1FY22. The gross profit for the quarter was at INR 63.9 crore, up 31% as compared to INR 48.7 crore in Q1FY20. The gross margin for the quarter was at 48.8%, an increase of 572 basis points on Y-o-Y basis and 467 basis points on a sequential basis. As Mr. Naresh mentioned in his opening remarks, a better product mix, cost optimization measure, process improvement measure, the use of new technology and the ability to pass on the incremental cost to the customer has helped us in improving our margins during the quarter.

EBITDA for the quarter was INR 23.7 crore, up 7.1% as compared to INR 22.1 crore in Q1FY2022. EBITDA margins for the quarter were at 18.1% as compared to 19.5% in Q1FY22 and 18% in Q4FY22. We have been able to maintain our EBITDA margin on a sequential basis, which is suppressed due to higher energy cost, freight costs, as well as lower EBITDA margins of the specialty chemical business. PAT for the quarter was at INR 14.9 crore, up 8.3% on-Y-o-Y basis. The PAT margins for the quarter were at 11.3% as compared to 12.1% in Q1FY22. When you compare the PAT margins with Q4FY22 numbers, kindly bear in the mind that we had a tax benefit in Q4FY22, which led to a lower tax of 4% for the quarter. This expanded the PAT margin for Q4FY22. If you remove the tax impact from Q4 numbers, PAT margins are steady on a sequential basis.

Export for the quarter was at 57% whereas domestic business was at 43%. We have maintained our EBITDA margins in the specialty chemical business at Q4 levels even as raw material prices for the products remained elevated. As Naresh bhai mentioned, we remain optimistic for the year and believe that we will continue to grow at the historical growth rate of 25%. I will now conclude my remarks and request the moderator to open the floor for question-and-answer session.

Moderator: The first question is from the line of Sudarshan Padmanabhan from JM PMS. Please go ahead.

Sudarshan Padmanabhan: Sir, my question is to understand a bit more on the other costs and raw material costs. If I look at the transportation cost or other similar costs, it peaked out in the early part of FY22 and then it started to come down; similarly the crude prices have also come down. So, if you can give some color on the trajectory of the other costs and the raw material cost; whether from the first quarter, are we seeing the costs coming down on an absolute basis? My second question is that you talked about the benefits of the specialty chemicals kicking in the second half, but also, we have an operating leverage. If you can break your other cost, you will also have fixed and variable cost. So, given that the first quarter is the weakest in terms of pulling down the absolute sales as we move through the second, third and fourth quarter, shouldn't the other costs get rationalized? Sir, if you can give some color on where do you see the margin trajectory moving from the current 17.5%, 18% for the first quarter?

Nareshkumar Patel: I will give a brief answer. After that, more detailed numbers will be given to you by Bhavin. Basically, our business is fairly seasonal. Every year, quarter one is very low compared to quarter four. So, every quarter we have an incremental revenue growth that will directly impact the variable cost; fixed cost will be minimal for quarter four against quarter one. So this is directly adding to the margin of the company. In that sense, incremental growth from 17% to 20, 21, 22% will be possible, because this is directly adding benefit into lowering the fixed costs. In terms of energy and other costs, I think Bhavin can give you a better idea on that.

Bhavin Shah: So, Sudarshan, as mentioned by Naresh Bhai, our gross margin will be hovering roughly around existing margin, 1% or 2% up or down due to product mix. As we move forward, our other costs will be improved as energy cost, freight cost and other costs will normalize over the period. And as we go along, our sales and

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volume will improve. So, that will benefit us and our margins will improve further through that.

Nareshkumar Patel: Also, we are changing the source of energy from furnace oil to coal. So, by this way we can reduce sizable amount of the energy cost in our Jhagadia plant.

Sudarshan Padmanabhan: Last year, when I look at the full-year EBITDA margins, we were sitting at around 20%. Given that we are talking about lot of benefits in terms of cost cutting, as well as the absolute intensity of the fuel costs coming down, should we actually see 100 bps, 200 bps improvement from FY22 to FY23 if I look at it on a full year basis?

Nareshkumar Patel: Yes, you are right, and if you see this quarter also, our gross margin has improved by 4%, but energy cost and import freight cost has impacted a little badly on the margin. That's why we are at a muted level against Q4. But yes, definitely the going three quarters have been helping us. We are working on that as well as some post measures that will give you the results in Q2, Q3 and Q4. So, definitely what you say is right that our margin will be improved by 100 or 200 bps in full year portfolios.

Sudarshan Padmanabhan: One final question before I log off. While the electrolyte is still not a part of the financial numbers, the application of electrolyte seems to be quite exciting. If you can give some color -not necessarily quantitatively, but even qualitatively- in three years, would this be a substantial portion of the business? How is the profitability of the electrolyte business?

Nareshkumar Patel: Basically we have developed electrolyte additives, which is mainly used as a solid electrolyte interface (SEI), which is very important for making the electrolyte solutions. This is very important for lithium-ion batteries, where you make the cells with lithium-ion and carbon as an anode and there is an electrolyte which is used as a fuel between that. So till now, the two products we have developed is vinylene carbonate and fluoroethylene carbonate. We had not disclosed the name till now because it was not matured, and we wanted to avoid any further competition in the market and now samples are approved in China and we are also circulating samples in Europe.

We have several interim customers from automobile, from battery storage manufacturers and also the solar industry. There is huge potential for this product, and we have started circulating samples. There is a slightly longer process of qualification here because it's not only the matter of qualifying the chemical, but also it is the safety aspects accordingly. So they are trying to test also the safety aspects. So that's why it will be

delayed by one or two quarters, but we are very optimistic since we are one of the first companies outside China who produce this. Because of the geopolitical situation, European, Japanese and Korean companies want to have a source outside China. So there is a great advantage for Ami Organics to promote this product into the market. This product has huge potential because the green energy sector is growing very fast.

According to the reports we had from the professionals, they are expecting \$2 billion of the revenue of this molecule in the year 2028 and we are expecting to capture 10% from that. So this is what we are expecting from this molecule. And that is why we are proactively ready with the land, so we can finish our environmental clearance and other matters so that as soon as the demand rises in a quicker mode, we can do the expansion in 2024 or 2025.

Moderator: The next question is from the line of Abhishek Singhal from Naredi Investments. Please go ahead, sir.

Abhishek Singhal: My first question is about the CAPEX plan for FY23 and FY24. If we do INR 1 of CAPEX, how much of a topline growth will we be able to see? My second question is regarding how much we may grow in next three to five years.

Nareshkumar Patel: Okay, regarding the CAPEX: for INR 1, we can generate INR 3, INR 3.5 of revenue. We have always been conservative in our projections. Additionally, over the last 10-11 years of revenue profile, we have been growing at 25% CAGR. We continue to claim the same growth rate here as well. So you can use these to understand what level we can reach in '24, '25.

Abhishek Singhal: Okay. And sir, last question. What level of margins are you expecting?

Nareshkumar Patel: We want to go to our normalized margin of FY21. That is our target because pharma is our high-margin portfolio, whereas specialty chemicals – given that it is relatively new- we have raised from single digits to double-digits. Right now, even with a very adverse market situation of raw materials, we are maintaining it at 11% in this quarter. We want to grow the specialty segment every quarter by 100-200 bps. That will help us to get close to the Pharma margin. Our target is to eventually get to 22-23%.

Moderator: The next question is from the line of Jay Shah from Capital PMS. Please go ahead.

Jay Shah: Congratulations sir for a good set of numbers despite Q1 being the weakest. Sir, I had a couple of questions. First, on the pharma side, could you throw some light on what kind of therapies are calling for more of our raw material? It would be great if you could throw some light on the end-customer profile. Secondly, as you mentioned the name of the two electrolytes, I wanted to understand whether we are backward integrated when it comes to the manufacturing of these electrolytes. Given that one of the electrolytes is fluorine based, are we procuring fluorine locally?

Nareshkumar Patel: Your first question is about which therapeutic areas are giving us growth?

Jay Shah: Yes, that's right sir.

Nareshkumar Patel: We work on 17 therapeutic areas, but our top 5 product lines come from antidepressant, anticoagulant, anti-parkinson, anti-retroviral and anti-diabetic. These are the segments where we are growing very well and our business is very well distributed between regulated and generic as well as export and domestic. So, in that sense, we are very well balanced in our demand of our product in the world. Coming to your second question related to the backward integration of our electrolyte. We are not dependent on China for any raw material in either of the electrolytes. While there is one raw material imported, it is imported from Europe in quantities ranging in the hundreds of to

ns every month by the industry as a whole, so there is no issue of shortage of that raw material. Related to fluorine, our chemistry is not using any fluorine but we use potassium chloride, which is readily available in India and we have a good relation with the potassium chloride supplier. So that will not be an issue for us. In terms of positioning of the product, the product is already developed, and the vinylene carbonate is in the final stage of approval, with some others in the initial approval stage and fluoroethylene carbonate currently going through into the market for sampling.

Jay Shah: Okay. Do we have any kind of process patent for these two electrolytes? Have you applied for a patent?

Nareshkumar Patel: We had not planned it yet because we want to retain our positioning. But it is under write-up right now.

Moderator: The next question is from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Kumar Saumya Singh: Hi, Sir. Good afternoon. Just a couple of questions. Firstly, on the one-off expense that you have highlighted in the presentation regarding the construction

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of civil structure that is in place - if you could quantify the impact of this constructions through numbers?

Nareshkumar Patel: Your question is what will be the impact of civil construction upon the financials, right?

Kumar Saumya Singh: Yes, sir.

Bhavin Shah: It is INR 74.6 lakh. You can say INR 75 lakh.

Kumar Saumya Singh: Okay. And sir, what was the export share in the revenue for this quarter as compared to last year?

Bhavin Shah: 57% is our export revenue.

Kumar Saumya Singh: And last year same quarter how much was it?

Bhavin Shah: Last full year, it was 58%.

Moderator: The next question is from the line of Kartik Iyer, an Individual Investor. Please go ahead.

Kartik Iyer: Congratulations sir, on a good set of numbers. I am sorry, I couldn't catch the names of the electrolyte molecules that you mentioned. Could you please repeat the same?

Nareshkumar Patel: The first one, which is in a very advanced stage, is vinylene carbonate and second one, which is going to be in the market is fluoroethylene carbonate.

Kartik Iyer: Okay. And my other question was related to the integration of Gujarat Organics. Have we done everything we need to seamlessly integrate with the Gujarat Organics facility or is there still a ways to go on that exercise?

Nareshkumar Patel: The integration of the Gujarat Organic is a three-phase operation. First step is to centralize and consolidate the production from two locations to one location, which we had finished in Q4FY22. Now we are in the process improvements phase, where we focus on operational efficiency as well as improvement in the yield; if there is a technological in-efficiency, we need to mitigate it. One of the largest products - Methyl Salicylate; we have converted from that from batch to continuous, and equipment has already been ordered. Now we are in phase of installation of that setup. Once that is installed, our capacity to make methyl salicylate will be huge and that gives us a cost leverage to hold our position in the market.

So we are currently in the second phase, where we are now improving the technology for each molecule of Gujarat Organics; whether it is a flow reaction, a change in the process to give better yield, or to avoid major generation of environmental affluence. These are all activities going on right now that will be finished by Q2FY23, following which we will be focusing our thoughts on dominating the market by putting in large-scale production.

Kartik Iyer: And sir, what is the percentage of raw materials that we import right now?

Bhavin Shah: So the percentage of import is 35%.

Nareshkumar Patel: Just wanted to add that it is 28% for the pharmaceutical business. Since Gujarat organic is now a part of Ami organic, that has added another 8% import, resulting in a community import of 36%. Pharma still remains at 28%.

Moderator: The next question is from the line of Hardik Shah from Taurus Mutual Fund. Please go ahead.

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Hardik Shah: Sir, in your opening commentary, you have mentioned that we are planning to launch two Agrochemical products under the import substitute basket. Could you throw some more light on what these products could mean for us in the future in terms of revenue contribution and the market size?

Nareshkumar Patel: Right from IPO -and even during our last three calls- we have said that two products are commercialized and another three are in the pipeline. Out of these three, two products have now been moved to the pilot. One of these has Agro applications and is mainly used by big Agro manufacturers in India, like UPL, Coromandel, GSP, who are completely importing these intermediates. These intermediaries are under sample approval stage. 2-Cynophenol is the name of the molecule; that molecule has huge potential. The final API is still under patent by Syngenta so once it goes out for patent, there will be a huge volume of demand.

Hardik Shah: Understood, sir. So, we are planning to launch multiple products in the import substitute basket, sir. Where do you see the import substitute basket landing after a period of three or four years in terms of overall mix?

Nareshkumar Patel: Import substitutes is mainly in our specialty chemical segments because we can get large volume and large value as well. We can dominate that through better technology, better chemistry and better yield, which makes us competitive against companies based outside India. We expect it to contribute 5% to 10% every year. We are targeting revenue contribution of 20-25% from these segments in 3-4 years.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja: I had a question on the other expenses for the quarter. If I compare it to Q1FY22, other expenses and employee costs are up pretty sharply; even sequentially, they are up. So can you break down the increase in other expenses? How much is due to higher utility cost, how much due to higher freight costs and how much is because of the Gujarat Organic's OPEX coming on?

Bhavin Shah: Gagan, on the first part you have asked about personnel/manpower cost. So, during the quarter we have rolled out annual increments, where the effect is coming during this quarter on a sequential basis as well as on Y-o-Y basis. Now, on the other part of other expenses, there is a higher freight cost for the import of materials; so freight cost increased by 2- 2.5%. Our conversion cost and electricity cost also increased by around 5% to 6%. These are the two major factors resulting in expenses being on the higher side on a sequential basis. On a Y-o-Y basis, it is not comparable, because during Q1FY21, our unit 2 and unit 3 were not fully operational and integration process was still ongoing, so other expense figure is not comparable on a Y-o-Y basis. On Q-o-Q basis if you see other expense, it is higher by 10%. Conversion and manufacturing cost, power/ electricity and freight, these are the three main items which had a higher impact. There is some contribution from consumables also.

Gagan Thareja: All right. But do you feel that the other expenses reported in Q1 is sustainable or is there a possibility of it going up? I understand, as sales move up, they might move up in absolute terms, but in percentage terms, would other expenses remain stable as a

percentage of sales going ahead or will they drop?

Nareshkumar Patel: The percentage of sales will be incremental for next three quarters. Operating costs will go down and will normalize in Q3 or Q4. Since Gujarat Organic's unit two was using gas with another unit using FO, there is a high impact from that since neither are good fuels. We have already obtained the environment clearance to replace furnace oil with coal and we are already in the process of installation of the coal boiler there. So in this quarter only we are targeting to commission it. Once it has been commissioned, there will be sizable decrease in the energy cost

in unit 3. So that will be giving a good advantage to us. Coming to freight,
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everybody is having problems from a logistic point of view, but we are expecting that to normalize in the next couple of months, so that would reduce too.

Gagan Thareja: Also, can you give us the segmental EBITDA numbers? You have reported segmental sales I think in the past, you used to report segmental EBITDA also?

Bhavin Shah: EBITDA for Pharma is 19.62% and for Specialty 10.14%.

Gagan Thareja: Okay. And what is the current utilization levels of Gujarat Organics? Is it more or less where it was in the last couple of quarters, or has it improved?

Bhavin Shah: It is the same 40% in Gujarat Organics.

Gagan Thareja: For the year, do you expect it to rise going ahead and what would be a reasonable number to think of in terms of Gujarat Organics utilization?

Nareshkumar Patel: It will rise by around 10% but there also we are putting some continuing flow operations which will be replacing batch process to continuous. So, it is very difficult for me to say that utilization will become very high or will remain at this level, because our new products are also being introduced in that area. But it will go up to 50% in this year.

Gagan Thareja: Okay. And this 15% growth that you have reported on your pharma intermediates, can you split it up into volume growth and price or mix-led growth? Likewise for Gujarat Organics business also, can you split it up both in volume growth and price growth?

Bhavin Shah: So, Gagan, majority of our growth is coming from volume only. Volume growth is more than 90%.

Gagan Thareja: About the Agrochemicals that you intend to launch in the second half of this year, can you give us some idea of what is the current market size of those two molecules? You have indicated one is an intermediate for an under-patent molecule of Syngenta, could give us some more idea there?

Nareshkumar Patel: Currently it's under patent so is not that great; somewhere around INR 20 crore, INR 25 crore currently. However, it is very important from the side of Agrochemicals, so it will be grow maybe 2x - 3x in the upcoming years.

Gagan Thareja: When does the patent expire on this one?

Nareshkumar Patel: I don't know the final API patent expiry history, but it will be in next couple of years - maybe next year or maybe '25. I am unsure of the exact date, but I have been hearing from buyers that the demand will be very huge in '24 and we need to have a capacity to cater to that.

Gagan Thareja: All right. And the other molecule; could you discuss something about that I mean whatever you are comfortable.

Nareshkumar Patel: That is from the Pharma side, it is an anti-inflammatory, which is purely being importing from China, and we are now in a pilot stage. So once we get a commercial order for that, I will disclose the name.

Gagan Thareja: Any potential market size that you can give?

Nareshkumar Patel: Given that it is a single molecule, it will not go beyond INR 40 crore, INR 50 crore if it is completely mature.

Gagan Thareja: Okay. And by when d

o you expect these to give you full potential?

Nareshkumar Patel: FY24.

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Gagan Thareja: On Pharma, the sales momentum has come down relatively, although it's still healthy at 15%. Likewise, your listed peer which supplies intermediates has also had a relatively soft quarter in Q1. How should we think of the pharma intermediates business for FY23? Do you think this is just a transitory phenomenon, and then things will start recovering going ahead once inventory buildup starts happening by the pharma company?

Nareshkumar Patel: You rightly said that pharma currently is having the pressure of sustainability in terms of positioning in the market. Luckily, we are not in an acute business, we are more in a chronic business where there is always a daily demand for doses. So, we have good export firm orders in hand, whereas domestic -which is on a spot basis- is getting also good orders with good visibility of what we had planned. Our budget and other matters are in line with that. So I hope that will remain the same for our end buyer as well.

Gagan Thareja: So essentially, you are saying that your order book gives you visibility for the guidance/aspiration of 20-25% top line growth?

Nareshkumar Patel: Yes.

Gagan Thareja: Right. And if the input costs remain at where they are at current level as you scale up your sales in the future quarters, you are confident of being able to improve your operating margins as well?

Nareshkumar Patel: Yes.

Gagan Thareja: And sir, finally, if you could give me the name of I think one molecule, you mentioned for the electrolyte – Vinylene Carbonate and the other was fluoroethylene carbonate or fluorovinylene?

Nareshkumar Patel: It's a fluoroethylene carbonate.

Moderator: The next question is from the line of Tarun Shetty. Please go ahead.

Tarun Shetty: So, just wanted to know the performance of some of your top molecules like Trazodone, Entacapone. How have they performed in the current quarter and how do you see them performing in the coming quarters?

Nareshkumar Patel: So Trazodone has contributed around 21%. Entacapone has contributed 7.69%, and we see the steady growth in this molecule for the year.

Tarun Shetty: Okay and in Dolutegravir, you had lost substantial traction in the last year. Currently, how do you see this panning out?

Nareshkumar Patel: See, Dolutegravir this year has contributed 6% and we are expecting it to remain in this range, but the new molecules like Apixaban and Darolutamide is showing good potential in this year as well as the upcoming one.

Tarun Shetty: Okay. And I believe you also launched Sitagliptin in the import substitute product. So is the traction substantial in this particular product as you had mentioned to one of the participants?

Nareshkumar Patel: Yes, we have got several tons of orders for that molecule and one customer has already started placing orders on a regular basis, so we are highly focusing on that intermediate with all the customers regarding Sitagliptin.

Tarun Shetty: Okay, that's good. Salicylic acid is supposed to be one of your intermediates that was supposed to show decent growth this year. So how have these intermediates performed?

Nareshkumar Patel: I can say this salicylic acid is our major raw material, which we are importing in Gujarat organics products.
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Tarun Shetty: Okay. Sir, lastly on the Ankleshwar facilities, is the timeline for FY24 still on? Have you started the hiring process for that facility?

Nareshkumar Patel: Yes. Timeline is still on track. We have already started building the civil structure and begun hiring for that facility.

Tarun Shetty: Okay. But majority of hiring will happen in the year-end FY24?

Nareshkumar Patel: Yes, FY24. When it reaches the stage of installation and commissioning.

Moderator: The next question is from the line of Hemang Dagli from Verenum Capital. Please go ahead, sir.

Hemang Dagli: I wanted to understand what our top five products would be contributing to the overall sales.

Bhavin Shah: It is 47%.

Hemang Dagli: We had a tax rate of 26.9% this quarter. For the full year, will we be closer to 24 - 25% - what number should we work with?

Bhavin Shah: Yes. Our normal tax rate is 25.16% and for full year, it should be in the same range. This time, we have one off write-off, which is not allowed in taxation. So, it is 1% higher than normal tax rate.

Hemang Dagli: Okay. So, on the CAPEX front, we have INR 190 crore of CAPEX at Ankleshwar where the full capacity will come in during Q4 FY24. Along with this, do we have any other CAPEX during the year in FY23 that would increase our capacities?

Bhavin Shah: So during the year, we have a budget of INR 30 crore for other modification and maintenance CAPEX.

Hemang Dagli: Okay. And as you said, the INR 190 crore of CAPEX will give us a revenue of 3x going forward after FY24. Is my understanding right?

Nareshkumar Patel: Yes, 3x, 3.5x, depends on the product mix.

Moderator: The next question is from the line of Amar Maurya from AlfAccurate Advisors. Please go ahead.

Amar Maurya: Sir, first question is, you said that the EBITDA for pharma is INR 19 crore and specialty chemical is INR 10 crore. Did I heard right?

Bhavin Shah: No, it is 19.62% and 10.14%.

Amar Maurya: Oh okay. Perfect. In terms of the ongoing CAPEX, like in Ankleshwar and the expansion of pharma, those are on track and are they likely to come on schedule?

Nareshkumar Patel: For the time being, yes. Till today, it is going on as per the plan.

Amar Maurya: Okay. And third, sir, given your guidance of 20% to 25% top line growth, this quarter, the growth rate was little tapered. So should we expect the major kick off happening in the second half or from the second quarter?

Nareshkumar Patel: It is a gradual increment. So Q2 will be more than Q1, Q3 will be more than Q2 and Q4 is the highest one.

Amar Maurya: Okay. And by that time, few of your new capacities will also come right?

Nareshkumar Patel: Yes.
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Amar Maurya: Okay. And when you say that the margin will gradually improve. So this quarter, there was some one-off cost also right into your EBITDA? How much was that?

Bhavin Shah: It is INR 75 lakh.

Amar Maurya: Okay, that's all.

Bhavin Shah: Yes.

Amar Maurya: Okay. When you see EBITDA margin improvement, should we see the improvement from the second quarter onwards, or it would be again back-ended; more in the third and fourth quarter?

Nareshkumar Patel: It is same as revenue growth. Similarly, it would be going in the same trajectory.

Moderator: The next question is from the line of Rajdeep Singh from ASK Investments. Please go ahead.

Rajdeep Singh: Sir. You said Dolutegravir contribution is 6% to growth or is it a contribution to the revenues?

Nareshkumar Patel: It is revenue 6% contribution. Precisely, 5.96%.

Rajdeep Singh: Okay, sir. On this ARV piece of the business, it is well known that there has been pressure on the end formulation of ARV business. How does it trickle down to you? In formulation there is pressure that trickles down to the API manufacturer. For you, how has the volume or price growth been in this, and how has the contribution been over the last few quarters?

Naresh

kumar Patel: See, Dolutegravir is still under patent and is highly dependent on the tender business. Last year when tender was an issue, dolutegravir was not in a great position. Even this year, there has been lower amount of tender issued. So that is the reason why dolutegravir is not in our top three products currently.

Rajdeep Singh: Okay. But it is there in top five?

Nareshkumar Patel: Yes.

Rajdeep Singh: Okay, sir. How do you see the volume and price currently, and going forward, not only for Dolutegravir but other ARV products as well?

Nareshkumar Patel: We don't do any other ARV. We only have Dolutegravir.

Rajdeep Singh: Okay. Could we have the outlook for the same?

Nareshkumar Patel: This year we expect the same as FY22 and we are expecting that by next Q3 or Q4, these people will get good demand, and then we can start. Currently, we are working with only two customers based in Hyderabad.

Rajdeep Singh: Okay. And sir, from a medium term perspective between your two businesses, the pharma intermediates and specialty chemicals, how do you see the growth rate between the two over the medium term? Strategically, how are you positioning yourself? In what percentage of your business does the client choose you and what percentage do you choose your clients?

Nareshkumar Patel: Very good question. My aim is to bring the specialty chemicals somewhere around 35% of the total revenue, and we are on track with that. We are working

on chemistry, technology and infrastructure to achieve this. Since specialty chemicals don't have high value, it is only through high volume gain that we can grow and we are targeting to reach 35% revenue contribution in the next two to three years. Coming to choosing the customer, in Pharma, the customer mainly Ami Organics Limited
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asks us because we are very well established in pharma; we are the first choice for any molecule sourcing as we are very strong in documentation, FDA approved only chemical manufacturing facility in India.

So that is where customers prefer us, and we have more than 160 - 170 customers in pharma. Specialty segment is a new segment for us, where we approach the customer, and also Gujarat Organics has done a wonderful job with more than 600 customers there. There are big names like Bayer Corp Science, Pfizer etc. as their customers, so we are trying to increase the volume there as well.

Rajdeep Singh: Fair, this is helpful. And lastly, sir, you mentioned that on the energy side, you will be switching from FO to coal. What kind of savings would this bring? Do you then plan to alternatively switch between the two? How do you plan to maintain the energy mix and does any of your plants operate on gas currently?

Nareshkumar Patel: Yes. We have a plant operating on gas in all areas - Jhagadia as well as in Surat as well as in Ankleshwar. So basically, Ami is very highly focused on environment compliances and we have a policy not to violate anything. Furnace oil is not a good fuel, but we could not immediately replace it because we needed to obtain environment clearance, which we have got the approval from the MOEF.

Rajdeep Singh: This is the GOL plant you are talking about?

Nareshkumar Patel: Yes, GOL. The same boiler can't use coal and fuel, so we procured new boilers for coal, which is under installation right now. Once it is installed, it will result in a sizable amount saving in energy as well as meeting environmental compliances.

Rajdeep Singh: Sir, what would be the saving that you would incur?

Nareshkumar Patel: That depends on the coal price and other factors; once we commission it we can disclose that as well.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I now hand the conference

over to Mr. Tarun Shetty for his closing comments.

Tarun Shetty: Yes, on behalf of Haitong, I would like to thank Mr. Naresh Patel and the team of Ami Organics for answering all the questions and giving us the opportunity to host this call. Thank you once again.

Moderator: Thank you. Ladies and gentlemen on behalf of Ami Organics and Haitong Securities that concludes this conference call. We thank you for joining us and you may now disconnect your lines. Thank you.

Call: Nov 2022

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CIN No. : L24100GJ2007PLC051093

Registered Office :- Plot No. 440/4, 5 & 6, Road No. 82/A, G.I.D.C. Sachin, Surat - 394230, Dist. Surat, Gujarat, India.

November 12, 2022

To, To,

The Corporate Relations Department, The Listing Department

BSE LIMITED, National Stock Exchange of India Limited,

Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,

Dalal Street, Fort " G-Block, Bandra Kurla Complex,

Mumbai- 400 001 Mumbai -400051

Scrip Code : 543349 NSE Symbol : AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q2 FY23 financial results held on November 05, 2022

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,

2015 we hereby enclose the transcript of the Earnings conference call held on November 05, 2022

post announcement of financial results for the second quarter & half year ended September 30, 2022.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta K. Srivastava

Company Secretary & Compliance Officer

Encl : As Above

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"AMI Organics Limited

Q2 FY 23 Earnings Conference Call"

November 05, 2022

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR – AMI ORGANICS LIMITED

M R. BHAVIN SHAH – CHIEF FINANCIAL OFFICER –
AMI ORGANICS LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the AMI Organics Q2 FY '23 Results Conference Call hosted by Axis Capital Limited. As a reminder, all participant lines will be in listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by star then zero on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Mehul Sheth. Thank you, and over to you.

Mehul Sheth: Thanks, moderator, and good afternoon, everyone. On behalf of Axis Capital, I welcome you all for AMI Organics Q2 FY '23 earnings call. Today from the management side, we have Mr. Naresh Patel, Chairman and Managing Director; and Mr. Bhavin Shah, who's the CFO of the AMI Organics. I now hand over the call to Mr. Bhavin Shah for his opening remarks. Thank you, and over to you, sir.

Bhavin Shah: Thank you, Mehul. Good evening, everyone. We are pleased to welcome you all to our earnings call for Q2 FY '23. Please note that a copy of our disclosure is available on the Investors section of our website as well as on the stock exchanges. Please do note that anything said on this call, which reflects our outlook towards the future or which could be construed as forward-looking statement must be reviewed in conjunction with the risk that the company faces. With that, I would like to hand over the floor to our Chairman and MD, Mr. Naresh Patel for his opening statement. Over to you, sir.

Naresh Patel: Thank you, Bhavin. Good evening, everyone. Welcome to our Q2 FY '23 earnings conference call. I hope you all are doing well and had a good break during the festive with your families. Before I discuss the business updates with you, I would like to discuss global trends and their impact on AMI.

Global geo-political issues continue to have an impact on the economic stability and sustainability of various industries across the world. Europe has been one of the most affected regions with several industries running at low capacities or shifting products to other countries like India. For AMI Organics, the majority of our business goes into pharmaceutical production where energy requirements are relatively lower compared to other industries. Also, the demand for final products in the pharma industries remain stable due to its nature of being an essential product for Human Health. Therefore, we are relatively less affected by the energy crisis that has engulfed Europe. On the brighter side, I am able to see that the demand in the pharma industry is recovering and the industry is expected to see a strong revival in second half of FY '23.

Coming to business updates. Our revenue for the quarter was INR 147 crores, which is a growth of 20.2% on year-on-year basis. In the previous earnings call, I mentioned that our business is structured in a way that our Q1 is always the smallest and with sequential growth every quarter. Q4 end up being the largest. This is visible in this quarter as we have delivered a robust 12.2% sequential growth. I am confident that we will continue to see more than 10% sequential growth in Q3 and Q4. This will also result in our second half of FY'23 being 55% to 60% of the total annual business.

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Our EBITDA margins for the quarter are at 19.1%, an improvement of 107 basis points on a sequential basis. I will let Bhavin discuss the financials in detail.

The advanced pharmaceutical intermediates business saw strong growth of 25%, which was given by both export as well as domestic markets. The EBITDA margin for the pharma business have improved to 21.5%.

During the quarter, we continue our work of developing big existing products using flow technology. And I'm happy to say that we will commercialize a couple

of more products on our

flow technology in the second half of FY'23. So with four big products running on our flow technology, 5% to 7% of our reactor capacity will be freed up. The two new import substitute products have received trial orders from clients and we are confident of compensating this product in the second half of FY '23. The peak revenue potential from both these products combined is around between INR 150 crores to INR 200 crores. On the Specialty Chemicals side, Q2 FY '23 was a muted quarter, with EBITDA margins remaining steady on a sequential basis. Some of our cost improvement projects at the Jhagadia site are in final stages, and we should see the improvement in the margin of this business in second half of FY '23.

I'm delighted to announce that we have successfully developed Methyl Salicylate using flow technology. We have received flow reactors for this, which have been successfully set up in our Jhagadia plant. We expect to commercialize the product from Q3 and as you all know, Methyl Salicylate is close to 30% of our Specialty Chemicals business and 5% of our total revenue. This shift in manufacturing technologies decreased overall production time considerably, expanded capacity by threefold and resulted in a cost saving of around 5% to 7%. The cost savings and higher volume will improve our competitive edge in the market, thereby driving overall growth of the product. We expect Methyl Salicylate to lead the growth of the Specialty Chemicals business in upcoming quarters.

Coming to the update in electrolyte additives, we are expecting a commercial trial order of a couple of metric tons within a couple of weeks. This gives us enough confidence of commercializing the product before the end of the current financial year. We have been receiving good response and inquiries from clients across the world, which give us enough confidence to state that this will become a huge business for us in the coming years. Overall, I remain optimistic about the growth of our business in the coming quarters. And just as with the various growth engines that we are putting in place are now ready to fire. We continue to maintain our guidance of 25% growth in FY '23.

Now I request our CFO, Mr. Bhavin Shah, to discuss the financials, over to you, Bhavin.

Bhavin Shah: Thank you, Naresh bhai. Good evening, everyone. I would like to briefly touch upon the key performance highlights for the quarter ended 30th September 2022. And then we will open the floor for question and answer. I will start with quarterly update.

Revenue from operations for the quarter was at INR 147 crores, up 20.2% as compared to INR 122 crores in Q2 FY '22. The gross profit for the quarter was at INR 70.6 crores, up 6.8% as

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compared to INR 66.1 crores in Q2 FY '22. Sequentially gross profit improved by 10.4%. The gross margin for the quarter was 48%, Employee benefits expense was higher on a sequential as well as on a Y-o-Y basis due to variable pay during the quarter and the annual increment that was rolled out in Q1. We expect this to normalize in second half of FY '23. EBITDA for the quarter was at INR 28.1 crores, up 2.8% as compared to INR 27.4 crores in Q2 FY '22. On a sequential basis, EBITDA for the quarter increased by 18.8%, which is a result of various cost optimization programs to keep the operating costs low as well as lower freight charges. EBITDA margin for the quarter were at 19.1% compared to 22.4% in Q2 FY '22 and 18.1% in Q1 FY '23, improved EBITDA margin was on the back of lower operating costs. PAT for the quarter was at INR 19 crores, up 9% on a Y-o-Y basis and 28.1% on a sequential basis. The PAT margins for the quarter were at 13% as compared to 14.3% in Q2 FY '22 and 11.3% in Q1 FY '23.

Overall, you can see the improvement in margins on a sequential basis, and we believe we will continue to see the improvement in coming quarters as well.

Export for the quarter was at 58%, whereas domestic business was at 42%. As Naresh bhai mentioned, looking at the demand scenario, we maintained our guidance of 25% growth for FY '23. With this, I conclude my remarks and request the moderator to open the floor for question-and-answer session. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question may press star and on their touchtone telephone. If you wish to remove yourself from the question queue you may press star and two. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles. We have a first question from the line of Sudarshan Padmanabhan from JM Financial PMS.

Sudarshan: Sir, and congrats on good set of numbers. So my question is if I'm looking at the gross margin specifically, quarter-on-quarter, there has been a decline given that the mix has been relatively better, more of pharma intermediate, do we have any kind of one-offs or high cost inventory in this quarter? And how do we see the second half.

Bhavin Shah: So Padmanabhan, that if you see, our gross margin is in line with our average. So 48% is the average gross margin we have over the last 6 or 8 quarters. For current quarter, it is 0.8% lower than last quarter. We do have some inventory, which we have from last 2 quarters that we have procured. So, going forward, this will normalize, but it will remain between 48% to 50%. That is our normalized gross margin level.

Sudarshan: Sure, sir. And sir, I mean, on the chemicals side, I mean, just talking about this Methyl Salicylate I mean just wanted to know with the flow chemistry starting in the second half. What is the kind of impact that one should be looking at, say, in the second half and for FY'24 and what is the target that we have, you mentioned other few products as well. So on the margin perspective, I

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mean, you did mention that the chemical business is flattish. So how do we see the chemical business margin trajectory in the second half and for the next year?

Naresh Patel: We also, in our previous call also, we say that our aim is to consolidate the specialty chemicals, acquisitions in line with the our existing business, and that is where we started working on several implementation, which include the technology upgradation and as well as the more efficient production, operational efficiency, everything, even energy efficiency, everything has to be implemented. So that margin and our share in the business in Specialty Chemical will increase. And in that line only, we are working continuously, and that is also one of the reasons that one of the product called, which is Methyl Salicylate, which is contributing 30% of the revenue of the Specialty Chemical is a sizable amount of revenue. And in worldwide demand, we are not contributing even 2% of that. So that is where a huge volumes are available to grow. So that's why we put up flow reactors where we can expand our current capacity of 200 metric

ton to 600 metric ton per month, and that will drive our future growth in terms of specialty, not only this product, but other specialty chemicals product like Paraben other all and all that also we are working on simultaneously. So one by one, we are improving each product, and our target is to bring it to 2.5 times of the FY '21 of the revenue of specialty chemicals of Gujarat Organics and also improve the margin from single digit to double digit, near to our normal margin of pharma.

Sudarshan: And one final question. I mean, I understand that as capacity utilization is still not on a full throttle. So what is the capacity utilization at this point of time? And you did mentioned that as the growth comes in, we will also be seeing higher margin. So how do we see the margin trajectory, say, in FY '24 and FY '25 because I would believe that as the growth comes in, you would also see operating leverage benefit on margin?

Naresh Patel: Our first target is to reach our margin to the FY '21 levels, which is the best margin year of all 14 years of time. So first target is to reach to that level. And then over, every year, we are targeting to improve to 1% or 2% basis every year in the margin to go up to the 25%, 27% levels.

But that is our aim. And on that or that area only, we are working on improving not only in one sector, but all areas including energy, raw material, operational efficiency, capacity utilization, converting batch pursuing the flow by that way we can improve our operating efficiency as well as we can release capacity for our upcoming new molecule for FY'23 and FY'24. And later on, it will be supported by our Unit 2, which will be coming in next year, it will be ready by December 2023. So then that will be supporting further new product inclusion into the system.

Sudarshan: If I hear correctly, around 27% is where we can actually potentially go to the margin

Naresh Patel: The first target is to reach to the FY '21 levels and then onwards, our focus is to go up every year around 1% or 2% basis in the improvement on that.

Moderator: Thank you. We have a next question from the line of Tarun Shetty. Please go ahead.

Tarun Shetty: Sir, my first question is on the Vinylene Carbonate. We have heard that these prices are significantly dropped over the last six months. So any clarity on this aspect would be helpful?

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Naresh Patel: It's a very nice question. And I was expecting this. Let me tell you one thing, Vinylene Carbonate, the price is going up based on the raw material prices as well as the demand. And the raw material are very, very, I can say, the cheap in terms of value and technology is very important in this product. So AMI Organics developed a flow chemistry in that, and we are successfully running the continuous reaction of that, and we achieved to reduce our production time, our cost sizably, and now we are ready to compete the China price, and that is the reason why we are expecting first order in this month, maybe.

Tarun Shetty: Sir, my next question would be, so given that you have taken price hike in the previous quarter and given that the expectation is that the baseline raw material prices should start softening or have softened a bit, so would you need to pass on the sales to your customers? And if yes, then when do you expect the same to happen?

Naresh Patel: Normally, I always say that on quarterly lagging, we are able to pass on our any incremental price of raw material to the customer, and that is continuously going on. Apart from that, we are holding some stocks for the long-term contract, which has now the softening of the price of the raw material and the all stock of the raw material will be normalized in this quarter or maybe end of this quarter. And from that onwards, it will go upside.

Tarun Shetty: So basically, you do not see any issue at least for the near term in terms of -- because of your long-term contracts?

Naresh Patel: Yes, but in long-term contract, every quarter, we are passing the cost incremental to them. So it is not impacting very largely on our pricing.

Tarun Shetty: Lastly, could you help me with the contribution of your key products like Trazodone and Entacapone?

Bhavin Shah: Trazodone is 18%, for this half and Entacapone is 8%.

Tarun Shetty: Trazodone is 18%, Entacapone is 8% for this quarter.

Bhavin Shah: For 6 months.

Naresh Patel: As we run the commentary and now the Apixaban we told that the growth driver for this year, and it is showing that in this half Apixaban has contributed 13% of the revenue,

Tarun Shetty: 13% of your revenue. And this is about total revenue and not Spec-chem

Naresh Patel: Half year.

Tarun Shetty: Okay. 13% of total revenue and not including spec-chem or excluding?

Bhavin Shah: It is 13% of total revenues.

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Moderator: Thank you. A reminder to participants to press star and one to ask a question. We have a next question from the line of Padma Raju Mathi from SBI Life Insurance. Please go ahead.

Padma Raju Mathi: Yes. So my first question is, if I see this presentation this particular quarter, we have given only two segments. So is it fair to assume that the other segment is combined with advanced intermediates?

Naresh Patel: Yes.

Padma Raju Mathi: So sir, my second question is with respect to specialty chemicals. So I mean I have understood technology improvements and the change in power source and on. But if I see the revenue from this particular segment over the last three quarters, I mean it has been operating at the same 40% utilization levels only. So my question is, are we facing any sort of challenges in scaling up this utilization levels apart from the technology improvements aspect that you mentioned?

Naresh Patel: No, there is no challenge, because it's a multipurpose manufacturing facility. So we try to use in a such a way that we can have a product mix in such a way that we will be not utilizing maximum, but we conservatively use, and that's why we can remain capacity, which can be available to any spot demand coming in. So that's how we are planning in our production planning.

Padma Raju Mathi: How do you see this utilization levels for the full year from this particular?

Naresh Patel: Our target, maximum we can go up to 85% of total utilization of our capacity. In Unit 1, this year, it may go up to 65% to 70% is the max, whereas in Jhagadia, which is running at 40%, it has to go to 60%, but after installing this Methyl Salicylate plant now it will be remain at 45% with the flow reactor will give us the leverage of reduction in 5% to 7% in that.

Padma Raju Mathi: So this 45% you mentioned is for the full year for FY '23?

Naresh Patel: Yes.

Naresh Patel: Yes, of the Jhagadia plant.

Padma Raju Mathi: And next, like every quarter you give the breakup between pharma and spec-chem margins. Can you specify for this particular quarter as well

Naresh Patel: Yes, Bhavin can give you the answer.

Bhavin Shah: So specialty chemical is a flattish 10%, and Pharma is at 21%

Padma Raju Mathi: Okay. Sir, lastly, just on, you have given the guidance for the full year in terms of what is the kind of growth you're expecting. Any sense on the margins as well?

Naresh Patel: Yes, margin, we always say that every quarter, we are trying to improve 1% or 2% basis, you see that Q1 against Q2, we have improved by 1%, and that will be continuously going job.

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Moderator: Thank you. We have a next question from the line of Hardik Shah from Taurus Mutual Fund. Please go ahead.

Hardik Shah: Hello, sir. Thank you for giving me the opportunity and congratulations for a fantastic set of numbers. Sir, it is very heartening to see that despite the drop in our gross margin, we have been able to improve our EBITDA margin Sir, my question is that during the quarter, there was a report that there is some new technology upgradation in the lithium-ion batteries and Vinylene Carbonate, which we have developed will not be required for the new age batteries, but the patent document mentioned that Vinylene Carbonate will continue to be an important part for the same. So if you could give us some bit of clarity for the same would be very helpful?

Naresh Patel: That report I had read and in fact, after that, I had seen that patent as well. See any lithium-ion battery, whether it is lithium silicon or lithium fluorophosphate or lithium Nickel based, Whenever there is a lithium, the electrolyte solution is required and for that electrolyte

solution, Vinylene Carbonate as the polymer is required for that to cover the cathode of lithium.

So it's wrongly interpreted statement as issued by someone who had not thoroughly studied that.

Any lithium battery whenever it is used Vinylene Carbonate or fluoroethylene carbonate either one of them is mandatory based on the geography or where it's going to be application.

Hardik Shah: And sir, my second question is with respect to the specialty chemicals business. Sir, while answering the previous participants, you had mentioned that we want to take a revenue to say, 2, 2.5 times and take our margin to, say, in line with the pharma intermediate margin. So can we work with a number, say, of INR 180 crores, INR 200 crores top line with 17%, 18% plus EBITDA margin for next year?

Naresh Patel: Yes, this is our guideline, it's our target. See, in FY'21, it was INR 90 crores of the revenue of Gujarat Organics. So we are targeting to make it 2.5 times in the next couple of years. including the margin has to be 2% or 3% basis lower than the margin of our pharma.

Moderator: Thank you. We have our next question from the line of Jay Shah from Capital PMS. Please go ahead.

Jay Shah Congratulations, sir, on a great set of numbers and sticking by our guidance and giving quarterly performance as we've been guiding. Sir, my question is a lot of the broader trend that since we have more than 50% of the revenues coming from exports, are you seeing a shift in demand from Europe even now that now they might be asking even for KSM, not only APIs because of their energy problems or are they do you see any chances for more wallet share increase in a particular customer because of this Europe Plus One that is happening? And second question is, if you can throw some light on because API sector is again in much demand because of the global geopolitical problems. What therapies do you think are more in demand and hence, which of our products might be doing much better going forward.

Naresh Patel: So I will divide your question in two parts. First part is that whether European client will move from KSM or maybe API. See, you know the pharma industry is running with a very regulated documentation point of view. So like in a general chemical industry like BASF and all, there can
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be changes from one location to other, because they don't require any regulations in terms of compliances as well as approval. Whereas Pharma is run with the complete documentation, even the site and location is also important for any manufacturing of any chemical or API for pharma. So in that sense, it is not immediately possible for any company or any country to see complete production from one region to another region. So that will be very protected for us in terms of the demand.

Apart from that, that might be possible that some pharmaceutical API manufactured company may ask us from starting material to KSM because in that sense, they can save some state manufacturing in their location and by the way they can control their costs by energy and all. So that is for one. We are already receiving this kind of opportunity, and we are working on that. So that is always available. And we are ready for that kind of inquiries as we have always developed N-minus one, all intermediates so far API.

Second question is in terms of therapeutic demand. We normally, we are doing all chronic kind of a therapeutic area, where it's a daily doses kind of things. So here, the demand is incremental or decremental is not possible because the patients who had prescribed for this kind of medicine has to held that. So for us, it's like a regular demand is there. So we are not seeing any kind of any escalation or something like that. It's a robust growth in our therapeutic area.

Jay Shah: And sir, second question is, basically, in this vinylene carbonate capacity that we have, how fungibl

e is it or how flexible is our process design or plant design that we seen, like, as you said to the previous participant that instead of Vinylene Carbonate you can use fluoroethylene carbonate, can we do that? Do we have chemistry expertise in fluorination also?

Naresh Patel: Yes. See, basically, vinylene carbonate and fluoroethylene carbonate, both we have made and our samples are with various customers. And it's a longer process in terms of qualification because it's not only the compliance, safety is involved in that. And we are lucky that in one year time, we could able to create one customer with the commercial trial demand, which they use to make some cells, and then they will go for the use trial of that cells into the automobile batteries. But this is how it works. In fluorination, there are two types of fluorine. One is direct fluorination, which is done by SRF, Navin Fluorine, Tanfac kind of companies, whereas some fluorinations will do with the potassium fluoride. And that can be done with so many companies can do it, AMI also already doing in pharma, and now we have a capable to do the same thing in a large scale as well.

Jay Shah: Just one last question, sir. Sir, can you throw some light on that agrochemical molecule that we've been working on? Is it towards the crop protection side or what is the market side, what is the nature of the molecule, something if you can share with us?

Naresh Patel: So the two molecules out of that one, which is what we got the commercial order is related to that only. And that is used in a fungicide API

Jay Shah: So it's an active ingredient basically.

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Naresh Patel: No. We are making chemical. We don't make any active ingredient. Our chemical is used to make that active ingredient.

Moderator: Thank you. Ladies and gentlemen, to ask a question please press star and one on your phone now. We have a next question from the line of Suruchi Parmar from NX Wealth Management. Please go ahead.

Suruchi Parmar: Yes. Sir, last quarter, where we get to know that you have developed the two molecules of import

substitutes, which is related to anti-diabetic and cardiovascular and that has been send to clients for testing and trials. So any update and business opportunity there?

Naresh Patel: So these two molecules were already commercialized in Q3'22 and Q4'22. A larger volume already supplying and after that, we announced two more molecules, three more molecules, in fact, where we are in a qualification stage. And out of that two already qualified. One is in agro and one is in pharma. And it is in anti-inflammatory, segment in pharma and that we got an order from Europe and Israel. And this agro-chemical, which we got an order from India.

Suruchi Parmar: How big that order would be, sir?

Naresh Patel: These are all qualification validation batches are there. So in pharma, we got around 5 tons. And in agro, it's a validation batches of around 500 kilo.

Suruchi Parmar: And then what is the bifurcation between the Specialty Chemicals business and the pharma business, which is under GOL revenue bifurcation?

Bhavin Shah: See, for GOL, everything comes under a specialty chemical. Out of our total revenue, 85% is a pharma and specialty is 15%.

Suruchi Parmar: So last year, by Q3, I think GOL was doing some 14% EBITDA. And this quarter, you said something around 10.7%. So what is the outlook we see this GOL facility can reach near to the EBITA level of AMI?

Naresh Patel: It will be in a longer term. It will be 2% to 3% basis lower than the Pharma business.

Suruchi Parmar: And sir, including electrolyte and Vinylene Carbonate and whatever the new product we are developing along with the Methyl Salicylate so what is the outlook we can see? Like right now, we are doing at around INR 140 crores to INR 150 crores quarterly run rate. You said around that INR 180 crores to INR 20

0 crores quarterly run rate can be achieved. What is we can say,

by '25 to '26, we can surpass this INR 1,000 crores top line number, something like a broader outlook?

Naresh Patel: Yes, it's possible if VCB will be commercialized, it can be possible, but we are not guiding any numbers for you because normally, we say that 25% CAGR is our growth rate and that is based on our current birds in our hands rather than birds on the branches. So VCB and all are still under a maturity level. And we are always conservative in our statement, and that is how we are seeing.

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One, it will be electrolyte will be commercialized the numbers and everything will be changed very dynamically.

Suruchi Parmar: And so 25% growth, you said only for '23, not for '24 onwards.

Naresh Patel: No, '23 also, '24 also, '25 also.

Suruchi Parmar: So 25% CAGR growth outlook we are giving it, correct?

Naresh Patel: Yes. 23% to 25% for the longer term is always there because it's our last 12 year history is like this. And our all new molecules are which we had developed and is coming every year, there are four, five molecules bringing the new revenue growth as well as the old revenue all molecules are growing at 8% to 10% as well. So it's a cumulatively, we are getting good revenue growth.

Suruchi Parmar: And sir, how much Dolutegravir contributed during this quarter?

Naresh Patel: Dolutegravir in this quarter, this half is like 4% and 3% in this quarter.

Suruchi Parmar: So which were the three molecules, which we contributed highest?

Naresh Patel: Apixaban, Trazodone, Entacapone. This is the beauty that we are not dependent on one customer, and one products, and that is our policy.

Suruchi Parmar: So this INR 190 crores capex, which we announced last year in April or something. So sir, what is the progress on this?

Naresh Patel: It's going on the line. It's per our planning. It is going in the same way. Right now, we are in a civil construction as well as in the phase of ordering the equipments.

Suruchi Parmar: But when we can start the commercial production from this new capacity?

Naresh Patel: The facility will be ready by December '23, and then we start validation and qualification of the facility. And by FY '25, its start giving the revenue.

Suruchi Parmar: And what would be the allocation of this new capex?

Naresh Patel: 2x, 2.5x, we can increase – 3, 3.5. Because in these, it's complete DCS and we are putting several flow continuous reactors as well.

Suruchi Parmar: Two things to understand because our capacity utilization right now is on the lower side.

Ankleshwar, Jaghadia is doing 40%, 45%, Sachin might be doing around 60%, 65%. So this capacity, optimum level, what revenue we can achieve or whether this will be capacity optimally utilized in the maybe in next 15 months to 18 months?

Naresh Patel: Surat facility in the next 1.5 years, it will be fully utilized, 85%. Whereas the Jaghadia will be in next 2 years. And meanwhile, we have an additional capacity coming from Ankleshwar. So

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we are proactively investing in our capex, considering our growth plan and our projections and our planning. And we normally have the capacity available for our future.

Suruchi Parmar: Last question, sir. How much can be the size of the electrolyte business in three years, five years in revenue terms? It can contribute INR 50 crores and INR 100 crores or bigger than that?

Naresh Patel: The number I will not say, but it will be definitely be much bigger. If everything goes well, it will be much bigger than our current existing portfolio.

Moderator: Thank you. Before we take the next question, I would request participants to press star and one to ask a question. We have a next question from the line of Tarun Shetty. Please go ahead.

Tarun Shetty: So my first is on

the import substitute products that you have launched in the past few quarters.

How is the demand scenario for these? And have you gained market share in the recent months?

Naresh Patel: Yes. The pharma is moving slow in terms of qualification and substituting from existing vendors.

So it is growing well. We could able to reach to around 30%, 35% of the demand and it will grow gradually to next FY '24, it will be 100% reached to that level.

Tarun Shetty: So currently, the contribution would be less than 10%.

Naresh Patel: Yes.

Tarun Shetty: Coming to your books. So the inventory level that we see has gone sharply up, so in the coming months, do you see this normalizing? Or you will have to take some debt for short-term working capital?

Bhavin Shah: So Tarun, let me answer this. Our inventory level is a little higher. So in coming quarters, in Q3 and Q4, we can definitely see that this would be normalized, and this will come to a normal level.

We are intending to bring it down to 90 days kind of thing. Currently, we have positive cash from operations and that we are going to maintain and we don't foresee any debt to be raised for our working capital purpose. We have INR 52 crores available as a bank balance and investment currently with us.

Tarun Shetty: But I believe there is a substantial portion of capex so that is coming this year?

Naresh Patel: Tarun, these are all because of the demand and everything we are positioning ourselves in such a way that considering the projections and planning coming from the customer. And to encash that we are building a positioning in that. So it will be liquidated in this quarter and beginning of the next quarter.

Tarun Shetty: So my final question will be on the capex. Any reform your guidance for this year as well as next year?

Naresh Patel: Sorry. Can you repeat the question?

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Tarun Shetty: Yes. Just wanted to know the capex number for FY '23 and FY '24, FY '25, if you can?

Naresh Patel: FY '23, FY '24, we had already guided that INR 190 crores for this new facility as well as maintenance capex of INR 30 crores, which is the guidance right now.

Moderator: Thank you. We have a next question from the line of Mehul Sheth from Axis Capital Limited. Please go ahead.

Mehul Sheth: Just first, I have two, three questions. First, on Ankleshwar plant. Out of this INR 190 crores, how much spend you have done so far? Till date how much you spend out of this INR 190 crores?

Naresh Patel: It is still in the initial phase of civil construction as well as order placing, orders going on. So it's some advances in the order. So it will be somewhere around INR 10 crores to INR 15 crores we have paid till now.

Mehul Sheth: And it will be like in phase like, some part will be in H2 and maximum will come in FY '24?

Naresh Patel: Yes. It will be splitted in two years, yes.

Mehul Sheth: And sir, one scenario like global scenario wise, I want to ask something. What was the impact on the volume as well as on the price, for AMI Organics due to this increase in raw material as well as there is a supply chain disruption? So what was the impact on AMI Organics in terms of volume as well as in terms of pricing? And second part of this question is also like because of the similar issue, there must be some company or some of your competition must have moved out of the market. So that kind of opportunity are you getting from the market or you are getting benefited because of exit of some existing players?

Naresh Patel: See, basically, whatever the product we make in the pharma, we are positioning or positioning in that, and we are contributing around 80% of the world demand in that API. So here, we are already at a positioning ourselves at a higher level. Yes, there might be shifting of 2% to 5% from other competitor to us. It may be possible, so that will be, in a sooner or later, it w

ill become

out of that, whereas the volume is increasing every quarter, it means that shifting is already happening. So that will be in a positive manner at Ami Organics. In terms of valuation, we are - the sales price is almost be derived based on our cost and the incremental margin, whatever the profit and all, which we pass on to them based on that the value that is going on.

Mehul Sheth: And sir, one clarification as Bhavin sir mentioned that you had some higher cost inventory in this particular quarter. So considering this Q3 gross margin will be in a much on the higher end of around 49% or 50% range from current 48%?

Bhavin Shah: So there is a room of improving 100 or 200 basis points from here. We will see definitely improvement in every quarter. So coming Q3 and Q4, we will definitely see improvement on a gross margin.

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Mehul Sheth: And sir, one last question on launch run rate for you. Specifically in the advanced intermediate side, so what are your visibility for the product which have recently expired achieve, this better expire or will be expiring next couple of quarters' time. Some products like Sitagliptin, which is recently expired then the dapagliflozin on diabetic side. So, do you have presence in such molecules?

Naresh Patel: Yes. We have presence in Sitagliptin. We have presence in Apixaban. We have presence in Vildagliptin as well. So these are all molecules contributing and it is growing slowly-slowly in the demand.

Mehul Sheth: And what will be your launch like new product introduction run rate next, say, two years, three years' time frame, every year, what could be the run rate?

Naresh Patel: We have more than 400 products waiting to come into the basket. So, and these all 400 products is which the customer is already invoiced and it is expired till 2037. So we have a long visibility of our product pipeline. And this is also secure with the customer base as well. So every year, there are four, five molecules coming in the basket, and this is our basket from every year is at least currently, it is contributing around 60 molecules which are contributing in total revenue. And out of the 30 molecules contributing 60% of the world revenue. So this is how is widely spreaded and visibility is also long so that we can probably says that we have a sustainable growth in terms of our revenue.

Moderator: Thank you. We have our next question from the line of Hardik Shah from Taurus Mutual Fund. Please go ahead.

Hardik Shah: I have a small follow-up on the question of the previous participant. I understand that we would not require any debt for working capital. But for the capex, sir, will it be funded by debt, partly?

Naresh Patel: Yes. If needed, we will go for the debt for the capex. That was missing answer.

Hardik Shah: Yes. Understood.

Naresh Patel: We have IPO, general corporate purpose fund is available and also internal accruals are also there, but if all needed to -- we will go for the small debt raise in term loan kind of thing.

Hardik Shah: Sir, can you share what will be our mix from Europe, sir?

Naresh Patel: Europe, Mix from Europe?

Hardik Shah: Yes, sir.

Naresh Patel: Contribution of the Europe business?

Hardik Shah: Yes, sir.

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Naresh Patel: Yes, our total export majorly going to Europe. So, it is somewhere out of total 58% export, we have around 70% coming from Europe.

Hardik Shah: And in the toughest quarter, we were able to grow the business. So there is no challenge for our business. Is that understanding correct, sir?

Naresh Patel: Yes, this quarter has performed well in that -- this quarter, so many problems in Europe, even though we are contributing a good amount of revenue from Europe, so I think it's not -- we are not seeing any near future any threat out that. We are having a s

izable orders are in hand. If

something will happen, we will proactively come and inform to our investors.

Moderator: Thank you. We have a next question from the line of Prateek Chaudhary from Saamarthya Capital. Please go ahead, sir.

Prateek Chaudhary: This electrolyte product in your understanding, what is the advantage that China particularly has as the presentation mentions that all seven or eight companies that make this product globally are all based out of China. Do they have any specific advantage in terms of say, is the product very power intensity, or does it require a lot of incentives from the government, or is it

technologically difficult to produce? I mean why have no other company in the world being able to do it other than these seven, eight Chinese companies in your understanding?

Naresh Patel: Yes. So initially, when these industries are putting up the -- because of the China advantage and all the big -- even the big industry is based in Europe and Korea, Japan, like LG and all they have also put up Samsung, they are also put up the plant in China, and this is the reason why this is highly consolidated in China. But now the demand in rest of the world market is now more derisking themselves from China, and that is the reason why the big window opened for the rest of the world. And this is where we are the first one to get in that in this window and that is the reason why the faster approval for us is getting in this requirement. So say, for example, a big company based in Korea, they have a manufacturing site in China as well as in Europe as well as. So they now want to have a material from us not only in China but in Europe because from there, Europe, we are targeting to US. So this is a complex, but definitely, they want to derisk themselves depending on China.

Prateek Chaudhary: And what sort of -- although it's very preliminary to ask this question, but what sort of margins do you foresee in a product like this?

Naresh Patel: When there is the volume in terms of 100,000 metric ton kind of things you are talking, the margin will be similarly in that level as well.

Prateek Chaudhary: And any rough estimate on gross margins? Is it similar to what we do or better or worse?

Naresh Patel: Normally, our target is to make the similar kind of margin, where we are making in other products. So that will be our target, and that will be the guideline right now.

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Prateek Chaudhary: And if I remember correctly, the size of this product globally is upwards of USD 1 billion. Is that correct, or am I wrong?

Naresh Patel: It can be -- it is growing every year. So it is incremental.

Prateek Chaudhary: What is the current size, global size of this product?

Naresh Patel: As per the report, it is USD 1.2 billion. But as per the market survey, what we do personally is completely different, but we can't claim that because we are not authorized for that.

Moderator: Thank you. We have a next question from the line of Rohan Kamath from Finterst Capital. Please go ahead.

Rohan Kamath: Sir, actually, I want to know about something electrolyte, electrolyte salt which are making.

Tatva Chintan also in that segment. So please, can you elaborate it?

Naresh Patel: No. First of all, let me tell you, Mr. Kamath. We are not making electrolyte salt. electrolyte salt is manufactured by GFL and Neogen is trying to do that. We are making the electrolyte additives, which is one of the part of the electrolyte solution. And GFL and Neogen, GFL already ordered us. So they are our customers.

Moderator: Thank you. We have a next question from the line of Suruchi Parmar from NX Wealth Management. Please go ahead. You are not audible. Can you use the handset, please?

Suruchi Parmar: Sir, in your PPT, you have shown this chemistry of fluorination and bromination, any future plan to go into this chemistry?

Naresh Patel

I: We are already doing this. So there is no future plan on that. We do all kinds of chemistry. As in pharma, there is -- we are not known for any specific chemistry because we are doing most of the -- which is more viable, more addressable chemistries these all we do in a commercial scale.

Moderator: Thank you. We have our next question from the line of Prateek Chaudhary from Saamarthya Capital. Please go ahead.

Prateek Chaudhary: Sir, on this electrolyte, if you could give some historical perspective on when did you, how did you identify this opportunity? Are there any parallels, technological or chemistry that you handle are there any similarity or parallels with what you do in your existing business?

Naresh Patel: So the question what asked by previous caller is that answer will become in this as well. So these opportunities bring by our one of the international partner based in Israel. And they bring us this opportunity, considering our capability in the reaction handling. And we got this inquiry or opportunity in 2022, and then we developed -- because this chemistry we're already doing commercially. And that's how we started making this in a lab and then in a pilot and -- so I can say one year, 1.2 years of history of this molecule.

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Prateek Chaudhary: And is it like some guarded technology, or is it like any other Indian chemical company, it will not be very difficult for them to crack this? Is it like that or?

Naresh Patel: It's a guarded technology.

Moderator: Thank you. As there are no further questions, I would now like to hand the conference over to Mr. Naresh Patel for closing comments. Over to you, sir.

Naresh Patel: Thank you very much. Thank you, Axis Team for hosting our conference call. Thank you, everyone, for your questions, and we hope we have been able to answer most of your queries. If we have missed out on any of your questions, please kindly reach out to our IR adviser, E&Y, and we will get back to you offline. Thank you very much. Have a good evening, and have a good weekend.

Moderator: Thank you, sir. On behalf of Axis Capital Limited that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Feb 2023

40 Ami Organics Limited CIN No. : L24100GJ2007PLC051093

Registered Office :- Plot No. 440/4, 5 & 6, Road No. 82/A, G.I.D.C. Sachin, Surat - 394230, Dist. Surat, Gujarat, India.

February 16, 2024

To, To,

The Corporate Relations Department, The Listing Department
BSE LIMITED, National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,
Dalal Street, Fort G-Block, Bandra Kurla Complex,
Mumbai- 400 001 Mumbai -400051

Scrip Code: 543349 NSE Symbol: AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q3 FY24 financial results held on February 12, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on February 12, 2024 post announcement of financial results for the third quarter and nine months ended on December 31, 2023.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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"Ami Organics Limited Q3FY24 Earnings Conference
Call"

February 12, 2024

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN & MANAGING
DIRECTOR, AMI ORGANICS LIMITED
MR. BHAVIN SHAH – CHIEF FINANCIAL OFFICER, AMI
ORGANICS LIMITED
MR. ABHISHEK PATEL – VICE PRESIDENT STRATEGY ,
AMI ORGANICS LIMITED
MODERATORS : MR. PRASHANT NAIR – AMBIT CAPITAL PRIVATE
LIMITED

Ami Organics Limited
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Moderator: Ladies and gentlemen, good day and welcome to the Q3FY24 Earnings Conference Call for Ami Organics Limited hosted by Ambit Capital.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prashant Nair from Ambit Capital. Thank you and over

to you, sir.

Prashant Nair: Thank you. Good evening, everyone, and welcome to the Q3FY24 Earnings Call of Ami Organics.

Today, we have with us from management, Mr. Naresh Patel - Chairman and Managing Director; Mr. Bhavin Shah - Chief Financial Officer and Mr. Abhishek Patel - Vice President, Strategy. I would now like to hand over the call to Mr. Bhavin Shah for opening remarks. Over to you, Bhavin.

Bhavin Shah: Thank you, Prashant. Good evening, everyone. We are pleased to welcome you all to our Earnings Conference Call to discuss Q3FY24 Financials.

Please note that a copy of our disclosure is available on the investor section of our website as well as on the stock exchanges. Please do note that anything said on this call, which reflects our outlook towards the future, or which could be construed as forward-looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transcript along with audio of the same will be made available on the website of the company and exchanges. Please also note that the audio of the conference call is the copyright material of Ami Organics and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

Today, on call along with me, we have Mr. Naresh Patel - Chairman and Managing Director and Mr. Abhishek Patel - Vice President Strategy.

Now, I would like to hand over the floor to our CMD, Mr. Naresh Patel for his opening statement.

Over to you, Sir.

Naresh Patel: Thank you, Bhavin. Good evening, everyone. I hope you all are doing well. A warm welcome to our Q3FY24 Earning Conference Call. I would like to wish you all a great and prosperous new year.

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Before I discuss the results for the quarter, let me discuss some economic and industry headwinds and tailwinds. This year is expected to be the year of demand recovery following the unforeseen slump in the latter half of 2023. Inflation is steadily retreating towards the comfort zones of Central Bankers across the world, signaling a positive turn. However, ongoing geopolitical crisis continue to cast a shadow of uncertainty. A prime example of this is the Red Sea crisis, which has led to a spike in freight cost.

Addressing the industry, we see the demand picking up steadily; however, a sharp decline in raw material prices has exerted pricing pressure across the Specialty Chemical sector. As we speak, we are witnessing raw material prices stabilizing. Consequently, we anticipate a return to standard pricing level in the coming quarters.

With this, let me turn your attention to our Q3 results:

Our focus through the quarter has been on quality growth and I am happy to say that we have been able to deliver the same. Let me deep dive into this. Our revenue from operations for the quarter was at Rs. 166 crores, which is growth of 9.2% year-on-year. However, if you look at volume growth, our overall business has grown by 25% year-on-year showing strong business traction. As pricing stabilizes, I am confident our growth will be back to the 20% level. When I refer to quality growth, it doesn't only represent strong volume growth, but also strong uptick in margins. If you look at our numbers sequentia

lly, they are slightly lower than previous quarter,

but if you look at our EBITDA margin, they have expanded by 150 basis points. I believe this trend will continue in coming quarters. The growth for the quarter was catalyzed by both, the pharmaceutical business as well as specialty chemical business.

I will let Bhavin discuss financial performance in greater detail.

Moving on to business updates:

I am happy to share that we have inaugurated our Ankleshwar plant in December 2023, marking a milestone for us, given that it took us only 12 months for the inauguration since the groundwork commenced. This makes of a great achievement, and I would wholeheartedly like to congratulate our team and highlight the tremendous effort they have put in this. I would also like to highlight that the new plant is testimony to the state-of-the-art technology we are bringing to advanced pharmaceutical intermediate manufacturing in India and is symbolic of Ami Organics' commitment to innovation and its role in revolutionizing India's intermediate landscape.

On the very day of our plant inauguration, we extended our partnership with Fermion by signing agreement for two more advanced intermediate for their API. These advanced pharmaceutical intermediates will be used in captive consumption for the earlier advanced pharmaceutical intermediate signed with them. The agreement is likely to add tremendous value to the final advanced intermediates, which will be supplied by Ami Organics, leading to higher value of the

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end product. The products are slated to be manufactured at Ankleshwar facility and is expected to start contributing meaningfully to the revenue from FY25 onwards.

On that note, I want to emphasize our ongoing efforts to engage with our customers for such kind of opportunities. I am optimistic about finalizing a few of these in the upcoming year.

Moving to our electrolyte business, I am happy to share that we have signed an MOU with the Global Manufacturer of Electrolytes for manufacturing of electrolytes for battery cells and allied materials. Recently, we have also commenced commercial operations for electrolyte additives, which I believe will start ramping up from FY25 onwards. I would like to highlight that the ramp up would be gradual. In regard to the electrolyte opportunity, we have also signed an MOU with Government of Gujarat for investment amounting up to Rs. 300 crores for setting up of a dedicated manufacturing facility for electrolytes business in Gujarat.

Moving on to the Baba Fine Chemicals, the integration is currently underway. This process usually results in operational issues due to change in ownership and name of the company, which will have temporary impact on sales. This situation is expected to be transient, and we anticipate pickup in sales following the completion of the integration.

Before I conclude, I would like to highlight that in today's digital landscape, safeguarding sensitive information and ensuring data confidentiality, integrity and availability have become paramount in nature. With this in mind, and our endeavor to always follow global standards, I am proud to announce the implementation of Information and Security Management System (ISMS 27001-2022) practice across the organization. ISMS is a comprehensive framework that assist organizations in managing and protecting their information asset. By adopting ISMS practice, our goal is to enhance our overall information security posture and create a secure environment for our employee, clients and stakeholders. I am glad to inform you that we have successfully passed the ISMS 27001-2022 audit and received an ISO 27001-2022 standard certification.

To conclude, despite the industry headwinds, we remain confident of closing the year with healthy growth. I would also like to highlight that the various initiatives we have taken in FY23 and FY24 enhances our r

evenue visibility for FY25 and beyond, bolstering our confidence in our potential for stronger growth in coming years.

Now, before I hand over the call to Bhavin, I would like to welcome back Abhishek Patel, who has rejoined us as Vice President Strategy. Abhishek will work closely with me on strategic initiatives. Given he has been with company for more than five years in his previous stint at Ami Organics, he knows about the business very well. Therefore, he will also handle investor interactions along with Bhavin. I have worked with Abhishek closely for many years in past and I am confident that he will add immense value to the company.

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With that, I request our CFO – Mr. Bhavin Shah, to discuss the Financial with you. Over to you, Bhavin. Thank you.

Bhavin Shah: Thank you, Naresh Sir. I would like to briefly touch upon the key performance highlights for the quarter and nine-months ended 31st December 2023 and then we will open the floor for the question and answer.

I will begin with the quarterly updates:

Revenue from operations for the quarter was at Rs. 166.5 crores up 9.2% as compared to Rs. 152.4 crores in Q3 FY23, driven by robust 25% volume growth.

The gross profit for the quarter was at Rs. 71.4 crores which was up 2% when compared to same period last year. The gross margin for the quarter was at 42.9% compared to 46% in Q3 FY23. Lower gross margins were driven by unfavorable product mix.

Moving on, EBITDA for the quarter was at Rs. 26.5 crores down 13.9% as compared to Rs. 30.8 crores in Q3 FY23. EBITDA margins for the quarter were at 15.9% compared to 20.2% in Q3 FY23. EBITDA margins were driven by gross margin and higher employee expense. Higher employee expenses were driven by yearly increment, ESOP cost and hiring of new employees for Ankleshwar unit.

PAT for the quarter was at Rs. 17.8 crores compared to Rs. 22.3 crore in Q3 FY23. PAT margins for the quarter were at 10.7%. Lower PAT margins for the quarter were driven by lower EBITDA margin as well as higher depreciation and finance cost.

Moving on to 9MFY24 updates:

Revenue from operation for 9MFY24 was at Rs. 493 crores, up 14.4% as compared to Rs. 430 crores in 9MFY23.

Gross profit for 9MFY24 was at Rs. 215.8 crores, up 5.5% on year-on-year basis. The gross margin for 9MFY24 was at 43.8%.

EBITDA for 9MFY24 was at Rs. 85.3 crores, up 4.3% as compared to Rs. 82 crores in 9MFY23. EBITDA margin for 9MFY24 was at 17.3%. Adjusted PAT for 9MFY24 was at Rs. 54.8 crore with adjusted PAT margin of 11.1%. Adjusted PAT figures exclude onetime full impairment of JV with Ami Oncotheranostics LLC. Export for the quarter was at 61%, whereas domestic business was at 39%.
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Coming to Cash Flow and Balance Sheet, our working capital for the quarter was stretched during the quarter, mainly driven by lower payable days. Inventory and debtor days were steady during the quarter. Even though our working capital cycle was stretched during the quarter, we have been able to generate cash from operation of Rs. 35 crores for 9MFY24 leading to cash and cash equivalent of around Rs. 42 crores as of 31st December 2023.

Our Capex outlay for 9MFY24 was Rs. 212 crores. As informed in earlier calls about our strategy to fund CAPEX through mix of internal accruals and debt. In this regard, we have taken Rs. 119 crores debt to fund the capex. I would also like to highlight that total capex outlay for Ankleshwar unit has been revised from Rs. 190 crores to Rs. 310 crores. This was driven by specific requirement of additional machinery for CDMO contract as well as creating allied infrastructure.

With this, I conclude my remarks and request moderator to open the floor for question-and-answer session. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Riki

n Shah from Omkara Capital. Please go ahead.

Rikin Shah: My question was more to do with Apixaban, so considering Bristol-Myers had successfully removed Apixaban generics in Netherlands while France has also upheld factor Xa inhibitor patent, but Ireland has invalidated the patent and joined UK, so considering these changes in Europe, what is our outlook for Apixaban going forward?

Naresh Patel: Yes, there are some positive moves towards the Apixaban launching in Europe. We have already partnered with two customers in Europe and two in India who have the hold in Europe. So, we have slowly started supplying this molecule. From Q1, it will gradually ramp up and by Q2, it will be in full swing.

Moderator: The next question is from the line of Richa from Equity master. Please go ahead.

Richa: My question is on the revised CAPEX for the Ankleshwar facility, so earlier you were predicting a turnover of around three times. So, with this revised CAPEX, is it only for some kind of value addition or do you expect the turnover also to remain three times. If you could just highlight that opportunity or what is to be expected from this revised CAPEX?

Naresh Patel: It is both basically, we have the existing as well as the new agreement in pipeline. For that we have to upgrade our system according to the requirement and that will bring us the new revenue, so our topline will remain in that line of 3-3.5x.

Richa: For the electrolyte, if you could share some kind of timelines or some kind of estimate if you have, because this seems to be a very fresh opportunity and it is not very clear as to what kind
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of revenue and over what kind of time duration we could see in this opportunity, so based on the MOU's that you have signed with the client and the government, if you could just throw a little more light on this opportunity?

Naresh Patel: Electrolyte, right from beginning we have always said that it is not a part of our projection, but the reason was we sensed this very early, 2 years, 2-1/2 years back that it will be a slow-moving project because of the several requirements and compliances. Now, we have reached the level where we have started manufacturing from this quarter the electrolyte and two additives. Also, we got several long-term contracts that helped us to supply these molecules in Asia as well as in Europe and some quantity in US as well. So, this is how we started electrolyte additives. In this additive segment, we have developed six more additives, these all are listed on our website and these samples will go to the customer. So now the existing customers have more electrolytes additives from us, and that will help us to grow this business. And not only that, but we had also signed an agreement with one of the solution manufacturers to make their solution in India particularly for them and that is what we announced with the Government of Gujarat.

Richa: But right now, what you are suggesting is that a quantification, is it too early or any kind of estimate that you could share with us on that front?

Naresh Patel: It is not too early. It is gradually ramping up. So, from this quarter, we will manufacture and start supplying the quantities to all three manufacturers who have already started placing order with us and then slowly other customers will ramp up in that. Parallely, we have also started

toll manufacturing for solution in India for the Indian consumption and that is not related to our existing business. This is purely a toll manufacturing kind of JVs which we are making with one of the Asian clients or making in India.

Richa: When you say that electrolyte would have similar margins, is it in line with the Specialty Chemical or the company level margins as a whole?

Naresh Patel: It is in between both, it is above Specialty and below the Pharma part.

Richa: Our presence in the US market seems to be much less as compa

red to Europe. So, is there a

conscious thought process of increasing the market share there and if at all you are doing

anything on that front, if you could share with us?

Naresh Patel: So, are you talking about the pharmaceutical presence, or are you talking about the specialty presence?

Richa: Overall exposure when it comes to our geographical diversification, our share from the US market is really low when we look at exports?

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Naresh Patel: So pharmaceutical will remain like that because all the API generic manufacturers or maybe some innovative manufacturers they are based in Europe. That is the reason why our pharmaceutical intermediate business is higher in Europe compared to US. In US, we have sales in pharma, but that all goes for the CMO and CRAMS kind of business with companies not based in US. In terms of Specialty Chemicals, we have a very good presence in US selling several molecules from Gujarat Organics and we are also in negotiation of several big contracts for Gujarat Organic product in US. So, in the upcoming years it will be incremental in US space for Specialty Chemicals. Electrolyte definitely has a huge market and that will be also see increase in US supply in upcoming quarters.

Moderator: The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Our 9-month revenue growth stands at 14.4% and last quarter we had guided for a growth of 18 to 22% for FY24, which probably looks tougher with all the intermediate prices being driven down, so now, would you want to probably guide for the next year FY24 and 25 by any chance what can we expect in terms of revenue?

Naresh Patel: If you remember in the last call, we revised our guideline from 18 to 20% to 15 to 18% because of the topline erode and that will be the one of the reasons that we had revised our guideline and considering current order in hand, it looks like we are in the same space where we have to reach.

Jason Soans: So, you are saying FY24 will probably be in the range of 15 to 18%?

Naresh Patel: Yes.

Jason Soans: And any estimates for FY25, by any chance if you would like to share on this?

Naresh Patel: FY25 will be somewhere between 17 to 22%.

Jason Soans: Because I believe that even the Fermion volume will start to pick up in FY25, so that will also be good and that will aid the topline as well?

Bhavin Shah: Yes, and not only that, also some new electrolyte will start contributing and then some other new projects which are in discussion will also come, so conservatively it will be between 17 to 22% and then it may go up. I am saying 17% in case we see some more erosion. Otherwise, we are fully confident about 22%.

Jason Soans: Our margins have been around 20% going back now, of course there is price erosion and host of companies across the Specialty Chemicals are facing pressure, now our margin also moderated around 14, 15, 16%, what kind of margin are you looking at? We had a word before where you spoke about resorting to a spot pricing method basically because to cater to Europe

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customers and for customer attention. So just wanted to know, what is the update on that? I mean still the spot pricing will continue or how are you looking at margins for FY24-25 going ahead?

Naresh Patel: So basically, what we said in the last call, we are trying to perform accordingly. So last quarter we announced that we will focus on margin. In this quarter, we successfully bought it to 15% and our next quarter overall it has to go to 18-20%. So that will be our spot base in Q1 and from that onwards once again we start our journey towards the 23% which we had announced in the past.

Jason Soans: Just wanted to know your view about Chinese pressure. Raw material prices coming down, realizations coming down, now what is your sense in the market, how do you

see, do you think

prices have bottomed out after almost 8 to 9 months of correction? What is your sense on how prices will move ahead or is there more pain? Could you give me some color on it like how are

you seeing the prices for advanced intermediates chemicals going ahead?

Naresh Patel: What I understand in last one quarter is that I think the pricing from China is almost on the rock bottom. It may have to either stabilize or go upward. And based on the raw material prices, the prices for the final product will be stabilized or it may go up. So, I think this quarter is almost stabilized, from here onwards next one or two quarter, it will reach the normal level and it may go up.

Jason Soans: Any signs of Chinese competitive intensities are decreasing or is it same level or any view on that?

Naresh Patel: For my product, there is no direct impact of the Chinese competition, but for my end users there is some impact due to the Chinese supply. So now because of this spot business theory, we are able to deal with that as well and that is the reason why our volume growth is at 25%.

Jason Soans: That is a very good strategy. I would like to commend you on that and of course, so much competition is there in the market, and we resorted to this part of business to retain your customers with a very commendable strategy. So, just wanted to ask, you have spoken about electrolytes manufacturing, what is the capacity you are looking at setting up for this? What we know is in a lithium-ion battery around 9 to 10% of the cost is electrolytes and lot of customers and I believe it cannot be transported a lot. So a lot of the electrolytes have to be made in-house or domestically, so, one of the listed players already has a big electrolyte building capacity, they have announced CAPEX, they have announced a technological partner also in that. So, just wanted to know from your perspective how are you looking at the electrolytes business? Are you looking to induct some technological partner for this business? Because clearly what happens is this is always a slow process, approvals etc., take lot of time, so could you give me some sense of what capacity you are trying to make or any technological partner you would like to take up to scale up this business faster or what is the potential you are seeing or capacity, could you just give me some details on this?

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Naresh Patel: So, are you talking about the electrolyte additives or are you talking about the final electrolyte?

Jason Soans: The final electrolytes?

Naresh Patel: Final electrolyte is CDMO kind of business. So here, I can't speak more on that, but the thing is that whoever the partner is, is very strong. So, they just want to have a base over here. We don't want to go and sell directly. So, it is like a secure business for us in terms of sales because we are doing just a CDMO for them.

Jason Soans: So, it is a plain vanilla or contract manufacturing?

Naresh Patel: Yes.

Jason Soans: So basically, what the client will tell you, you will manufacture for them, that is how it will be?

Naresh Patel: Yes.

Jason Soans: So, do you see lot of volume coming in or this will be a slow-moving project, how do you see it?

Naresh Patel: No, this will be a fast-moving project because they are already in the market and controlling world market at a very high level. So, this is a base for them, additional manufacturing platform for them to cater to Asia and some European market as well as some IRA market. So where they will sell is up to them, our job is to make a final solution and deliver to them.

Jason Soans: So, they will give you the technology and the recipe and you will be making it for them?

Naresh Patel: Exclusively making it for them. It is two different businesses. In Additive it is fully Ami Organics technology, and the solution is fully CDMO where we just give them the production

support.

Jason Soans: On electrolyte additives, 2-3 quarters back we had heard some sales coming in, I think we have 500-ton capacity in Jhagadia where we can start up this electrolyte additives, but orders still have to come in or how is it, can you tell me the status on the electrolyte additive please?

Naresh Patel: So, we have signed several long-term supply agreements with the customer and now we have started commercially producing these additives and we have started supplying. We developed the production line, we developed the packaging line, shipment. Now we have started supplying the commercial supply to them and that is what we had announced publicly, that we are now commencing the production for electrolyte additives and ongoing capacity will be incremental and it may go up to 4-5 folds of total existing capacity in upcoming years.

Jason Soans: So, revenue from this will be probably coming in from FY25 only?

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Naresh Patel: Yes, maybe in this quarter, if we get an opportunity, otherwise it will be from the next quarter, but firm orders are in hand. So, we have already moved in the production.

Moderator: The next question is from the line of Dhara from Value Quest. Please go ahead.

Dhara: If you can help us with the segmental EBITDA numbers for Pharma Intermediate and Specialty Chemical business?

Bhavin Shah: For both the business, we have EBITDA of 15.9% for the quarter. 15.9% for Pharma and 15.9% for Specialty.

Dhara: So, Specialty also includes Baba Finechem, that is why the margin looks higher?

Bhavin Shah: So now onwards Baba Finechem is part of our Specialty business. So, margin is accordingly.

Dhara: And what will be the revenue number for Baba Finechem this quarter?

Bhavin Shah: Specific number we are not giving on over the call, so I refrain from sharing those number.

Dhara: On the additive business, so we mentioned about several long-term contracts that you have and I think we only have a 500 ton capacity for the additive. So, what is the kind of capacity expansion that you expect to build there?

Naresh Patel: Standard capacity what we have right now is 500 metric ton each and that is our first goal to fulfill and then parallelly, we would be adding more capacity for the upcoming demands of the electrolyte additives.

Dhara: Would you like to share how much capacity you are going to add now?

Naresh Patel: 2,000 metric ton each of the final additives.

Dhara: 2,000 each for two additives that you are going to supply?

Naresh Patel: Each.

Moderator: The next question is from the line of Jishan Singhi from Krijuna Research & Analytics. Please go ahead.

Jishan Singhi: I would like to ask that, as you mentioned that you are doing a plain vanilla type of contract in electrolytes, so I just want to know the differentiation between additives and electrolytes, are these both different?

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Naresh Patel: So, additives is used to make electrolyte, electrolytes have lot of components and whereas additive is just a one component of the electrolyte.

Jishan Singhi: As you said that you have these additives in-house. So, is this unique product or does this product have some competitive intent?

Naresh Patel: If I correctly understand, you want to ask that we are making an additive which will give us the competitive advantage to make electrolyte, is it correct?

Jishan Singhi: Yes.

Naresh Patel: This is one of the reasons that we got this CDMO because we have in-house electrolyte additives which can be used for making the solution. But these additives are only 3% to 4% of the solution.

So, it is not great impact on the final solution, but the partners have chosen us because of several other parameters in which we fulfill their requirement.

Jishan Singhi: What can be the estimated market size for this electrolyte segment? And what is your addressable size in that?

Naresh Patel: It varies based on the final price, when we entered, it was very big, like around \$1 billion and currently the price of the raw material and of the final product is less, down by 20%. So, it all depends on the current market size. So, it is very difficult to give the exact number and then also application in the area of the country or geography that also depends on the market size.

Jishan Singhi: And what is your addressable or your side in this?

Naresh Patel: We are talking about the capacity. So currently we have 500 tons each and we are going to install more 2,000 tons each. So, this is our addressable market for next two years.

Jishan Singhi: You said, 500 tons each, so what does this mean? Can you please clarify more?

Naresh Patel: There are two products VC and FVC which we have already executed and for that our capacity is 500 metric ton each.

Jishan Singhi: And for these two products, you are doing contract manufacturing?

Naresh Patel: That is different thing.

Jishan Singhi: Revenue or turnover size from this new facility that you have started?

Naresh Patel: It will be somewhere around 3x of the Ankleshwar Unit.

Jishan Singhi: That means three times asset turnover ratio, right?

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Naresh Patel: Yes.

Jishan Singhi: So, three times then if you consider this Rs. 310 crores as an asset, right, so it will be more or less Rs. 900 crores revenue, right?

Naresh Patel: I don't know, sir. You have to calculate that. I can't speak on numbers.

Jishan Singhi: On Baba Fine Chemicals, which you have acquired, is this for specialty chemical segment or

electrolytes?

Naresh Patel: It is a semiconductor. We included it in a specialty, but it is application in a semiconductor industry.

Jishan Singhi: And I would also like to know, like you mentioned 3x for your Ankleshwar facility, then the same applies for the Baba Fine Chemicals as well?

Naresh Patel: No, In Baba Finechem, there is no expansion over there. It is an established business which we are running and there is no capital currently being infused in that company.

Jishan Singhi: Then how much does it contribute to your topline?

Naresh Patel: Currently, it is somewhere around Rs, 40-45 crores and it can be incremental to three times from here.

Moderator: The next question is from the line of Rikin Shah from Omkara Capital. Please go ahead.

Rikin Shah: I just wanted to ask whether in terms of technology, we have mentioned that we have developed 6 more electrolyte additives, so are they new blends for the same salt or are they blends for some other salt?

Naresh Patel: No, these are the new additives, the use depends on the salt and depends on the formulation. So, one maybe bought by someone, second maybe not be bought by the same one. So, it all depends on the formulation recipe. We develop all six which can be either used by one in same application, or by someone in another one. So, this is how it will be.

Moderator: The next question is from the line of Nikhil from Perpetual Capital Advisors. Please go ahead.

Nikhil: Last quarter, you had mentioned that the company was looking to launch a UV absorber product in the Specialty Chemical Business, has that happened and how do we see the ramp up going forward for it?

Naresh Patel: Yes, we had already supplied validation quantity around several metric tons. It will be ramped up from Q1 FY25.

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Nikhil: And any other new products in Specialty Chemicals? I think it is almost two years or maybe three years now that the company has acquired the Specialty Chemical plant. I think the potential was to hit close to Rs. 200-Rs. 250 crores odd topline on an annual basis, when do we see that? Or maybe it is slightly lower now due to the correction in prices?

Naresh Patel: Yes, so price is always a factor to revise the timeline, but v

olume is increasing. So, once we hit

the volume, we are not worried because sooner or later when price ramps up, volume will give us the revenue what we desire.

Nikhil: So, let me put it this way, what is the current capacity utilization in this plant and when do you expect to hit optimum capacity utilization?

Naresh Patel: So currently it will move from 45% to 55%, ramp up has happened in last one year and it will be fully utilized by FY26.

Nikhil: And anything on the timeline of ramp up of the Fermion contract, do we see some part of it at the end of the current fiscal year or do we start seeing that from Q1 and it being ramped up to its full capacity in a year's time?

Naresh Patel: So currently we are in process of qualifying some well decent batches which will be in this quarter and then it will be muted quarter for one or one and half quarter for validation at their end and then it will be gradually ramped up to the end of FY25.

Nikhil: For Rs. 300 crore toll manufacturing opportunity that you spoke about, have you given the timeline?

Naresh Patel: The timeline, it has to be in next year only, FY25, but we are in process of finalizing the term seats and everything. So once that will be done then we will announce on that.

Nikhil: And the plant would take close to 12 months to come up?

Naresh Patel: Yes.

Moderator: The next question is from the line of Akshat Vijay from Hem Securities. Please go ahead.

Akshat Vijay: Have you lost any market share because the reason for the subdued performance is only the pricing pressure right, there is no loss of market share?

Naresh Patel: No.

Akshat Vijay: And for the Ankleshwar facility, you mentioned that one-third of the facility will be dedicated towards the Fermion deal and the remaining 66% will be used for your other Pharma business.

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So, have you already started getting orders for that 66% facility? Are you in talks with some other customers?

Naresh Patel: Yes, we are actively negotiating discussion with other pharma.

Akshat Vijay: But nothing is finalized right now, right?

Naresh Patel: Yes, it will take time. Need to finalize several issues with cost and everything because it is CMO. CMO will take some time.

Akshat Vijay: On the margins, as you mentioned in your previous Concall that you are focusing a lot on the Specialty Chemical segment and now this electrolyte is also coming in and both of them have lower margin than pharma, right? So obviously currently this China thing is going on, pricing pressure is there, but 3-4 years down the line, do you expect that we can ever reach that FY21 EBITDA margin level of 24%, the operating leverage will also have a role here, so what will be the margin guidance or outlook 3-4 years down the line?

Naresh Patel: 3-4 years down the line definitely it will be between 23% and 26%.

Moderator: The next question is from the line of Vishal Agrawal from Leo Capital. Please go ahead.

Vishal Agrawal: On the electrolyte business, it is clear you said that you have a CDMO contract which is for manufacturing a solution which will use your electrolyte additive and that is only for one client and on top of that the electrolyte additive ability that you have that you are able to sell to multiple clients, is that correct? These are two different businesses, but related to electrolytes?

Naresh Patel: Yes.

Vishal Agrawal: And in terms of revenue potential for the CDMO one, how large is the opportunity for the CDMO one?

Naresh Patel: It is very difficult to say right now because it is confidential. We will announce once we sign the term sheet.

Vishal Agrawal: And that as part of the CDMO, you will not be making the entire electrolyte, it will be making the solution which goes into the electrolyte, so what portion of the electrolyte value is the solution?

Naresh Patel: No solution is an electrolyte.

Vishal Agrawal: The solution is

an electrolyte, so as part of the CDMO, you will be making the final electrolyte of which additive is one component, but the rest of the recipes will come from your partner so to say?

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Naresh Patel: Yes, they will supply us for themselves.

Vishal Agrawal: And in that kind of a business, what sort of a margin profile would you expect? Would it be in line with your API business?

Naresh Patel: No, it is a CMO. So, there we have to see, how much operating leverage we will get based on that the margin will be decided. So that is yet to be announced because these all depends on the recipes, quantities and energy. So, it is very difficult right now to announce about the margin of CMO and this is a Specialty Chemical CMO, it is not like pharma. So, it is a different way.

Vishal Agrawal: So, you would expect a lower margin than the pharma CMO?

Naresh Patel: Pharma CMO is the top one always. You cannot compare pharma with the Specialty CMO.

Vishal Agrawal: And so that I understand it right, you are saying that this electrolyte solution that will be under CMO and that obviously will be proprietary to that one client, so you cannot sell it to anyone else. I am assuming you cannot use that ability to create electrolytes and market it generally.

What can you sell generally is only the additives which you are making yourself?

Naresh Patel: At Ami Organics' we do not compete our customer, so we strictly follow this rule. So, we do CMO for our client, we never sell that product to anybody else.

Vishal Agrawal: But you see enough revenue potential to grow with that client itself, there is a lot of market opportunity just there?

Naresh Patel: Yes.

Vishal Agrawal: And just coming back to your API business in Pharma, there you have two parts, one is with innovators and the other is generics. For both of these, what is the competitive advantage that we have, are we exclusive with our clients or I know you have mentioned earlier also that Chinese players are not competition for us, but then who is competition and how does, what happens in China impact us in terms of long-term margin profile for this business?

Naresh Patel: There are competitors from other generic intermediate manufacturer based in India or maybe Europe or maybe client himself. So, it all depends on where we are selling, say for example, regulated market with the originator, they themselves are one of the approved manufacturers.

And for generic business, there are Indian small manufacturers, also some big manufacturers also are competitors, so all depends on the product to product and application and geography.

Vishal Agrawal: And you are saying, there may be other API manufacturers also listed in the DMF other than you yourself and they are competition, they are not Chinese guys necessarily but they are competition?

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Naresh Patel: Yes, they are directly competing to our client if they have a DMF themselves with the file in the same application.

Vishal Agrawal: You are saying the Chinese guys essentially compete with your end client because they may be manufacturing the end product which your client is making. So that puts pressure on the pricing for your end clients and indirectly puts pressure on you. Is that correct?

Naresh Patel: Yes, nowadays Chinese EP's and DMF filing is incremental. So that creates a little bit pressure on our client in the final application.

Vishal Agrawal: And just lastly for the electrolyte opportunity, the CDMO one that you spoke about, is that a very CAPEX intensive business or it is more about process efficiency and there is not much CAPEX involved? The reason I ask that is as you scale up that CDMO business, is it like it will have a lot of lead time for you to identify location and do the CAPEX or it can be scaled up very quickly?

Naresh Patel: CAPEX intensive businesses t

his is, but it is a long-term secure business.

Vishal Agrawal: And it would take several years to ramp up because you would have to do the CAPEX and so on.

Naresh Patel: Yes, it will take a normal timeline to ramp up any business, the standard timeline, the same will be applied to this as well.

Vishal Agrawal: Any sense on the timeline? Like how much time would it take?

Naresh Patel: I can't say on that right now.

Moderator: The next question is from the line of Aayush Rathi from IDBI capital. Please go ahead.

Aayush Rathi: I had only two basic questions. First, on the finance cost, in this quarter, we have a finance cost of Rs. 25 million, so for modeling purposes for the next quarter also, we will have the same finance cost?

Bhavin Shah: Yes. So it will be on the same line, little higher than this because as we are doing additional CAPEX, so there will be borrowing on the books, and it will be little on the higher side.

Aayush Rathi: So as in your opening remarks, you mentioned Rs. 119 crores debt has been taken for the Ankleshwar facility, so what kind of debt to equity are we looking at on an overall basis?

Bhavin Shah: It would be around 37% equity and rest would be debt.

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Aayush Rathi: On the strategy side. So, you mentioned that on the electrolyte part of businesses, about one customer who we are making solutions for. So, in the long run, are we planning to also be doing the business of electrolytes or like completely focus our business electrolyte additives, so what remains our focus?

Naresh Patel: No, we completely focus on our electrolyte additive business only. This is an additional opportunity, which is the CDMO. This has nothing to do with our original planning of additives.

Aayush Rathi: So, we plan to stay in the additive business more and focused more over here?

Naresh Patel: Yes.

Moderator: The next question is from the line of Piyush Jain, an Individual Investor. Please go ahead.

Piyush Jain: When will we start booking the sales from electrolyte? or maybe your contract with Fermion?

Naresh Patel: Our contract with Fermion is already in this quarter, we are doing validation batches for them, so that will be commenced from this quarter and for electrolyte additives we got an order, and we started production for that as well. And for electrolyte it is still premature. We are finalizing so many things, then we would put up the plant and it will take longer time for electrolyte CDM.

Piyush Jain: Is the Baba Fine Chemicals number included in this quarter's revenue?

Bhavin Shah: Yes, in consolidation, Baba Finechem is included.

Piyush Jain: So just to understand, earlier Concall we have said Baba Fine is around 40% type of EBITDA margin business, so is our EBITDA able to hold because of the Baba Fine contribution or Baba Fine contribution is not too much that can change the margin profile here?

Bhavin Shah: We need to understand every business has a different growth pattern. So, electrolyte has a different margin, semiconductor and Specialty Chemical has a different margin.

Abhishek Patel: On top of that, the consolidation of Baba business was done in Q2 FY24 also. So, it is not only in this quarter. It has been for full year. So, it was there in last quarter as well.

Piyush Jain: The Rs. 300 crores CAPEX which we have said, so when we will start deploying this CAPEX?

Naresh Patel: So Rs. 300 crores CAPEX for electrolyte will take some time whereas for Ankleshwar is already ongoing which will be finished very soon for this upgradation of the new facility.

Piyush Jain: Any internal target to achieve Rs. 1,000 crore revenue by let us say 2 years, 3 years, not asking for guidance or number, but you might be having some target because you are doing so many

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contracts, Fermion, electrolytes, so many things going ongoing, any thought proce

ss that by

when we will be able to achieve Rs. 1,000 crores number?

Naresh Patel: FY2025-26 midway.

Moderator: The next question is from the line of Dinesh from Kriti Creation. Please go ahead.

Dinesh: This electrolyte additive is required in green hydrogen as well, so is there any plan to make that too?

Naresh Patel: No sir, actually electrolyte is a name given in a way, so for every process electrolyte is done. We don't make anything for hydrogen.

Dinesh: So, our work will be only with the additive related to the lithium and battery cell?

Naresh Patel: Yes.

Moderator: The next question is from the line of Krishna Kumar, an Individual Investor. Please go ahead.

Krishna Kumar: Regarding the Baba Fine Chemicals, you said that right now the Rs. 42 crores of annual revenue, so you wanted to take it to Rs.200 crores, so when can we expect that Rs. 200 crores potential revenue in which year?

Naresh Patel: No, it is not like that. See, when we acquired it, it was Rs. 42 – 45 crores last year and then this year is the consolidation year where we are integrating it, changing the name of the company and then approval from the customer end. So, this year will be either muted or a little bit lower because, semiconductor industry is a very different industry than the other industry where approval and qualification from end-to-end customer is needed. So that procedure is going on. And then in 2-3 years it will be ramped up to the topline of what we say.

Krishna Kumar: Recently we saw the announcement of Micron Semiconductor in Gujarat for the new manufacturing facility, are we doing any supplying to this company?

Naresh Patel: Micron might be a consumer of our end supplier. So maybe we cannot say this because it is a very closely held business community in semiconductor. So, we are supplying to someone who might be supplying to them.

Krishna Kumar: Side promoter selling, I think he was a key investor, but recently he sold some of his stake. So, can we expect the remaining selling in 2-3 quarters, or he is going to continue, Mr. Girish Kumar Chovatia?

Naresh Patel: No, he is not a promoter. He was a partner during the inception of the company and then he qualified as a promoter and he is not going to sell anything in next 3 quarters which is what he
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has said, I cannot stop anyone, I cannot stop you to buy or to sell. So, on behalf of any stakeholder, I cannot commit anything on that.

Krishna Kumar: Because in one of your interview videos, you said that if he intends to sell anything, he will inform you before that. So, do you have any intent to buy some more from him?

Naresh Patel: No. On a good note, he says that if he has to sell, he will inform me if I have to buy first and then he can sell to open market. And last time when he sold this 13%, I purchased 1% from him.

So, he offered me in last sale, I myself purchased 1% from him, so it is good, I am believing in my company, and I increase my stake in that way.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take that as a last question. I would now like to hand the conference over to the management for closing comments. Over to you, Sir.

Naresh Patel: Thank you Ambit team for hosting our conference call. Thank you everyone for your patience and we hope we have been able to answer most of your queries. If we have missed out on any of your questions, kindly reach out to our IR advisory E&Y and we will get back to you offline. Thank you very much and have a nice evening.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

(This document was edited for readability purpose)

Call: Feb 2023

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CIN No. : L24100GJ2007PLC051093

Registered Office :- Plot No. 440/4, 5 & 6, Road No. 82/A, G.I.D.C. Sachin, Surat - 394230, Dist. Surat, Gujarat, India.

February 10, 2023

To, To,

The Corporate Relations Department, The Listing Department
BSE LIMITED, National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,
Dalal Street, Fort G-Block, Bandra Kurla Complex,
Mumbai- 400 001 Mumbai -400051

Scrip Code : 543349 NSE Symbol : AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q3 FY23 financial results held on February 04, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on February 04, 2023 post announcement of financial results for the third quarter & nine months ended December 31, 2022.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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EKTA KUMARI SRIVASTAVA Date: 2023.02.10 11:19:02 +05'30'

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"Ami Organics Limited Q3 Earnings Conference Call"

February 4, 2023

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR, AMI ORGANICS LIMITED

MR. BHAVIN SHAH – CHIEF FINANCIAL OFFICER, AMI
ORGANICS LIMITED

MODERATOR : MR. TARUN SHETTY – PHARMA ANALYST, HAITONG
SECURITIES

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Moderator : Ladies and gentlemen, good day and welcome to the Haitong Meet the Company Q3 FY23 Earnings Call of Ami Organics Limited hosted by Haitong Securities. As a reminder, all participant lines will be in the listen only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference

call, please signal an operator by pressing “*” then “0” on your touchtone phone. I now hand the conference over to Mr. Tarun Shetty - Pharma Analyst from Haitong Securities. Thank you and over to you.

Tarun Shetty : Thank you. Good evening, everyone, and welcome to Ami Organics Q3 FY23 Business Conference Call. We, at Haitong, would like to thank the management for giving us the opportunity to host this call.

Today, from the management side, we have Mr. Naresh Patel – Chairman and Managing Director; Mr. Bhavin Shah – CFO of Ami Organics.

I would now hand the call over to Mr. Bhavin Shah for the opening remarks. Thank you, and over to you, sir.

Bhavin Shah : Thank you, Tarun. Good evening, and Happy New Year everyone. We are pleased to welcome you all to our earnings conference call to discuss Q3 FY23 Financial.

Please note that a copy of our disclosure is available on investor section of our website, as well as on the stock exchanges. Please do note that anything said on this call which reflects our outlook towards the future or which could be construed as a forward-looking statement, must be reviewed in conjunction with the risks that the Company faces. This conference call is being recorded and the transcript along with the audio of the same will be made available on the website of the Company and exchanges. Please also note that the audio of the conference call is the copyright material of Ami Organics and cannot be copied, rebroadcasted or attributed in the press or media without specific and written consent of the Company.

With that, I would like to hand over the floor to our Chairman and Managing Director, Mr. Naresh Patel, for his opening statement. Over to you, sir.

Naresh Patel: Thank you, Bhavin. Good evening, everyone. Welcome to our Q3 FY23 Earnings Conference Call. I would like to wish you a very Happy New Year.

Before we dive into numbers, let me take a moment to comment on the global market and its implications on the industry in general:

Towards the end of 2022, while global supply chain issues rationalized to some extent, the demand environment was impacted by inflation and resulted in mild slowdown. As we enter 2023, inflation seems to be easing across the world and gas prices have fallen to pre-war levels. The situation in China also appears to be improving with no spurt in COVID cases post the Lunar
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holidays. That said, even as these things are improving, we need to keep a close watch on each of them. Coming to the industry, demand for pharmaceutical continue to be soft during the start of Q3 FY23, but peaks in the second half of the quarter. We expect the demand to gradually improve in the current quarter.

On that note, let us move towards the performance highlights of Ami Organics:

The Company continues its growth momentum and margin expansion path. During the quarter, our top line grew by 8% year-on-year. The slower growth was primarily due to the deferred shipments of certain goods. If you adjust them, we would have grown by 15% during the quarter. Coming to the business segment:

The pharmaceutical intermediate business continues to deliver strong performance during the quarter driven by exports, whereas the Speciality chemicals business was subdued during the quarter due to lower sales of top product.

Moving on to business updates:

I'm pleased to inform you that during the quarter, we signed a multi-year, multi-ton, multi-million-euro contract with Fermion for one of their

patented products. You may recall that during one of the previous calls, there was a lot of chatter on shifting APIs from Europe to India. Even during that time, I had mentioned that shifting of API to India is challenging, but what is happening is that European companies are reducing the stages of production and looking to outsource higher level intermediates from India. This contract is on the similar lines and demonstrates our marketing and technical finesse of capturing and converting the opportunity in a very short span of time.

Coming to the import substitute products:

Our 2 already commercial products continue to show strong traction in the market whereas other two products developed this year have received trial orders. We have one more product to be commercialized in this segment along with a healthy product pipeline for the future.

Lastly, electrolyte additives:

So, far, we have sent our electrolytes additives to nine customers and one of them has already asked for the trial order, which validates our products quality and stability. Let me explain what I mean by product quality and stability. The product quality, purity and stability are imperative and undergo various steps of sampling a validation. As very minute deviation can also affect the overall electrolyte solution and thus impacting the battery performance and may create safety

issues, therefore, the gestation period to commercialize this product is fairly long, and I believe
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we are at the tail end of this period. I'm confident to receiving commercial orders for these products in FY24. The products are sampling in China, Korea, Europe and India.

Now, let me discuss our efforts on the Speciality chemical business:

On the product side, you might recall I had mentioned during our previous call that our Jhagadia facility acquired from Gujarat Organic was using furnace oil as a fuel and we plan to change it to coal. This project has started and it will help us to boost our margins. Second, we have converted methyl salicylate to the flow technology and have also installed flow reactors during Q3 FY23. This will give us a competitive edge in global markets. Third, we are also striving towards becoming more competitive in paraben and I will update you on the same once we complete the project.

Now on the demand side:

During quarter 4, the overall business we added 39 new customers. Out of these 39, the majority of the customers have been added on the Speciality chemical side of the business. These are all new customers and we expect the volume to ramp up from them in coming quarters. There are many smaller initiatives we have undertaken to ramp up the Speciality chemical business. So, as all these levers starts to align themselves, I'm confident of driving strong growth with sustainable margins in the Speciality chemicals business in the coming financial year.

Before I conclude, I would like to mention that we are working on several new products and projects on pharma as well as Speciality chemical side, and we will update you as we approach certain milestones. Also, we will witness billions of dollars patented products going off patent in this year as well as the coming years. And it will create an immense opportunity for the advanced pharmaceutical intermediate business. We already have many of these products in our product basket and we will see them growing as the patent expiry come closer.

To conclude:

I'm confident of delivering stronger growth in the coming quarter and for the financial year 2023. We are working hard to achieve our target of 25% growth and I'm hopeful of achieving the same. With that, I request our CFO – Mr. Bhavin Shah, to discuss the financials with you. Over to you, Bhavin.

Bhavin Shah : Thank you, Naresh bhai. Good evening, everyone. I would like to briefly touch upon the key performance highlights for the quarter ended 31st December 20

22, and then we will open the floor for question and answers.

I will begin with quarterly updates:

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Revenue from operation for the quarter was at Rs. 152 crore, up 7.9% as compared to Rs. 141 crore in Q3 FY22. The gross profit for the quarter was Rs. 70 crore, which was flat on YoY as well as sequential basis. The gross margin for the quarter was 46%. The lower gross margin was due to high cost of inventory and change in product mix.

EBITDA for the quarter was at Rs. 30.8 crore, up 2.9% as compared to Rs. 29.9 crore in Q3 FY22. On a sequential basis, EBITDA for the quarter increased by 9.5%. EBITDA margin for the quarter were at 20.2% compared to 21.2% in Q3 FY22 and 19.1% in Q2 FY23. We continue to improve EBITDA margin on a sequential basis. EBITDA margin in Q1 were at 18.1% and we have been successful in gradually improving our EBITDA margin to 20.2%, an expansion of 210 basis points. I believe we will see the improvement in EBITDA margin in Q4 as well, driven by lower freight utility cost and impact of cost optimization programs.

Now dissecting margins further: I'm happy to report that EBITDA margins for the pharma business has crossed 22% mark in the current quarter, but our margins on the Speciality chemical side were flat at around 10%.

PAT for the quarter was at Rs. 22.3 crore, up 14.4% on a YoY basis and 17% on a sequential basis. The PAT margins for the quarter were at 14.6% as compared to 13.8% in Q3 FY22 and 13% in Q2 FY23.

Export for the quarter was at 66%, whereas domestic business was at 34%.

With this, I conclude my remarks, and request the moderator to open the floor for a question-and answer session. Thank you.

Moderator : Thank you very much. We will now begin the question-and-answer session. We have a first question from the line of Padma Raju Mathi from SBI Life Insurance. Please go ahead.

Padma Raju Mathi : Sir, my first question is related to our segments classification. Till Q1 of this financial year, we used to classify it under 3 segments, pharma, Speciality Chemicals and others. In the last quarter,

we started classifying other segments in pharma. Now, when I see, this quarter looks like the other is being classified under Spec Chem. So, from here on we are going to classify other segments in the Spec Chem or the pharma?

Bhavin Shah : Sir, we have now broadly 2 segments only, Pharma and Spec Chem. So, the product which fall under pharma and supplied to pharma as advanced pharma intermediate will classify it under pharma intermediates and product which is coming as a Speciality will go into Speciality. So, we clearly have 2 segments only.

Padma Raju Mathi : Sir, the reason why I was asking is when I look at our first half reported number in the presentation and if I add up this segmental number in Q3, it's not matching to the 9 months reported numbers segment wise. So, that's the reason I asked. Anyway, I will take this offline.

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So, my second question is related to the deferment order which you mentioned. So, how should I understand this? Is it like whatever the volume offtake that was supposed to happen this quarter that is going to happen in the next quarter, it's because of some logistic issues or can you specify some color on this?

Naresh Patel: So, what happened that because we are in chemical supplying to the API manufacturers and they are having several intermediates coming from several vendors. So, what happened that some of the intermediates which they have supposed to come from China did not come in time. So, their year ending was there. So, they don't want to keep an inventory on a higher side. So, that's how they ask us to defer the shipment by 10 days, 20 days so that they can be able to get the product in time from China and they can start the production.

Padma Raju Mathi : Sir, my last question is on our gross margin side. B

asically, is it fair to understand large part of

the high-cost inventory is liquidated in Q3 and things should get normalized from Q4?

Bhavin Shah : Yes. So, most probably, high-cost inventory has been consumed. The last leg will be there in Q4. Q1 '24 will be the clean quarter and so the impact in Q4 will be very minimal on this account.

Padma Raju Mathi : But is it fair to assume that my Spec Chem utilizations have come down sequentially?

Naresh Patel: Not come down. Actually, as we are transforming ourselves from production from some batch and operational improvement to the continuous as well as some other improvement in the production side, so that happening and then also the Speciality chemical side is highly competitive market. So, there, you have to be very, very precise in terms of costing as well as supply chain and everything. So, that is where we are working all around. And also, that is the reason why we had 39 new customers, which we added in Speciality. We opened a new window for these Speciality chemicals. So, due to these efforts, this quarter and next quarter will be much more advantageous for us to improve our Speciality segment as well.

Moderator : We have a next question from the line of Sudarshan Padmanabhan from JM Financial PMS.

Please go ahead.

Sudarshan Padmanabhan : Sir, my first question is to understand a little bit more about this, fermion contract, a long-term contract. We're really pleased to know that it's for a patented product and it's a multi-year, multi-ton product. But just to understand from here, I mean, the kind of run rate that we are running at and I'm not talking about say fourth quarter or the next quarter, this contract coming in, I mean, what is the kind of run rate that we should look at say in FY24 and beyond?

Naresh Patel: This contract, the numbers I can't say because the counterparty is also a listed Company. So, we both are bound with several bindings. So, the thing is that this is a very brand-new launch product and having exclusivity with them for the next 10 years. So, 10 years, they will remain as a sole supplier in the world. And the demand is increasing every gradually very exponentially I can say for 30%, 40%, 50% kind of things, and they want to expand their production capacity as well.

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And that is the reason why they signed a contract with Ami Organics for long-term supply. And these will be gradual. So, this year will be the year for validations and qualifications and regulations site master file DMF changing year. So, for them this year is a financial year '23. So, from Q4 2024, it will be for us starting our commercial demand. And then gradually, it will be increased and it will mature by 25 on a top line.

Sudarshan Padmanabhan : And I would assume that because of our scale this should be fairly meaningful, I mean, if I'm looking at it from a J curve perspective?

Naresh Patel: Yes, it will be a very meaningful association with them.

Sudarshan Padmanabhan : And coming on to the chemical side, I mean, this flow chemistry that is largely done and that should basically start probably by the fourth quarter, this methyl salicylate, I mean just trying to understand given that there is going to be a huge jump in volume, I mean when do we see the actual numbers kicking in because this year the capacity is underutilized and this high fixed cost

can easily be absorbed by just the scale of this one product for the next few quarters?

Naresh Patel: You rightly said that if it will be scaled up, much more operational viability is there and that is where we are working. And so to increase the scale up, we did introduce the flow reactors and also that we can enhance our capability, production capacity with the minimal operational expenses. And that is where we are now finishing everything, samples went to every vendors and we will see that in the next 2 to 3 quarters, it will be

ramped up gradually 2% to 3% in terms of EBITDA and everything.

Sudarshan Padmanabhan : And 1 final question from my side is on the electrolyte part. I mean we have supplied samples to 9 customers and one person has started. So, I mean how do we see this business because I mean when we look at electrolyte opportunity as such, I mean it is niche but it's growing substantially. And also, on the LIPF side, I mean, I would understand that here again, the demand eventually would be outstripping supply and we should be in a stronger state. So, on the scale up part, I mean, what are the timelines over here? And how do we see in the next 2 to 3 years this portion of the business scaling up, both in sales and profitably?

Naresh Patel: Thank you, sir. First of all, always I'm saying that our projections and our plannings are excluding electrolytes. So, electrolyte whenever it is maturing it is added into the our top line and everything. So, we were in a phase of almost ending in the qualification area and as per our customers comment, it will be commercialized by Q1 or Q2 of FY24.

Sudarshan Padmanabhan : And would it be meaningful or it will be gradual?

Naresh Patel: It will be gradual definitely. Customer will also not immediately transfer all weightage from China to India. But when it will mature, it for us is a very sizable business in terms of revenue and all and that's why the capacity rampation is also we are planning in such a way that when the full demand will come, we will be ready for that as well.

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Moderator : We have our next question from the line of Chirag Lodaya from Valuequest. Please go ahead.

Chirag Lodaya : Sir, first on overall top line, I just wanted to understand given the deferment we have seen in this quarter and we are seeing positive momentum in Spec Chem side, what kind of growth one should expect in FY23 and FY24.

Naresh Patel: See FY23, as we say is that we are expecting and we are trying for the CAGR 25%. And that is where we are right now in line with that. The only thing is that everything goes well, there is no issues in that because we have a very good order book also in our hand. In FY24, similarly, we will remain in expectation of CAGR of 25%. Because forward contracts what we had done that will be helping us in pharma, will helping us to boost the business and as well as some originators who were not buying from us some of our products, they had also started buying from us. So, that will be adding more revenue in that. So, our budget and everything is planned in such a way '24 will also remain as CAGR 25.

Chirag Lodaya : Sir, just one more clarification here. For 25% growth the ask rate for Q4 is pretty high. Will you be able to deliver that kind of growth? It could be almost upwards of 45%.

Naresh Patel: See, the current pharmaceutical situation is sluggish, but the thing is that some contracts which we signed this year in Q3 will definitely help us to grow in revenue side. The 24%, 25% is what we can see right now because we already got some committed demand from several intermediates in several APIs for the originators.

Chirag Lodaya : And in terms of profitability, you mentioned 2%, 3% kind of Q-o-Q improvement we can see on Spec Chem side and pharma intermediate, in this quarter you have already done 22% margins. Coming to FY24, what kind of margins one should expect in API intermediate business, I mean pharma intermediate business?

Bhavin Shah : So, Chirag, as we have mentioned in earlier call also, that FY21 was best year for us. We have achieved around 23%, 24% kind of margin in pharma. So, our first endeavor is to reach there. With regard to Spec Chem, we are gradually improving and our effort would be to improve by 1%, 1.5% every quarter. So, this is what we are trying to look at for '23- '24 for pharma.

Chirag Lodaya : That's quite encouraging. And just lastly on the overall working c

apital situation, if you can help

us understand what would be the working capital days at the end of the quarter?

Bhavin Shah : 123 days currently.

Naresh Patel: It is improved by 13 days.

Chirag Lodaya : And what to expect in coming next 3 to 6 months?

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Bhavin Shah : So, our aim is to bring it to 100 days. So, that will be the aim. And again, in next 1 year, it should

be between 90 to 100 days. So, the base will be 90. That is our target to bring there.

Moderator : We have our next question from the line of Kumar Saumya from Ambit Capital. Please go ahead.

Kumar Saumya : Sir, my question is on the other expense side. We have seen 9% Q-on-Q in other expense. And in the notes we found you have mentioned that there is Rs. 27 million one-time shortfall fees for the insurance gain. Could you please throw some light on that.

Naresh Patel: So, in 2021, we had some small stock fire and that we had claimed in the insurance and that we received claim on that and shortfall of Rs. 245 lakhs or something like that. So, that will be in other expenses like that which we have booked as expenses.

Bhavin Shah : This is recognized in the third quarter.

Naresh Patel: Because we received the claim in the third quarter. It happened in February 2021.

Kumar Saumya : Sir, on the financial expenses, the interest costs that we have recorded this quarter, so there is substantial increase Q-on-Q.

Bhavin Shah : So, here we have arbitrage of getting finance at a lower rate and we have kept investment at a higher rate. We are getting EPC at a lower rate. So, we have utilized that. And so consequently, my other income was also on the higher side against that.

Moderator : We have a next question from the line of Kevin Gandhi from CapGrow Capital Advisors. Please go ahead.

Kevin Gandhi : Sir, I was not able to understand the deferred shipment part. If you can please explain again. So, that was my first question. And the second question is that the EBITDA margin on the Spec Chem segment, that is quite reduced based on the Q-o-Q. So, like what is the exact reason for that? So, yes, 2 questions.

Naresh Patel: Deferred in the sense that the shipment which is planned in December is deferred by 10-15 days.

So, it will be going in January. So, that is how it is a deferred shipment from us. So, that's why the sales is not booked in Q3, which will be happening in Q4. Whereas in Spec Chem margin it is stable and it is flat in Q2 and Q3. In fact, we improved our margin as we announced that quarter-on-quarter we improved our EBITDA margin and that is you can see also from the result, Q1 was 18%, Q2 was 19% and Q3 was 20.2%, And this has continued as I say that every quarter, it will improve 1%, 1.5% in EBITDA margin and will go up to our '21 EBITDA margin. And then onwards we will start because during that period our Spec Chem has also now started contributing into the margin. And then later on it will go beyond that.

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Kevin Gandhi : And sir, like, how should be the impact of the flow chemistry assessed, like how much yield will be increased? And if each and every molecule of the Spec Chem is transferred to the flow chemistry, what shall be the exact financial impact if you can give some color on that?

Naresh Patel: See, yield improvement and all is like confidential matter, but definitely continuous production will help you in terms of operational efficiency as well as in terms of better-quality effluent generation, better safety. So, these are all included in that and that will help us to make our margins better because you have to spend all this area for handling this kind of waste or everything. So, that will help in your margin. So, that is how flow chemistry will help you. And in terms of volume, batch to batch you have to have a downtime which can be avoided in flow reactors and that will give you larg

er production in a shorter time.

Moderator : We have a next question from the line of Vishal Prasad from VP Capital. Please go ahead.

Vishal Prasad: Sir, in the past, we have talked about our partnership with a firm who is helping us with opportunities in electrolyte additives. Could you talk about what is the kind of relationship that we have with that firm and what other things are they trying to help us with?

Naresh Patel: The firm is based in Israel and that called ARZ, and they are our marketing partner worldwide. So, our job is to make it and their job is to sell the product worldwide. And it is on a commission basis and revenue will be direct invoicing by Ami to the customer. So, it is an association between both of us. They will exclusively supply or represent Ami Organics worldwide.

Vishal Prasad : So, actually, in the area of electrolytes or is there something else that we are working with them?

Naresh Patel : No, only in electrolytes worldwide, whereas they are our partner since last 14 years in Israel.

Vishal Prasad : When you say 14 years, it means we have been making these electrolyte additives in the past as well, is it?

Naresh Patel : No, my answer is confusing for you, and I apologize for that. So, ARZ is based in Israel. They are the commission agent for us for pharmaceutical supply in Israel like Inteva, Taro, Wavelength, and some other small share on medicine and all. So, there they are represent Ami Organics for our pharma sales. And because we have a long-term relation and ARZ has offices in China, in Europe and in Israel, so they figure it out, they find out this opportunity and they came to us, if we can grab it or not. And we grabbed it in time and then we supply to ARZ's network in China and then later on with ARZ network in Europe and in Korea. So, this is how we make a separate agreement for our electrolyte in 2022, where they are our exclusive electrolyte marketing partner worldwide.

Vishal Prasad : Got it. So, what I find, sir, we have a very strong R&D organization it seems, I mean we've got in pharma and Speciality chemical, and then this opportunity came to us. And we were able to come up with a product. So, if you could help us understand our R&D organization, what kind
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of people we have, what kind of incentives they get. And in future, what kind of people we are going to recruit, which will help us grow in other areas, would be great.

Naresh Patel : See, basically, Ami Organics right from beginning always says that we are a chemistry-driven Company and our foundation was made on R&D only. And we are saying that whatever the chemistry we are strongly holding, the application of that chemistry either in pharmaceutical or in agro or in electrolyte or electronic chemical or in cosmetics or in pigments, so these are the applications of our chemistry. So, we have a very strong R&D base and the R&D center is having 130 people working inside. They are all PhDs, they are master of science, they are bachelor of science, they are BTech, they are people from the process engineering, they are people from the analytical doctorate. So, these are the people who are handling the projects. We are having a team distributed very well. The people working on new chemical entity intermediates, people working on generic products, people working on spot basis demand, people working on Speciality chemicals and also our team working for converting the batch processing and batch chemistries into the flow chemistries. So, these are a bundle of people who are continuously working. We are adding numbers in the R&D as well. And we are recruiting time to time people from big pharma and big chemical companies, people from Teva, people from Glenmark, people from Macloeds, people from Dr. Reddy's, Mylan. So, these are the people who joined us and they are happy with us in terms of liberty and the democr

acy we have given to them that will

help them to think themselves and come up with a non-infringing innovative route of synthesis, which make us to file new patents and new route of synthesis to avoid any conflict in terms of IP and all.

Vishal Prasad : So, these electrolytes, I mean, in the past, you have mentioned that by 2028, the worldwide market would be closer to \$2 billion, and we would like to capture at least 10% of that. So, if we talk 2023, so right now, I mean, what would be the market size of these 2 electrolytes that we have?

Naresh Patel : Based on the reports on what we have and the market intel, it will be \$1.2 billion somewhere around.

Vishal Prasad : So, from \$1.2 billion to \$2 billion, so additional \$800 million, we would like to capture 25% of that \$200 million.

Naresh Patel : Yes.

Vishal Prasad : And last question, sir. I mean there are very few organizations in India who are working on continuous flow reactors and we are one of them. So, I mean, could you help me understand what kind of benefits we as an organization are trying to get out of that continuous flow process. And going forward, I mean, is it very difficult to get in this area or any Company based out of India can get into it if they invest time and money?

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Naresh Patel : It's like a flow reactor is nothing but a small reactor against your big batch reactor. So, you are just making your reaction in such a way that microgram or milligram or a gram level, you are making the same reactions what we are doing at large scale. So, in a batch reactor, you would dump everything and then you wait for complete cooking, whereas here, you just have a pushing the reactant, which is already reactive, push them out from the reactor and continuously new raw material get inside and they cook it and then they go out. So, it's like pushing kind of things where you make the product on a spot and then you go out from the reactor. It is a completely engineering and technology-driven sector, where you need to have a thorough knowledge of the reaction kinetics, chemical reaction kinetics and some other thermodynamics and other parameters. And based on that, you can develop in a lab and then from scaling up from lab to the pilot and pilot to plant.

Vishal Prasad : And one last question, sir. So, what kind of CAPEX we would be looking at once we decide to ramp up to electrolytes?

Naresh Patel : That is still yet not finalized because currently, we are good to go with our current capacity, and we are waiting for the green signal from our major buyer. And once they will give us some time for meanwhile, we can get continuously from our existing capacity and then we will put. We already acquired a land for that. Now we are just waiting for the green signal and then we will put up. It's our own technology and our design of the process and all. So, that will be easy for us to scale up and put up a plant as quick as possible.

Moderator : We have our next question from the line of Hardick Bora from Union Mutual Fund. Please go ahead.

Hardick Bora : Naresh, congratulations on this deal with Fermion, I wanted to understand that we had given this Rs. 190 crores of capital expenditure guidance for 2 years. Does that take care of our capability to serve in this particular contract? Or will we have to do some more capacity expansion?

Naresh Patel : No. This will definitely cater this contract. So, this contract is from our new capacity, which we are building in Ankleshwar, but currently, it will be supported by our unit 1 in Surat. Later on, it will be transferred to our Ankleshwar facility.

Hardick Bora : And in terms of not asking on margins for this contract, but we've historically made return on equity, return on capital employed of about 25%. That will not get diluted while in this contract. Those economics will continue for us.

Naresh Patel : Yes.

Hardick Bora : Naresh, ju

st one more question on the revenue, how it has come so far in these 9 months, even if I take into account the deferred revenue of 15 days, we would have probably grown in the 9 months at about 16% as opposed to 15% reported. So, I think we've been talking about the possibility of growing by 23%, 25% year-on-year, which would have meant Rs. 620 crore of
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revenue for the full year. It seems that we will miss that. So, just in retrospect, can you tell us what has probably not gone right, what needs to be right for us to continue growing at this pace going forward? Just your opinion on that?

Naresh Patel : What done not right is not there. But yes, what we need to do that we had done it. We have done it in terms of product development, qualification at the end of the customers waiting for the orders, long-term contracts with them, supply contracts with them. Only thing is that because we are in a chemical side and there are several chemical used for the API. If some of the API manufacturer didn't get the other product in time, that will be the differing in the supply. Otherwise, we have a long visibility, long discussions with the customers and that will be helping us for our projections. And that is what we are reflecting in our numbers also. You can see similarly; we will continue like that.

Moderator : We have our next question from the line of Reena Shah from Elara Capital. Please go ahead.

Reena Shah : I wanted to know what is your utilization in pharma and Spec Chem for this current quarter?

Naresh Patel : For pharma, it will be somewhere around between 60 to 64 whereas in Speciality it will be 35 to 40 in between that.

Reena Shah : Sir, this utilization seems to have remained similar for quite a long period of time. So, just wanted to understand what is it restricting your utilization to be in the similar range? And when can we see a meaningful increase in this?

Naresh Patel : See, if I continue with the batch processes, my utilization will go up, but I had transferred several processes from batch to continuous. So, this has given us a leverage of releasing 6% to 7% of the utilization. So, that is the reason why you are seeing this flat line, but it is not a flat line. If we don't have a flow reactor, it will go to 72 in pharma, and it will be 40, 45 in Speciality.

Reena Shah : And sir, you have talked about improvement in paraben margins you are looking at. So, can you just give us some thought on how this can be done? And what is the road ahead for this?

Naresh Patel : Ma'am, this is slightly confidential because if I disclose this my competitors will also start doing like that.

Reena Shah : And what is your CAPEX done so far? And what is your FY23 target and FY24 target CAPEX?

Naresh Patel : Bhavin will give the answer.

Bhavin Shah : So, CAPEX done so far is Rs. 62 crore. For FY24, we will have another CAPEX of, say, Rs. 200 crore.

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Reena Shah : So, how this funding will be, this Rs. 200 crore is on a higher side. Rs. 200 crore, can you give some bifurcation on this CAPEX?

Naresh Patel : So, '23, '24 cumulatively is Rs. 200 crore. And out of that, each year will be Rs. 100 crore and that mainly internal accruals as well as from IPO fund and rest will be from the debt if needed.

Reena Shah : Sir, do you have any target debt to equity ratio in your mind?

Naresh Patel : For the time being, we are very conservative on debt. So, we are still not in a process of getting the debt. But if required, then we can go for it.

Moderator : We have a question from the line of Gagan Thareja from ASK Investment Managers. Please go ahead.

Gagan Thareja : Sir, the first question is, I mean, it's more a clarification than a question. When you say you maintain 25% sales growth guidance, are you talking for the full year of FY'23? Or are you

talking about quarter 4 of FY'23?

Naresh P

atel : Full year of FY23. Quarter 4, if I do 25%, then it will not be 25% for full year.

Gagan Thareja : So, I mean, as one previous participant asked, to be able to do 25% for the full year, fourth quarter will have to be very strong at more than 40%.

Naresh Patel : Very strong.

Gagan Thareja : There is some slippage, which will benefit you because you indicated there is a deferment of sales from Q3 to Q4. But even adjusted for that, you will require north of 35-odd percent sort of a growth.

Naresh Patel : Sorry to interrupt you here, but if you see in my past commentary also, our business is like Q1 is lower than Q2, Q2 is lower than Q3, and Q3 is lower than Q4. So, that is the reason why our Q4 is always higher than the Q3 and Q2 and Q1. And this is what we have in our hands.

Gagan Thareja : But if the quarterly sales growth is going to be so high. It will also lead to operating leverage, which will mean that margins in Q4 should, therefore, logically also improve and improve substantially simply because you are going to get a lot of operating leverage. Would that be a right inference?

Naresh Patel : Yes, theoretically, it's right.

Gagan Thareja : I mean because also you are now in an environment where the raw material or the input prices or freight prices are also softening. You are carrying some high-cost inventory, but not a lot of it. Therefore, I mean even if one looks from that perspective, your Q4 purchase cost or input

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cost should be lower, which means gross margin itself will be higher plus operating leverage kicks in. So, ideally, I mean, not ideally, even practically, it seems that margin should improve substantially in Q4.

Naresh Patel : Yes, I'm agreeing with you, sir.

Gagan Thareja : And on the Fermion deal, I think you indicated that commercial supplies will start only in Q4 of FY'24. Is that correct?

Naresh Patel : Yes, some commercial supply we'll do for the validation in this quarter. And then we have to have a lean period for qualification at their end. And then by Q4 of '24, it will be started regular supply.

Gagan Thareja : So, would the validation supplies in Q4 for Fermion contribute very meaningfully to your growth in Q4 of this year?

Naresh Patel : No.

Gagan Thareja : It will be small.

Naresh Patel : Yes, because it's a validation batch. So, only 3 batches will go there.

Gagan Thareja : Right, sir. And when you indicate or guide for FY24 being a year of, again, where you'll be able to at least as of now, you are guiding for 25% growth and some improvement in margins on both your businesses. Is there a certain amount of order book visibility, which gives you assurance to guide for 25%? And also, have you built some sort of low-cost inventory of input materials will give you some assurance to guide for margin improvement. Is that the case?

Naresh Patel : It's a combination of everything. We have a long-term contract, long-term rolling forecast from the customer as well as inventory. Last year, we've done that. But from the bad experience of keeping long inventory, now we have reduced the inventory stocking base because of avoiding any impact on the margin with a higher inventory cost. But we have visibility in terms of rolling forecast as well as the long-term contract.

Gagan Thareja : All right. And would the margins on Fermion, because it's a patented molecule as you indicated, 10-year exclusivity, consequently pricing will be much higher than generic products. So, would it therefore be logical to presume that margins on the Fermion contract could be sizably more than what you earn on your generic pharmaceutical intermediates?

Naresh Patel : This is not innovated by us. It's a CMO kind of work where you cannot expect very high margin. But definitely, operating leverage will come when the volume will be higher at the commercial side. Then it will be the margin which we are working in line, a li

ttle bit better than what we are doing right now.

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Gagan Thareja : And on the electrolyte additive, again, commercial quantities are unlikely to happen before the Q4 of FY24. Is that what you pointed out? Just trying to confirm.

Naresh Patel : Q4 FY23 is not possible, we got order, but we are not seeking it because we are waiting for some documentation approval at their end, but in FY '24, definitely it will be commercialized.

Gagan Thareja : When in FY 24, sir, early FY24 or late FY'24 or mid of FY24?

Naresh Patel : Maybe in Q1 or maybe in Q2, I'm not giving the exact timeline because each customer has different procedure for their approval and different procedure for their demands. So, one customer, the biggest customer, what we have, they had placed one order for qualification. So, we are going in their methodology. Some are small manufacturers; they are faster in placing orders. So, if our samples, which we had floated them in last quarter can be qualified, then it can be commercialized faster than the normal procedure.

Gagan Thareja : And you indicated that at full scale, the electrolyte business could have a size which is similar to what Ami is today. Is that correct assessment?

Naresh Patel : Yes. Based on the report, right? Based on the market report and intel, this can be possible. We can go up to that level.

Gagan Thareja : But that would require how much market share for you to be able to achieve that aspiration?

Naresh Patel : Current market is 1.2 billion, and it will grow to 2 billion to 2.5 billion based on the report we have and I'm targeting very conservative in that market.

Gagan Thareja : And any timelines over which you feel you have any reasonable clarity as to when this can be achieved?

Naresh Patel : As I told you, gradually it will be increment. And if everything goes as per the market, till now, there is not any alarming for us and all the process and qualifications, everything went well, and there is not any dark side of any qualification. So, if everything goes well, then by Q2 year '25, it will be fully commercialized.

Gagan Thareja : And do you have the capacity because if you're saying second quarter FY'25, we would expect it to scale that sizably, you will require the capacity for that to be there, right?

Naresh Patel : Yes. So, we will start building the capacity in '24, so that it will get full capacity in '24, '25.

Gagan Thareja : How much time will it require for you to build the plant or the capacity?

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Naresh Patel : Because it's a dedicated plant with dedicated equipment, it will not take longer time against the other multipurpose plant. So, that will be within 6 to 9 months or maybe 1 year if something does not go as per planning. It will be ready.

Gagan Thareja : And what could be the scale or size of the Fermion deal on an annual basis, any approximate idea?

Naresh Patel : Can't disclose that.

Gagan Thareja : But will it be material compared to what Ami cumulative size today is, I mean as and when it comes on stream, it can vary materially impact your sales growth?

Naresh Patel : Yes, multi-million euros. So, definitely, it is a sizable contribution in our revenue.

Gagan Thareja : And finally, sir, if you could give us any idea of the pipeline of products in your pharmaceutical intermediates business that apart from the Fermion deal, you probably are also working on and you indicated that a lot of products will go off-patent in the next 2 years. While it sounds optimistic and nice, it would help if you could maybe flesh that opportunity out a little more for us in terms of what's the addressable market that you are targeting of products and over the next 2 years, how many more can come in on the current base of products?

Naresh Patel : Sir, we have a sizable amount of product, more than 490 products are there, which is up to 2039

-

'40 commercialization. We had stopped disclosing the end use of the product, considering several competition arising of more disclosure of the end use, so 10, 12 years of effort we took to make qualification and all, and that will be impacting on our sales value. So, we are not able to sell them, but they are quoting it at a lower price and keeping us at pressure. So, to avoid these kind of things, we decided not to disclose our end-use product. We have more than 480 products, which is already invoiced to the customer and having expiry until 2039 to '40.

Gagan Thareja : I get that point, sir. I do not intend to ask you the chemistries or the names of the products. All I'm saying is that whatever 430 products that you have right up to 2040, are they distributed, let's say, equally every year from here to 2040?

Naresh Patel : Every year, 15 to 20 products are getting into the commercialization. Out of that, because we have an application from large consumption to the small like anticancer where you have lower volume, but the value of the product is high. And then in anticoagulant and antidepressant where you have a big volume, but the price of the product is not that great. So, we have every year around 10 to 15, sometimes 20 or sometime 8 only. Every year, the product goes in the generic applications. So, our growth is maintained with this new incoming molecules which give us good growth, like 30%, 40%, whereas our very old product give us 7% to 10% of the incremental growth annually and then with the normalization of the new product. So, this is how we are more confident about our growth guidance of 24%, 25% CAGR because of this kind of product pipeline, existing product and old products.

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Moderator : Thank you. I now hand over the call to Mr. Tarun Shetty from Haitong Securities for closing comments. Over to you.

Tarun Shetty : Actually, I had a few more questions if the management permits. Yes, sir, can I go ahead with questions?

Naresh Patel : Yes, Tarun, you want to ask questions?

Tarun Shetty : Yes.

Naresh Patel : Yes, please go ahead.

Tarun Shetty : Yes. Just a few questions on the volume and price, did you see most of the growth on the volume side or the price side on the pharmaceuticals?

Naresh Patel : All are from the volume side.

Tarun Shetty : So, do you indicate pricing for each product has been flattish? Or do you see some decline?

Naresh Patel : There are some prices having decline also in the old product and some are flattish.

Tarun Shetty : So, any revenue contribution from your key products, trazodone, entacapone, apixaban, can you give the percentages?

Naresh Patel : So, the #1 product is contributing 22%, number 2 is 10% and number 3 is 8%, number 4 is 5%, and number 5 is 3%.

Tarun Shetty : And the products would be number 1 trazodone, second entacapone and third apixaban. That is right?

Naresh Patel : Tarun, this time, we started a little bit conservative, we want to avoid our competitions basically.

Tarun Shetty : Not an issue. Sir, last question from my side would be, we have heard that big pharma player would be putting up major capacity on the salicylic acid side. And do you see any kind of increase in competitive intensity? Or are you firm with your orders?

Naresh Patel : See, salicylic acid is our raw material. So, it is good if someone is making salicylic acid, we can have more leverage on buying from some 2, 3 more customers.

Tarun Shetty : But they did allude to even selling the intermediate side. So, you're not seeing any kind of competition from them, sir?

Naresh Patel : No, because we use salicylic acid to make our methyl salicylate and benzyl salicylate. So, if they will go for forward integration, then there will be the threat for us.

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Moderator : Any closing comments, sir?

Naresh Patel : Thank you Haitong team for hosting our co

nference call. Thank you, everyone, for your patience, and we hope we have been able to answer most of your queries. If we have missed out on any of your questions, kindly reach out our IR advisor E&Y and we will get back to you offline. Thank you very much once again for remaining patient on your holiday. Thank you very much.

Bhavin Shah : Thank you very much, everyone.

Moderator : Thank you. On behalf of Haitong Securities, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document has been edited to improve readability)

Call: May 2023

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CIN No. : L24100GJ2007PLC051093

Registered Office :- Plot No. 440/4, 5 & 6, Road No. 82/A, G.I.D.C. Sachin, Surat - 394230, Dist. Surat, Gujarat, India.

May 19, 2023

To, TO,

The Corporate Relations Department, The Listing Department

BSE LIMITED, National Stock Exchange of India Limited,

Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,

Dalal Street, Fort G-Block, Bandra Kurla Complex,

Mumbai- 400 001 Mumbai -400051

Scrip Code : 543349 NSE Symbol: AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q4 FY23 financial results held on May 15, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,

2015 we hereby enclose the transcript of the Earnings conference call held on May 15, 2023 post

announcement of financial results for the fourth quarter & year ended March 31, 2023.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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"Ami Organics Limited

Q4 FY '23 Earnings Conference Call"

May 15, 2023

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING

DIRECTOR – AMI ORGANICS LIMITED

M R. BHAVIN SHAH – CHIEF FINANCIAL OFFICER –

AMI ORGANICS LIMITED

MODERATOR : MS. REENA SHAH – ELARA SECURITIES

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Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY23 Earnings Conference Call of Ami Organics Limited, hosted by Elara Securities. As a reminder, all participant lines will be in the listen-only mode and there is an opportunity for you to ask questions after the presentation

concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Ms. Reena Shah from Elara Securities. Thank you, and over to you.

Reena Shah: Thank you and good afternoon, everyone. Welcome to Ami Organics Q4 and FY '23 Earnings Conference Call. We at Elara Capital would like to thank the management for giving us the opportunity to host this call, and we would like to congratulate the management for the best-ever results. Today, from the management side, we have Mr. Naresh Patel, Chairman and Managing Director; and Mr. Bhavin Shah, CFO of Ami Organics. I would now like to hand over the call to Mr. Bhavin Shah for opening remarks. Thank you, and over to you, sir.

Bhavin Shah: Thank you, Reena. Good afternoon, everyone. We are pleased to welcome you all to our earnings conference call to discuss Q4 FY '23 financials. Please note that a copy of our disclosure is available on the Investors section of our website, as well as on the stock exchanges. Please do note that anything said on this call which reflects our outlook towards the future, or which could be construed as forward-looking statement must be reviewed in conjunction with the risks that the company faces.

This conference call is being recorded and the transcript, along with the audio of the same, will be made available on the website of the company and exchanges. Please also note that the audio of the conference call is the copyright material of Ami Organics and cannot be copied, rebroadcasted, or attributed in press or media without specific and written consent of the company.

With that, I would like to hand over the floor to our CMD, Mr. Naresh Patel, for his opening statement. Over to you, Sir.

Naresh Patel: Thank you, Bhavin. Good afternoon, everyone. I hope you all are doing well. A warm welcome to our Q4 FY '23 earnings conference call. Before we jump to an update on our performance, I would like to take a couple of minutes to reflect on how FY '23 has fared for us. It is no secret that the year began on a very challenging note with the ongoing war in Ukraine, seasonally affected supply side impacting commodity and gas prices, increasing raw material prices, among others.

All these factors have added to significant cost pressure for all the companies. While supply side issues continue to pile up, we also saw muted demand environment across industries. While the start of the year was demanding, the situation has gradually improved as the year progressed, albeit at a slower pace.

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Moving to the current scenario, on the industry front, things are on the mend, specifically on pharmaceutical segment. Cost pressures have rationalized to a great extent. An important update closer to home is that the Chinese chemical industry is backed with a strong production and competitive price which has started hurting many industries and players. I believe we will see more of it in coming quarters.

While these factors play out in the industry, at Ami Organics, our business model is designed in such a way that the revival of the Chinese chemical industry has a minimum to no bearing on us. To put things into perspective, we never benefited from the shutting up plants in China due to COVID or supply chain issues. And second most important thing is that we remain a global market leader in our key products, with China and other geographies in the second and third spot. So

Chinese industry coming back strongly will not affect us.

On the demand side, we were witnessing gradual upswing in the demand in H2 FY '23. And I believe the revival will continue in H1 FY '24. At Ami Organics, we have used this challenging year to create various growth drivers for the coming year. Let me discuss these growth drivers one by one. I will start with electrolyte additives. I'm happy to inform you, as of today, we have received approval from 6 customers worldwide. We have also received plant-scale trial commercial orders of few metric tons. And we are also expecting a bigger commercial order during the current quarter. We believe the volume will ramp up slowly as we progress through the year.

Looking at progress on the electrolyte additives segment, we have started working on the plans of expanding our capacity for these products. I will provide update on the same once our plans are finalized. One more important update on this front is that we have developed 2 more products in this segment. One of them is liquid electrolyte additive to increase electrocapacity of the Lithium-Ion batteries and one more additive for solid-state battery. The products have been

approved at lab scale and are in advanced stages of validation.

Moving on the second growth driver. We started working on initiatives to get into long-term contracts with customers, which improves our future revenue visibility. We have successfully signed some long-term LOIs and contracts with some of our big customers on this front. The Fermion deal was on the same line of thought. I'm delighted to say that we have been able to expand the scope of our contract with Fermion, and we have added a couple of high value intermediates for the same. This means we will now be doing 3 advanced intermediates for them which increases the value of our contract manifold.

The third growth driver for us would be new products. During the year, we had developed several niche specialty chemical products, which are at different stages of validations and approvals as we speak. Some of these products are very big when you look at our current size of business, and I will update you on this product as they reach certain milestones.

Last but not least, we announced the acquisition of 55% stake in Baba Fine Chemicals last month. At Ami Organics, our inorganic growth strategy is based on 2 elements, one, where we are either interested in buying the asset, which we can then use to expand our products; or the

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other where we are able to gain access to newer products or technology which is difficult to crack organically in short term. The acquisition of Baba Fine Chemicals falls under the second strategy, where we are gaining entry into a very high entry barrier semiconductor industry. They have been in this industry since inception and were looking for an opportune partner who shares their business ethics and chemistry capabilities. I am happy and proud that they chose Ami Organics.

On the financial side, they have strong balance sheet with zero debt. Overall, the acquisition feels perfectly in our strategy and chemistry capabilities. Overall, our organic pharmaceutical business will continue to grow strongly. And now we have some good growth lever lined up which will boost the overall growth of the company.

Moving on to our Q4 and yearly results. Starting with Q4 FY '23, we delivered highest-ever quarterly number in Q4 at INR186 crores. This translates into close to 13% growth on a year-on-year basis. The growth was driven by advanced pharmaceutical intermediates business. On the full year numbers, we continue our strong momentum in FY' 23 achieving total revenue of over INR621 crores, which was higher than 19% when compared to last year.

Our core pharmacy business aided the growth for the whole year with 22% growth year-on-year, whereas specialty chemical business grew slightly by 3%

. Our operating margins for the year

were flat due to cost pressure which I discussed during the start of my speech, which impacted our margins in H1. However, our margins rebounded strongly in H2, and we ended Q4 at 21.9% operating margin. I will let Bhavin discuss financials in detail.

To conclude, I believe the challenging days are behind us, and I am confident that we will continue the strong growth momentum in FY '24 as well. With that, I request our CFO, Mr.

Bhavin Shah, to discuss the financial review. Over to you, Bhavin.

Bhavin Shah: Thank you, Naresh Bhai. Good afternoon, everyone. I would like to briefly touch upon the key performance highlights for the quarter and year-ended 31st March 2023. And then we will open the floor for question and answer. I will begin with quarterly updates. Revenue from operations for the quarter was at INR186 crores, up 29.8% compared to INR143 crores in Q4 FY '22. The gross profit for the quarter was at INR81.3 crores, up 28.3% as compared to INR63.4 crores in Q4 FY '22. The gross margin for the quarter was at 43.6%. Lower gross margin was due to high-cost inventory, which has been completely consumed by Q4 FY '23.

EBITDA for the quarter was at INR40.8 crores, up 58.3% as compared to INR25.8 crores in Q4 FY '22. On a sequential basis, EBITDA for the quarter increased by 32.5%. EBITDA margins for the quarter were at 21.9% compared to 18% in Q4 FY '22 and 20.2% in Q3 FY '23. We continue to improve EBITDA margins on a sequential basis as per our guidance. EBITDA margin in Q1 was 18%, and we have been successful in gradually improving our EBITDA margin to 21.9%, an expansion of 380 basis points.

Now dissecting the margin further. I'm happy to report that EBITDA margin for the pharma business was 23.6% in Q4 FY '23, and our margin on the specialty chemicals side were at around

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11.1%, which is an improvement of 100 basis points. PAT for the quarter was at INR22.7 crores, up 27.6% on Y-o-Y basis and 21.9% on a sequential basis. The PAT margins for the quarter were at 14.6% as compared to 14.8% in Q4 FY '22 and flat as compared to Q3 FY '23.

Coming on to full year FY '23 updates. Revenue from operations for FY '23 grew by 18.6% Y-o-Y to INR617 crores compared to INR520 crores in FY '22. This was driven by Advanced Pharma intermediate business, which grew strongly by 22% on Y-o-Y basis.

Gross margin for the year was slightly below at 46.3% when compared to 47.5% in FY '22.

EBITDA for the year came at INR123 crores, up 16.6% Y-o-Y compared to INR105 crores in FY '22. EBITDA margin for the year remained flat at 19.9% as compared to 20.2% in FY '22.

If you adjust one-off items like loss on insurance claim receivable and loss on sale of assets, our EBITDA margin for the year would be around 20.5%, which is slightly higher than the last year.

PAT for the year was at INR83 crores, up 15.8% on Y-o-Y basis. PAT margin for the year was at 13.5%. Export for the year was at 59%, whereas domestic business was at 41%.

Coming to the balance sheet, we have a net debt-free balance sheet with cash and cash equivalent of around INR59 crores. During the year, we have generated strong cash flow from operations of INR65 crores which was driven by better working capital management. I believe we will continue to generate robust cash flow from operation in the coming year as well, which will support our routine opex as well as capex.

With this, I conclude my remarks and request the moderator to open the floor for a question-and-answer session. Thank you.

Moderator: We have our first question from the line of Chirag Lodya from Value Quest.

Chirag Lodya: Congratulations on a good set of numbers. I have a couple of questions. First on segmental margins. If you can help us understand what were the full year margins in specialty chemical and advanced intermediate division?

Bhavin Shah: So Chirag, full year margin for P

harma business is 21.57% and specialty at 10.3%.

Chirag Lodya: Okay. And how do we see margins going ahead segment-wise?

Bhavin Shah: As we are guiding that our first target is to reach to our FY '21 margin for pharma business which we have already achieved in Q4 that is 23%. So, we would like to maintain this margin and would like to go further from here. As far as our specialty business is concerned, we have improved 100 basis points in last quarter. And in the coming quarters, we'll see 50 to 100 basis point improvement quarter-on-quarter basis.

Chirag Lodya: And if you can throw more color on specialty chemical division, what kind of ramp-up we are seeing next year. And you have also talked about a few new products which are under pipeline, and which will help to scale up the business. So some color on specialty chemicals, what to expect and what will drive the growth there?

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Naresh Patel: Chirag, this is Naresh Patel. Specialty is our more focused area currently in Ami Organics, and we have a robust plan for growth in specialty chemicals and also to phase out the old products of Gujarat Organics. And in that line, we have developed around 20 molecules in specialty chemical segment in Gujarat Organics and some of our already LOI signed and started qualification at the end of the customer.

And these are all versatile applications, including electronic donor, polymer industry as well as some paint industry additive, UV Absorber, as well as some electronic industry. So, cumulatively once it is all in, it will bring a lot of large volume and large value. We are targeting this year, that the specialty chemicals segment will grow around 25% to 30% against our normal growth of 22% to 25% of our pharma segment.

Chirag Lodya: Coming to this new acquisition, which it is undergoing of Baba Fine Chem. If you can just help us understand what the overall opportunity size for this company is because current revenue is quite small. It is a niche business, it looks like. So, some color there, what kind of scale we can create maybe 3-4 years down the lane.

Naresh Patel: Currently, the size of the company is small because it was being managed by the 3 scientists, and they all are market scientists in the semiconductor industry holding several patents in their name. And now out of the 3 scientists, one passed away in COVID and the other one has aged, so he wants to exit, and we got the opportunity to get the major stake in the Baba Fine Chem. Baba Fine Chem has a main application in photo resistance chemical in semiconductor industries and they are making very high purity chemicals, Part per trillion kind of purity PPT. Normally, we talk in PPM. So that is a very unique technology and capability of Baba Fine Chem. And

going forward the market is more than \$2 million in photo resistance chemicals. And so there's a huge potential available. So, with Ami Organics introducing them, we will be able to give them the operational leverages that will help them to grow the business.

Chirag Lodya: But any ballpark number what to expect over, say, 3, 4 years?

Naresh Patel: It will definitely grow more than 3x to 4x in a year.

Chirag Lodya: What would be the capex for FY '24?

Naresh Patel: Currently, the capex for FY '24 is just the capex which is ongoing. Whereas once these electrolyte orders start flooding, we will do some capex plans, some extra capacity for that, and that capex will be in the second half of FY '24. We will announce the value of this capex once we are ready with that.

Chirag Lodya: Ex of electrolyte, overall number would be?

Bhavin Shah: Ex-electrolyte, we have INR35 crores as the maintenance capex. And there will be additional capex for solar, that we are planning. So, when we'll announce that, there will be additional capex for that also. This is the capex plan for the year.

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Chirag Lodya: And greenfield facility will have around INR160 crores, INR170 crores balance capex?

Bhavin Shah: Yes. The greenfield capacity will have around INR160 crores, INR170 crores capex spending to be done in the year.

Chirag Lodya: So, put together, INR200 crores plus next year, right?

Bhavin Shah: Yes.

Moderator: We have our next question from the line of Mitul Mehta from Lucky Investment Managers.

Mitul Mehta: Congratulations on a very good pharma operating number. Sir, on the day we acquired Gujarat Organics till today, our numbers have not been up to the expectations. So, can you help us to understand what sort of product portfolio are you building there? Do you think you can scale up the specialty chemicals business in the next 2, 3 years? Because the current investment that we did when we acquired Gujarat Organics and working capital, the current ROC looks very, very suboptimal. So just wanted to get some color on that.

My second question is on the Fermion contract. If you can help us to understand when does the delivery commence for Fermion? And can we get some more color on this contract? I mean, this is going to be over, let's say, 10 years or even further on. So can you help us to understand both these questions.

Naresh Patel: Your number one question is related to specialty chemicals portfolio related to Gujarat Organics.

Let me tell you one thing, we acquired Gujarat Organics in April 2021. Since then, 2 to 3 years just passed for the takeover process and taking the management and all. Then 3 months, we worked on the areas that needed focus and we made a robust plan for that. And that is how we shifted all the manufacturing sites from Ankleshwar to Jaghadia and we made free land for our pharma expansion, and that is without losing any single kg order.

But the last year was more mainly for the consolidation, in terms of the product sustainability, technology upgradation, we had done a technology upgradation for methyl salicylate, we did the technology upgradation for parabens, as well as we have done 4 or 5 new molecules which will be commercialized in FY '24 which are in the application in UV absorbers, an application in agrochemicals as well as an application in petrochemical industry.

So, these are the molecules we developed and will start commercial orders in FY '24. So, our target is to sustain the business without losing the money and volume and then make sure that the this business will be replaced as well as grow with the new product and the operating margin will grow from 0 to 10%, that we sustained for the last 8 quarters. And now we are increasing, last quarter, we increased by 100 basis points, and now we are targeting to increase it to 18% to 19% of margin in specialty chemicals in this year. So, this is what we are doing in specialty chemical segment. And revenue side will be 2.5x in the next 2 to 3 years, which is our target. This is just a projection.

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And in terms of Fermion contract, that is a long-term contract, and it will start supplying from Q3 of FY '24. I can't say the value because it's a very big value. The full capacity supply will be

starting FY '25. Because it is a pharma business, and it takes some time for registrations in 180 countries worldwide. So, in Q3 and Q4, it will be giving us a sizable revenue. But from FY '25, it will be giving us a full revenue, so this is how we are targeting Fermion. And in that contract only, we have 3 more products, and all 3 products are additional to the contract. So that will also help us to grow more in terms of numbers in the upcoming years.

Mitul Mehta: The 3 products that you mentioned are other than the product that we have with Fermion, right?

Naresh Patel: So basically, we are going to supply very well advanced intermediate, in those 3 raw materials which we were supposed to import from China, but that we made in-house and now w

e are

consuming it in-house. So that is an additional advantage for us, to increase the revenue and profitability.

Mitul Mehta: I was just looking at some of the primary data releasing by Bayer on their presentation. It's a public information. So, their current run rate is about EUR 180 million for the beta series. So, if I annualize that comes to roughly about EUR 800 million. Currently, our supply is, let's say, we were to begin in Q3 and will scale up in FY '25. So, at present, is it possible for you to regain from whom they are currently sourcing the intermediate?

Naresh Patel: This product is growing unexpectedly to 200 or 300x a year. Whatever they expected in 2026, they already closed in 2023. So, it's going very fast. And the basic API manufacturing plant in Fermion is fully utilized and the intermediate which they are trying to source from us, they are currently making it in-house. They don't have any source other than us.

So that is how they are increasing their capacity, and we are going to make their intermediate in Ami Organics and they will make the final API. The growth rate of this product is so high, they want to move faster, and we have all the capacity and all the technology, everything is available with us. So that is adding advantage.

Mitul Mehta: Is there a technology barrier in this particular product? I mean, can they develop an alternative supplier? I mean, is there any alternative supplier?

Naresh Patel: They currently don't have any alternate supplier. And this is a CDMO kind of work, where we do the development and then manufacturing of the product. So, it falls in the CDMO segment of Ami Organics.

Mitul Mehta: The anticoagulant family that we are currently supplying, how is the growth rate there? And do you also foresee that this particular segment can be a very big growth driver for us in the next 2 to 3 years?

Naresh Patel: Yes, definitely. Our anticoagulant is always a key basket for Ami Organics. And that is the reason why we have developed all the anticoagulant basket, which is currently launched or going

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to be launched, which include apixaban, rivaroxaban, edoxaban, betrixaban, all kind which have expiry upto 2035. Full basket is ready.

Apixaban and rivaroxaban is a growth driver for us for the next 2 years because it's going to be launched. And our generic player worldwide more than 26 customers in apixaban. They are all ready to launch. And also, they won some litigation in U.K. against the originators, so that will help us to start moving very fast.

In rivaroxaban, the originator has qualified us, and they started placing order in Q4 FY '23. So now we are supplying to originator as well the rivaroxaban. So, it's a very good growth driver for us in the anticoagulant segment.

Mitul Mehta: Sir, as far as edoxaban is concerned, that seemed to be a very promising product. It's a new generation anticoagulant which currently is selling very well in Japan. So, are we going to play a significant role there also?

Naresh Patel: We have already 3 customers in Japan who had qualified us.

Mitul Mehta: So, Daiichi has already qualified us?

Naresh Patel: Daiichi has not because they are making all the chemicals themselves there. But rest of all generic player had qualified us.

Sudarshan Padmanabhan: Congrats on great set of numbers. Sir, my question is also taking forward from the previous participant. When I'm looking at the next 18 months, we have multiple triggers, one from the Fermion contract. Then we have a new generation anticoagulant drug that is going to drive growth. And the third one is the alkaline side, which can actually become fairly big for us. In the context of the fact that we are operating the facility at around 65% on the pharma side and volumes obviously will drive operating leverage.

I mean do you think that the 20% to 25% kind of a growth that you have given on the pharma

and the 30% guidance, I mean, could basically be a little bit more on the conservative side? And could you also talk a little bit more beyond FY '24, because some of these contracts are going to be more visible in FY '25. So, what is the kind of scale in terms of top line and margins that one can realistically expect?

Naresh Patel: Ami Organics is always proactive in terms of product pipeline as well as the capability and productivity. So, our Ankleshwar facility is upcoming facility which will be ready by December '24 operationally. So that will come with a very huge volume, 4x volume than our unit 1 in Surat. So that will be definitely help us with our FY '24, FY '25 & FY '26 growth of pharma.

And also, not only that, to derisk ourselves if there is any delay in that, we had already started shifting several chemistries like chlorination, nitration, diazotization, and esterification. Currently, we are making in a flow at a very high volume. So that has freed our capacity in Unit

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1 as well. So that is how we can have a buffer of at least 1-1.5 quarters to sustain our growth rate in pharmaceutical intermediate segment.

In specialty chemicals, we have Unit 3, which is in Jaghadia, is running currently at 35% to 40% capacity. And it has capability to handle up to 80% in next 2 year. Not only that, in Unit 3 also, we have shifted Ankleshwar unit blocks there, that will help us in another 15% capacity, which is currently under installation, finishing of the installation. So that will also add another 15% capacity in specialty segment.

So ongoing FY '25, FY '26, we have several contracts which are in line, few are in UV absorbers area, few are in petrochemicals area, for which LOIs are already signed. But we are not declaring the LOIs now, once it starts to materialize and starts converting into MOUs then we will disclose about the growth plan and value of this LOI in FY '24 and '25.

Sudarshan Padmanabhan: On the margin side, sir, because we are talking about 150 bps or so, but even if you're not assuming that these contracts doesn't come with high margins, the operating leverage itself should take care of the 100, 150 bps. So, are we looking for a surprise on this side?

Naresh Patel: We are conservative in terms of our comments, and that's why we are saying that 100, 150 basis points. Whereas once all these high value contracts are in place, the margin definitely will go up in that sense as well.

Sudarshan Padmanabhan: And it will basically be 150 bps again for FY '25, right, because you will see again a volume growth as well as better margin. You see margin expansion again and much strong top line in FY '25 as well over FY '24. So, we are looking at multiple years, not this one?

Bhavin Shah: So, margin expansion is a continuous process. So, as we grow our revenue will grow, system process will be more mature. So currently, we are running at 23%, and we are looking at sustained margin improvement quarter-on-quarter and year-on-year basis. It is premature to speak anything about FY '25 currently.

Sudarshan Padmanabhan: On the current quarter's gross margin. I mean we've seen some kind of a dip because of high-cost inventory or just the mix. But on a longer term, the positive side is we've seen a great reduction on the working capital. I mean you have been able to release about INR40 crores to INR45 crores of cash on the inventory side. So, can you talk a little bit more about the kind of work you've done on the working capital end? Should this improvement continue? What's our target in terms of working capital days?

Bhavin Shah: Currently, on an average basis, considering sales as a base, our working capital cycle is 108 days. And I try to bring this at 100 days. So, we are continuously working on it. We have improved our inventory days. We are trying to get more credit from our supplier. And our endeavour will be to reduce

our receivable days by another 10 days.

Moderator: We have our next question from the line of Rikin Shah from Omkara Capital.

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Rikin Shah: So just expanding on to what's discussed earlier. So, in darolutamide, Nubeqa, which is the FDF, in FY '21, we saw EUR 220 million sales. FY '22, we've seen EUR 466 million. And now we've already reached EUR 180 million target and Bayer's aspiration is around EUR 3 billion in 2 years or 3 years. So, considering that materializes, could that result in an intermediate market which was perhaps INR500 crores, INR600 crores?

Naresh Patel: Based on your calculation, it may be. I'm not claiming on these things because I'm not supposed to, but whatever you calculate, I hope it will be okay for you.

Rikin Shah: And in this, you mentioned there is no other supplier. So, would we be the ones taking majority of the business?

Naresh Patel: This will be 100% with us, Ami and Fermion, only 2 guys will manufacture these intermediates.

Rikin Shah: And in terms of our anticoagulant's portfolio, we've seen genericization of apixaban in many geographies and many API players in India also commenting for better growth on that end. So how would the entire portfolio be managed? Because in India, perhaps the treatment is at rivaroxaban level, right? I mean there could be a shift in treatment as well. So globally and in India, per se, how would our coagulants portfolio be shaping up going forward?

Naresh Patel: Basically, for us anticoagulant segment is completely a bundle of products. And this is the reason why we file patent for both the product in apixaban and rivaroxaban, and we are holding process patent for both the intermediate. And we have sizable customers worldwide. And these all are ready to be launched, some product launches have already started. So, it is immaterial for us if rivaroxaban goes in the market or apixaban goes. For us, it is like is a bundle and we have capability to produce it. In all the products, we are going up to N-1. So, we have a good advantage of selling the product in a large volume.

Rikin Shah: And on the Edoxaban end, you touched upon a few things. So, Daiichi is selling, I think, JPY 97 billion worth of Lixiana, right? So, considering the generic market of Edoxaban in Japan, how big of an opportunity can the intermediate side be here?

Naresh Patel: Basically, anticoagulant is a lifestyle disease and that is like an anti-cardiovascular kind. And day by day, people are having a lot of problem, which we sensed very early during our inception, so that's how we put our portfolio in this segment. So, we are ready with all N-1 in that as well, and we have a very good number of customers worldwide, and these are all big pharma's, including Teva, and there are large manufacturers worldwide. They all are our customers and qualified us as their raw material supplier. So, we are also expecting the revenues coming in as from this segment.

Rikin Shah: On the electrolyte end, you have mentioned developing 2 new molecules. So, you had mentioned in the earlier con calls that you had Vinylene and fluoroethylene. So, would it be possible to give some more color here? What's in the pipeline?

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Naresh Patel: These 2 molecules we got it from our customer, and it is under NDA, CDA agreement, exclusive manufacturing kind of things. And these are molecules that is used for high-voltage batteries and for increasing the electro capacity of the battery, lithium battery as well as one is for the solid-state battery. So, this is what we have developed. And both the molecules are outside China. And they are qualified. And now we are in process of large-scale manufacturing compliances with them.

Moderator: We have our next question from the line of Tarun Shetty from Haitong Securities.

Tarun Shetty: Congratulations on the good set of numbers. S

ir, on the Baba acquisition, I just wanted one clarification. 45% of your PAT will be booked under minority interest rate. Is that understanding, correct?

Naresh Patel: Yes. The 45% is one of the minority third partner, who is a key partner of the Baba Fine Chem and will remain as a partner.

Tarun Shetty: In one of your recent interviews, you addressed that the revenue would grow around three to fourfold in the near term. Could you give any rationale on this? Because I believe the Baba currently has only 1 customer that it is servicing. Do they have any exclusivity contract there or any kind of restriction on sales, anything that you can give color on?

Naresh Patel: Yes. The product which Baba Fine Chem is currently manufacturing and delivering, is exclusively for one customer. But there are more than 40 products, which are already developed and the samples of which can go to the world. Apart from U.S., other countries like Japan, Korea, etc, we have started promoting this product in those countries also.

Tarun Shetty: So basically, your trajectory of fourfold growth on top line of Baba will still stand?

Naresh Patel: Yes.

Tarun Shetty: And just on the margins, I believe currently is 60% plus and you did give recently, again, in the same interview, that margins would be around 40%. Any good reasons for this?

Naresh Patel: Margins will grow when the number and volume grows When you go from one segment to another segment, there will be some changes on the margin side because of some operational and other involvements, a new core product capacity involvement and all that will increase the energy consumption and everything. So, we are conservative in terms of 10% reduction in the

margin, but definitely, it will not be like that. But conservative is better than bullish.

Tarun Shetty: Can you give us an understanding of vinylene carbonates pricing right now, I believe it was trading around \$40-odd per kilo. Has it increased or decreased for you?

Naresh Patel: Vinylene Carbonate is now almost \$10, \$11. And fluoroethylene carbonate is \$12. But we have a process where we can do good margins.

Moderator: We have our next question from the line of Dhaval from Girik Capital.

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Dhaval: One question on the electrolyte additives. So over next, what time frame should we assume some revenue to start coming for us?

Naresh Patel: We will be expecting it by H1 FY '24, revenues will start by then. So maybe in this quarter or latest by next quarter, the invoicing will start with the customer. We already have some orders in our hands, but we are expecting some big orders from some customers. So, we want to plan to club the production together.

Dhaval: And what will be the size of revenue over 2 years' period look like?

Naresh Patel: Revenue guideline, I can say it's a very huge number, more than \$2 billion, \$3 billion industry where we are not expecting full. The advantage for Ami Organics or, say, for Indian manufacturer, is that the U.S. and other European countries have stopped buying any battery cells or anything which is generated from China. So that is an added advantage that any manufacturer based outside of China will need to have a raw material from outside China. So that is helping us to push ourselves in a faster mode of getting the orders and all.

Dhaval: And then just a little bit more understanding on these electrolytes' additives. So, there is this electrolyte salts and then there is additive and then there is electrolyte formulation. You must be aware there are many companies who are working on this product chain. So, we are only into additive and the salt is it a macro indication, we are going to make it, or will we buy it from outside? Just help me understand this.

Naresh Patel: See, normally, Ami Organics never competes with its customer, either in formulation, or in API or in specialty chemicals. And in electrolyte also, we mak

e the additives which is one of the

components of the formulation of electrolyte. And so, we will remain making additives or other chemicals which are used in the formulation.

Salts are active part, which is manufactured by a few of the companies claiming in India as well as several companies in the world who are making the salts, but these are all things which is used to make the formulation.

Dhaval: So, you will be selling it to other electrolyte formulation maker, the additives?

Naresh Patel: Yes, the formulation maker is buying salt and additives and solvents, and then they make the formulation. So, Ami Organics is focusing only on additive segment.

Moderator: We have our next question from the line of Amar Mourya from AlfAccurate Advisors.

Amar Mourya: Most of my questions have been answered. Only 2, 3 questions. First, sir, you are guiding for the profitability improvement in the specialty chemical, something around 200 basis point margin improvement, let's say, in the coming year for the specialty part, EBITDA margin.

Naresh Patel: Yes. Definitely, it will improve 200 basis points. It can be more than that, but yes, definitely 200 basis points.

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Amar Mourya: And this is led by the flow chemistry which we had done?

Naresh Patel: It's a mixture technology, volume, and the new product.

Amar Mourya: And secondly, sir, you are guiding for 25% plus growth in specialty and 20% to 22% growth in the core pharma business, right?

Naresh Patel: This is based on the current projections we received from our customers.

Amar Mourya: And when you say 150 basis point improvement in the margin, that is also in the pharma as well, right?

Naresh Patel: Pharma we are targeting to reach our FY '21 numbers. And from then onwards, it will be a tough job for us. So that will be the second part of our planning.

Amar Mourya: And third is Baba Chemical, if you see the growth rate, it has grown at the rate of 30% kind of growth. So, in FY '24, again will it see the similar kind of trajectory?

Naresh Patel: Based on the current order in hand, yes, it will see a similar kind of trajectory.

Amar Mourya: And sir, you talked about that you have a similarity in the chemistry of the Baba Fine Chem versus your existing chemistry, so if you can give us some understanding on how it is basically related to your existing chemistry in specialty business?

Naresh Patel: I think this is a little bit confidential question. I will not be able to answer.

Moderator: We have our next question from the line of Rohit Nagraj from Centrum Broking.

Rohit Nagraj: Just one question. In our presentation on Slide number 24, we have talked about continuous flow reactors. So, I just wanted to understand currently how much of our revenues are we generating from the CFR process? And are these developed by us? Or are we buying it from third-party?

And incrementally going forward after, say, 3, 4 years, based on our current reactors and capability, what kind of revenue generation can be done from the CFRs?

Naresh Patel: Basically, we don't make the dedicated product flow reactors. We make the chemistry driven flow reactors. It means that in nitration, diazotization, esterification. These are the fluorine test, where we do n-number of products. In diazotization, we are doing 11 products. In nitration, we do 9 products. In esterification, we do 20 products. So, it's a chemistry-driven flow reactors, designed as a multipurpose flow reactor, which can help us to switch over from one product to another product in an easy manner.

And our single product is containing more than 3, 4, 5 reactions. So, it is difficult to bifurcate how much revenues are coming from flow reactor. It is important that the flow reactor helps us to improve our operating efficiency as well as the effluent generation minimization and energy consumption minimization. So that is achieved by this flow reactor. In up

coming years, we are

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going to introduce several 2 or 3 reactions like n-butyllithium and grignard in the flow, which is in our pipeline right now.

Moderator: We have our next question from the line of Aman Vij from Astute Investment Management.

Aman Vij: My first question is if you can talk about as a basket how much does anticoagulant contribute to our revenues? And given the strong growth, where can we see this number in the next 2, 3 years?

Naresh Patel: Normally, our product basket is well distributed and none of the basket is more than 15%. So, even if it is antipsychotic, anticoagulant, or anticancer, it is very well distributed, so that if any of the basket does not perform well, it will not impact badly on our performance. So currently, anticoagulant basket is contributing 12% of the total revenue.

Aman Vij: And say, for next FY '24 and FY '25, which basket do you think will be the growth drivers in this segment?

Naresh Patel: All are growing in their space and manner. All the products are performing well that is the reason we were able to give the guidance for the next 2 years.

Aman Vij: And second question is on the electrolyte segment. So, you've talked about one product in the normal batteries and one for solid state. So, I thought we are doing 2, VCB and FEC. So, if you can correct my understanding on that part as well as in terms of timeline, you've talked about you're expecting order this year, but this electrolyte business scaling, will it happen in the second half? Or do you think it will happen in next year only? And is it initially driven by domestic customers or international customers? If you can talk about that also?

Naresh Patel: So, we have 4 products now in electrolytes. Two is VCB, and FEC, this two is already matured and now is in the commercializing stage. And 2 more is developed, one is in liquid, and one is in a solid-state battery. So, these are the 2 new ones. So total 4 products now we have. So, I hope this is clarified to you. VCB and FEC, we already have some order in hand.

So, this year only, it will be commercialized and go to the market. And the customers are based outside India. And in India, there are 2 manufacturers who have taken a sample from us. Some have also placed order of few KGs, but they are still under evolution of themselves. So, in India, we don't have currently more than 2 customers. And for the rest of the world, we have 9 customers out there.

Aman Vij: Are there any non-Chinese customers out there or is it mostly Chinese?

Naresh Patel: Yes.

Moderator: We have our next question from the line of Ridhima Goyal from Acquaint Bee Ventures.

Ridhima Goyal: I just wanted to know, what is the bifurcation between volume growth and price growth?

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Naresh Patel: This time, I can say only volume growth because price is already suppressed. And this is also one of the reasons that we could not reach our top line. —Our top line was compromised by 2% to 3% because of the price reduction in raw materials. So, this fully is a volume growth.

Ridhima Goyal: I just wanted to know what is the revenue potential we have for the Fermion contract like on a year-on-year basis as it is a longer-term contract.

Naresh Patel: We are not allowed to say that because our other party is also a public company. So top line, we will not announce.

Ridhima Goyal: And just one clarification. You said that the Ankleshwar unit, the new capex, the greenfield capex which you are doing on the Ankleshwar unit, when will it get completed, like what is the timeline?

Naresh Patel: December '23, FY' 24.

Ridhima Goyal: So, December '23. And what is the asset turn we can expect from there?

Naresh Patel: Normally, we have 3x as our asset turn. However, asset turn is high because we have a very high-value products. Our products are ranging from INR2,000 to INR1

lakh. So, it is because of

that, that the asset turn is very high.

Moderator: We have our next question from the line of Rikin Shah from Omkara Capital.

Rikin Shah: Just wanted to ask, in this presentation I could observe that we have added Lianhetechnology as a client. So Lianhetechnology is a very big player in the global custom synthesis market from China. So anything that has materialized here significantly?

Naresh Patel: So, yes, we are supplying to Lianhetechnology. Our China export is mainly to Lianhetechnology.

Moderator: We have our next question from the line of Tarun Shetty from Haitong Securities.

Tarun Shetty: Just a couple of follow-ups. Just to understand the Baba deal structure, again. You will not be raising any debt and you'll be giving up certain number of preferential shares. What will be the number of outstanding shares for this deal?

Naresh Patel: Deal value we already declared INR68 crores. So according to INR68 crores, we will give the preference shares accordingly.

Tarun Shetty: So there will be no cash involved in this deal?

Naresh Patel: There is a very minimum cash.

Tarun Shetty: On the balance sheet, I see there's a sharp improvement in current provisions. So could you help me I understand why this is there?

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Bhavin Shah: So current provision is mainly in line with the increase in turnover. And sometimes what happens is that few invoice are pending for bookings, so that will go under provision for expenses.

Tarun Shetty: I just missed the capex guidance for this year. Could you just repeat that?

Bhavin Shah: So, for current year, capex outlay will be ranging between INR200 crores to INR220 crores including the brownfield project for Ankleshwar.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, that was the last question for today. I now hand over the call to management for closing comments. Over to you, sir.

Naresh Patel: Thank you, Elara team, for hosting our conference call. Thank you, everyone, for your patience, and we hope we have been able to answer most of your queries. If we have missed out on any of your questions, kindly reach out to our IR advisor, E&Y, and we will get back to you offline.

Thank you very much and have a great day to you. Thank you.

Moderator: Thank you. On behalf of Elara Securities, that concludes this conference call. Thank you for joining us, and you may now disconnect your lines.

(This document was edited for readability purpose)

Call: Aug 2023

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CIN No. : L24100GJ2007PLC051093

Registered Office :- Plot No. 440/4, 5 & 6, Road No. 82/A, G.I.D.C. Sachin, Surat - 394230, Dist. Surat, Gujarat, India.

August 21, 2023

To, To;

The Corporate Relations Department, The Listing Department
BSE LIMITED, National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,
Dalal Street, Fort G-Block, Bandra Kurla Complex,
Mumbai- 400 001 Mumbai -400051

Scrip Code: 543349 NSE Symbol: AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q1 FY24 financial results held on August 11, 2023
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on August 11, 2023 post announcement of financial results for the first quarter ended June 30, 2023.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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AMI ORGANICS LIMITED

"AMI Organics QIFY24 Earnings Call"

August 11, 2023

MANAGEMENT: Mkr. NARESH PATEL - CHAIRMAN AND MANAGING
DIRECTOR

MrR. BHAVIN SHAH — CHIEF FINANCIAL OFFICER

MODERATOR: MR. PRASHANT NAIR - AMBIT CAPITAL

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August 11, 2023

Moderator: Ladies and gentlemen, good day, and welcome to AMI Organics Limited QIFY24 Earnings
Conference Call hosted by Ambit Capital.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during the
conference call, please signal an operator by pressing * then 0 on your touchtone phone. Please
note that this conference is being recorded.

I now hand the conference over to Mr. Prashant Nair from Ambit Capital. Thank you and over
to you, sir.

Prashant Nair: Thank you, Yusuf. Good evening, everyone. I am Prashant Nair from Ambit Capital. I welcome
you to the QIF Y24 earnings conference call of AMI Organics.

From the management we have with us, Mr. Naresh Patel — Chairman and Managing Director,
and Mr. Bhavin Shah — CFO.

I will now hand over the call to Mr. Bhavin Shah for opening comments. Over to you, Bhavin.

Bhavin Shah: Thank you, Prashant. Good evening, everyone. We are pleased to welcome you all to our
earnings conference call to discuss QIF Y24 Financial results

Please note that a copy of our disclosure is available on the Investor section of our website as
well as on the stock exchanges. Please do note that anything said on this call that reflects our
outlook toward the future or which could be construed as a forward-looking statement must be
reviewed in conjunction with the risk that the company faces.

The conference call is being recorded and the transcript along with the audio of the same will be
made available on the website of company and exchanges. Please also note that the audio of the
conference call is the copyright material of AMI Organics and cannot be copied, rebroadcasted,
or attributed in press or media without the specific and written consent of the company.

With that, I would like to hand over the floor to our CMD — Mr. Naresh Patel for his opening
statement. Over to you, sir.

Naresh Patel: Thank you, Bhavin. Thank you, Prashant bhai. Good evening, everyone. I hope you all are doing
well. A warm welcome to our QIF Y24 Earnings Conference Call.

Before I discuss the business performance of the company, I will take a couple of minutes to discuss some important economic and industry trends. Global economies are grappling with
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inflation exce

pt for China, which is experiencing deflation, which has led to reduced internal demand and pricing pressure. The oversupply issue in China's manufacturing sector has compelled them to export excess production worldwide. As a result, solvent and key raw material prices were decreased, along with lower costs of pharmaceutical and agrochemical intermediates. So, the supply-side situation has improved significantly, and I anticipate demand-side challenges to normalize in the future, which will bring about a balance as the current state of the chemical industry is transient and with the prospect for recovery ahead.

Coming to the performance of AMI Organics during the quarter:

As you all know, Q1 has historically been a weak quarter for us. Our revenue from operations for the quarter was Rs. 132 crores, which is 9% growth over Q1FY23. I'm extremely pleased that we have been able to deliver sustained growth during the quarter on the back of the deflationary pricing environment in the chemical industry. I will let Bhavin discuss the numbers in detail later.

Coming to the business segments, the Pharmaceutical Intermediates business grew by 5% during Q1 FY24. The slower growth was due to sluggish demand in the export market, which was balanced by robust traction in the domestic market. This is a reflection of our diverse portfolio, which always helps us guide through the difficult quarter.

Moving on to the Specialty Chemical business, we have been highlighting this throughout last year that our focus through the period was on streamlining operations, optimizing capacity, and upgrading processes which took its sweet time. As guided earlier, this year we will start seeing the fruits of these efforts. In fact, the results are visible in Q1] where the business has already picked up and our revenue from the Specialty Chemical business has jumped by 25% year-on-year to Rs. 27 crores. Now please understand this is in the backdrop of a very challenging environment that the industry is going through, and we are still able to deliver on this front. I would like to highlight here that we have sent validation samples to the customer for a new product during Q1 and we have now received commercial order for the same. I will disclose more about this product launch once we start commercial supply in the coming quarters. While the product will ramp up gradually, these will catalyse the Specialty Chemicals growth further. Overall, I believe we will see robust growth in Specialty Chemicals in FY24.

Coming to the electrolyte additives business, we are very close to signing contracts with a few customers and updates will be shared as and how we progress. What I can say is that size of this contract will be larger than what we had anticipated. I believe we will see the numbers coming in our books during our H2FY24.

On a concluding note, I believe even as the external environment remains challenging, we are confident in delivering strong 20% to 25% growth during the year.

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Bhavin Shah:

Moderator: AMI Organics Limited

August 11, 2023

With that, I request our CFO, Mr. Bhavin Shah to discuss the Financial Results with you. Over to you, Bhavin.

Thank you, Naresh bhai. Good evening, everyone. I would like to briefly touch upon the key performance highlights for the quarter ended 30" June 2023 and then we'll open the floor for question and answer.

I will begin with quarterly updates. Revenue from operations for the quarter was at Rs. 142 crores, up 8.7% as compared to Rs. 131 crores in Q1FY23. The gross profit for the quarter was at Rs. 63.7 crore, which was flat when compared to the same period last year. The gross margin for the quarter was at 44.8%. The lower gross margin was due to the change in product mix during the quarter. EBITDA for the quarter was at Rs. 25.2 crore, up 9.7% as compared to Rs. 22.9 crore in Q1FY23. EBITDA margins for the quarter were at 17.7% compared

to 17.5% in

Q1FY23. EBITDA margin grew by 20 basis points in Q1F Y24 compared to the same period last year. The growth in EBITDA margin was somewhat suppressed on account of higher employee cost, which was driven by annual increments, performance bonuses as well as higher wages. Please note that as per government of Gujarat, increased the minimum wages of the workers by 25% for all categories of workers which has impacted the employee cost during the quarter.

PAT for the quarter was at Rs. 16.6 crore, up 12% on a Y-o-Y basis. The PAT margin for the quarter was at 11.7% as compared to 11.3% in Q1FY23. Export for the quarter was at 37%, whereas domestic business was at 63%.

I would like to highlight that the export business looks low during the quarter due to two main reasons. First, Naresh bhai has also alluded in his opening remarks that demand in the export market was sluggish in Q1 and second point is that one of the formulators changed their API supplier from overseas to India. Therefore, for those products, the supply was in domestic business during the quarter.

Coming to the balance sheet, we have net debt-free balance sheet with a net cash balance of around Rs. 28 crores as at 30" June 2023.

Before I conclude, I would like to highlight that Q1 is always weak for us, but I believe that we'll witness strong growth sequentially from Q2 onwards which will be coupled with an upward trajectory in EBITDA margin and therefore we are confident to deliver 20% to 25% growth with more than 21% EBITDA margin for the financial year 2024.

With this, I conclude my remarks and request the moderator to open the floor for a question-and-answer session. Thank you.

Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Chirag Lodaya from Valuequest. Please go ahead.

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Chirag Lodaya:

Naresh Patel:

Chirag Lodaya:

Naresh Patel:

Chirag Lodaya:

Naresh Patel:

Chirag Lodaya: AMI Organics Limited

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My first question was on intermediate business. We grew around 5% and growth in this challenging environment etc., you already alluded to that. If you can just help us understand, what exactly led to this, is it more volume pressure, pricing pressure you are seeing or increasing competitive intensity in some of your products? Some color on that would be helpful.

So, the current market scenario is like this where the pharmaceutical market is a little bit growing, gaining traction, and is moving faster, against the other pharmaceutical API market worldwide. Our major business is in Europe for the regulated market and the generic market is based in Asia and mainly in India. Because of the current price decremental of the key raw material and because one of our customers has also started manufacturing in India, our domestic sales increased and overall, our domestic sale margin is 2% to 3% lower than our exports, so that has also directly impacted our margin. Whereas growth point of view, because the raw material price goes down, our topline is also decreasing as domestic is always spot basis. So, on the current raw material price, we have to take an order. So, this is the reason why it is a little bit on the lower side of growth compared to what we are expecting.

If I look at the remainder of this financial year, we are still confident of achieving 20%-25% growth. So from where are we driving this confidence, is it new product addition that will drive the growth or the existing product you will see a much better ramp-up in coming quarters?

The beauty of AMI Organics product distribution is that we have a versatile distribution. It is not impacting any product going down or any customer going down. So, one more thing is that there are a few products for which we have done validation and approvals in the last three years. Now it's becoming mature. We are expecting the order of that in Q2, Q3 and Q4. So t

hat will

bring us the new growth in our business. The current business is also having visibility which gives us confidence that we can still manage the 20%-25% and that is also one of the reasons that rather than giving a fixed number, we have given this range because we are expecting there will be a price pressure on the top line and that's how we have changed our guideline last quarter to about 20%-25%.

And sir this change in the mix which we have seen towards export versus domestic, is this going to continue for the remaining year or this was one off which has happened?

No, it will be changed back to normalization because of few of our long-term contract customer has shifted the production from H1 to H2 and that is the reason why our export was a little bit lower in Q1, but from H2, they will be incremental. So that will go back to our normal 60:40 or 55:45 like that.

On electrolyte, you have mentioned that we are very close to signing of the contract and the contract size would also be much larger than earlier anticipated. So, in this context, what kind of readiness do we have as we need to create capacities and it will also have some lead time? So, if you can throw some color on the kind of capacities we need to create and the kind of

CAPEX it will incur?

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Naresh Patel: So basically, right from the beginning, we are always saying that it is not part of our guideline and that was a statement we always stuck to. We were targeting IRA of the US liquid market and now we got it in these last two months, we had a very good development in that area. A large order customer is expected to visit our facility to place a large order and once it is done, then we will go for the large volume agreement, and we will start the supply. Regarding the capacity, yes, we need to have a larger capacity. Once we start, initially we start with a lower demand, and then slowly it will be picked up to the larger and for that, we may have to pick up additional capacity, which will be dedicated for the manufacturing side.

Chirag Lodaya: What could be the quantum of CAPEX?

Naresh Patel: It's very sensitive in terms of information and all. Hence, I'm not right now disclosing the fees, but as the time comes, we will give you all the information related to CAPEX, quantum, and all sets of future guidelines for the business.

Chirag Lodaya: Other expense was quite low in this quarter. What could be the reason for the same?

Bhavin Shah: In other expenses, as we have more domestic supply, we are able to save on export logistics. Also, we have changed the fuel at Jhagadia from A4 to Coal, which has given us some benefits as well as we were able to save something on our effluent treatment cost as well. Cumulatively, all this is giving us a better other expense.

Moderator: Thank you. The next question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.

Nilesh Ghuge: My first question is about our Fermion contract. As per our presentation that commercial production is expected to start from Q4F Y24. And correct me if I'm wrong. So we have contracts for three products, right, sir? And so out of these three products, how many products we are planning to launch from Q4 and what kind of revenue do you envisage from these contracts? Any color on this?

Naresh Patel: Let me correct that, first of all, let me correct that. We have a contract of one product. The other three are under approval and one, we are already supplying since the clinical trial. So only one, the final product contract we have, and then there are four intermediate goes in the final product out of that three we are developing. One is either they supplied or maybe some other indigenous company may be supplied to us. But the final product which we have done, the contract with them, it will be long term, 10 years contract with the Fermion.

Nilesh Ghuge: What will b

e the potential revenue in FY25?

Naresh Patel: Potential revenue, as per the agreement with them, we are not allowed to disclose the revenues. Similarly, what we have said about electrolytes because the company is very cautious about these figures. They don't allow us to disclose revenues and potentiality, but that will be sizeable

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Nilesh Ghuge:

Naresh Patel:

Nilesh Ghuge:

Bhavin Shah:

Nilesh Ghuge:

Bhavin Shah:

Moderator:

Sudarshan Padmanabhan:

Bhavin Shah:

Sudarshan Padmanabhan:

Bhavin Shah: AMI Organics Limited

August 11, 2023

from Q4 and it will mature by FY25. We have already received the commercial orders for supplying in Q4.

On our electrolyte additive business. I know that the ramp-up here also will be very gradual. So what kind of revenue do you envisage not just near term but 3 to 5-year perspective, I know that you are adding products also, but still, if you could throw some light on this?

The current development in the last 3-4 months, the current agreement and LOI signed etc, will be much bigger than what we are doing right now. I'm not guiding you. I'm not giving you any projections. But that would be as the expectation of the, we got the imports from some research, it will be much bigger than 2x or 3x bigger than what we are.

What was the revenue of our Baba Fine Chem during this quarter? How much revenue did we report?

We will disclose the number of Baba Fine Chem when we complete the transaction and merge it into our balance sheet.

This quarter number consolidated number does not include the Baba Fine Chemical number.

Yes, so this does not include Baba Fine Chem.

Thank you. The next question is from the line of Sudarshan Padmanabhan from JM Financial PMS. Please go ahead.

If I split the business into two parts, the Gujarat Organics, and the core business, we have been seeing improvement in Gujarat Organics. So, what are the margins that we are working today with and where do we see the margins by the end of this quarter and probably in FY25?

For specialty, the current margin is 11.1% and as we mentioned that will improve this margin by 50 to 100 basis points every quarter. We would like to take this margin up to 18%-19%, which is 3% to 4% lower than our peak pharma intermediate margin.

With respect to the pricing environments, what we are saying is I think in your opening remark, we talked about the deflationary environment. So, I am just trying to understand whether we are working on somewhat around EBITDA per KG basis or on EBITDA fixed margin basis. Just trying to understand whether, in a deflationary scenario, our absolute EBITDA outlook would change in any way.

EBITDA margin is the net outcome of everything. Primarily, as you know that for our export business, we have a long-term contract and domestic business works on a spot basis. So, it is not a thumb rule, that will fix a fixed percentage of EBITDA. It will depend on the product-to-product, and it will change based on the long-term contract and agreement with the customer.

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Sudarshan Padmanabhan:

Naresh Patel:

Sudarshan Padmanabhan:

Naresh Patel:

Sudarshan Padmanabhan:

Bhavin Shah:

Moderator:

Akul Broachwala:

Naresh Patel: AMI Organics Limited

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When we are talking about, this 20% to 25% growth, I mean it is quite heartening because your 9 months' growth should be at least 25%. Is it coming from your confidence on the Fermion contract which you are going to execute in the fourth quarter or is it more on some of the parts where you believe across the board, you're seeing a fair amount of growth coming in electrolytes, your base business in pharma intermediates as well as the Fermion contract, all the three put together?

Electrolyte business is not part of this growth, but yes, some portion is from the Fermion contract, portions where we we received approvals and formal commitment from the customer.

Based on that, we are right now guiding 20%-25% growth. For the time being, it is not necessary to revise the growth because we have one confirmation and one book, sufficient projections to reach, we had a discussion with our customer. If something changed, we would upfront come to you and inform you. But for the time being, we are confident that we will reach 20%-25%.

One final question before I join the queue is a little bit more from a strategy perspective on Baba Fine Chem, not necessarily asking the numbers but since this capability can be extrapolated in terms of newer avenues of growth, one is when can we expect visible numbers to start flowing through? And number two, what is the kind of quantum in terms of jump that we can expect from this business over two to three years?

Numbers will start coming in from the end of Q2 and the jump we will see in FY25.

In terms of the magnitude of numbers, would it be quite substantial to our size? I mean, just qualitatively trying to understand.

So right now, as we have not merged, we refrain to answer this question. But already we have mentioned what was last year's transactions and their growth rate.

Thank you. The next question is from the line of Akul Broachwala from Ocean Dial Asset Management. Please go ahead.

Two questions from my side. First on Ankleshwar CAPEX, so in terms of the contract with Fermion, can you probably share as to like how many lines or what proportion of the CAPEX that we're doing would be dedicated towards the Fermion contract? It's not looking for exact quantification, but qualitatively what portion of our capacity will get occupied because of that contract at Ankleshwar?

In Ankleshwar, we are within four blocks, out of that three are for manufacturing and one block for solvent recovery and hydrogenation. Out of these three main blocks, one block is dedicated

to Fermion, and rest two blocks are available for our future products as well as some other customers with whom we are in talks right now with similar kinds of arrangements.

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Akul Broachwala:

Naresh Patel:

Akul Broachwala:

Naresh Patel:

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Naresh Patel:

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Naresh Patel:

Akul Broachwala:

Naresh Patel:

Moderator:

Jason Soans: AMI Organics Limited

August 11, 2023

Basically, the kind of products that we are going to launch would be similar to what we manufacture today, is that understanding correct?

The CO2 blocks we are waiting for our future product coming into the pipeline as well as the opportunity to have a contract like Fermion this weekend. We are in discussion with a few of the customers.

In terms of CAPEX, are we progressing as per the timeline at Ankleshwar?

We are as per the timeline. There are certain delays because of the monsoon but we are expecting to catch it up in time.

On your comment that the expectations from the electrolyte, the customers are sort of getting ready for a larger LOI. So like what has really changed, is it purely based on volumes, or do you expect that the realizations eventually will be much better than what we would have estimated earlier?

Earlier, we were talking with the electrolyte formulator, now end customers of the battery are interested and they are signing the contract. It's a three-party or four-party agreement, is happening and we are having long-term signing supply contracts. So that's how supply chain establishment was happening. So once everything will happen, then we will commercially start. Considering these factors, how much like from our Jhagadia 500 tons do you expect like you mentioned that we can expect revenues to kick in from FY24 itself? So, do you expect at least that 500 tons to be sold out this year?

Yes.

Lastly just taking this question forward, we mentioned in our past calls that we are looking at a market share of 5% to 10%. So that would be roughly 10,000 to 15,000 tons. So like do you expect this initial phase of

investment to sort of move forward? Or do you still expect that this would be the initial size of the capacity that you would be adding up?

There are several things involved in this. If we do, very honestly, I'm saying that the quantity which I'm looking for in the past, maybe it will be violated and maybe go off or maybe it will remain at that size. So currently we are waiting for so many things which have to be concluded.

Thank you. The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

What's your outlook on the Spec Chem business? I know you have invested a lot in flow chemistry into various chemicals such as Methyl Salicylate and other avenues as well. Just

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wanted to understand from you on where you can see the specialty chemical business grow from here on?

Naresh Patel: So my point of view is specialty chemical business has good potential, but currently it has a bit of pressure from the international market, maybe from China, especially from agrochemicals and some color chemicals with high pressure from China. The company, which is working on technology aggregation, future innovations, and commanding cost-effectiveness, will grow in that. AMI Organics is continuously working. We had converted our methyl salicylate process from batch to continuous which has made us sustainable in this difficult period as well. Similarly in parabens also we are working with some innovative process which is bringing us a commanding position in parabens as well. And then we already introduced some new molecule segments like paint industries as well as some polymers, additives, and monomers, so that will bring us growth as well as our Specialty Chemical will be having a sustainable performance in

the future.

Jason Soans: On the advanced intermediate business from a Chinese perspective, do you see the competitive intensity increasing, and probably that's why growth moderated there in this quarter to some extent, is that also a factor? I understand you mentioned other factors such as lower raw material prices and lower prices, sluggish growth as well. So is the increase in Chinese competitive intensity also one factor for the moderated growth?

Naresh Patel: For the overall pharmaceutical market, yes there are some issues from China, but particularly for AMI Organics, mostly of our products we are dominating in the market. The growth is a bit retarded because of the topline price revision that is in the current market size, but that will be going back to the normalizations because sooner or later it will be going to the normal prices because the current raw material price will be giving us an advantage to our topline, so it will be reduced, we will improve our margins.

Jason Soans: On Fermion contract, of course, you have bagged that and that's a milestone for you. Any more color on how you can probably expand to other intermediates and expand the scope of the contract there?

Naresh Patel: So, the Fermion contract is a long-term contract. It requires a lot of regulatory approvals, and a lot of validations and it is not a one-day job, it will take time. The customer has to make their APIs, they have to make formulations that have to be approved worldwide. So, it will take time. But whatever good thing is that we achieved the first contract, which is a very large contract, which is the end product which is in 4 intermediates. Out of that, one we already making, three we are supposed to be supplying sooner or later when we do the validation. So, it will be a great opportunity for AMI Organics to add this new molecule to the portfolio.

Moderator: Thank you. The next question is from the line of Rikin Shah from Omkara Capital. Please go ahead.

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Rikin Shah:

Naresh Patel:

Rikin Shah:

Naresh Patel:

Rikin Shah:

Naresh Patel:

Moderator:

Gagan Thareja:

Naresh

Patel:

Gagan Thareja:

Naresh Patel: AMI Organics Limited

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At this point, the Specialty Chemical business is geared more towards parabens and Methyl Salicylate which is not very high margin at this point. So going forward, where are we in our journey to add more products which are more value-added?

Definitely, we are working on that, but we can't stop the current product and wait for the new product to kick in. So phase-wise program we had made where we will phase out the old product with a low margin thereby introducing the new product with a high margin.

So I'm asking that, so that sort of a blurry timeline would also help, broad maybe if you can share?

We are saying that we want to go to 19% EBITDA margin that cannot be achieved with these two products. So we have a one or two years program where we do improvement in the profit margin of the current activity product and also introduce new high-margin products. And we can utilize our capacity as well as the incremental revenue and EBITDA margin.

So my next question is regarding the electrolyte part of it. So considering the Inflation Reduction Act which we have spoken about before by the US government, so with the new contracts in electrolytes, are we expecting better pricing than current VC prices?

See, the pricing in China is with the benefit of the sales tax benefit and that is \$7-\$9. But if you add them then their commercial price, if they have to export, they have to export at around \$10, \$12, \$13. So, we take the price which we want to have a better price. And then because of the customer which you want to sell in the US or some the market in China, and they don't want from China. So that market we are targeting where we can get \$1 or \$2 better pricing than them. Thank you. The next question is from the line of Gagan Thareja from ASK Investment Manager. Please go ahead.

On your sales, is it possible to understand year-on-year how much would prices have gone down and how much would volume have moved up in your sales? Tonnage moved up and the price went down, if you could split the sales growth into that?

It is a detailed question; we can give you one-on-one if you want. There are some products which

are down. Because the number of products you told is 80-90 products, it's difficult to answer. But your input prices would also have corrected, key starting material prices have come down quite sharply. Is it possible to understand how much the KSM prices that you use would have come to now?

We import only very few percent 20%-28% total import, of all the total inventory. So that has not helped us. We do invest in a lot of our raw material in-house manufacturing and then we're losing out. So definitely there is some reduction there, but that reduction is the reduction of the

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Bhavin Shah:

Gagan Thareja:

Naresh Patel:

Gagan Thareja:

Naresh Patel:

Gagan Thareja:

Bhavin Shah: AMI Organics Limited

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commodity price is much higher. So that's how we have to adjust our prices for this. But if you want, we can give you the details on that. I think Bhavin can add to it.

We can connect separately, and we can provide you with that.

The final question is in the Fermion contract; another Indian Company is also being awarded a contract by Fermion. Just want to understand if it pertains to the same molecule, would you have any understanding of whether it pertains to the same molecule as the one that you are going to supply or is it a separate drug for which they'll be supplying?

Particularly, I don't know who has done the other contracts and legally I am not bound to talk about that. We got the contract; we got the orders, and we have sizable orders in our hand, and we will supply that product we take.

When you guide for that the topline that you're giving 20% to 25%. Does it assume any improvement in the prices of the products that you are now selling, I understand

that they are

depressed currently and that's not a sustainable phenomenon. But are you already presuming any change in them when you give the guidance or are you presuming that irrespective of what the current prices are, if that sustains, you can still manage that growth?

I tried to give my honest answer on that because whatever the commitment and projected requirement from our customers, what we have on hand, with that we will be able to grow up to 20%-25% growth in our revenue. Suppression in the topline maybe is another fleeting phenomenon, maybe it will be settled down and then it will be going up definitely because raw material prices will not be remaining at this level, and in that case, we can have an advantage of that, but we had considered all the projected forecasts that we received, what are the others we have in our hand and which are the new products which are going to be launching this year. Based on that, we have given our projection of 20%-25% of the growth in FY24.

On the pharmaceutical intermediate business, if I reference your last conference call, you indicated that in Q4 of last year, you exited at almost 23% margin if I remember it correctly and you indicated that for FY24, for the whole year you should be able to maintain that. I understand that things have changed, input prices have changed, and output prices have changed. But is it possible to sort of further break down your EBITDA or margin guidance and give us an indication of what you're looking for in terms of possible margins for this pharmaceutical piece specifically?

For the quarter, it is 20.2% for pharma intermediate and it should improve from here on what we achieved last quarter was what is the best quarter for us. So, it should steadily improve from here. On a yearly basis, we should say that we should improve 50-100 basis points from last year.

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Gagan Thareja: On the electrolyte business, I presume for the two products that you had earlier disclosed, you subsequently disclosed 2 more. But for the earlier two products, the prices have also moved and moved in a fairly volatile fashion. Given the current prevailing prices, would the margins on those products as and when the contracts are brought to fruition, would the margins compare and be like what you are being able to generate currently on an aggregate basis? Or would the margin profile there be very different from this?

Naresh Patel: No, the margin would be as we said our cost as equivalent as the Chinese cost. So the margin will be remaining as equivalent to or better than what we are doing right now.

Gagan Thareja: I'm sorry you were not very clear. Are you saying that the margins will be similar to what you're

doing currently?

Naresh Patel: Yes, or better than that.

Gagan Thareja: If I recall correctly, in Q1 of last year, Bhavin Bhai you indicated there were 70 lakhs sort of a nonrecurring or a one-off expenditure in the other expenses if I refer to the commentary then.

The numbers that you've currently given out are inclusive of that number in the other expenses.

Bhavin Shah: Yes. When you compare that so that one-off other expense of Q1 last year includes that number.

Gagan Thareja: Could you also give the FX variation, loss or gain for this quarter and for the comparable quarter last year?

Bhavin Shah: FX gain for the quarter is at 48 lakhs and it was negligible last year.

Moderator: Thank you. We'll take that as the last question. Thank you very much members of the management. Ladies and gentlemen, on behalf of Ambit Capital Limited that concludes this conference. Thank you all for joining us and you may now disconnect your lines.

(This document has been edited for readability purpose)

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Call: Nov 2023

40 Ami Organics Limited

CIN No. : L24100GJ2007PLC051093

Registered Office :- Plot No. 440/4, 5 & 6, Road No. 82/A, G.L.D.C. Sachin, Surat - 394230, Dist. Surat, Gujarat, India.

November 16, 2023

To, To,

The Corporate Relations Department, The Listing Department

BSE LIMITED, National Stock Exchange of India Limited,

Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,

Dalal Street, Fort - : G-Block, Bandra Kurla Complex,

Mumbai- 400 001 Mumbai -400051

Scrip Code: 543349 NSE Symbol: AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q2 FY24 financial results, held on November 9, 2023

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,

2015 we hereby enclose the transcript of the Earnings conference call held on November 9, 2023 post

announcement of financial results for the second quarter and half year ended on September 30, 2023.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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"Ami Organics Limited

Q2 & H1 FY24 Earnings Conference Call"

November 09, 2023

MANAGEMENT : MR. NARESHKUMAR R. PATEL – CHAIRMAN &
MANAGING DIRECTOR

MR. BHAVIN N. SHAH – CHIEF FINANCIAL OFFICER

MODERATOR : MR. PRASHANT NAIR, AMBIT CAPITAL PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to Ami Organics Limited Q2 FY24 earnings conference call hosted by Ambit Capital.

As a reminder, all participants' lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prashant Nair from Ambit Capital. Over to you, sir.

Prashant Nair: Good afternoon, everyone and welcome to the Ami Organics' Q2 earnings call. We have with us, Mr. Naresh Patel – Chairman and Managing Director and Mr. Bhavin Shah – CFO of Ami

Organics. I will hand over the call to Bhavin for his opening remarks.

Bhavin N. Shah: Good afternoon, everyone. We are pleased to welcome you all to our earnings conference call to discuss Q2 FY24 financials. Please note that a copy of our disclosure is available on the investor section of our website as well as on the stock exchanges. Please do note that anything said on this call, which reflects our outlook towards the future, or which could be construed as a forward-looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transcript along with the audio of the same will be made available on the website of the company and exchanges. Please also note that the audio of the conference call is the copyright material of Ami Organics and cannot be copied, rebroadcasted, or attributed in press or media without specific and written consent of the company.

With that, I would like to hand over the floor to our Chairman and Managing Director, Naresh Patel, for his opening statement. Over to you, Sir.

Nareshkumar R. Patel: Good afternoon, everyone. I hope you all are doing well. A warm welcome to our Q2 FY24 earnings conference call. As we complete the first half of FY24, the global economy seems to be turning the corner. Despite persistent higher levels of inflation, there are emerging signs of inflation rates cooling in the coming quarter. Traditionally, a resurgence in demand is occurring in a wave of growth, which bodes well for the global economic outlook. Even as things seem to be swinging in the direction of the economy, geopolitical tensions continue to cast a shadow of uncertainty subtly impacting industry trends.

Turning our attention to the industry landscape, there remains a consistent oversupply from China across the chemical value chain. This has led to a decline in raw material costs exerting downward pressure on the pricing of the finished goods across the industry. Even as things seem to be improving, Chinese production continues to outpace demand. That said, we are starting to see a promising contraction in demand and supply gap. Consequently, there is a cautious stabilization in raw material prices. This external environment did have some impact on Ami

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Organics' performance for the quarter. In Q2 FY24, we delivered Rs. 172 crores revenue from operations, which is 17% growth over the same period last year. While we were expecting higher growth this quarter, pricing pressure marginally scaled back the growth. In terms of margins, higher sales, lower margin products, and persistent pricing pressure throughout the quarter adversely affected our margins for the quarter. Nevertheless, with a clear order book in hand, we anticipate stronger performance in the second half of the year. I will let Bhavin discuss the numbers in detail later.

Moving to the business update, let me begin with the advanced pharmaceutical intermediates business. We faced pricing pressure that affected the business. Still, we were able to deliver 8% growth ye

ar on year. Additionally, the launch of one of our key products has been delayed by our customers, thereby impacting this quarter's growth. However, this is only deferred revenue that is expected to be realized in either Q4 FY24 or Q1 FY25. This is, again, one of the reasons for lower margins for the quarter, as this is a very high margin product.

On the Fermion deal, we have further extended the partnership with Fermion by adding one more advanced intermediate to our basket. We now have a total of 3 advanced intermediates for their product, which increases the total expected revenue considerably from this CDMO contract. For the previously signed advanced intermediates, we have already received the order and we will start shipping them out from the Ankleshwar facility from Q4 FY24. This will gradually translate to the revenue starting from Q4 FY24.

Coming to the specialty chemicals business, we have introduced one more product, UV absorber, for the paint industry. I believe we will see revenue from this product coming into the numbers from Q3 FY24 onwards. For the existing products, the volume growth was good, but pricing pressure continued to be there. Overall, the specialty chemicals business still delivered a strong 72% growth on a year-on-year basis.

Moving on, we continue negotiations with prospective customers in the electrolyte additive business. We are hoping to convert a couple of prospects in the current quarter.

Turning to our acquisition of Baba Fine Chemicals, we completed the acquisition of controlling partnership during the quarter. The firm is set to be succeeded by the newly incorporated entity, Baba Advance Materials Limited. It is important to note that the majority of H1 FY24 was dedicated to completing the acquisition followed by an integration process that, to some extent, impacted operations of Baba Fine Chem. Despite these operational challenges, we are committed to preserving the company's last year's revenue and we are poised for exponential growth in the forthcoming years.

Before I conclude, I would like to highlight that in our journey towards becoming a sustainable organization, the Board of Directors have approved a 16-megawatt captive solar power plant

project entailing a CAPEX of somewhere around Rs. 65 crores to Rs. 70 crores. If you recall,
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we had already announced a 5-megawatt solar power plant previously and installation work for the same has commenced. This is expected to conclude by the end of this financial year. The new 16-megawatt solar power plant is in addition to the already work-in-progress 5-megawatt solar power plant. And I believe all this will help us nullify our electricity expenses once operational. Broadly speaking, deferment in product launches in certain markets by customers coupled with pricing pressure due to oversupply from China is expected to have some impact on the numbers. And even though we are expecting to deliver a robust H2 FY24, overall, we are modifying our growth target from 22% to 25% for the full year to 18% to 22% growth from FY24.

With that, I request our CFO, Mr. Bhavin Shah, to discuss the financials with you. Over to Bhavin.

Bhavin N. Shah: I would like to briefly touch upon the key performance highlights for the quarter and half year ended 30th September 2023. And then we will open the floor for questions & answers. I will begin with quarterly updates. Revenue from operations for the quarter was at Rs. 172 crores, up 17.3% as compared to Rs. 147 crores in Q2 FY23. The gross profit for the quarter was Rs. 71 crores, which was flat when compared to the same period last year. The gross margin for the quarter was at 41%. There are a few reasons for lower gross margins. Let me discuss them in detail. Starting with the inventory, we had some high-cost inventory coupled with lower finished goods price put pressure on gross margin. I would like to highlight that this impact was

particularly for this quarter. And we will see our margins going back to previous levels from Q3 onwards as raw material prices have now stabilized. Another reason for lower gross margin was also our product mix. If you notice, the majority of sales for the quarter was to the domestic market. It is always 2% to 3% lower business. Also, if you see the specialty chemicals business, which is a low-margin business, has grown strongly during Q2, which also contributed to lower gross margin for the quarter.

Moving on to EBITDA for the quarter, it was at Rs. 25 crores, down 11.8% as compared to Rs. 28 crores in Q2 FY23. EBITDA margins for the quarter were at 14.4% compared to 19.1% in Q2 FY23. The degrowth in EBITDA margin was driven by gross margin as well as higher employee cost due to annual increment, ESOP cost, and hiring of employees for Ankleshwar factory. There was also a one-off cost due to machinery breakdown during the quarter, and this has led to pressure on EBITDA for the quarter. PAT for the quarter was negative Rs. 17 crores. Please note that JV with Ami Oncotheranostics was fully impaired on the grounds that it would take significant time to generate revenue due to its inherent long-term nature of its research activity and uncertain success rate, which resulted in negative PAT for the quarter. Adjusting for the impairment, PAT for the quarter Q2 FY24 would be at Rs. 14.7 crores.

Moving on to H1 FY24 updates, revenue from operations for H1 FY24 was at Rs. 326 crores, up 17.3% as compared to Rs. 278 crores in Q2 FY23. Gross profit for H1 FY24 was at Rs. 144 crores, up 7.3% on YoY basis. The gross margin for H1 FY24 was at 44.3%. EBITDA for H1

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FY24 was at Rs. 59 crores, up 15.2% as compared to Rs. 51 crores in H1 FY23. EBITDA margins for H1 FY24 were at 18%. PAT for H1 FY24 was at Rs. 5 crores, whereas adjusting the exceptional item, PAT for H1 FY24 is Rs. 37 crores. Export for the quarter was at 54% whereas the domestic business was at 46%.

Coming to the balance sheet, we have cash and cash equivalents of around Rs. 104 crores on consolidated basis as on 30th September 2023. CAPEX outlay for H1 FY24 was Rs. 105 crores. We are on track to operationalize block 1 in Ankleshwar unit from early part of Q4 FY24 and we hope to update CAPEX of remaining 2 blocks by end of Q4 FY24. Therefore, from FY25, we are expecting the full Ankleshwar block to come online.

Coming to working capital for half year, improvement in debtor days and better payable cycle helped ease our working capital leading to net working capital days of 100 days, an improvement of 16 days over 31st March 2023. Overall, as Naresh bhai mentioned, we have a strong order book for H2 FY24, and therefore, we should see strong recovery on sequential basis in the coming quarter. With this, I conclude my remarks and request the moderator to open the floor for a question & answer session.

Moderator: We will now begin the question & answer session. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Sudarshan Padmanabhan from JM Financial PMS.

Sudarshan Padmanabhan: My question is to understand a bit more of what is happening in the industry. You had mentioned in the presentation and as you have talked about the downward pricing pressure and China coming and dumping the prices, in your expectations, do you see this to be more transitional in nature or does it change something beyond the transition for the next couple of quarters. I just want your opinion on that.

Nareshkumar R. Patel: Basically, in the model of Ami Organics business, there is not much of a great impact of Chinese competitors. But the problem here is that our product competitors got cheaper raw material and that has quoted in a lower price to the customers. Domestic, where the spot business is t

here

based on the current price, whereas we have the long-term at least 1 or 2 quarter stocks was there. That has impacted us to get the orders at a lower price compared to our cost. That is how our top line is compromised. This happened in the last quarter and before that quarter. But now we understand that, and we have already informed the customer of the same thing. And from here onwards, we see that it will not impact us wrongly, and we will be recovering in our positioning in the market with our own margins as well as price. We are reducing our inventory in terms of domestic requirements.

Sudarshan Padmanabhan: In terms of gross margin, you said there has been a mix impact and high-cost inventory. Two things here. How much of high-cost inventory are we still left with? And how do we see the

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recovery? Should it be a sharp recovery back to the 48% or would it be more gradual, over the next couple of quarters?

Nareshkumar R. Patel: High-cost inventory is not related to quote like that, but it is related to the spot business as well as short term only. So, it will very drastically go back to 48% in the next couple of quarters. That is already in line, and it is implemented like that.

Sudarshan Padmanabhan: On the Fermion contract. Now that we have signed a newer product. We are expanding our relationship here. How do we see the launches and the scale-up happening, in FY25 and beyond?

And are we also looking at more such contracts with Fermion or even with other clients which we want to forge in and give more visibility to it?

Nareshkumar R. Patel: In our business plan and the relationships we have with the innovators, out of them one is Fermion. You can see also in the last 1 year, we have signed 3 contracts with them for multiple supply of different intermediates, and it is ongoing, and we are expecting a few more in the pipeline. And in that sense only, our new project which we are establishing in Ankleshwar, we are going to be inaugurating this facility in mid of December. Once it will be ready, then we have another few contracts with other clients as well in the pipeline in discussion. It will also be coming in the basket.

Sudarshan Padmanabhan: Now that Baba Fine Chem is in, basically the Advance Materials, and this is also going to be formed, on this exciting platform of electronics, how do we see the shape-up happening here? I am talking about more so from a 2-3 years' perspective.

Nareshkumar R. Patel: Baba Fine Chem is a statutory acquisition. This is in two ways, a niche market, a very strong position in the market in photo resistant chemicals as well as it can also be helpful for our other electronic chemicals business where we can use the Baba Fine Chem technology. It has a strong position. It has multiple products which are already developed in the system and yet not commercialized. With this joint venture, we will be trying to promote this molecule in the Rest-of-the-World market. And this is how we are targeting to grow the business in Baba Fine Chem in the semiconductor business.

Moderator: The next question is from the line of Ms. Dhara.

Dhara: Where is this pricing pressure specifically on our advanced intermediates portfolio? If you could throw some more light where we are facing problems here?

Nareshkumar R. Patel: In pharma, our main business is only in the advanced intermediates pharma applications. Overall pricing pressure was somewhere around from 10% to 30% based on the commodity. It's from (n - 10) to (n - 1) like that. Overall, it has been our EBITDA margin pressure of somewhere around 6% to 7% on total because as long-term supply contract is also related to the key raw

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material price variation. That has also impacted on the current price of raw material and that has revised the purchase order. This is how it has happened.

Dhara:

What would be the margins for both the segments, pharma intermediates and specialty chemicals, for the quarter?

Bhavin N. Shah: Specialty, it was 9.5%. And pharma intermediates, it is 11.25%.

Moderator: The next question is from the line of Karthik Iyer an individual investor.

Karthik Iyer: I just wanted to know the jump in the cost of RM and the change in work in progress. Because, it has gone up maybe 2x to 2.5x QoQ and YoY. Is that because of the acquisition of Baba Fine Chem or is it just pricing pressure from China and headwinds that you experienced this quarter?

Bhavin N. Shah: RM, when we compare on QoQ basis, it has moved from Rs. 78 crores to Rs. 100 crores. And we explained, this is mainly due to change in the product mix and higher sales of our low-margin specialty products. There is pricing pressure in pharma. So cumulatively, change in product mix, higher sales of specialty, and there is a pricing pressure. This has changed our raw material cost.

Karthik Iyer: How much CAPEX have we done for the year and how much is left for the balance of the year?

Bhavin N. Shah: Till now, we have done around Rs. 104 crores of CAPEX and another Rs. 100-110 crores will be coming by the year-end.

Karthik Iyer: Has there been any traction with regards to the electrolyte business and where do we stand on that?

Nareshkumar R. Patel: In the electronic business, we are now in a good position. In this quarter, we will begin our production. We have already placed an order for the raw materials, and we are looking for supply starting from Q4. Once we start our production, we will announce the supply. All the audits and everything is finished by the customers and now we have got the greenlight to go ahead for the production. The first trial order is already confirmed but production will start once we get the raw material in our warehouse.

Karthik Iyer: Ankleshwar will start ramping up from March, I assume.

Nareshkumar R. Patel: No, Ankleshwar will be inaugurated by mid-December, and it will be ramping up by January. First, we will start with the products which are qualifying. It is validation of the facility. So, we will start production from January for the validation batches and then on full-fledged basis it will start by Q1. But Q4, Ankleshwar will start contributing to revenues.

Moderator: The next question is from the line of Rikin Shah from Omkara Capital.

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Rikin Shah: I just wanted to ask, in the last 3 months, what impacted the base business of advanced intermediates so drastically? I know you expanded on the RM pressure, but did we lose market share by any chance in some of the products?

Nareshkumar R. Patel: No. If we lose the market share, then we will not be growing. To avoid losing the market share, we compromise on the top line, and this is how we maintain the market share. The volume is already there. Only to remain as the market leader, we have to compromise on the top line. That is the reason why the raw material prices you see is a little bit higher.

Rikin Shah: In terms of the UV absorber product, which you have mentioned, can you please give some details into the size, nature of the product, and margin profile? How different is the margin profile from your paraben and salicylic acid?

Nareshkumar R. Patel: The UV absorber is not for regular paint which we use in the household. It is used in metallic painting which is for the automobile. It is a new product which is developed by Swiss scientists, and we have a collaboration with them. This application is used by worldwide automobiles, and they have a very good presence. These scientists are well known in this industry. We have finished the validation batches and we already supplied a few quantities to them for distribution. Once it will be approved by everywhere, we will be expecting somewhere around 600 to 1,000 metric tons of business on this. The margin

will be similar to what we are saying in the specialty chemicals segment of 18% to 19%.

Rikin Shah: In terms of your Fermion contract, your basket of products has increased. I know you cannot comment in terms of value, but if in percentage terms with 2 molecules, you had X amount of value. So, with the 3 products coming in, how much the percentage of value would have increased?

Nareshkumar R. Patel: It will be increased but the exact number I can't disclose because both are listed companies and it is part of the contract. So, I can't disclose the numbers, but definitely it will be higher than what we have today.

Rikin Shah: Percentagewise if you can share?

Nareshkumar R. Patel: I have not actually worked on that.

Rikin Shah: In the electrolyte business, you mentioned about Q4 being the start of the supply. What I am trying to understand is the LOI was signed much before and now the execution will start. Is that what you said earlier for electrolytes?

Nareshkumar R. Patel: We sign so many LOIs, but LOI is not valued. That's why we don't disclose it. Once if there is some affirmation or valued quantity or something like that, then we disclose that. Now, we are in the stage of converting these LOIs into firm contracts. Before converting into firm contract,

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the customer has visited and audited our facility in the last 2-1/2 months. We were having a lot of inspections in the facility, and it went well. Now we got a greenlight to go ahead for the production. That's how we ordered the raw material from the supplier. And once it will be in our warehouse, we will start the production.

Rikin Shah: This is the first trial production is what you are saying?

Nareshkumar R. Patel: Yes.

Rikin Shah: The Fermion contract in the presentation you have mentioned will start from Q4 FY24. How would that scale up gradually? If your contract is for, let's say, 100 tons, for example, then how do you scale from Q4 FY24 onwards?

Nareshkumar R. Patel: First is the qualification in Q4, where we do some validation batches which would be used by Fermion to make further synthesis and then final formulation. Once the approval will come from the final regulatory authorities, then it will be ramped up. FY25 will be the year where we will have all the qualification stages everywhere, and then FY25 second half, it will be fully ramped up.

Rikin Shah: Full utilization in the second half of FY25?

Nareshkumar R. Patel: Yes.

Rikin Shah: Now that Baba Fine Chem is integrated, now what do we see? We have the long-term guidance of taking it to Rs. 200 crores. But just sort of a myopic question for H2 of this year, are we seeing any scale-up over there?

Nareshkumar R. Patel: This year is a consolidation and integration year where we do all the integrations, transferring our system there, digitalization and customer approvals because there are management changes. Customers need to also give some approvals for management changes. That's the reason why this year is a little bit on the muted side, but from next year, it will be ramped up very exponentially.

Moderator: The next question is from the line of Nilesh Ghuge from HDFC Securities.

Nilesh Ghuge: If I look at the chemicals business performance in the first half of FY24, it has shown very robust performance. This quarter also, if I knock off your subsidiary performance, the YoY growth was 32% and 1Q it was 25% YoY. Do you think that this kind of growth will sustain for next few quarters in chemicals business excluding the subsidiary performance?

Nareshkumar R. Patel: When the base is small, the growth is very high, but when the base is becoming sizable, the growth will be reduced. Anyway, we are targeting to at least 2.5x our specialty segment in the next couple of years and that is where we are marching towards. And you can see the

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performance is coming in specialty chemicals and now every segment is recognizing and approving us. We are having some big numbers under negotiations with big buyers. If it will be happening in the next couple of weeks or maybe we will make an announcement, then you can see that yes, it will be really a good move in specialty chemicals as well.

Nilesh Ghuge: And still you have reduced your revenue growth target for this year from 25% to about in the range of 20%. Is it only because of the advanced intermediates or also because of the muted performance in your subsidiary company?

Nareshkumar R. Patel: This has nothing to do with anything about our projections or our growth or our volume. This is really because of the top line erosion. At the end of the day, your revenue growth is based on the top line, and this is where the price is eroded on the sale side. That is the reason why this target is revised. Our volume will definitely grow at 20% to 25% and it will remain like that. It will be only because the value of the sales is eroded. That is the reason we revised the number. It may go up if the situation will go from right side.

Nilesh Ghuge: In your opening commentary, you did mention that the volume growth was very strong in FY24 first half but because of the prices, there is a decline in the top line. But can you quantify to some extent how much was the volume-driven growth and how much was the impact because of the realization?

Nareshkumar R. Patel: Right now, it's not on my hand. But I can give it to you one-on-one whenever you are free.

Nilesh Ghuge: Last quarter, our exports were about 39% of our top line. And I believe in the last quarter, that number excludes the export from Baba Fine Chemicals. Now, you have restated your numbers for the previous quarter. If you could help me out and get the exports for the last quarter.

Bhavin N. Shah: Export last quarter without Baba was 37%. Again, I need to work with Baba. So, I can come back to you with that number separately.

Moderator: The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: I just would want to know that because the majority of our business would be contracted for our advanced pharmaceutical intermediates, but just as a percentage, how much is contracted, or do we do some kind of spot business as well?

Nareshkumar R. Patel: Our most of the export business is contracted and domestic business is fully spot business. Not

only that, some of the new molecules which we are working with in export as well is spot like. Our regular businesses like our business with Angelini and Fermion and Medichem, these all are with the contract signed but with the relation with the price of the raw material.

Jason Soans: As a percentage, how much would it be roughly?

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Nareshkumar R. Patel: It will be somewhere around 30% to 40% of the revenue of the advanced intermediates.

Jason Soans: 30% would be spot?

Nareshkumar R. Patel: 30% to 40% depending on the product mix.

Jason Soans: 30% would be spot of the advanced pharmaceutical intermediates, right? And 60% contract?

Nareshkumar R. Patel: No, 40% is contract and around 50% is spot.

Jason Soans: Of the advanced pharmaceutical intermediates?

Nareshkumar R. Patel: Yes.

Jason Soans: I just would want to know, of this business, how much it exports to the Chinese competitors? Of course, we know that the Chinese also are very large players in intermediates. How much of your portfolio is basically exposed to Chinese competitors? As you had mentioned that you were facing price erosion due to pricing pressures, how much of this is exposed to Chinese competitors?

Nareshkumar R. Patel: There is no Chinese competitor issue. It's our local competitor who knows what price we are selling from the data available in the export, which is a very bad thing and then they don't have a contract

; so, they have spot price. Based on that, they quote on a reduction in the price with our customer. Customer is using it as a platform to negotiate with us.

Jason Soans: Just to clarify you did mention in the call before, pricing pressure was 10% to 30% that led to EBITDA decline of 6% to 7%. Whatever your long-term contracts are, due to the prevalent spot prices which are reduced, they have been renegotiated and hence there is a pressure on margins. Is that right?

Nareshkumar R. Patel: Yes. In the next quarter, it would have been already discussed during this 1 to 1-1/2 months and it is recovered everything in that sense.

Jason Soans: I just want to mention your Ankleshwar capacity, I believe you have invested around Rs. 190 crores, close to that, with an asset turn target of around 3x to 3.5x. This Ankleshwar facility you had acquired from Gujarat Organics. I understand that a certain portion is allotted to the Fermion block and there is a certain portion probably you will be doing specialty chemicals as well. Could you just give me a breakup as to what revenue can you generate in what segment? What are you looking for? What's the total plan for the Ankleshwar capacity?

Nareshkumar R. Patel: Ankleshwar is not for specialty first of all. It is only for pharma. There are 3 blocks. Out of that, 33% capacity we had allocated to Fermion which is fully booked. And we still have 66% capacity free for us which will be fulfilling our future demand till FY27.

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Jason Soans: And that's totally for API with the advanced pharma block?

Nareshkumar R. Patel: Yes, this Ankleshwar facility is only for pharma.

Jason Soans: You said your business in terms of 40% is contract and 50% to 60% is spot in your advanced pharma intermediates, right?

Nareshkumar R. Patel: This is a product mix. We have a lot of products. So, it will vary. This quarter is like this, next quarter may be changed.

Moderator: The next question is from the line of Dharmil Shah from Marcellus Investment Managers.

Dharmil Shah: On the Fermion component. I believe we would be supplying 3 intermediates to Fermion. One we are already started, and if you could just give some timelines about the other 2 intermediate products? When could we start commercially supplying these 2 remaining intermediates?

Nareshkumar R. Patel: We are going to start validations of the other 2 intermediates in Ankleshwar facility in the 2nd half of December, and it will be supplied for validations to Fermion in Q4 FY24.

Dharmil Shah: Both the 2 intermediates or just the second one?

Nareshkumar R. Patel: Both. It is a program like that. It will be validation, then commercial supply will be starting in H2 FY25.

Dharmil Shah: As far as your domestic business is concerned, you mentioned there were some price cuts by the domestic competitors. But I just wanted to understand more on that. Your customers who would have named you in the business filing, then how would they switch to your peers?

Nareshkumar R. Patel: It's very simple. It's a buyer and seller. A reference price is used to negotiate. That's it.

Dharmil Shah: Just wanted to understand if there is any lock-in in the domestic business we are present in or is it purely based on the price?

Nareshkumar R. Patel: We know that we are part of the DMF, but we don't know who the other part of the DMF is.

They use the reference price. What we have done is that we have not lost the business. Though we compromised a little bit in the margin, but we get the business. That is what we have done in the last quarter.

Dharmil Shah: How did we account for the Baba Fine Chem acquisition? There is still goodwill increase in the balance sheet. And how much would be the corresponding asset increase?

Bhavin N. Shah: For Baba Fine Chem, our investment value is around Rs. 68 crores. And after getting real asset from there, our goodwill is around Rs. 54 cr

ores.

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Dharmil Shah: So, asset increases would be around Rs. 68 crores, right?

Bhavin N. Shah: Yes.

Dharmil Shah: And if you can just maybe give the breakup for this Rs. 68 crores? What would be the key assets?

Bhavin N. Shah: We have paid Rs. 68 crores as an investment value and there is a corresponding goodwill of Rs. 56 crores. After removing assets and liability from their existing balance sheet, this goodwill has been created. It includes fixed assets, it includes some of the debtors over there, minus creditors, and other liabilities.

Dharmil Shah: What is our revenue recognition policy for the export business? Do we recognize once we ship the products from here or do we recognize on the date when the customer receives your products?

Bhavin N. Shah: Primarily, we completely follow IndAS-115. And it will depend – FOB, CIF, Incoterms. When we pass on the liability, at that point in time, we recognize this according to IndAS.

Dharmil Shah: If I see the inventory days, they have almost increased from 100 days to 145 days. Any possible reason why is it the case?

Bhavin N. Shah: We have now stocked up inventory specifically for the Fermion contract. There is a strategic inventory built up for upcoming supply to Fermion. That's why you can see a rise in the inventory days.

Dharmil Shah: 145 days would not come down significantly or would remain the same for coming quarters?

Nareshkumar R. Patel: Strategically, we need to because validations must be started on time and it has to be met. Otherwise, you will miss the qualification window in the authorities. This window is open for a very short time. We have to be ready for everything.

Moderator: The next question is from the line of Nirali Gopani from Unique PMS.

Nirali Gopani: Naresh bhai, most of my questions have been answered. Just a question on this write-off that we have taken. Why a sudden decision to write-off? And just a little bit of more background will be helpful.

Nareshkumar R. Patel: In the early stages of evaluation, we had done a one-off investment in a drug discovery platform, and Ami Organics came into existence in partnership with Photolitec. The focus of the JV was to work on small oncotherapeutics and it went very well. The JV has done good in PET scan, and it moves to phase II now 1 molecule and one is phase I. But our main focus is in our chemistry area. And the drug discovery is not a cup of tea for Ami Organics, and once we have seen that, it's moving very sluggishly. So, we decided to not to have more carryover of this investment. And during the public offering also, we said that we are considering this company

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as just a side investment and so we decided to focus more on our current chemistry and over the investments which we are focusing more to grow that. We decided to write-off this investment.

Moderator: The next question is from the line of Kalpit Narvekar from EFG Asset Management.

Kalpit Narvekar: Sir, my first question was on the inventory levels. Some of the API manufacturers commented that there are elevated inventory levels. Are you seeing that in your customers?

Bhavin N. Shah: Kalpit, as I answered earlier, our inventory levels for the current quarter are on a higher side because there is a specific buildup of inventory for the upcoming Fermion contract.

Kalpit Narvekar: The customers who you sell the pharma intermediates to, are those customers having elevated inventory levels? Are they having high inventory therein?

Nareshkumar R. Patel: We don't know that actually.

Kalpit Narvekar: It could be due to some sluggishness in the demand maybe?

Nareshkumar R. Patel: No, if demand is the issue, then we should not be having a top line incremental. Demand is not an issue for us from our customers. Yes, there is a request of price negotiation, but demand is still there

e.

Kalpit Narvekar: My question is basically what is your manufacturing cost difference compared to Chinese suppliers in some of your key molecules?

Nareshkumar R. Patel: The manufacturing cost, our technology, and our approvals, these are the 3 factors which are

making us different than the Chinese manufacturer. In our top 10 products which are contributing to our revenue, we are dominating against China and that is cumulative of our production capability, our documentation and approvals, and above all is our positioning in the DMF as well.

Kalpiti Narvekar: In your top 5 molecules, are you seeing a lot of Chinese supply coming into the market? And can you talk a little bit about near-term trends on this? Is it improving in the last month or so or is it getting worse?

Nareshkumar R. Patel: Our top 5 products are mainly trazodone, dolutegravir, rivaroxaban, and entacapone. They all consistently are performing at the growth and still in the same situation. We don't see any issues in the final product. But there are some pressures, maybe from the raw material side because raw materials are common and maybe some competitor is using this raw material as a cost, and it will be impacting on our final product price.

Moderator: The next question is from the line of Nilesh Ghuge from HDFC Securities.

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Nilesh Ghuge: Sir, just one follow-up on Baba Fine Chem status. As you said that in the next 4-5 years, our top line may go to Rs. 200 crores to Rs. 250 crores, but looking at the current assets and the current chemistries, do you expect that our revenue will go to normalized level of FY23 in maybe the second half of FY24 or it will take more quarters to reach to that level? At least FY23 level?

Nareshkumar R. Patel: FY25 will be better than FY23 levels. FY24 will be the muted one. FY25 will be better than FY24.

Moderator: The next question is from the line of Suraj Nawandhar from Prithvi Finmart.

Suraj Nawandhar: Sir, are we in talks with our customers for the rest of the 66% capacity that we have at Ankleshwar facility?

Nareshkumar R. Patel: Yes, we have some pipeline discussions with other customers for exclusive manufacturing for them.

Suraj Nawandhar: When can we see any concrete agreements regarding that capacity?

Nareshkumar R. Patel: It will come when it will be matured. We are talking with them; we are in the process of qualifying our samples and everything. Once it will go through, then we will announce, but we are working on that.

Suraj Nawandhar: I was just asking for a very rough timeline; 4 to 6 months or 6 to 8 months. Any ballpark timeline if you can give.

Nareshkumar R. Patel: Our ballpark is not on the contract basis, but we are targeting to operate at full capacity by FY27.

Suraj Nawandhar: How big is the opportunity in our new product that we have launched – the UV observer? How big is the opportunity over there?

Nareshkumar R. Patel: It will be equivalent size of current base of Gujarat Organics.

Moderator: The next question is from the line of Gagan Thareja from ASK Investment Managers.

Gagan Thareja: Sir, the first question is on the impact of the delay in the launch of the product from one of your customers. Can you enumerate on what was the impact for the quarter and how has the product been delayed?

Nareshkumar R. Patel: The thing is that one of the products which is going to be off-patent by '26, and one of our first-to-file generic players with whom we are working, he had qualified us since, 10 years back. We started supplying this molecule expecting that they will get the approval in several geographies, but the originator sewed them and they won one territory but they lost second territory. And because of the lost battle, the flow which had to go had to be retarded. It will be postponed by

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the next year. So, by FY25, it will

I be once again in a full phase. So, these 3 quarters Q2, Q3, and Q4, we have a little bit on a muted side of the sale of that product.

Gagan Thareja: Is it possible to tell which product this is?

Nareshkumar R. Patel: I can tell you, but I am not allowed to do that because we have some long-term supply agreement with them. It is a very big product for us and an important product for us.

Gagan Thareja: Is it in the anticoagulant?

Nareshkumar R. Patel: Yes.

Gagan Thareja: Secondly, I think you also mentioned that there was an impact of machinery breakdown. How much was the impact of the machinery breakdown on outside?

Nareshkumar R. Patel: It is this machinery breakdown in terms of waste management area. We have an approval from the Government of Gujarat Pollution Control Board that if we have a breakdown, we can dispose of it to the common effluent treatment plant. So, some quantity we had to treat at an outside territory. Because of that, some incremental cost has impacted on the balance.

Gagan Thareja: When you reported Q1 last quarter and now when you are reporting Q1, there is a restatement

for Baba Fine Chem. Can you give the contribution of Baba Fine Chem to the top line and net profits in both Q1 and Q2?

Bhavin N. Shah: For Baba, Q1 top line was Rs. 11 crores. And for Q2, it is Rs. 9 crores.

Gagan Thareja: And net profit?

Bhavin N. Shah: For Baba Fine Chem, net profit is around Rs. 14 crores.

Gagan Thareja: For H1?

Bhavin N. Shah: Yes.

Gagan Thareja: Rs. 14 crores net profit on Rs. 20 crores top line?

Bhavin N. Shah: Yes.

Gagan Thareja: I am saying if you adjust for the write-off that you have taken and just look at the recurring profits without the write-off and you look at the tax rate both for the quarter and for 1H, it seems that the tax rate is higher year on year. I am just trying to understand have I got it correct? And if so, then what is the reason for the higher tax rate?

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Bhavin N. Shah: Gagan, tax rate is the same. We will not get any deduction for this write-off. On consolidated basis if you are saying that there is a different tax rate for Baba.

Gagan Thareja: What is the tax rate for Baba?

Bhavin N. Shah: It is currently a partnership. So, it will be done based on the applicable rate for partnership, which is on a little higher side.

Gagan Thareja: Is it possible to understand the breakdown of the top line growth in terms of volume growth and what has been the price impact on the top line? Just to understand volume versus value how it is?

Nareshkumar R. Patel: In a broader way, it is between 6% to 7% on the EBITDA margin. On the retail breakdown, we can provide you one-on-one when we meet.

Moderator: Ladies and gentlemen, due to time constraints, we will not be taking any further questions. I would now hand the conference over to the management for the closing remarks. Over to you, sir.

Nareshkumar R. Patel: Thank you Ambit team for hosting our conference call. Thank you everyone for your patience and we hope we have been able to answer most of your queries. If we have missed out on any of your questions, kindly reach out to our IR advisor E&Y and we will get back to you offline.

Thank you very much and have a good day and Happy Diwali and Happy New Year to everyone.

Moderator: On behalf of Ambit Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

(This document is edited for readability purpose)

Call: Feb 2024

40 Ami Organics Limited CIN No. : L24100GJ2007PLC051093

Registered Office :- Plot No. 440/4, 5 & 6, Road No. 82/A, G.I.D.C. Sachin, Surat - 394230, Dist. Surat, Gujarat, India.

February 16, 2024

To, To,

The Corporate Relations Department, The Listing Department
BSE LIMITED, National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,
Dalal Street, Fort G-Block, Bandra Kurla Complex,
Mumbai- 400 001 Mumbai -400051

Scrip Code: 543349 NSE Symbol: AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q3 FY24 financial results held on February 12, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on February 12, 2024 post announcement of financial results for the third quarter and nine months ended on December 31, 2023.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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"Ami Organics Limited Q3FY24 Earnings Conference
Call"

February 12, 2024

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN & MANAGING
DIRECTOR, AMI ORGANICS LIMITED
MR. BHAVIN SHAH – CHIEF FINANCIAL OFFICER, AMI
ORGANICS LIMITED
MR. ABHISHEK PATEL – VICE PRESIDENT STRATEGY ,
AMI ORGANICS LIMITED
MODERATORS : MR. PRASHANT NAIR – AMBIT CAPITAL PRIVATE
LIMITED

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Moderator: Ladies and gentlemen, good day and welcome to the Q3FY24 Earnings Conference Call for Ami Organics Limited hosted by Ambit Capital.

As a reminder, all participant lines will be in the listen-only mode. There will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prashant Nair from Ambit Capital. Thank you and over

to you, sir.

Prashant Nair: Thank you. Good evening, everyone, and welcome to the Q3FY24 Earnings Call of Ami Organics.

Today, we have with us from management, Mr. Naresh Patel - Chairman and Managing Director; Mr. Bhavin Shah - Chief Financial Officer and Mr. Abhishek Patel - Vice President, Strategy. I would now like to hand over the call to Mr. Bhavin Shah for opening remarks. Over to you, Bhavin.

Bhavin Shah: Thank you, Prashant. Good evening, everyone. We are pleased to welcome you all to our Earnings Conference Call to discuss Q3FY24 Financials.

Please note that a copy of our disclosure is available on the investor section of our website as well as on the stock exchanges. Please do note that anything said on this call, which reflects our outlook towards the future, or which could be construed as forward-looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transcript along with audio of the same will be made available on the website of the company and exchanges. Please also note that the audio of the conference call is the copyright material of Ami Organics and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

Today, on call along with me, we have Mr. Naresh Patel - Chairman and Managing Director and Mr. Abhishek Patel - Vice President Strategy.

Now, I would like to hand over the floor to our CMD, Mr. Naresh Patel for his opening statement.

Over to you, Sir.

Naresh Patel: Thank you, Bhavin. Good evening, everyone. I hope you all are doing well. A warm welcome to our Q3FY24 Earning Conference Call. I would like to wish you all a great and prosperous new year.

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Before I discuss the results for the quarter, let me discuss some economic and industry headwinds and tailwinds. This year is expected to be the year of demand recovery following the unforeseen slump in the latter half of 2023. Inflation is steadily retreating towards the comfort zones of Central Bankers across the world, signaling a positive turn. However, ongoing geopolitical crisis continue to cast a shadow of uncertainty. A prime example of this is the Red Sea crisis, which has led to a spike in freight cost.

Addressing the industry, we see the demand picking up steadily; however, a sharp decline in raw material prices has exerted pricing pressure across the Specialty Chemical sector. As we speak, we are witnessing raw material prices stabilizing. Consequently, we anticipate a return to standard pricing level in the coming quarters.

With this, let me turn your attention to our Q3 results:

Our focus through the quarter has been on quality growth and I am happy to say that we have been able to deliver the same. Let me deep dive into this. Our revenue from operations for the quarter was at Rs. 166 crores, which is growth of 9.2% year-on-year. However, if you look at volume growth, our overall business has grown by 25% year-on-year showing strong business traction. As pricing stabilizes, I am confident our growth will be back to the 20% level. When I refer to quality growth, it doesn't only represent strong volume growth, but also strong uptick in margins. If you look at our numbers sequentia

lly, they are slightly lower than previous quarter,

but if you look at our EBITDA margin, they have expanded by 150 basis points. I believe this trend will continue in coming quarters. The growth for the quarter was catalyzed by both, the pharmaceutical business as well as specialty chemical business.

I will let Bhavin discuss financial performance in greater detail.

Moving on to business updates:

I am happy to share that we have inaugurated our Ankleshwar plant in December 2023, marking a milestone for us, given that it took us only 12 months for the inauguration since the groundwork commenced. This makes of a great achievement, and I would wholeheartedly like to congratulate our team and highlight the tremendous effort they have put in this. I would also like to highlight that the new plant is testimony to the state-of-the-art technology we are bringing to advanced pharmaceutical intermediate manufacturing in India and is symbolic of Ami Organics' commitment to innovation and its role in revolutionizing India's intermediate landscape.

On the very day of our plant inauguration, we extended our partnership with Fermion by signing agreement for two more advanced intermediate for their API. These advanced pharmaceutical intermediates will be used in captive consumption for the earlier advanced pharmaceutical intermediate signed with them. The agreement is likely to add tremendous value to the final advanced intermediates, which will be supplied by Ami Organics, leading to higher value of the

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end product. The products are slated to be manufactured at Ankleshwar facility and is expected to start contributing meaningfully to the revenue from FY25 onwards.

On that note, I want to emphasize our ongoing efforts to engage with our customers for such kind of opportunities. I am optimistic about finalizing a few of these in the upcoming year.

Moving to our electrolyte business, I am happy to share that we have signed an MOU with the Global Manufacturer of Electrolytes for manufacturing of electrolytes for battery cells and allied materials. Recently, we have also commenced commercial operations for electrolyte additives, which I believe will start ramping up from FY25 onwards. I would like to highlight that the ramp up would be gradual. In regard to the electrolyte opportunity, we have also signed an MOU with Government of Gujarat for investment amounting up to Rs. 300 crores for setting up of a dedicated manufacturing facility for electrolytes business in Gujarat.

Moving on to the Baba Fine Chemicals, the integration is currently underway. This process usually results in operational issues due to change in ownership and name of the company, which will have temporary impact on sales. This situation is expected to be transient, and we anticipate pickup in sales following the completion of the integration.

Before I conclude, I would like to highlight that in today's digital landscape, safeguarding sensitive information and ensuring data confidentiality, integrity and availability have become paramount in nature. With this in mind, and our endeavor to always follow global standards, I am proud to announce the implementation of Information and Security Management System (ISMS 27001-2022) practice across the organization. ISMS is a comprehensive framework that assist organizations in managing and protecting their information asset. By adopting ISMS practice, our goal is to enhance our overall information security posture and create a secure environment for our employee, clients and stakeholders. I am glad to inform you that we have successfully passed the ISMS 27001-2022 audit and received an ISO 27001-2022 standard certification.

To conclude, despite the industry headwinds, we remain confident of closing the year with healthy growth. I would also like to highlight that the various initiatives we have taken in FY23 and FY24 enhances our r

evenue visibility for FY25 and beyond, bolstering our confidence in our potential for stronger growth in coming years.

Now, before I hand over the call to Bhavin, I would like to welcome back Abhishek Patel, who has rejoined us as Vice President Strategy. Abhishek will work closely with me on strategic initiatives. Given he has been with company for more than five years in his previous stint at Ami Organics, he knows about the business very well. Therefore, he will also handle investor interactions along with Bhavin. I have worked with Abhishek closely for many years in past and I am confident that he will add immense value to the company.

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With that, I request our CFO – Mr. Bhavin Shah, to discuss the Financial with you. Over to you, Bhavin. Thank you.

Bhavin Shah: Thank you, Naresh Sir. I would like to briefly touch upon the key performance highlights for the quarter and nine-months ended 31st December 2023 and then we will open the floor for the question and answer.

I will begin with the quarterly updates:

Revenue from operations for the quarter was at Rs. 166.5 crores up 9.2% as compared to Rs. 152.4 crores in Q3 FY23, driven by robust 25% volume growth.

The gross profit for the quarter was at Rs. 71.4 crores which was up 2% when compared to same period last year. The gross margin for the quarter was at 42.9% compared to 46% in Q3 FY23. Lower gross margins were driven by unfavorable product mix.

Moving on, EBITDA for the quarter was at Rs. 26.5 crores down 13.9% as compared to Rs. 30.8 crores in Q3 FY23. EBITDA margins for the quarter were at 15.9% compared to 20.2% in Q3 FY23. EBITDA margins were driven by gross margin and higher employee expense. Higher employee expenses were driven by yearly increment, ESOP cost and hiring of new employees for Ankleshwar unit.

PAT for the quarter was at Rs. 17.8 crores compared to Rs. 22.3 crore in Q3 FY23. PAT margins for the quarter were at 10.7%. Lower PAT margins for the quarter were driven by lower EBITDA margin as well as higher depreciation and finance cost.

Moving on to 9MFY24 updates:

Revenue from operation for 9MFY24 was at Rs. 493 crores, up 14.4% as compared to Rs. 430 crores in 9MFY23.

Gross profit for 9MFY24 was at Rs. 215.8 crores, up 5.5% on year-on-year basis. The gross margin for 9MFY24 was at 43.8%.

EBITDA for 9MFY24 was at Rs. 85.3 crores, up 4.3% as compared to Rs. 82 crores in 9MFY23. EBITDA margin for 9MFY24 was at 17.3%. Adjusted PAT for 9MFY24 was at Rs. 54.8 crore with adjusted PAT margin of 11.1%. Adjusted PAT figures exclude onetime full impairment of JV with Ami Oncotheranostics LLC. Export for the quarter was at 61%, whereas domestic business was at 39%.
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Coming to Cash Flow and Balance Sheet, our working capital for the quarter was stretched during the quarter, mainly driven by lower payable days. Inventory and debtor days were steady during the quarter. Even though our working capital cycle was stretched during the quarter, we have been able to generate cash from operation of Rs. 35 crores for 9MFY24 leading to cash and cash equivalent of around Rs. 42 crores as of 31st December 2023.

Our Capex outlay for 9MFY24 was Rs. 212 crores. As informed in earlier calls about our strategy to fund CAPEX through mix of internal accruals and debt. In this regard, we have taken Rs. 119 crores debt to fund the capex. I would also like to highlight that total capex outlay for Ankleshwar unit has been revised from Rs. 190 crores to Rs. 310 crores. This was driven by specific requirement of additional machinery for CDMO contract as well as creating allied infrastructure.

With this, I conclude my remarks and request moderator to open the floor for question-and-answer session. Thank you.

Moderator: Thank you. We will now begin the question-and-answer session. The first question is from the line of Riki

n Shah from Omkara Capital. Please go ahead.

Rikin Shah: My question was more to do with Apixaban, so considering Bristol-Myers had successfully removed Apixaban generics in Netherlands while France has also upheld factor Xa inhibitor patent, but Ireland has invalidated the patent and joined UK, so considering these changes in Europe, what is our outlook for Apixaban going forward?

Naresh Patel: Yes, there are some positive moves towards the Apixaban launching in Europe. We have already partnered with two customers in Europe and two in India who have the hold in Europe. So, we have slowly started supplying this molecule. From Q1, it will gradually ramp up and by Q2, it will be in full swing.

Moderator: The next question is from the line of Richa from Equity master. Please go ahead.

Richa: My question is on the revised CAPEX for the Ankleshwar facility, so earlier you were predicting a turnover of around three times. So, with this revised CAPEX, is it only for some kind of value addition or do you expect the turnover also to remain three times. If you could just highlight that opportunity or what is to be expected from this revised CAPEX?

Naresh Patel: It is both basically, we have the existing as well as the new agreement in pipeline. For that we have to upgrade our system according to the requirement and that will bring us the new revenue, so our topline will remain in that line of 3-3.5x.

Richa: For the electrolyte, if you could share some kind of timelines or some kind of estimate if you have, because this seems to be a very fresh opportunity and it is not very clear as to what kind
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of revenue and over what kind of time duration we could see in this opportunity, so based on the MOU's that you have signed with the client and the government, if you could just throw a little more light on this opportunity?

Naresh Patel: Electrolyte, right from beginning we have always said that it is not a part of our projection, but the reason was we sensed this very early, 2 years, 2-1/2 years back that it will be a slow-moving project because of the several requirements and compliances. Now, we have reached the level where we have started manufacturing from this quarter the electrolyte and two additives. Also, we got several long-term contracts that helped us to supply these molecules in Asia as well as in Europe and some quantity in US as well. So, this is how we started electrolyte additives. In this additive segment, we have developed six more additives, these all are listed on our website and these samples will go to the customer. So now the existing customers have more electrolytes additives from us, and that will help us to grow this business. And not only that, but we had also signed an agreement with one of the solution manufacturers to make their solution in India particularly for them and that is what we announced with the Government of Gujarat.

Richa: But right now, what you are suggesting is that a quantification, is it too early or any kind of estimate that you could share with us on that front?

Naresh Patel: It is not too early. It is gradually ramping up. So, from this quarter, we will manufacture and start supplying the quantities to all three manufacturers who have already started placing order with us and then slowly other customers will ramp up in that. Parallely, we have also started

toll manufacturing for solution in India for the Indian consumption and that is not related to our existing business. This is purely a toll manufacturing kind of JVs which we are making with one of the Asian clients or making in India.

Richa: When you say that electrolyte would have similar margins, is it in line with the Specialty Chemical or the company level margins as a whole?

Naresh Patel: It is in between both, it is above Specialty and below the Pharma part.

Richa: Our presence in the US market seems to be much less as compa

red to Europe. So, is there a

conscious thought process of increasing the market share there and if at all you are doing

anything on that front, if you could share with us?

Naresh Patel: So, are you talking about the pharmaceutical presence, or are you talking about the specialty presence?

Richa: Overall exposure when it comes to our geographical diversification, our share from the US market is really low when we look at exports?

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Naresh Patel: So pharmaceutical will remain like that because all the API generic manufacturers or maybe some innovative manufacturers they are based in Europe. That is the reason why our pharmaceutical intermediate business is higher in Europe compared to US. In US, we have sales in pharma, but that all goes for the CMO and CRAMS kind of business with companies not based in US. In terms of Specialty Chemicals, we have a very good presence in US selling several molecules from Gujarat Organics and we are also in negotiation of several big contracts for Gujarat Organic product in US. So, in the upcoming years it will be incremental in US space for Specialty Chemicals. Electrolyte definitely has a huge market and that will be also see increase in US supply in upcoming quarters.

Moderator: The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Our 9-month revenue growth stands at 14.4% and last quarter we had guided for a growth of 18 to 22% for FY24, which probably looks tougher with all the intermediate prices being driven down, so now, would you want to probably guide for the next year FY24 and 25 by any chance what can we expect in terms of revenue?

Naresh Patel: If you remember in the last call, we revised our guideline from 18 to 20% to 15 to 18% because of the topline erode and that will be the one of the reasons that we had revised our guideline and considering current order in hand, it looks like we are in the same space where we have to reach.

Jason Soans: So, you are saying FY24 will probably be in the range of 15 to 18%?

Naresh Patel: Yes.

Jason Soans: And any estimates for FY25, by any chance if you would like to share on this?

Naresh Patel: FY25 will be somewhere between 17 to 22%.

Jason Soans: Because I believe that even the Fermion volume will start to pick up in FY25, so that will also be good and that will aid the topline as well?

Bhavin Shah: Yes, and not only that, also some new electrolyte will start contributing and then some other new projects which are in discussion will also come, so conservatively it will be between 17 to 22% and then it may go up. I am saying 17% in case we see some more erosion. Otherwise, we are fully confident about 22%.

Jason Soans: Our margins have been around 20% going back now, of course there is price erosion and host of companies across the Specialty Chemicals are facing pressure, now our margin also moderated around 14, 15, 16%, what kind of margin are you looking at? We had a word before where you spoke about resorting to a spot pricing method basically because to cater to Europe

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customers and for customer attention. So just wanted to know, what is the update on that? I mean still the spot pricing will continue or how are you looking at margins for FY24-25 going ahead?

Naresh Patel: So basically, what we said in the last call, we are trying to perform accordingly. So last quarter we announced that we will focus on margin. In this quarter, we successfully bought it to 15% and our next quarter overall it has to go to 18-20%. So that will be our spot base in Q1 and from that onwards once again we start our journey towards the 23% which we had announced in the past.

Jason Soans: Just wanted to know your view about Chinese pressure. Raw material prices coming down, realizations coming down, now what is your sense in the market, how do you

see, do you think

prices have bottomed out after almost 8 to 9 months of correction? What is your sense on how prices will move ahead or is there more pain? Could you give me some color on it like how are

you seeing the prices for advanced intermediates chemicals going ahead?

Naresh Patel: What I understand in last one quarter is that I think the pricing from China is almost on the rock bottom. It may have to either stabilize or go upward. And based on the raw material prices, the prices for the final product will be stabilized or it may go up. So, I think this quarter is almost stabilized, from here onwards next one or two quarter, it will reach the normal level and it may go up.

Jason Soans: Any signs of Chinese competitive intensities are decreasing or is it same level or any view on that?

Naresh Patel: For my product, there is no direct impact of the Chinese competition, but for my end users there is some impact due to the Chinese supply. So now because of this spot business theory, we are able to deal with that as well and that is the reason why our volume growth is at 25%.

Jason Soans: That is a very good strategy. I would like to commend you on that and of course, so much competition is there in the market, and we resorted to this part of business to retain your customers with a very commendable strategy. So, just wanted to ask, you have spoken about electrolytes manufacturing, what is the capacity you are looking at setting up for this? What we know is in a lithium-ion battery around 9 to 10% of the cost is electrolytes and lot of customers and I believe it cannot be transported a lot. So a lot of the electrolytes have to be made in-house or domestically, so, one of the listed players already has a big electrolyte building capacity, they have announced CAPEX, they have announced a technological partner also in that. So, just wanted to know from your perspective how are you looking at the electrolytes business? Are you looking to induct some technological partner for this business? Because clearly what happens is this is always a slow process, approvals etc., take lot of time, so could you give me some sense of what capacity you are trying to make or any technological partner you would like to take up to scale up this business faster or what is the potential you are seeing or capacity, could you just give me some details on this?

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Naresh Patel: So, are you talking about the electrolyte additives or are you talking about the final electrolyte?

Jason Soans: The final electrolytes?

Naresh Patel: Final electrolyte is CDMO kind of business. So here, I can't speak more on that, but the thing is that whoever the partner is, is very strong. So, they just want to have a base over here. We don't want to go and sell directly. So, it is like a secure business for us in terms of sales because we are doing just a CDMO for them.

Jason Soans: So, it is a plain vanilla or contract manufacturing?

Naresh Patel: Yes.

Jason Soans: So basically, what the client will tell you, you will manufacture for them, that is how it will be?

Naresh Patel: Yes.

Jason Soans: So, do you see lot of volume coming in or this will be a slow-moving project, how do you see it?

Naresh Patel: No, this will be a fast-moving project because they are already in the market and controlling world market at a very high level. So, this is a base for them, additional manufacturing platform for them to cater to Asia and some European market as well as some IRA market. So where they will sell is up to them, our job is to make a final solution and deliver to them.

Jason Soans: So, they will give you the technology and the recipe and you will be making it for them?

Naresh Patel: Exclusively making it for them. It is two different businesses. In Additive it is fully Ami Organics technology, and the solution is fully CDMO where we just give them the production

support.

Jason Soans: On electrolyte additives, 2-3 quarters back we had heard some sales coming in, I think we have 500-ton capacity in Jhagadia where we can start up this electrolyte additives, but orders still have to come in or how is it, can you tell me the status on the electrolyte additive please?

Naresh Patel: So, we have signed several long-term supply agreements with the customer and now we have started commercially producing these additives and we have started supplying. We developed the production line, we developed the packaging line, shipment. Now we have started supplying the commercial supply to them and that is what we had announced publicly, that we are now commencing the production for electrolyte additives and ongoing capacity will be incremental and it may go up to 4-5 folds of total existing capacity in upcoming years.

Jason Soans: So, revenue from this will be probably coming in from FY25 only?

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Naresh Patel: Yes, maybe in this quarter, if we get an opportunity, otherwise it will be from the next quarter, but firm orders are in hand. So, we have already moved in the production.

Moderator: The next question is from the line of Dhara from Value Quest. Please go ahead.

Dhara: If you can help us with the segmental EBITDA numbers for Pharma Intermediate and Specialty Chemical business?

Bhavin Shah: For both the business, we have EBITDA of 15.9% for the quarter. 15.9% for Pharma and 15.9% for Specialty.

Dhara: So, Specialty also includes Baba Finechem, that is why the margin looks higher?

Bhavin Shah: So now onwards Baba Finechem is part of our Specialty business. So, margin is accordingly.

Dhara: And what will be the revenue number for Baba Finechem this quarter?

Bhavin Shah: Specific number we are not giving on over the call, so I refrain from sharing those number.

Dhara: On the additive business, so we mentioned about several long-term contracts that you have and I think we only have a 500 ton capacity for the additive. So, what is the kind of capacity expansion that you expect to build there?

Naresh Patel: Standard capacity what we have right now is 500 metric ton each and that is our first goal to fulfill and then parallelly, we would be adding more capacity for the upcoming demands of the electrolyte additives.

Dhara: Would you like to share how much capacity you are going to add now?

Naresh Patel: 2,000 metric ton each of the final additives.

Dhara: 2,000 each for two additives that you are going to supply?

Naresh Patel: Each.

Moderator: The next question is from the line of Jishan Singhi from Krijuna Research & Analytics. Please go ahead.

Jishan Singhi: I would like to ask that, as you mentioned that you are doing a plain vanilla type of contract in electrolytes, so I just want to know the differentiation between additives and electrolytes, are these both different?

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Naresh Patel: So, additives is used to make electrolyte, electrolytes have lot of components and whereas additive is just a one component of the electrolyte.

Jishan Singhi: As you said that you have these additives in-house. So, is this unique product or does this product have some competitive intent?

Naresh Patel: If I correctly understand, you want to ask that we are making an additive which will give us the competitive advantage to make electrolyte, is it correct?

Jishan Singhi: Yes.

Naresh Patel: This is one of the reasons that we got this CDMO because we have in-house electrolyte additives which can be used for making the solution. But these additives are only 3% to 4% of the solution.

So, it is not great impact on the final solution, but the partners have chosen us because of several other parameters in which we fulfill their requirement.

Jishan Singhi: What can be the estimated market size for this electrolyte segment? And what is your addressable size in that?

Naresh Patel: It varies based on the final price, when we entered, it was very big, like around \$1 billion and currently the price of the raw material and of the final product is less, down by 20%. So, it all depends on the current market size. So, it is very difficult to give the exact number and then also application in the area of the country or geography that also depends on the market size.

Jishan Singhi: And what is your addressable or your side in this?

Naresh Patel: We are talking about the capacity. So currently we have 500 tons each and we are going to install more 2,000 tons each. So, this is our addressable market for next two years.

Jishan Singhi: You said, 500 tons each, so what does this mean? Can you please clarify more?

Naresh Patel: There are two products VC and FVC which we have already executed and for that our capacity is 500 metric ton each.

Jishan Singhi: And for these two products, you are doing contract manufacturing?

Naresh Patel: That is different thing.

Jishan Singhi: Revenue or turnover size from this new facility that you have started?

Naresh Patel: It will be somewhere around 3x of the Ankleshwar Unit.

Jishan Singhi: That means three times asset turnover ratio, right?

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Naresh Patel: Yes.

Jishan Singhi: So, three times then if you consider this Rs. 310 crores as an asset, right, so it will be more or less Rs. 900 crores revenue, right?

Naresh Patel: I don't know, sir. You have to calculate that. I can't speak on numbers.

Jishan Singhi: On Baba Fine Chemicals, which you have acquired, is this for specialty chemical segment or

electrolytes?

Naresh Patel: It is a semiconductor. We included it in a specialty, but it is application in a semiconductor industry.

Jishan Singhi: And I would also like to know, like you mentioned 3x for your Ankleshwar facility, then the same applies for the Baba Fine Chemicals as well?

Naresh Patel: No, In Baba Finechem, there is no expansion over there. It is an established business which we are running and there is no capital currently being infused in that company.

Jishan Singhi: Then how much does it contribute to your topline?

Naresh Patel: Currently, it is somewhere around Rs, 40-45 crores and it can be incremental to three times from here.

Moderator: The next question is from the line of Rikin Shah from Omkara Capital. Please go ahead.

Rikin Shah: I just wanted to ask whether in terms of technology, we have mentioned that we have developed 6 more electrolyte additives, so are they new blends for the same salt or are they blends for some other salt?

Naresh Patel: No, these are the new additives, the use depends on the salt and depends on the formulation. So, one maybe bought by someone, second maybe not be bought by the same one. So, it all depends on the formulation recipe. We develop all six which can be either used by one in same application, or by someone in another one. So, this is how it will be.

Moderator: The next question is from the line of Nikhil from Perpetual Capital Advisors. Please go ahead.

Nikhil: Last quarter, you had mentioned that the company was looking to launch a UV absorber product in the Specialty Chemical Business, has that happened and how do we see the ramp up going forward for it?

Naresh Patel: Yes, we had already supplied validation quantity around several metric tons. It will be ramped up from Q1 FY25.

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Nikhil: And any other new products in Specialty Chemicals? I think it is almost two years or maybe three years now that the company has acquired the Specialty Chemical plant. I think the potential was to hit close to Rs. 200-Rs. 250 crores odd topline on an annual basis, when do we see that? Or maybe it is slightly lower now due to the correction in prices?

Naresh Patel: Yes, so price is always a factor to revise the timeline, but v

olume is increasing. So, once we hit

the volume, we are not worried because sooner or later when price ramps up, volume will give us the revenue what we desire.

Nikhil: So, let me put it this way, what is the current capacity utilization in this plant and when do you expect to hit optimum capacity utilization?

Naresh Patel: So currently it will move from 45% to 55%, ramp up has happened in last one year and it will be fully utilized by FY26.

Nikhil: And anything on the timeline of ramp up of the Fermion contract, do we see some part of it at the end of the current fiscal year or do we start seeing that from Q1 and it being ramped up to its full capacity in a year's time?

Naresh Patel: So currently we are in process of qualifying some well decent batches which will be in this quarter and then it will be muted quarter for one or one and half quarter for validation at their end and then it will be gradually ramped up to the end of FY25.

Nikhil: For Rs. 300 crore toll manufacturing opportunity that you spoke about, have you given the timeline?

Naresh Patel: The timeline, it has to be in next year only, FY25, but we are in process of finalizing the term seats and everything. So once that will be done then we will announce on that.

Nikhil: And the plant would take close to 12 months to come up?

Naresh Patel: Yes.

Moderator: The next question is from the line of Akshat Vijay from Hem Securities. Please go ahead.

Akshat Vijay: Have you lost any market share because the reason for the subdued performance is only the pricing pressure right, there is no loss of market share?

Naresh Patel: No.

Akshat Vijay: And for the Ankleshwar facility, you mentioned that one-third of the facility will be dedicated towards the Fermion deal and the remaining 66% will be used for your other Pharma business.

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So, have you already started getting orders for that 66% facility? Are you in talks with some other customers?

Naresh Patel: Yes, we are actively negotiating discussion with other pharma.

Akshat Vijay: But nothing is finalized right now, right?

Naresh Patel: Yes, it will take time. Need to finalize several issues with cost and everything because it is CMO. CMO will take some time.

Akshat Vijay: On the margins, as you mentioned in your previous Concall that you are focusing a lot on the Specialty Chemical segment and now this electrolyte is also coming in and both of them have lower margin than pharma, right? So obviously currently this China thing is going on, pricing pressure is there, but 3-4 years down the line, do you expect that we can ever reach that FY21 EBITDA margin level of 24%, the operating leverage will also have a role here, so what will be the margin guidance or outlook 3-4 years down the line?

Naresh Patel: 3-4 years down the line definitely it will be between 23% and 26%.

Moderator: The next question is from the line of Vishal Agrawal from Leo Capital. Please go ahead.

Vishal Agrawal: On the electrolyte business, it is clear you said that you have a CDMO contract which is for manufacturing a solution which will use your electrolyte additive and that is only for one client and on top of that the electrolyte additive ability that you have that you are able to sell to multiple clients, is that correct? These are two different businesses, but related to electrolytes?

Naresh Patel: Yes.

Vishal Agrawal: And in terms of revenue potential for the CDMO one, how large is the opportunity for the CDMO one?

Naresh Patel: It is very difficult to say right now because it is confidential. We will announce once we sign the term sheet.

Vishal Agrawal: And that as part of the CDMO, you will not be making the entire electrolyte, it will be making the solution which goes into the electrolyte, so what portion of the electrolyte value is the solution?

Naresh Patel: No solution is an electrolyte.

Vishal Agrawal: The solution is

an electrolyte, so as part of the CDMO, you will be making the final electrolyte of which additive is one component, but the rest of the recipes will come from your partner so to say?

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Naresh Patel: Yes, they will supply us for themselves.

Vishal Agrawal: And in that kind of a business, what sort of a margin profile would you expect? Would it be in line with your API business?

Naresh Patel: No, it is a CMO. So, there we have to see, how much operating leverage we will get based on that the margin will be decided. So that is yet to be announced because these all depends on the recipes, quantities and energy. So, it is very difficult right now to announce about the margin of CMO and this is a Specialty Chemical CMO, it is not like pharma. So, it is a different way.

Vishal Agrawal: So, you would expect a lower margin than the pharma CMO?

Naresh Patel: Pharma CMO is the top one always. You cannot compare pharma with the Specialty CMO.

Vishal Agrawal: And so that I understand it right, you are saying that this electrolyte solution that will be under CMO and that obviously will be proprietary to that one client, so you cannot sell it to anyone else. I am assuming you cannot use that ability to create electrolytes and market it generally.

What can you sell generally is only the additives which you are making yourself?

Naresh Patel: At Ami Organics' we do not compete our customer, so we strictly follow this rule. So, we do CMO for our client, we never sell that product to anybody else.

Vishal Agrawal: But you see enough revenue potential to grow with that client itself, there is a lot of market opportunity just there?

Naresh Patel: Yes.

Vishal Agrawal: And just coming back to your API business in Pharma, there you have two parts, one is with innovators and the other is generics. For both of these, what is the competitive advantage that we have, are we exclusive with our clients or I know you have mentioned earlier also that Chinese players are not competition for us, but then who is competition and how does, what happens in China impact us in terms of long-term margin profile for this business?

Naresh Patel: There are competitors from other generic intermediate manufacturer based in India or maybe Europe or maybe client himself. So, it all depends on where we are selling, say for example, regulated market with the originator, they themselves are one of the approved manufacturers.

And for generic business, there are Indian small manufacturers, also some big manufacturers also are competitors, so all depends on the product to product and application and geography.

Vishal Agrawal: And you are saying, there may be other API manufacturers also listed in the DMF other than you yourself and they are competition, they are not Chinese guys necessarily but they are competition?

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Naresh Patel: Yes, they are directly competing to our client if they have a DMF themselves with the file in the same application.

Vishal Agrawal: You are saying the Chinese guys essentially compete with your end client because they may be manufacturing the end product which your client is making. So that puts pressure on the pricing for your end clients and indirectly puts pressure on you. Is that correct?

Naresh Patel: Yes, nowadays Chinese EP's and DMF filing is incremental. So that creates a little bit pressure on our client in the final application.

Vishal Agrawal: And just lastly for the electrolyte opportunity, the CDMO one that you spoke about, is that a very CAPEX intensive business or it is more about process efficiency and there is not much CAPEX involved? The reason I ask that is as you scale up that CDMO business, is it like it will have a lot of lead time for you to identify location and do the CAPEX or it can be scaled up very quickly?

Naresh Patel: CAPEX intensive businesses t

his is, but it is a long-term secure business.

Vishal Agrawal: And it would take several years to ramp up because you would have to do the CAPEX and so on.

Naresh Patel: Yes, it will take a normal timeline to ramp up any business, the standard timeline, the same will be applied to this as well.

Vishal Agrawal: Any sense on the timeline? Like how much time would it take?

Naresh Patel: I can't say on that right now.

Moderator: The next question is from the line of Aayush Rathi from IDBI capital. Please go ahead.

Aayush Rathi: I had only two basic questions. First, on the finance cost, in this quarter, we have a finance cost of Rs. 25 million, so for modeling purposes for the next quarter also, we will have the same finance cost?

Bhavin Shah: Yes. So it will be on the same line, little higher than this because as we are doing additional CAPEX, so there will be borrowing on the books, and it will be little on the higher side.

Aayush Rathi: So as in your opening remarks, you mentioned Rs. 119 crores debt has been taken for the Ankleshwar facility, so what kind of debt to equity are we looking at on an overall basis?

Bhavin Shah: It would be around 37% equity and rest would be debt.

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Aayush Rathi: On the strategy side. So, you mentioned that on the electrolyte part of businesses, about one customer who we are making solutions for. So, in the long run, are we planning to also be doing the business of electrolytes or like completely focus our business electrolyte additives, so what remains our focus?

Naresh Patel: No, we completely focus on our electrolyte additive business only. This is an additional opportunity, which is the CDMO. This has nothing to do with our original planning of additives.

Aayush Rathi: So, we plan to stay in the additive business more and focused more over here?

Naresh Patel: Yes.

Moderator: The next question is from the line of Piyush Jain, an Individual Investor. Please go ahead.

Piyush Jain: When will we start booking the sales from electrolyte? or maybe your contract with Fermion?

Naresh Patel: Our contract with Fermion is already in this quarter, we are doing validation batches for them, so that will be commenced from this quarter and for electrolyte additives we got an order, and we started production for that as well. And for electrolyte it is still premature. We are finalizing so many things, then we would put up the plant and it will take longer time for electrolyte CDM.

Piyush Jain: Is the Baba Fine Chemicals number included in this quarter's revenue?

Bhavin Shah: Yes, in consolidation, Baba Finechem is included.

Piyush Jain: So just to understand, earlier Concall we have said Baba Fine is around 40% type of EBITDA margin business, so is our EBITDA able to hold because of the Baba Fine contribution or Baba Fine contribution is not too much that can change the margin profile here?

Bhavin Shah: We need to understand every business has a different growth pattern. So, electrolyte has a different margin, semiconductor and Specialty Chemical has a different margin.

Abhishek Patel: On top of that, the consolidation of Baba business was done in Q2 FY24 also. So, it is not only in this quarter. It has been for full year. So, it was there in last quarter as well.

Piyush Jain: The Rs. 300 crores CAPEX which we have said, so when we will start deploying this CAPEX?

Naresh Patel: So Rs. 300 crores CAPEX for electrolyte will take some time whereas for Ankleshwar is already ongoing which will be finished very soon for this upgradation of the new facility.

Piyush Jain: Any internal target to achieve Rs. 1,000 crore revenue by let us say 2 years, 3 years, not asking for guidance or number, but you might be having some target because you are doing so many

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contracts, Fermion, electrolytes, so many things going ongoing, any thought proce

ss that by

when we will be able to achieve Rs. 1,000 crores number?

Naresh Patel: FY2025-26 midway.

Moderator: The next question is from the line of Dinesh from Kriti Creation. Please go ahead.

Dinesh: This electrolyte additive is required in green hydrogen as well, so is there any plan to make that too?

Naresh Patel: No sir, actually electrolyte is a name given in a way, so for every process electrolyte is done. We don't make anything for hydrogen.

Dinesh: So, our work will be only with the additive related to the lithium and battery cell?

Naresh Patel: Yes.

Moderator: The next question is from the line of Krishna Kumar, an Individual Investor. Please go ahead.

Krishna Kumar: Regarding the Baba Fine Chemicals, you said that right now the Rs. 42 crores of annual revenue, so you wanted to take it to Rs.200 crores, so when can we expect that Rs. 200 crores potential revenue in which year?

Naresh Patel: No, it is not like that. See, when we acquired it, it was Rs. 42 – 45 crores last year and then this year is the consolidation year where we are integrating it, changing the name of the company and then approval from the customer end. So, this year will be either muted or a little bit lower because, semiconductor industry is a very different industry than the other industry where approval and qualification from end-to-end customer is needed. So that procedure is going on. And then in 2-3 years it will be ramped up to the topline of what we say.

Krishna Kumar: Recently we saw the announcement of Micron Semiconductor in Gujarat for the new manufacturing facility, are we doing any supplying to this company?

Naresh Patel: Micron might be a consumer of our end supplier. So maybe we cannot say this because it is a very closely held business community in semiconductor. So, we are supplying to someone who might be supplying to them.

Krishna Kumar: Side promoter selling, I think he was a key investor, but recently he sold some of his stake. So, can we expect the remaining selling in 2-3 quarters, or he is going to continue, Mr. Girish Kumar Chovatia?

Naresh Patel: No, he is not a promoter. He was a partner during the inception of the company and then he qualified as a promoter and he is not going to sell anything in next 3 quarters which is what he
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has said, I cannot stop anyone, I cannot stop you to buy or to sell. So, on behalf of any stakeholder, I cannot commit anything on that.

Krishna Kumar: Because in one of your interview videos, you said that if he intends to sell anything, he will inform you before that. So, do you have any intent to buy some more from him?

Naresh Patel: No. On a good note, he says that if he has to sell, he will inform me if I have to buy first and then he can sell to open market. And last time when he sold this 13%, I purchased 1% from him.

So, he offered me in last sale, I myself purchased 1% from him, so it is good, I am believing in my company, and I increase my stake in that way.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, we will take that as a last question. I would now like to hand the conference over to the management for closing comments. Over to you, Sir.

Naresh Patel: Thank you Ambit team for hosting our conference call. Thank you everyone for your patience and we hope we have been able to answer most of your queries. If we have missed out on any of your questions, kindly reach out to our IR advisory E&Y and we will get back to you offline. Thank you very much and have a nice evening.

Moderator: Thank you. On behalf of Ambit Capital, that concludes this conference. Thank you all for joining us. You may now disconnect your lines.

(This document was edited for readability purpose)

Call: May 2024

Aq■ Ami Organics Limited CIN. : L24100GJ2007PLCO51093

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May 17, 2024

To, To,

The Corporate Relations Department, The Listing Department
BSE LIMITED, National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5TM Floor, Plot no. C-1,
Dalal Street, Fort G-Block, Bandra Kurla Complex,
Mumbai- 400 001 . Mumbai -400051

Scrip Code: 543349 NSE Symbol: AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q4 FY24 financial results held on May 13, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on May 13, 2024 post announcement of financial results for the fourth quarter and year ended on March 31, 2024.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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"AMI Organics Limited

4QFY24 Earnings Conference Call"

May 13, 2024

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR – AMI ORGANICS LIMITED

M R. BHAVIN SHAH – CHIEF FINANCIAL OFFICER –
AMI ORGANICS LIMITED

M R. ABHISHEK PATEL – VICE PRESIDENT STRATEGY

MODERATOR : MR. PRASHANT NAIR - AMBIT CAPITAL

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Moderator: Ladies and gentlemen, good day, and welcome to the Ami Organics Limited 4QFY24 Earnings Conference Call, hosted by AMBIT Capital. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Prashant Nair from Ambit Capital. Thank you, and over to you, sir.

Prashant Nair: Yes. Thank you, Sejal. Good morning, and thank you, everyone, for joining the Ami Organics 4QFY24 Earnings Call. From the management, we have today Mr. Naresh Patel, CMD; Mr. Bhavin Shah, CFO; and Mr. Abhishek Patel, Vice President, Strategy.

I'll now hand over the call to Mr. Naresh Patel for opening remarks, and then, we can take it from there. Over to you, sir.

Naresh Patel: Thank you, Prashantji. Thank you very much, everyone. I'm very happy to welcome you all on this earnings call. I'd like Bhavin to start.

Bhavin Shah: Yes. Thank you, Naresh, sir. Good morning, everyone. We are pleased to welcome you all to our earnings conference call to discuss Q4 FY '24 financials. Please note that a copy of our disclosure is available on the Investors section of our website as well as on the stock exchanges. Please do note that anything stated on this call, which reflects our outlook towards the future or

which could be construed as forward-looking statement, must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded, and the transcript, along with the audio of the same, will be made available on the website of the company and exchanges. Please also note that the audio of the conference call is the copyright material of Ami Organics and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company. Today, on call, along with me, we have Mr. Naresh Patel, Chairman and Managing Director; Mr. Abhishek Patel, Vice President, Strategy.

Now I would like to hand over the floor to our CMD, Mr. Naresh Patel, for his opening statement. Over to you, sir.

Naresh Patel: Thank you, Bhavin. Good morning, everyone. I hope you all are doing well. A warm welcome to our Q4 FY '24 earnings conference call.

Before diving into Ami Organics performance for the quarter and year, I will discuss current global economic landscape and prevailing industry trends. Globally, trade is anticipated to rebound in 2024 as interest rates stabilize with hopes for downward shift this year. While inflation remains persistent, it is expected to trend downwards as we progress through the year. Overall, improved global trend is poised to stimulate economies worldwide, fostering a positive global economic environment. Turning to our industry, export demand is gradually recovering with expectations for a robust uptick in the second half of this fiscal year. Raw material prices
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have stabilized, indicating stability in final product prices with an upward bias expected in the second half of the year.

Coming to Ami Organics performance for the quarter and full year, I'm delighted to share that we've been successful in navigating through the tough industry scenario to deliver quarterly all-time high revenue from operations of INR225 crores, which is 21% growth year-on-year and exceptional 35% growth sequentially. As guided in previous call, our EBITDA margins continue to grow strongly on sequential basis to deliver strong EBITDA margins of 19.2% for the quarter. I will let Bhavin discuss the financials in detail.

Let me move on to business highlights. Starting with the Advanced Pharmaceutical Intermediates business for

the quarter, the business grew strongly by 18% year-on-year and 47% quarter-on-quarter to INR190 crores. We have been significantly growing this business segment with introduction of large CDMO contracts to balance the business model. We are working aggressively on this front.

Our extensive track record and longstanding relationships with the major customers, dating back over a decade, is helping us making new strides in this arena. So even on CDMO side, we will be targeting NCE market, innovator market as well as life cycle management market. I would like to highlight that our existing CDMO project is expected to ramp up from second half of FY '25 onwards with a confirmed order in hand.

Moving on to the Speciality business. Overall business grew by 36% during the quarter. The addition of Baba Fine Chem surely helped in this robust growth, but excluding Baba Fine Chemicals business, our organic business, specifically chemical business grew strongly by 18% in quarter four of FY '24.

We have been adding various levers to our specialty chemical business, such as battery chemical as well as semiconductor chemicals. I will spend a couple of minutes on each of these niche businesses that we are building. Starting with Baba Fine Chemicals, which is focused on semiconductor chemicals, integration process has been started, and it will take its own time.

However, I would like to highlight that the business will see steady organic growth. This business, by nature, is kind of CDMO business. Therefore, in future as we onboard a new client for existing products or new products, we will see a step-up jump in numbers. Therefore, you might see steady growth some quarters, but I hope you now understand the rationale behind it.

Moving on to the battery chemical business, I will start with electrolyte additives. Our commercial operations have started during the quarter. We have a firm order in our hand, and supplies are expected to slowly start it from Q2FY '25 onwards. The ramp-up will be slow in FY '25, but we expect to grow this business by 100% in FY '26 on FY '25 base with capacity expansion of electrolyte additives business.

Another leg of this business, which is electrolyte solution, is still in nascent stage. We have collaborated with global MNC player for this business. We will disclose more detail as things move ahead.

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Moving on, I would like to highlight that our relentless pursuit of innovation in manufacturing complex intermediates using cost-effective technologies, while maintaining superior quality, continue to set us apart in the advanced pharmaceutical intermediates industry. Filing patents for our innovative processes are critical to safeguard our intellectual property. And I'm thrilled to inform you that we have received grants of 3 process patents during the quarter. 2 of these 3 products are very niche and complex, and we have been able to develop an indigenous process, which is not only better in terms of cost, efficiency and yield, but also environmental friendly. To conclude, I believe we have navigated industry challenges adeptly in FY '24. And as we progress with improved overall prospects for the industry, I firmly believe we will sustain our growth trajectory target, targeting for a revenue growth of 25% for the year FY '25.

With that, I request our CFO, Mr. Bhavin Shah to discuss the financials with you. Over to you, Bhavin. Thank you.

Bhavin Shah: Thank you, sir. I would like to briefly touch upon the key performance highlights for the quarter and year-ended 31st March 2024. And then I will hand over the floor to Abhishek for his remarks.

I will begin with quarterly update. Revenue from operations for the quarter was at INR224.9 crores, up 20.7% Y-o-Y basis and up 35.2% on a sequential basis. The growth was driven by strong volume growth. The gross profit for the quarter was at INR89.9 crores, which was u

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10.6% when compared to the same period last year and 25.9% on a sequential basis. The gross margins for the quarter was at 40% compared to 43.6% in Q4 FY '23. The lower gross margin is on account of unfavorable product mix.

Moving on to EBITDA for the quarter, it was at INR43.2 crores, up 5.9% Y-o-Y basis and 62.8% on a sequential basis. As guided in previous conference call, EBITDA margin continued strong sequential growth trend, coming in at 19.2% for the quarter, which is down by 269 basis points on Y-o-Y basis and expansion of 326 basis points on a sequential basis. EBITDA margin was driven by operating leverage, lower freight and other costs. PAT for the quarter was at INR25.7 crores compared to INR27.1 crores in Q4 FY '23. PAT margins for the quarter were at 11.4%. Lower PAT margins for the quarter were driven by higher depreciation and finance costs.

Moving on to FY '24 updates. Revenue from operations for FY '24 was at INR717 crores, up 16.3% as compared to INR617 crores in FY '23. Gross profit for FY '24 was at INR305.8 crores, up 7% on a Y-o-Y basis. The gross margin for FY '24 was at 42.6%. EBITDA for FY '24 was at INR128.5 crores, up 4.8% as compared to INR122.6 crores in FY '23. EBITDA margin for FY '24 was at 17.9%. Adjusted PAT for FY '24 was at INR80.8 crores with adjusted PAT margins of 11.3%. Adjusted PAT figures exclude one-time full impairment of investment in JV, Ami Oncotheranostics LLC.

With that, I request our Vice Present, Mr. Abhishek Patel, to discuss the financials with you.

Over to you, Abhishek.

Abhishek Patel: Thank you, Bhavin bhai. Good morning, everyone. I will briefly touch upon the key financial highlights and other business updates. Exports for the year was 56%, whereas the domestic

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business was at 44%. On a cash flow and balance sheet side, even during this difficult year, we have been able to keep tight control on our working capital cycle, leading to a strong generation of cash from operations, which is INR125.2 crores. This was driven by a sharp improvement in the debtor cycle.

Coming to capex. Total capex for FY '24 was INR280 crores. Out of those INR280 crores, INR230 crores was towards Unit 2 Ankleshwar capex and remaining was regular maintenance and other capex. Out of INR310 crores capex planned for Unit 2 Ankleshwar, we have spent around INR240 crores till end of FY '24.

For the year FY '25, we are expecting capex to be around INR250 crores. Split of the current capex will be, around INR70 crores is the pending capex of Ankleshwar Unit 2; around INR100 crores capex related to electrolyte additive and related infrastructure; and INR50 crores capex towards the captive solar power plant; remaining around INR40-50 crores maintenance capex will be for the FY '25.

On the borrowing side, total long-term borrowing for the year ended FY '24 was INR114 crores. Cash and cash equivalent at the end of year was at INR53 crores as of 31st March '24.

On the ESG side, I'm also delighted to announce that we have achieved Gold Medal accreditation by EcoVadis. We extend our sincere thanks and congratulations to entire Ami Organics team for their remarkable feat in obtaining the gold certification within just 3 years of initial audit by EcoVadis. Despite being in the chemical manufacturing industry, we remain committed on the ESG goal, propelled by an intensified focus on green chemistry and green initiatives. This

commitment underscores our proactive approach to environmental responsibility and sustainability.

Before I conclude, I'd like to highlight that, as our MD also highlighted, we are hoping for a strong growth of around 25% in FY '25 in revenue. But kindly understand that in past, also, our H1 and H2 revenue ratio was around 45:55. Now, given we are expecting CDMO contract commercializing in H2 FY '25, the split will readjust to 40:60 ratio. In short, we will see growth in H2 of

FY '25, which will overall drive the growth for the year.

With this, I request the moderator to open the floor for question-and-answer session. Thank you.

Moderator: The first question is from the line of Sudarshan Padmanabhan from JM Financial - PMS.

Sudarshan Padmanabhan: Sir, my question is to understand what would be the utilization across your specialty chemicals under pharma intermediates firms?

Abhishek Patel: Yes. On pharma intermediates side, let me tell you that the Unit 1 capacity utilisation is at 72% of the total capacity by FY '24. And for specialty chemicals, where the overall utilization level is 50%. Unit 2 just has started, so we are not commenting on unit 2 capacity utilisation here. The capacity utilization of unit 2 will start in FY '25 onwards.

Sudarshan Padmanabhan: Sir, my second question is to understand the operating leverage and the margin because in the fourth quarter, we have basically seen 19% margin despite of gross margins being lower. So

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while we are talking about 25% -- I mean I would understand that the growth in EBITDA and profitability should be much higher, given that -- as this 70% utilization goes up and as the Unit 2 increases, the margins will also kind of improve substantially. So can you give some color on what is expected in margin expansion?

Abhishek Patel: Sudarshan, we have seen a progressive growth on improvement in margin. So last quarter, we have achieved a 19.2% margin with better utilization. See, even if our gross margin is little suppressed, as we have already explained in past conference call, due to this pricing environment, with improved utilization and other things, we will see a steady-state growth improvements in -- from here -- now onwards.

Sudarshan Padmanabhan: Any number that you have on mind, sir, in terms of margins? I mean, would it be upwards of 20% because that is what we had, I mean, a couple of years ago?

Abhishek Patel: So as we say that we are on the growth trajectory and improving our utilization, so we'll see a better number from here onwards on a margin front.

Naresh Patel: See the initial intention is to go back to the -- our historical margin year, and from there, it will go up.

Sudarshan Padmanabhan: Sure, sir. One final question before I join back the queue is it was heartening to see several process patents being filed. If you can give some color with respect to what is the commercial value. I mean, what is it that we can derive in terms of monetizing some of these patents? What is the uniqueness of some of these patents that we have developed?

Naresh Patel: The main intention is to avoid the competition as well as give the leverage to generic manufacturer to have a process which is non-infringing. So there are 2 main concerns for which we are filing this kind of patent. And this is also helping us become a preferred supplier to being generic player for doing the DMF filing. So this is how we normally do that.

In the past, we were not doing that, and then we observed that after 2, 3 years, we start facing the competition from local as well as the world market. So then we decided the strategy to protect ourselves right from the beginning so that when the product gets matured and when it becomes generic, we will be having a larger pie of the cake. So this is why we're filing this kind of patents. And value-wise, this patent can be helping us to get the better portion. That is the main aim in the product pipeline.

Moderator: The next question is from the line of Rikin Shah from The Boring AMC.

Rikin Shah: Naresh bhai, congratulations on a very good quarter. So my question was more on strategy side.

So now we have 4 different verticals; Advanced Intermediate, Gujarat Organics, Electrolyte Additives and Baba Fine Chem. So apart from the Advanced Intermediates segment, we don't have that deep of a history in the other segments, and they are sort of n

ew for us. So naturally,

there will be differences in customers and regulations. So considering that these verticals we have ambition plans to grow, what kind of team-related changes and hiring are we doing here?

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Naresh Patel: First of all, thank you, Rikin bhai. See each and every vertical has a unique potential to grow. And like advanced pharmaceutical intermediate business is highly matured and having full strength with the manpower and everything, whereas the other 3 segments are, right now, becoming more in trajectory of growth and as well as establishment.

So Gujarat Organics point of view, we had done all the integration as per our systems. And our manpower, marketing, sourcing, everything is established, so now from here onwards, it will be helping us to get more business. And you can see also in this quarter, we have an incremental growth in sales trajectory as well.

Whereas the Baba Fine Chem is a very niche area where we have a very specific established manpower is there, which is under integration process, and then -- we already started marketing promotion of that product to other geography. But that products are not the same products, which we are selling to our core partner in U.S. But that also, slowly, slowly when we merge it, we will start recruiting the people in that area as well.

Rikin Shah: All right. Got it. So with respect to Baba, you already explained. So are we sort of, we can say, in an order book formation mode, like with these initiatives over time, we will sort of see that product book being built for us?

Naresh Patel: Yes. Yes, definitely. And that is the purpose of splitting or acquiring or growing the portfolio. See, all these are niche areas and particularly the electrolytes additives as well as the semiconductor is a very new area, not only for us as well as for India as well. So there, we are growing very cautiously and firmly. So we assess the opportunity. We try to make sure that, that opportunity is for the long term, and then, we make our strategy so that it will be sustained for the longer time with our technology advancement as well as our niche capability and a lot of things involved in that.

Rikin Shah: All right. Got it. And just trying to understand the capital structure better for the future. So we have intimated the exchange about a potential QIP and also taken preferential investment. So can we get a little bit elaborated version of what we are trying to focus here on?

Naresh Patel: I think Abhishek can take this question?

Abhishek Patel: So as I already mentioned, we have very good growth plan in place with a strong expectation of revenue around 25%. And I also shared the capex figure with you on this. So to fund this capex partly, we need to raise the fund as well as we want to deleverage our balance sheet, and we'll make prepayment of some of that existing loan. This will help us to grab any opportunity in future in terms of organic or inorganic business. So this is how we want to structure our all-capital structure to get aligned to our growth and investment plans.

Moderator: The next question is from the line of Sudhanshu from Marcellus Investment Managers.

Sudhanshu: All right. Okay. A few questions from my end. One is continuing on the same question as previous participant. In the exchange filings, we have notified of both equity raise as well as debt ceiling increase. So can you help us understand what is the rationale since Abhishek

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mentioned that some of the debt would be prepaid? So why we have increased the ceiling on debt?

Abhishek Patel: So on the exchange filing, we mentioned that we want to increase the debt ceiling. This is to comply with the statutory requirement of the Companies Act, wherein because we have taken up some of the debt for the purpose of expansion at Ankleshwar unit, and because of that

compliance, we wanted this resolution from shareholders' side. And for the equity side, as I mentioned, to align with our growth and investment plan.

Sudhanshu: Okay. So sir, would it be safe to assume that we don't intend to actually utilize the debt ceiling to that extent which is allowed now, we would be primarily using the equity raise through QIP and preferential allotment for the capex that you outlined.

Abhishek Patel: Yes, we will be raising equity fund, but we do not intend to hit that limit of debt as of now, at least going forward for 2 years.

Sudhanshu: Okay. And you outlined a capex of INR250 crores for FY '25, and you already did a capex of INR280 crores, so leaving aside the maintenance capex, we would be incurring close to INR450 crores, INR500 crores of capex between FY '24 and FY '25 on the new projects. Sir, can you help us understand what is the peak asset turns for each of these capex plans that we have because this is a substantial investment that you made in the last 2 years and planning to make in the next year as well.

Abhishek Patel: So last year, if you see our revenue to net asset block is around 2.8x asset turn. And in current year also, if we exclude the CWIP when they are at last leg of capitalization of Unit 2

Ankleshwar, our asset turn again is at 2.8x. Going forward, from next year onwards, it will get suppressed a little bit because of all the asset gets capitalized. But in next 2 years' time, 2 to 2.5 years' time, we are again expecting it in the territory of 2.5 to 3x the asset turn on a net block

basis because we have some good contracts in hand for all of the business wherein we are doing capex.

Sudhanshu: Okay. This is useful. Now, one final question on the business side. Any update on the commercial supplies for Apixaban? And secondly, on Baba Fine Chem, we understand that integration and some other aspects are going on, but we see a significant decline in the sales Y-o-Y for Baba Fine. So can you help us understand why is that happening?

Naresh Patel: So coming to Apixaban, Apixaban is a strong product for us, and it will be definitely growing starting from H2 FY '25, and it will be going to peak on FY '26-'27, at the time of launching for the generics. We had an advantage in FY '23 because of the pre-launching by some of our generic manufacturer. But because of the lawsuit lost by them in a few territories, it was a little bit on the decline side. But there is a firm demand, and we are in part of more than 26 DMFs of the customers. So it is a good visibility for us for Apixaban.

Coming to -- what was it? Baba Fine Chem. So Baba Fine Chem, this is a very niche area, and documentation process is happening, and we're changing all the licensing, all the papers at the customer end. It just took a little bit longer time because we are creating a JV between Baba and Ami Organics. And that will be -- I think in this quarter 1 or quarter 2, it will be fully converted,

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and then, we will start releasing for all their products. So there are -- we are making products for several applications. Some applications are faster. Some applications are at the later stages. So that will be a little bit on a slower side. So that will be -- we are expecting to complete integration during this -- first half of this FY '25.

Sudhanshu: Just one follow-up question on that. Baba Fine Chem, you're saying, we are transferring the business from the stand-alone partnership business to this new JV that is being getting created, and hence, there is a documentation timeline. Is that understanding correct or I'm missing something?

Naresh Patel: So you were -- so there are 2 exercises parallel going on, one, at the customer end; and second is India as an operational and legal end. So they both are -- India operation is not hampering it. The hampering is the customer has to qualify us for all their applications and vendor

qualification

systems. So is it not that, that similar kind of vendor qualification system like in pharma or specialty? It is a very different kind of qualification system over there -- it's a lengthy process, let me tell you like that other than -- and one-on-one, if you want, I can explain you also later on.

Sudhanshu: Okay, sir. This is helpful. And we expect it to start normalizing from H2 even in this segment. Is that correct?

Naresh Patel: Yes, this is how -- whatever the commitments are happening from the customer as well. So this Q1 and Q2 will be the timeline within that we might be closing all the approvals.

Moderator: The next question is from the line of Dhara from ValueQuest.

Dhara: I would like to, one, understand the highlights or the updates on the progress that we are making with the MoU that we had signed with the Gujarat government for the electrolyte project. At what stage are we? And what is the process on the project?

Abhishek Patel: Let me take this. On the MoU announced with Gujarat government, let me -- as Naresh already mentioned that, we have tied up with one of the largest manufacturer of the electrolyte solutions in the world. But at presently, we are working on both the fronts to finalizing the capex for this project as well as the governing structure of this joint venture. And we will be soon announcing something on this -- very soon on this. But as of now, we cannot share much on this.

Dhara: Sure, sir. My second question is on your gross margins. So we have seen gross margins in the last 6 quarters consistently going down from 46% to now at 40% in Q4. While you have mentioned that it is because of unfavorable product mix, can you explain us more specifically, which are these products that are causing pressure?

Bhavin Shah: So Dhara, in last few quarters, we have already explained that there is some price pressure, we are discussing with our customers and we have taken a hit on the topline also on this. Even in recent time also, we have converted a few of our contracts from CIF to FOB basis. So when there is -- on a CIF basis, you will get a freight in your topline and expense will sit in the other expense. So 1% we -- see 1% hit is there on this account.

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And again, there is on -- quarter-on-quarter, there is a change in the product mix. We have some validation done for our CDMO business in this Q4. So putting all this together, this lower gross

margin of 40% is coming up for this quarter. But going forward, we'll see a steady-state recovery again in this as the inflationary and other pressure is stabilizing. So in the future, we'll see better number on the gross margin front.

Moderator: The next question is from the line of Jason from IDBI Capital.

Jason: So sir, I'm saying that the goodwill, which was in FY '23, around INR23 crores -- INR20 crores has gone to INR57 crores in FY '24. So just wanted to know the reason for this? Is it acquisition of Baba Fine Chemicals the reason for this goodwill?

Bhavin Shah: Yes. So, Jason, there is 2 -- there is 2 things in this. In past year, goodwill was on account of Ami -- our JV, Ami Oncotheranostics LLC, which we have fully provided during the current year. Now the amount which is appearing in the books is on account of investment in Baba Fine Chemicals.

Jason: Okay. So that's because of investment in Baba Fine, right? And the other, the Oncotheranostics' goodwill is completely gone, right?

Bhavin Shah: Yes.

Jason: Okay. Okay. And sir, just in this quarter, you've seen good sequential recovery. And I understand that it's been a difficult year. And just wanted to know what has changed. Of course, you had gone back to the spot business on seeing competitive pressures outside. Now I just wanted to know that what has changed? The quarter end margins have increased to 19%. So overall, your margins stand around 18% for the full year. Now just talking ab

out going like what we can take

as concession in the margin as a business...

Bhavin Shah: So, Jason, as we have explained earlier also, our first target is to go back to our previous base margin of 21%. So that is our first target. And from there onwards, we will see, again, a good growth journey, but we'll see a steady-state growth in the margin from here onwards now. So I believe the current year is the base formation, and we will see an improved and better number from here onwards.

Jason: Okay. Sure, sir. Sir, my next question, just wanted to know -- in terms of the electrolyte additives business -- so VC prices, they have fallen very, very sharply going back. So I just wanted to know, in this business, of course, when you have started to invest, there must be a certain thing. But now as the prices have corrected very sharply, how do you see the plan going ahead for this business?

Naresh Patel: It's a really good question, I can say. But as always, I'm saying, we have yet not done any capex because considering all these approvals as well as strong demand in ahead. And our existing capacity can be sustained on that. But now we have -- some agreements are already in place, which we cannot disclose as per the customers requirement.

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And with that also, there is -- and mainly these agreements are for IRA application, which is giving us a leverage of \$1 or \$2 against China. So that's helping us. And our process and technologies are so strong, so we can be able to sustain our margin with this prices as well.

Jason: Okay. Sure, sir. So in terms of the next question, sir, I just want to understand I mean, sir how much of exposure we have to darolutamide? And of course then, it becomes like a permanent contract. So in terms of revenue, so how do you see the ramp-up going ahead? Are we too much exposed on darolutamide? And what steps are we going to take into diversify it?

Naresh Patel: No. We are -- FY '24, we are not that much dependent on darolutamide even though we had done good growth in that. And FY '25 is a year of qualification, and it will be ramped up here.

And from FY '26, it will be go for the full -- for total for us. And darolutamide is not a part of our systems in -- from FY '23, but it is part of our system since FY '10 -- '11, so we are very old supplier of this raw material to the firm. Yes.

Jason: Okay. And how do you see the pipeline going ahead, sir, in terms of various intermediates?

Naresh Patel: We have a strong pipeline. We have long-term projects -- products, which are having long visibility for every year expiry as well as some new CDMO entering into the market. And then NCE program as we stated several times in call. Every year, we are getting 5 to 6 new NCE programs. So they're also giving us a good result. So it's -- they are also moving from Phase 1 to Phase 2, Phase 3, like that.

So it's a mix of product mix where we have long sustainable products, we have high volume, some are high volume, and then, these NCEs and CDMOs. So the basket is mixed, and that's how we survive with this. You can see consistently on our top line, we are working -- we are consistently improving ourselves. If this top line was the compromise figure, it will be a regular share for us. So it's -- this is all because of the 10, 15 years, what we had done in our product identification, qualifications, development, so credit goes to all these areas.

Jason: Sir, would it be possible to give a number in terms of darolutamide, how much does it contribute to the API business?

Naresh Patel: No, this is -- it's not possible to give the exact number on that, but...

Jason: Ballpark, ballpark also basically.

Naresh Patel: See darolutamide originator has announced that they will go to \$3 billion. So if they are from current base, so 3x they're expecting the growth. So similarly, we can able to get this kind of growth. And importantly, we

have all 5 intermediates of that product, so we have a larger expectation from darolutamide from the originator.

Jason: Okay. Sure, sir. Sure. And sir, just lastly, just wanted to understand, sir, when you reset the capex plan, utilization of Unit 1, Unit 2 line wasn't very clear. So if possible could you repeat those numbers, those capex plans for '25 and '26 on the utilization of Unit 1 and Unit 2 as well?

Naresh Patel: Abhishek, can you take up these?

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Abhishek Patel: Unit 1, in terms of capacity utilization, it will be a kind of normal growth because at Unit 1, we do not see much of the opportunities available to expand the capacity further. So slowly, slowly, it will increase capacity, and that will hit the ceiling. It is already operating at 72%.

Jason: At 72%?

Abhishek Patel: Yes. At Unit 2, we already inaugurated and commercialized one production block for the particular customer. And going forward in next 3 years, we are expecting other 2 blocks also get filled up with new products, product with a new -- other innovator as well as the additional capacity utilization coming in from the existing products, which are not being catered at the Unit 1 because of the capacities concern at Unit 1. So in 3 years' time, we are, again, targeting that capacity utilization, should reach at an optimum level of more than 60%, 65% in next 3 years' time.

And for Unit 3 also, it is at underutilization of around 50% for FY '25 -- FY '24, which is, again, we are growing at more than 20%, 25%. And next 2, 3 years' time, we're expecting that this capacity utilization should also ramp up in the same -- similar fashion as we are expecting in Unit 2 and 1 also.

Jason: Okay. Sir, this Fermion block is at Unit 2, is that right? This is the one which you have commercialized, the one production block which you mentioned, right?

Abhishek Patel: Yes.

Jason: Yes. Okay. And sir, finally, just capex number for defining total what you're estimating?

Bhavin Shah: For which year? FY '25?

Jason: For '25 and '26.

Abhishek Patel: Capex, so as I mentioned during my opening remarks that we are expecting capex of around INR250 crores for FY '25, out of which INR70 crores is the balance capex at Ankleshwar unit, INR100 crores capex is expected at Unit 3 for electrolyte additive business and INR50 crores capex for captive solar power plant. And the remaining INR30 crores, INR40 crores will be in the range of -- will be for the normal maintenance capex. And similarly the -- similar capex is expected for FY '26 also for maintenance. For any additional project capex, we have not yet decided or announced any capex as of now.

Jason: Okay. Sure, sir. And just finally, sir, just on the Unit 3 that we've mentioned, is that basically to cater specifically to the battery chemicals business only?

Bhavin Shah: Yes. So it will include, one part will be there in maintenance capex for this. And there is a specific capex also for electrolyte additive.

Jason: Okay. No, sir, my question was the Unit 3 is only catering to battery chemicals? Or is it catering to the API business as well?

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Abhishek Patel: Unit 3 is completely dedicated to our specialty chemical business, excluding semiconductor business, which is at Baba Fine Chem. So Unit 3 caters our business related to paraben, salicylic acid and electrolyte additive business. No pharma intermediates at Unit 3.

Moderator: The next question is from the line of Ridhima Goyal from Acquaint Bee Ventures

Ridhima Goyal: I think most of my questions have been answered. It is just one question I am left with is, I just wanted to know the volume growth which we have across all our segments, like the API and the sector? And what are the EBITDA margins and the EBITDA figure, which we have reached basically?

Naresh Patel: Bhavin, can you take up the call, please?

Bhavin Shah: Ye

s. Ridhima, can you come again?

Ridhima Goyal: Sir, my question is, what is our volume growth in both our segments, both API and Chemicals? And also the EBITDA levels -- EBITDA margin levels, which we have achieved in these segments?

Bhavin Shah: Yes. So we have 100% volume growth for both these segments in the current year. And EBITDA margin for the specialty (BFC) is at 68%, and for Advanced Pharma Intermediates, it's at 19.53%.

Ridhima Goyal: Okay. Okay. I just wanted to understand one thing is, so we have seen the drop in the margin. So is it because of the increase in the second business on an overall revenue basis? Or there are the increase in the revenue from some of the low-margin APIs only?

Bhavin Shah: So, Ridhima, it has both the things. There is a definite growth in volume of low-margin speciality also. And last year, as we have mentioned in the past 3 quarters, it was a difficult year for entire industry, so we have seen some pricing pressure also from our customer end in other segments also.

Ridhima Goyal: Okay. So what is the price growth which we have seen in this quarter?

Bhavin Shah: Pardon?

Ridhima Goyal: What is the price growth which we have seen in this quarter, Q4?

Bhavin Shah: For -- see, that's what I'm explaining you that for Q4 growth is coming from volume only.

Ridhima Goyal: Volume only. The price has been, is it stable? Or is that stabilized?

Bhavin Shah: Price is stabilized.

Ridhima Goyal: On our year-on-year basis, right?

Bhavin Shah: Yes.

Ridhima Goyal: Q4 FY '23 versus Q4 FY '24?

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Bhavin Shah: Yes.

Ridhima Goyal: Understood. Understood. And one last question I just wanted to understand is, what exactly are we manufacturing in the electrolyte business? So is it the solution or the salt or the solvents?

What are exactly the solutions are we planning to produce?

Naresh Patel: So in electrolyte, we have 2 segments. One is additive. So in the past, we have only 2 additives, 2, 3 quarters back, commercialized, additives. But in last 1 year, we developed another around 8 additives -- different additives required for different formulation. So these are the key additives, the VC additives, and there are so many other additives, which are used by the different formulators that we mentioned based on their formulation. So there was around 6 to 8 in that segment, so now we have more than 10 additives in electrolyte additives segment, which is mature enough now and for that only we are targeting to do some capex as well.

And another segment came up in the last -- this year, and that is for CDMO work for one of the solution manufacturer. So that is a different segment. So this is the second segment where we are working in making the final formulation based on this recipe of the CDMO player. And that will be second segment in electrolytes.

Ridhima Goyal: And we will be manufacturing additives only in those CDMO part?

Naresh Patel: No. CDMO is going to consume the additives as well as other salts and solvents and make the formulation. So it's 2 different segments.

Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Yes. Is it better?

Moderator: Yes, sir. Please go ahead.

Krishan Parwani: Congrats on a good set of numbers. Just one clarification. So of the 25% sales growth that you've guided for FY '25, how much would be from the firm orders in places that you have? Because I think you highlighted that you have firm orders for electrolyte additives as well. So can you just throw some light on that?

Naresh Patel: See, the visibility depends on -- because we have a mix of product mix, it's very big compared to other players like us, we have more than 500 products out of that commercially active, in pharma is around 80 to 100 and then this is also in specialty as well as in semiconductor. So it's a big market.

In that, we have firm commitments as well as f

irm orders coming from the contract as well as from the regular customers. So the strong visibility we have that if there is no any, like in last year there is a topline pressure, and that has reduced our topline. But if everything goes well, we are very strong from here that we will be definitely making 25% and maybe up if everything gets normalized.

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Krishan Parwani: Yes. I mean, because I think your prices have normalized. So I think the volume growth should translate directly to the sales growth. So I mean there is a possibility that you could probably outperform it. Is that correct understanding?

Naresh Patel: Yes. Yes, correct. For that we can state also this because see in these all 4 partners the important highlight is that every quarter we had to increase in our volume. So if we are -- our volume is intact, then only question is the price, which is offered by the customer. So that -- if your volume is losing, then definitely, you can have -- whatever you do, but that will not be able to sustain because volume is declining. But our important message is that our volume will increase every quarter so that will also be as a booster of confidence that definitely, we will make these numbers.

Krishan Parwani: That's great, sir. Yes. I mean, the -- would agree on the volume growth part. And wish you all the best for future.

Moderator: The next question is from the line of Rohit Nagraj from Centrum Broking Limited.

Rohit Nagraj: Congrats on good set of numbers. Sir, my first question is, again, on electrolyte additives. So on Slide number 35, you have mentioned that electrolyte additive sample approved at plant scale for 6 customers. So have we started the commercial supplies? And what could be the potential for us in terms of the opportunity side?

Naresh Patel: See, basically, commercial supply has not yet started. We've already starting manufacturing of the electrolyte additives. We got some firm orders. And based on that, we've already started manufacturing of that. Now, we are in the process of final product because these all depends on the formulations, final quantities demanded by the customer. So customers will signal. Based on the different specifications, we will do the final packaging for them, and we will see that. That's why we say that by Q2, we will start commercial supply to the customer.

Rohit Nagraj: Right. And what could be the opportunity size for us?

Naresh Patel: For the time being, we had discussed several times on this subject since long. And when we started, it was \$42, now it got down to \$7-\$8. But still, we have a huge potential. And yes, that's why we've also now started because we have -- demands are incremental, and that's why we also now started. After 2.5 years, we started deciding to put up a larger capacity plant for both the additives.

Rohit Nagraj: Right. And sir, second question is, again, there we have also mentioned that 7 new products are at various stages of qualification. So what are the timelines that we are looking at in terms of, again, getting approval from the customers? And are we targeting the domestic customers as well apart from the global customer?

Naresh Patel: See, additive we will use for anyone. So it's not that only made for export, it is also domestic. If somebody comes for the formulation in domestic, definitely, we will be supplying them as well.

So it's -- there is no bar. And importantly, if we do this, our CDMO JV will be forming these and moving ahead, and then, they will be also our customer as well in India. So we have a --

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additives point of view, we are securing ourselves, not only the export, but also indigenously, our own JV might be one of the customers for us as well.

Moderator: The next question is from the line of Vignesh Iyer from Sequent Investments.

Vignesh Iyer: Congratulations, sir, on a good

set of numbers. I wanted to understand on our new Ankleshwar facility, what is the breakeven sales that we need to achieve? I mean, sir, what is the sales that we need to achieve to reach breakeven margins?

Vignesh Iyer: As in percentage of utilization also would do, I mean.

Abhishek Patel: So let me bring it to you, Vignesh, that Ankleshwar, we have already commercialized one production block at Ankleshwar Unit 2. And the rest of the unit are still -- are not operational.

So capacity utilization and the breakeven point will depend on those commercializations of each and every block on a sequential basis. So we are expecting around 30% to 35% of the utilization at which we should be able to hit the breakeven for particular block and not for overall the Unit 2 level.

Vignesh Iyer: Sir, if I understood right, the block that has been commercialized now can hit breakeven at 30%, 35% utilization and any subsequent blocks would depend on the product or say for that specific block the utilization -- the breakeven would be different, right?

Abhishek Patel: Yes, yes.

Vignesh Iyer: Okay, sir. Got it. Got it. Sir, one more question from my side would be, sir, I was looking to balance -- the P&L and our net tax paid for this year is 41%. I understand we might have taken some mat credits. Are we moving to a 25% tax bracket for the coming financial year?

Bhavin Shah: So when you see this number, basically, for stand-alone, Ami Organics Limited rate is 25.16%. There is an exceptional item in the P&L, which is not allowed in income tax. So that is one of

the difference. And there is a different tax rate for Baba Fine Chemical. So mix of this is showing you this number. So one has to understand that we are at 25.16% only.

Vignesh Iyer: Okay. Got it. Got it. Sir, what is the tax rate that come -- that is applicable to Baba Fine Chem or Baba Chem?

Bhavin Shah: Okay. It's a partnership firm, so tax rate is at 35%.

Vignesh Iyer: 35%. Okay. Right. Got it. Got it.

Moderator: The next question is from the line of Rikin Shah from The Boring AMC.

Rikin Shah: So in terms of the process pattern that we have achieved in lumateperone, so my understanding is that this drug is sort of a combination for 3 particular diseases, which is schizophrenia; bipolar 1, 2; and MDD. So with this, the estimate sales of the innovator is very large. However, I believe that this could be an entry for us when the global patent would expire. So in that particular year, what sort of addressable size is possible from this product?

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Naresh Patel: Thank you, Rikin bhai. Yes, you are right that you can see the antidepressant segment is growing worldwide, but that segment is having lot of subdivision as well. And our -- most of the products, which is -- we are working in that, we are in a key position in this segment as well. And lumateperone is definitely a very good drug.

And few of our generic manufacturers also filed First to File in the U.S. as well. So we are expecting a lot of traction in these areas. And it's a very high value low dose molecule. So -- and it's also our backup of trazodone as well. So this is how we had poised this end product. And we started working there since very long. And that's why we also get this patent protection as well. So that help us to sort of get a bigger market. And as you rightly said, the market is -- originator is growing very fast. And that will also help us to -- encourage us to get the bigger portfolio in 2029, it will be a larger volume product for us.

Rikin Shah: So just expanding on this. So I just read into the patent, and I sort of discovered that our process of making this is perhaps helping with a better yield and also compared to the catalyst used by the competitors. They use sort Xanthophores and PDPA. Our catalyst is green, and -- so all these things do they help in -- eventually with costing and becoming a prefer

red source of supplier?

Naresh Patel: Yes, yes. That is the reason why. See, when product becomes generic, the biggest problem is the price pressure. And in that, if you want to sustain in that area, you should be cost-effective for the generic API manufacturer. So that is where Ami Organics is always focusing on all of our products, which we are working for the generic development is likely so that when these products are coming into the market, we will be -- not be kicked out by the generic API manufacturer because our cost is not competitive. So that is one of the reasons. And we -- it's a very unique chemistry we have developed, and to protect ourselves in this chemistry, that's how we get into the filing.

Rikin Shah: All right. Got it. Lastly, sorry for asking the same question in a different way. An earlier participant sort of asked how the ramp-up in Ankleshwar would be happening. So we understand that the one CDMO, NCE contract is dedicated to the innovator. But with the other 2 blocks, we may be in contract negotiations with other CDMO players or -- that will take its own time. So for the time being, once Surat is sort of at its peak utilization, do we have the basket of products to manufacture from the other 2 blocks?

Naresh Patel: Yes, yes, definitely. That expansion is basically when we started is to back up the Surat Unit 1 only because Unit 1 is going to be mature, and we are -- because of the -- thanks to our Flow Chemistry introduction, we are reducing some capacity, and we are focusing in Unit 1. But basically, Unit 2 Ankleshwar was a backup for that forward support to the Unit 1 product pipeline only. And that is why we have put up one unit.

Luckily, we got one block with the CDMO contract. And that helped us to move faster in this area. But we are in very active negotiation and discussion and approval with some other CDMO originator and the sampling and these are happening. But that -- you know that process is a little bit longer. So that's how we will get a few more products from CDMO Unit 2 as well as our future products, which are coming and launching in '25, '26, '27. That will help us to producing.

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And normally, we have 2, 3x asset turn in all our capex, and that will be also possible in this Unit 2 as well.

Moderator: The next question is from the line of Pratik Oza from Share India Securities.

Pratik Oza: So sir, my question is on the CDMO part. Sir, basically, CDMO remains a very lumpy business.

So I just wanted to know what is the expected growth we can achieve in FY '25. And also wanted to understand whether we are in early-stage molecules or we are in the late-stage molecules.

Naresh Patel: So it's a mix of that. We have -- we are doing CDMO since long with big or in today's in Europe for their -- after expiry molecule sustainability, so that is the one segment, whereas we have several products which are in NCE program also, which is going forward into the launching area whereas we do some CDMO as well. And then all of a sudden some originator capacity concern started. And like this, we have one of the biggest CDMO right now working for us. So that also -- so it's a mix of that. And we want to do incremental CDMO segment in our portfolio, and that is where we are working in that. So from going onward, CDMO portfolio is a very sizable portion in our total basket.

Pratik Oza: Okay. Sir, just one thing on that. So I just wanted to understand, so on early stage molecules typically the margins are higher as compared to late stage molecules. Is my understand right?

Naresh Patel: See, margin, obviously, CDMO has a little bit compromise in that because it's a completely toll manufacturing for the player. But in that also you -- if you have your own process or something newer technology, you can have a leverage in that. But because we have a mix of products where we have NCE programs where we have -- mar

gin is very good, products which are going for the regulated market is a 2%, 3% up or side margin than the generic portfolio.

So that is why we had -- and then importantly, one could understand that we are not in API or we are not in formulation, where we have a regulatory compensation -- stronger compensation duration. We are in the bottom chain of the supply. So that will not give us more leverage in that. So that's how we are now starting putting ourselves in patent and as well as -- so there we can get a little bit advantage of that as well.

Moderator: Thank you. Ladies and gentlemen, due to time constraint, we will take that as the last question. I now hand the conference over to the management for closing comments.

Naresh Patel: Thank you, AMBIT team for hosting our conference call. Thank you, everyone, for your questions, and we hope we have been able to answer most of your queries. If we have missed out on any of your questions, kindly reach out to our Investor Relations team, and we will get back to you. Once again, thank you very much, and have a nice day and nice week.

Moderator: On behalf of AMBIT Capital, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Transcript has been edited for reading purpose.

Call: Aug 2024

■ Ami Organics Limited .) CIN. : L24100GJ2007PLCO51093

Registered Office :- Plot No. 440/4, 5 & 6, Road No. 82/A, G.L.D.C. Sachin, Surat - 394230, Dist. Surat, Gujarat, India.

August 16, 2024

To, To,

The Corporate Relations Department, The Listing Department
BSE LIMITED, National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,
Dalal Street, Fort G-Block, Bandra Kurla Complex,
Mumbai- 400 001 Mumbai -400051

Scrip Code: 543349 NSE Symbol: AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q1 FY25 financial results held on August 12, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on August 12, 2024 post announcement of financial results for the first quarter ended on June 30, 2024.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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"AMI Organics Limited Q1 FY25 Earnings Conference
Call"

August 12, 2024

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR, AMI ORGANICS LIMITED

MR. ABHISHEK PATEL – VICE PRESIDENT , STRATEGY ,
AMI ORGANICS LIMITED

MR. BHAVIN SHAH – CHIEF FINANCIAL OFFICER, AMI
ORGANICS LIMITED

MODERATOR : MR. KRISHANCHANDRA PARWANI – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to the AMI Organics Limited Q1 FY '25 Earnings Conference Call hosted by JM Financial.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishan Parwani. Thank you, and over to you, sir.

Krishanchandra Parwani: Good evening everyone and thank you for joining us on AMI Organics Q1 FY '25 Earnings Conference Call.

Today, we have with us AMI Organics Management, represented by Mr. Naresh Patel – Chairman and Managing Director; Mr. Abhishek Patel – Vice President (Strategy); and Mr. Bhavin Shah – Chief Financial Officer.

I would now like to invite Mr. Bhavin Shah to initiate the proceedings. Over to you, sir. Thank you.

Bhavin Shah: Thank you, Krishan. Good evening, everyone. We are pleased to welcome you all to our Earnings Conference Call to discuss Q1 FY '25 Financials.

Please note that a copy of our disclosure is available on the Investors Section of our Website as well as on the Stock Exchanges.

Please do note that anything said on this call which reflects our outlook towards the future, or which could be construed as forward-looking statement must be reviewed in conjunction with the risks that the company faces. The Conference Call is being recorded, and the transcript along with the audio of the same will be made available on the website of the company and exchanges. Please also note that the audio of the Conference Call is the copyright material of AMI Organics and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

Today on call, along with me, we have Mr. Naresh Patel – Chairman & Managing Director; and Mr. Abhishek Patel – Vice President (Strategy).

Now I would like to hand over the floor to our CMD, Mr. Naresh Patel for his opening statement. Over to you, sir.

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Naresh Patel: Thank you, Bhavin. Good evening, everyone. I hope you all are doing well. A warm welcome to our Q1 FY '25 Earnings Conference Call.

Let me start with an overview of the global Chemical Industry environment.

Geopolitical instability worldwide has led to extended delivery times and higher freight rates over the past quarter, although input prices have stabilized, they remain low, continuing to exert pressure on the pricing of finished goods. The competitive threat from China's manufacturing capability remains significant, and I expect certain segments of the chemical sector to stay under pressure. However, Specialty players, those relying on a technology-driven processes and niche products are less impacted by current market challenges.

Regarding the industries we serve in – The pharmaceutical sector - The advanced pharmaceutical intermediate industry is facing challenges due to oversupply from China. However, while there is some impact on pricing due to lower raw material prices, we are not seeing much impact on our products, given most of our products find application in chronic medication, where technology and process are more critical than scale. Therefore, our core products continue to grow strongly. The CDMO space is experiencing strong growth globally with high inquiry levels for new projects. We are in discussions with many customers with a few contracts nearly finalizations.

In commodity chemicals, while pricing has stabilized, it remains low. We have managed to withstand the pressure through operational improvements and better asset utilization.

In the semiconductor sector, despite the current demand is weak, the discussions with customers

suggest that this is a short-term issue and demand is expected to normalize by the end of the year. We are working on integrating operations and expanding our product and customer base in other geographies as well.

The battery chemical sector is evolving rapidly, and we are also building capacity at fast pace to cater the worldwide demand of electrolyte additives and are collaborating with a global player to establish electrolyte solution capacity in India. The IRA policy in the U.S. and the growing battery ecosystem in India presents significant opportunities for us.

For the quarter, I am pleased to report that we continue to navigate the challenging industry landscape successfully to achieve strong 15% growth in revenue from operations. This growth was primarily driven by our Advanced Pharmaceutical business, while the Specialty Chemicals segment saw modest growth due to the subdued performance of Baba Fine Chemicals.

Additionally, we successfully conclude the Good Manufacturing Practice inspection by the Pharmaceutical and Medical Device Agency, PMDA in Japan with no critical or major observation. To our knowledge, we may be the only chemical company in India to have successfully completed both US FDA and PMDA inspection in the Advanced Pharmaceutical

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Intermediate space. These achievements should open additional opportunity for us in Japan and other regions.

Historically, even as we always see year-on-year growth in Q1, it is important to understand that our Q1 is always lowest quarter in terms of revenue each financial year since inception. And we typically see sequential growth from Q1 to Q4. I anticipate similar strong sequential growth in the coming quarters.

Looking at our current order book, I am confident that we will comfortably meet our 25% growth guidance for the year.

Now, I will hand over the floor to our Vice President of Strategy, Mr. Abhishek Patel for further business updates. Over to you, Abhishek.

Abhishek Patel: Thank you, Naresh bhai. Good evening, everyone.

Continuing with our Business Performance:

Our advanced pharmaceutical intermediate business reported revenue of Rs. 135 crores for the quarter, reflecting strong robust 16.6% Y-o-Y growth. This increase was driven by strong performance in both CDMO as well as the core product business. The Specialty Chemicals business also grew by 10%, reaching Rs. 42 crores. This growth was largely due to strong performance in the commodity chemicals segment, though it was partially offset by the subdued performance of Baba Chemical business.

Elaborating more on Baba Fine Chem business: For the past 2 to 3 quarters, BFC has been operating around Rs. 5 crores revenue per quarter affected by business integration and demand issue from our client side. We expect a recovery to begin in second half of the year. Post acquisition, our team has been actively marketing new products, which were already present in BFC product basket, but were not marketed earlier. Marketing efforts driven through participating in semiconductor conferences engaging with customers in Korea, Japan and Taiwan. This has led to a new customer collaboration with customer in Korea and Japan at the large scale, although this initiative will take some time, we are optimistic about the opportunities in this segment.

Now in Battery Chemicals segment: We have established Enchem AMI Organics Private Limited, a wholly owned subsidiary of AMI Organic Electrolytes Private Limited, which is in terms of wholly owned subsidiary of AMI Organics Limited. This step-down subsidiary will focus on electrolyte for lithium-ion batteries and related material in India.

Regarding CAPEX update: For Ankleshwar project, we are on track to complete the remaining 2 blocks by end of quarter Q2 FY '25. In line with our commitment to combat global warming

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r the United Nation Global Compact Pledge, we have initiated a 16-megawatt solar CAPEX captive power plant project. This project will meet most of our energy needs, leading to reduce carbon emission and lower energy cost. We anticipate completing this CAPEX by the end of Q2 FY '25, and energy savings expected to start from Q3 FY '25, which will further contribute to our EBITDA improvement. As Naresh ji mentioned, we have also started CAPEX for electrolyte additives, which is on track completion by end of this financial year.

With that, I will hand over the floor to our CFO, Mr. Bhavin Shah, to provide financial update.

Over to you, Bhavin bhai.

Bhavin Shah: Thank you, Abhishek bhai.

I would like to briefly highlight the key "Performance Metrics" for the Quarter before we open the floor for questions:

Revenue from operations for the quarter reached Rs. 176.7 crores, representing 16.6% increase on a year-on-year basis. As Naresh ji noted, this growth was primarily driven by strong performance in Advanced Pharma Intermediate segment.

Gross profit for the year was Rs. 74.3 crores, reflecting a 1% increase compared to the same period last year. The gross margin was 42.1%, up from 40% in Q4 FY '24, but down from 47.9% in Q1 FY '24.

As you all know, to support our clients who were facing pricing pressure, we had resorted to supplying products at a spot pricing to our long-term customer to protect the volume at the cost of margin decline in fluctuating market conditions. This had impacted our gross margin from Q2FY24 onwards.

As expected, RM prices have stabilized, and we are slowly moving back to old pricing formula with most of the long-term customer, and therefore, there was a good expansion of around 210 basis points in gross margin in Q1 FY '25 sequentially.

EBITDA for the quarter was Rs. 29.5 crores at 13.2% decrease year-on-year with EBITDA margin at 16.7% down from 22.1% in the same period last year. Several factors impacted the EBITDA margin. First one is the gross margin. This remains a primary driver for EBITDA, while it improved sequentially, it was lower year-on-year basis.

Second is increase in employee costs, higher expenses this quarter resulted from annual increments and new hires for the Ankleshwar Plant. Other reason is the seasonal trend. As

Naresh bhai mentioned, Q1 is typically our lowest quarter in terms of revenue. Therefore, Q1 usually has the lowest topline and EBITDA each financial year.

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PAT for the quarter was Rs. 19.7 crores compared to Rs. 30.9 crore in Q1 FY '24, leading to a PAT margin of 8.3%. The decline in PAT margin was due to lower EBITDA margins, higher depreciation costs due to capitalization of one of the block at Ankleshwar units and increased finance costs. We anticipate higher depreciation costs in coming quarters as we will capitalize the remaining blocks of the Ankleshwar unit in the coming quarters, however, with a significant debt repayment, finance costs are expected to decline sharply.

Overall, we remain on track to achieve our 25% growth target for the year while maintaining healthy EBITDA margins.

With that, I request moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. The first question is from the line of Vivek Gupta, who is an Individual Investor. Please go ahead.

Vivek Gupta: So, a couple of points that I wanted to discuss, sir. So, first is, how much did we invoice for electrolytes in this quarter?

Abhishek Patel: So, electrolyte business is still in the working out stage, we are working on both the front in form of corporate governing structure as well as the CAPEX. So, electrolyte segment sales is yet to start for us.

Vivek Gupta: On last concall, did we mention that we would invoice some part of it in Q1, right?

Naresh Patel: So, contrary, there are some small invoices for sampling and

qualification, but the large invoices

will be started from H2 as we mentioned. We are talking about additives.

Abhishek Patel: There are 2 different set of business. You asked about the electrolyte. So, that is electrolyte business is yet to start. If you asked about the electrolyte additive business, so that is we have some long-term contract already signed, and we expect that revenue to start from H2 FY '25.

Right now, it's only small quantity related to sampling and all those things.

Vivek Gupta: The other point is, I see other expenses being greater than part. So, what exactly we have in the part of other expenses?

Abhishek Patel: So, other expenses include expense related to manufacturing as well as the marketing as well as the administrative expenses.

Vivek Gupta: Okay. So, we expect a similar trend down the line as well, because it's huge.

Bhavin Shah: So, in this case, our other expenses should be ranging between 15% to 17% of the total sales.

And as we grow quarter-on-quarter, with better topline, we will have a better leverage, and we

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will have a savings in this area. So, other expenses should remain between the range of 15% to 17% kind of thing.

Vivek Gupta: And I see that we are operating at the lower PAT margins in FY '20. So, is there a reason that we have not been able to improve the PAT margins?

Bhavin Shah: With regard to PAT margin, see, we have improved our gross margin on a sequential basis.

However, in current quarter, we have higher depreciation expense, higher finance cost due to our Ankleshwar unit, which has capitalized last year and which has yet to give a full potential of revenue. So, higher depreciation, higher finance costs, and we have also rolled out increment in Q1 this year. So, these 3 factors cumulatively giving a lower PAT margin for the quarter. As we move gradually on a quarter-on-quarter basis, this will improve.

Vivek Gupta: And what is the EBITDA margin guidance you would give for quarter 2?

Abhishek Patel: So, we do not generally provide the guidance, but you can expect that in last quarter also, we had a very good revenue of Rs. 225 crores. And as we progress, we are committed to deliver growth of more than 25% in revenue. And you can expect that first, as Naresh bhai, already mentioned, the Q1 is always a low revenue quarter and sequentially, it goes higher. So, you can expect similar kind of numbers going forward. So, at least when those revenue topline number gets going, you can expect around more than 200 basis point improvement at the operational level also. We are also committed to delivering higher margin in terms of material margin, gross margin level also, but 200 basis point around improvement in EBITDA margin because of operational efficiency. So, that's the kind of EBITDA guidance you can work out at your end.

Vivek Gupta: One last point. So, for the from QIP proceeds we have retired all the debt for the company, right?

Abhishek Patel: Yes.

Vivek Gupta: And what is your net cash in hand currently, on books?

Bhavin Shah: So, as on June, net cash on hand is around Rs. 385 crores.

Moderator: Thank you. The next question is from the line of Rikin Shah from The Boring AMC. Please go

ahead.

Rikin Shah: I wanted to understand what the timelines for Enchem AMI Organics would be, how would this pan out? And what the deeper plans for this would be?

Naresh Patel: Enchem AMI Organic is a subsidiary for making toll manufacturing for electrolyte in India, exclusively for the parent company in Korea. And right now, we are in discussion of finalizations

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of the JV terms and conditions. So, we cannot throw the exact timeline because it's complications between 2 companies, 2 countries and also regulatory requirement and all.

Rikin Shah: And my second question would be on understanding how Block 2 and 3 of the Ankl

eshwar unit

after construction like do we have some sort of order book finalized? Or how would we be utilizing that going forward?

Naresh Patel: We are in an active discussion, I think not active discussion but almost a finalization of signing one more contract as a CDMO with one of big originator based in Europe, samples, everything is done, now validation batches will be planned in next quarter. So, maybe end of this quarter or maybe beginning of next quarter, we will be have these signings. So, we plan very properly and everything is going as per our planning in Unit 2.

Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishanchandra Parwani: Just a couple of questions from my side. So, firstly, on the Fermion contract, when we start to see the strong ramp-up from that?

Naresh Patel: We have already sent validation batches for the qualification at customer end. And by starting from Q2, Q3, Q4, it will gradually increasing, and it will fully ramp up in FY26 up to the maximum level. But this year, we are targeting to have all the validation finishing all to 84 countries where they are supplying. So, this is slowly ramping up, but it's a very positive and it's going on as per design and planning by the customer.

Krishanchandra Parwani: Understood. So, basically, with this kind of a ramp-up, I mean, gradual ramp up, your gross margin trajectory should also improve going forward. Is that correct?

Naresh Patel: Yes, definitely.

Krishanchandra Parwani: And on the tax rate, was there any one-off factor in this quarter? Because I think there was tax rate is slightly higher. Is there any one-off?

Bhavin Shah: No. See, tax rate for Baba is different than Ami Organics. So, when we combine it, it will look on a higher side.

Krishanchandra Parwani: Understood. So, for FY '25, should we build a 25% tax rate or slightly higher?

Bhavin Shah: It should be on a slightly higher side.

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Krishanchandra Parwani: Understood. Thirdly, on the electrolyte additive project, given, you have also done some arrangement with Enchem recently. So, just wanted to check, I know both the projects are different. But for the electrolyte additive project per se, do you have firm orders in hand?

Naresh Patel: Electrolyte CMO, we don't have firm orders because we have not formed JV. But for Electrolyte additives, yes, we have a long-term contract already signed. And based on this planning only, we are now expanding our capacity for VC and FEC up to 2,000 metric tonnes. Apart from that, we had already developed another 8 new additives, which are also used in the manufacturing of the solution of electrolyte, and these all are also now started qualification stage at different customer level as well as with Enchem as well. So, once these also will be matured, we will start producing that apart from VC, FEC, other additives also in AMI Organics Electrolyte.

Krishanchandra Parwani: Understood. So, basically, these are some of the firm contracts that you have in hand, which is what is driving you to guide for a 25% growth in FY '25. Is that correct?

Naresh Patel: Yes.

Krishanchandra Parwani: Noted. And lastly, if I may. I think you were facing some challenges on Apixaban, but I think recently, there was a court order also confirms the invalidity of Bristol-Myers Squibb. So, are we seeing some uptick there? Or will it take some time?

Naresh Patel: No. Yes, it's already started taking up slowly and in any way, next year is a year of launching, right? So, exclusivity is expiring. So, we have already started getting the orders started in different, different customers slowly.

Moderator: Thank you. The next question is from the line of Sudhanshu from Marcellus Investment Manager. Please go ahead.

Sudhanshu: Sir, first of all, if you can help me understand the volume and value breakup of this 15% Y

-o-Y

growth and the Q2 decline as well. What was the number in terms of the volume momentum?

Bhavin Shah: So, we have got this 15% hike completely on a volume side that is 18% growth on volume side.

Sudhanshu: So, 18% volume growth and then 3% pricing degrowth? Is that how we arrive at it?

Bhavin Shah: Yes.

Sudhanshu : So, this 20%, 21% degrowth on a quarter-on-quarter basis, if you can split that as well in volume and value terms, was there any quarter-on-quarter depreciation as well in terms of our realization?

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Abhishek Patel: So, let me tell you this way. As we already mentioned that generally Q1 has always been the lowest quarter for us. So, largely in both the segments, it was kind of similar kind of degrowth.

But it was not kind of things which came to us and surprised us. We have already prepared ourselves for such kind of revenue and because the kind of visibility we got from the customer, we are again committed to achieve more than 25% growth for full year. So, for both the segments, we are expecting kind of similar growth and more than 25% growth and will do more than 25% growth at the end of the year. Under volume and the value side, as Bhavin mentioned, 18% is the volume growth for overall level against the 15% of value growth. But segment-wise, the split, we are not providing.

Sudhanshu : Segment wise, I am not asking. I am asking quarter-on-quarter, sir.

Naresh Patel: It will be incremental similarly for quarter-on-quarter as well. And historically also, we are expecting same kind of history since inception, and we are committed to have 25% growth this year because we have. This is all bought according to the plan, and we know accordingly, it is growing right now.

Sudhanshu : Understood, Naresh bhai. And in terms of the challenges that we mentioned in terms of the integration-related issues for Baba Fine Chemicals, if you can help us understand that piece a little better like what exactly is going, why the sales are down from the levels at which we bought the partnerships stake?

Naresh Patel: See, basically, this is a very highly entry barrier business, semiconductor and it's very difficult to enter in that system when you are doing with chemicals, which is high pure chemical. And when we've done these acquisitions of ownership change from Baba Fine Chem Partners to AMI organics, we need to comply several requirements with the buyer Heraeus. So, last year was all was that. During that period, Heraeus is a headwind in their business, they will survive with the stock, what they have, but now they have a headwind also during these last 2 quarters, they are facing some challenges of their final product. And that's why it is a little bit sluggish at their end, and that is cascading effect to us in Baba Fine Chemicals. But contrary, we are also not sitting on because we were highly dependent on Heraeus on one customer. We had already started promoting other molecules, which we had not committed to Heraeus to the other segment in Korea and Japan. And we already start supplying few kgs of 1 kg to 10 kg level to these customers, and it's also moving very good. So, next 1-1.5 years, it will be improvement for us, not only from Heraeus side as well as from other new customers as well. So, we are working strongly on promoting Baba Fine Chemicals in the next 1-1.5 years.

Sudhanshu: Okay. And sir, if I may just ask a follow-up question on that. The new molecules that we are pitching to Japanese and Korean companies. Would it be in the same realization band and profit margin band? Or would there be a significant difference in terms of what we get from Heraeus versus the Japanese and Korean clients?

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Naresh Patel: Yes, it will not be as great as 65%, but it will be to be between 40% to 50%. And because the application is not in the same line, it all depends on the

application as well. But it will be much

better, much, much better than what our current business is doing.

Sudhanshu : Understood. And one question. Bhavin mentioned long travel times for the cargo and freight cost increase. So, has that had any effect on our sales as well? Have you lost any sales because of these 2 aspects? And the way these containers and long lead times?

Naresh Patel: It is not that great impact on our sales because we have an order in hand for longer period. So, we planned very strategically about the shipment as well. And accordingly, we booked our containers and all. But yes, it has impacted on the cost of the shipment, it is little bit incremental. That is also one of the temporary impact on our margin, but that is not that great. So, that's why we are not narrated impact of that. But for the time being, we don't see any supply or any sales restriction because of this longer segment time as well as longer awaiting time for the container because we are booking very early about that.

Sudhanshu : Understood. If I may ask 2 small questions, one to Naresh bhai, and one to, I think, Bhavin bhai.

Sir, in terms of the Apixaban and Rivaroxaban sales, you mentioned something to the last participant as well. But are we saying that gradual shipments have started, but the pickup would happen primarily in Q4 this year and then FY '26 would be the major pickup for these 2 molecules? Is that understanding correct?

Naresh Patel: Apixaban, your understanding is correct. Rivaroxaban is still we have to wait because it has still time. But we are moderately selling Rivaroxaban as well, but not at the peak right now.

Sudhanshu : Alright, sir. And Bhavin bhai, you mentioned that the solar plant would basically help us mitigate a lot of our energy costs. So, if you can quantify what percentage of our energy cost at the current level of operations would come down once this solar plant gets completed in Q2?

Bhavin Shah: So, see, primarily, we will not quantify the number, but the 16 megawatt will suffice our existing electricity cost. So, we will see improvement in that thing.

Naresh Patel: The detailed reason of that is because Unit 2 just commenced. So, that's why it is difficult to quantify.

Moderator: Thank you. The next question is from the line of Sudarshan from JM Financial PMS. Please go ahead.

Sudarshan : So, my question is to slightly understand how our strength is going to help us during this situation where a lot of our competitors are facing issues in terms of availability of the freight containers.

While I think a few quarters ago, you did mention that we have largely reduced the impact import dependence and started focusing on a little bit more locally. So, one is, with the current scenario, AMI Organics Limited

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does your plans now are starting to come and ask a little bit more in terms of more product, I mean, from your side? And second is from the overall relationship perspective, I am talking about the Japanese FDA that has come and audited the facility. I mean it is very nice to see that we have been able to ramp up our relationship with some of the other regions. But with this in place, how do we see us taking our relationship into Japan now that we have capabilities into grignard chemistry, building it into continuous flow chemistry etc.

Naresh Patel: So, let's first answer your first question related to the logistics and dependence on the raw material as well as availability of the containers. Definitely, if you are not dependent more on imports that will leverage you and to your customer as a local available raw material will make you more sustainable in terms of supply chain to them. So, that is definitely help us. And that is also one of the reasons that we are getting good project every quarter and every year. This quarter also we have received more than 12 new projects in terms of new supply. In terms of the supply

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o the customer, the second challenge where every exporter has the same challenge which we have as well. So, in that area, it is a better planning and that helps you to have early orders from the customer and onloading forecast help you to understand that when you required the containers for shipments and all, and that help you. It will help you to plan, but it will not help you to the cost because cost is not in our hand, but definitely, it will help us to on-time deliver to customer. So, I hope this will give you a satisfactory answer for your question. Related to Japan, we were already present in Japan in the last 15 years, we are doing sizable business in Japan. But with this PMDA inspection for chemical opened doors for us for advanced intermediate and N-1 kind of products for the API manufacturer in Japan. So, that help us definitely promoting our pipeline, which is, we are normally also promoting in Europe, U.S. and in India, but that is now open for us as well. So, that will definitely help us to grow our business in Japan.

Sudarshan : Sure, sir. And sir, if you are looking at the number of projects that we are working with, I mean gaining new clients as well as deepening our relationship with clients. I mean, given that we have spent a fair amount of effort and also building capabilities through M&A and directly. Can you qualitatively give some color with respect to more products or the relationships and pipeline something like how Fermion work for us. So, qualitatively say, 2, 3 years ago, how many relationships did we have? And probably now what is the kind of relationship that we are having?

Naresh Patel: As I always say that we started based on the originator business only. And we have a very long relationship with big originators. Fermion is one name, but there are so many other names with whom we are working in Europe. So, I can say name of Boehringer Ingelheim one of them with whom we are working since 20 years. Similarly, we have a lot of other originators with whom we are working. And we are time-tested supplier for them. And time to time, they give us a new molecule, which we develop for them, and then we wait for when it is launching. So, many molecules we have in Phase-I, maybe Phase-II. So, that will be longer period, it will go for launching. And one of the products which you know in Fermion is Darolutamide but apart from Darolutamide, we have other 8 products with the Fermion, which are already either

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commercialized or in the pipeline. So, this is the reason we have more than 570 molecules, which is already invoiced.

Sudarshan : Sure. Sir, one final question before I join back the queue is at some point of time, we were doing EBITDA margins of excess of 20%. Various combination of several factors that impacted the margins, it has probably led to the margins coming down. I mean leaving just this quarter aside, I mean, negative operating leverage etc. One is, if I am mapping the strength of the business in terms of the R&D capabilities and the clientele, the margin does not reflect the strength of the business. So, one is, in the near term, when do we see one to go back to the 20%? And second is, if you look at the kind of other competitors, I mean, whether it is in India or even globally, with similar kind of work which the companies are doing, their margins are significantly higher, not as a 25%. Second is, as the utilization goes up, when do you see this 25%-plus margins kicking in?

Naresh Patel: It's a really good question. But the issue is that we are not a peer to peer comparing with others because we have basket having not only the originator business or not only the CDMO business, but we have also generic business as well as we have a commodity business like specialty chemical as well where margin is low and volume is very high. So, because of that, there is a bundle of when you do the aver

age, it is impacting a lot. But you rightly said that it should not be that low as what we know. But as we say, our main target is to go to our historical margin level of 23% in pharma. So, we are working on that. And this financial year is definitely is historical for that to reach, this is our aim. And in future also, going forward, new projects are coming, new CDMO will come, which will also be helping us to have a better margin in our profile. So, definitely, it will go to the near level of our historical margin.

Abhishek Patel: And just to add on this, it's not that far also. It is definitely achievable in short time also because as we deliver in Q4 FY '24, when the sales was around Rs. 225 crores, we have delivered 19% EBITDA at a gross margin of 40% only. So, today, we are at a gross margin of 42% with operational efficiency and the large quantity of CDMO business, so more than 25% EBITDA level is definitely doable in this financial year also, hopefully in Q3 and Q4.

Moderator: Thank you. The next question is from the line of Neha Agarwal from SageOne Investor. Please go ahead.

Neha Agarwal: So, I'll just stick to a couple of more. One is currently, if we look at the overall capacity that we have, all the 3 units put together, I am just taking the liberty to add Ankleshwar also. So, I think we will be overall at around if we take full Ankleshwar, then the number would be somewhere around 12,000 tonnes, right?

Naresh Patel: Yes. In quantity, yes. But in, volume-wise, we are now somewhere around 1,100KL. So, right now, in volume because we have, in Ankleshwar, we will do more high-value product at a low volume.

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Neha Agarwal: Right. So, my question is on Ankleshwar alone. If we leave aside say, Sachin and Jhagadia for the time being on Ankleshwar alone, what kind of asset turns are we envisaging?

Abhishek Patel: So, asset turn for Ankleshwar unit definitely will be more than 3x. But because of we have some good CDMO contracts already in place, it can go more than 4x also.

Neha Agarwal: Okay. So, given the CAPEX of around Rs. 300 crores in Ankleshwar, which is the revised number. So, we can say around Rs. 1,200 crores plus kind of a topline at full utilization of all the lines in Ankleshwar? Will that be a fair assumption?

Abhishek Patel: Yes, at 100%, we can calculate like this.

Neha Agarwal: Okay. And is there any time line that, again, that you think this could be achievable given the visibility that you have pertained, given current order book as well as the discussions that are ongoing for Ankleshwar?

Abhishek Patel: So, you have to understand that at present, we are only calculating our revenue based on the block 1 of the Ankleshwar facility. Block 2 and block 3 are yet to get commissioned, which is expected in Q2 FY '25. So, expected peak utilization for those 2 blocks are still very premature to propagating the market as of now.

Neha Agarwal: Understood. But typically, please help me understand this better. So, generally, in CDMO, how it works is that, when you have, say, the unit or lines in place, then you already start also talking to clients and probably blocking individuals lines within the overall block for individual clients, right? So, there could be dedicated lines. So, here in Ankleshwar, I think the first one is already done with. But for 2 and 3, I mean is there a visibility in place? Or do we have some firm contracts? Or are we in early stages of discussion?

Naresh Patel: I already announced that in my last answer to someone else that we are on a very final stage of signing some contracts with one of our reputed buyer in Europe. But we will not be able to say right now about that planning considering the confidentiality of the nature of the business.

Neha Agarwal: Understood. And ex of Ankleshwar, if I go back to your existing Sachin and Jhagadia unit, the current utilization there would be

in what range?

Naresh Patel: It will be around 50% to 55% between that.

Abhishek Patel: At Jhagadia and more than 70% at the Sachin.

Neha Agarwal: So, what kind of optimum utilization can we achieve in these?

Naresh Patel: We can go up to 85% maximum.

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Neha Agarwal: In both our locations you are suggesting?

Naresh Patel: We have a fungible facility everywhere. So, it can be multipurpose plant, not dedicated plant.

So, it can be go up to 85%. In dedicated plant, you can go up to 100%, if it is continuous one product. But in multiple fungible plants, you can go up to 85%.

Neha Agarwal: Okay. So, well, if I take last year's full number, basically, just trying to draw an estimate of the overall all 3 facilities put together, if we are at optimum utilization, then what kind of growth up to what level can this capture? So, last year, when we closed at closer to 725 kind of topline. Is it Sachin and Jhagadia operating further more at a higher utilization than probably Rs. 900 crores to Rs. 1,000 crores for that? And then another Rs. 1,200, sir, so maybe Rs. 2,000 to at a broader range, maybe Rs. 2,300 crores to Rs. 2,500 crores level at a broader range is what we can achieve with all of these 3 put together. Will that be a fair number to estimate?

Naresh Patel: I cannot comment on that. You can calculate all that.

Neha Agarwal: I totally understand that there is a timeline, and I mean there are confidentiality with respect to the order discussions that you cannot disclose. But at an overall level, at a company strategy level, what is your thought process or strategy pertaining to utilization of all of these, I think, would a broader 3-year timeframe be good enough to assume a full utilization or closer to optimal utilization of all of these 3? Or could it take longer?

Naresh Patel: So, it all depends on product mix basket, everything. We want to reach to 85% in 1 year, but this is all not possible, right? It's all market changing and also, we are continuously working on our process improvement. So, we are changing a lot of batch processing to continuous. Like in Surat, Unit 1, where we reached to 75%, 78% utilization and then we improved process and then we reduced to 70% by putting some reactions into continuous for reactor. So, this is a continuous process, and it cannot be stopped. So, that is how it's not defined that in 2 years' time, we will reach 85% or something like that. But main purpose is to make high-value product rather than making a commodity product in pharma and making better utilization and better revenue and asset turn. This is the main objective of AMI Organics.

Neha Agarwal: Sure. In terms of product mix, where are we envisaging by next year end? so by FY '26, given that the Fermion contract will be, we will have 1 full year of number there. So, overall, CDMO versus commodity specialized all put together, what kind of product mix can we look at by end of next year, which is FY '26.

Naresh Patel: For the today, I can say that we are at around 50% originator, 50% generic in pharma, whereas 80%, 20% in pharma and commodity. On the future, I can't disclose exact number, but that definitely originator business will be higher beyond above 50%. I am sorry, but due to some confidentiality and avoiding some more competition, we are very restricted in some answers.

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Moderator: Thank you. The next question is from the line of Jason from IDBI Capital. Please go ahead.

Jason: Sir, just some more clarity on this capacity utilization, but I know there was a detailed question asked before. So, last quarter, sir, you had said that Sachin was at 72% capacity utilization, okay?

And Unit 3, which is Jhagadia, was under 50%. That is for the specialty chemicals and electrolyte additive, right? So, now also the capacity utilization more or less remains the same, right?

at sir at

Sachin and Jhagadia?

Naresh Patel: So, in Sachin, we reduced 2%, whereas in Jhagadia, we increased 5%. So, it all depends on product mix, it may vary between plus or minus. And then because of the product mix changes, also the final value of the product is also changing. So, this is how it is. And then also in Jhagadia as well as Sachin, we introduced some new flow chemistry equipment, which help us to also optimize the capacity in a little bit on our utilization side.

Jason: Sure. And sir, this electrolyte additives, and this is going to be housed in Jhagadia. Is that right?

Naresh Patel: Yes. 100% in Jhagadia.

Jason: 100% in Jhagadia so with the spec chem business. And sir, just wanted to understand, so this Ankleshwar unit, again, there's no question there. Now what I understand is there are 3 blocks.

And out of that, 1 block has been particularly dedicated to Fermion. So, just on a percentage basis, 33% is active and 67%, you are still looking basically to employ for future opportunities. Is that understanding correct?

Naresh Patel: Yes.

Jason: Yes. So, 67% still is to be utilized for further upcoming opportunities, it could be from any client whom you're talking to?

Naresh Patel: Yes.

Jason: And complete CAPEX is Rs. 300 crores for Ankleshwar, right? So, once everything starts only, then you can look at it from a 3x, 4x kind of thing, right?

Naresh Patel: Yes.

Jason: Right. Just wanted that understanding so that's good, sir. Sir, also wanted to understand, again, now on an EBITDA margin, in terms of exports, sir, I just wanted to know you had resorted to this spot basis, basically supplying to our customers. What is the update on that, sir, in terms of spot contracts because of competition etc. coming in. So, how is that going on?

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Abhishek Patel: So, as we mentioned during last call also that to retain our volumes, we had to slightly change our strategy. And we said during last quarter also that in this quarter, the pricing would stabilize and margin will improve. So, slowly as it is evident in our margin improved 200 basis point, so we are getting back to our normal situation. So, this is how it has been in Q1 and going forward, it will be the normal situation expected for Q2 and Q3, Q4 as well.

Jason: Sure. So, that continues, and I understand prices are under pressure. So, sir, also in terms of EBITDA margin, sir, how do you look at it from sort of some guidance what you want to give?

Of course, I know the scenario is pretty dynamic but margins have shrunk from those 20%, 21%.

So, any guidance you would want to give for the upcoming years, '25, '26?

Bhavin Shah: So, as I mentioned, we have already demonstrated around 19% EBITDA margin in Q4 FY '24, wherein the revenue was Rs. 225 crores. So, a similar kind of revenue topline figures, we will achieve those additional 200 basis point operational leverage. Apart from that, we already improved 200 basis points in terms of gross margin. So, that add-up will definitely reach us more than 20% margin in this financial year only, hopefully, we will achieve in Q3 and Q4. And going forward with additional CDMO business is coming in our product portfolio, those margins are expected to more than that level. That is what we are planning in FY '26.

Jason: Sure, sir. And sir, also, just wanted to know, I mean you just said that 50% of your business is from generics and 50% innovator driven. And of course, as a company would like to move higher up the value chain for CDMO to innovator business. So, just wanted to know certain steps which are taking as a company to move up the value chain if you could just give us a broad color on what we are doing to higher up the value chain, higher up the margin chain as well?

Naresh Patel: This is a long-term process, and we established this several years. And because of that, only now, the qualification from regulatory authority is als

o one of the crucial part of this kind of new

CDMO for the higher value chain. So, now we are FDA, now we are PMDA inspected. So, that help us to go in a higher chain against the other competitor also now. So, this is long term, and we are slowly marching in our strategy.

Jason: Sure. And just lastly, I just want to ask you. CAPEX guidance still stays at around Rs. 2.5 billion for each of the years. That's what roughly what guided last year. So, any changes to that?

Abhishek Patel: So, we have said around Rs. 250 crores CAPEX for this financial FY '25. That remains intact, right.

Moderator: Thank you. The next question is from the line of Dhara from ValueQuest Investment Advisors, Private Limited. Please go ahead.

Dhara: I have a few questions. First one, on the segmental margins if you can provide the margins for advanced intermediate and specialty chemicals?

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Bhavin Shah: So, margin for intermediate is at 17.1% and specialty at 15.44%.

Dhara: And my next question would be, as you mentioned that our depreciation cost during the quarter was higher. How much of the capitalization have we done for Ankleshwar?

Bhavin Shah: That is for one-third capacity for 1 block.

Dhara: So, the amount that we have capitalized on the balance sheet?

Bhavin Shah: That is around Rs. 110 crores.

Abhishek Patel: So, actually, it was capitalized towards the end of quarter Q4 FY '24, but it was for a very limited time during the quarter, but full quarter impact was seen in Q1 FY '25. So, that's the reason you see a higher depreciation figure.

Dhara: But the amount is Rs. 110 crores. And how much the WIP would be had on our balance sheet?

Bhavin Shah: Around Rs. 125 crores.

Moderator: Thank you. The next question is from the line of Prashant Nair from Ambit Capital. Please go ahead.

Prashant Nair: I had a question on segmental margins, which you just answered. My second question is about the Apixaban opportunity, by when do you think this will play out completely across all markets, when would peak sales for this product please?

Naresh Patel: FY '26.

Prashant Nair: FY '26. And Rivaroxaban also a similar time frame? Or would that be...

Naresh Patel: Yes. It will be in FY '26 as well.

Moderator: Thank you. We have the next follow-up question from the line of Rikin Shah from The Boring AMC. Please go ahead.

Rikin Shah: So, for Apixaban, I just wanted to understand that the patent expires in most geographies at the end of CY '26. And generally, whenever a drug goes off patent, almost 90% erosion in the finished drug pricing. So, in light of what has happened in the past for most key drugs, should we sort of expect erosion at an intermediate level as well? And have we taken into account of these things?

Naresh Patel: Yes, definitely, this is part of our business policy, and we have develop all the intermediate considering these kind of launching price pressure, and we are very well prepared for this.

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Rikin Shah: Okay. And my second question is for follow-up on the earlier question for Baba. So, you mentioned that this is a very strenuous process in this business to get into the system. And there was probably in sort of a process where we are working with Japanese and Korean clients to get into their system. So, how long would this process be, like a ballpark figure for anyone else in this business trying to get into their system?

Naresh Patel: So, we are working with some CDMO in semiconductor segment in Japan and Korea, big conglomerate in a world. And we are working with them for the new applications and new opportunity with them. So, it's a brand-new product with a brand-new application, but that product already developed at Baba Fine Chem, the chemistry was already available to Baba Fine Chem and that chemistry, we are promoting with an application in different areas.

Rik

in Shah: Right. But like in timeline terms like how long would approval take?

Naresh Patel: See approval is already in process. It may take 1 year, it may take half year also, it may take 2 years also. It depends on the final product application and approval from the customer. But it is not that like in generic chemical that you just approve the sample and start business.

Moderator: Thank you. Ladies and gentlemen, we will take that as the last question. I would now like to hand the conference over to the management for closing comments.

Naresh Patel: Thank you to the JM Financial team for hosting our conference call. We appreciate everyone's questions and hope we have addressed most of your queries. If we missed any of your questions, please reach out to our Investor Relations team and we will get back to you promptly. Thank you very much, and good evening, everyone.

Moderator: On behalf of JM Financials, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Transcript has been edited for reading purpose.

Call: Nov 2024

Lo Ami Organics Limited

CIN. : L24100GJ2007PLC051093

Registered Office :- Plot No. 440/4, 5 & 6, Road No. 82/A, G.L.D.C. Sachin, Surat - 394230, Dist. Surat, Gujarat, India.

November 5, 2024

To, To,

The Corporate Relations Department, The Listing Department

BSE LIMITED, National Stock Exchange of India Limited,

Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,

Dalal Street, Fort G-Block, Bandra Kurla Complex,

Mumbai- 400 001 Mumbai -400051

Scrip Code: 543349 NSE Symbol: AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q2 FY25 financial results held on October 29, 2024

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations,

2015 we hereby enclose the transcript of the Earnings conference call held on October 29, 2024 post

announcement of financial results for the second quarter & half year ended on September 30, 2024.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

& Info@amiorganics.com Ges www.amiorganics.com (3 +91 72279 77744 / 75730 15366

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"AMI Organics Limited Q2 & H1 FY25 Earnings
Conference Call"

October 29, 2024

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR, AMI ORGANICS LIMITED

MR. ABHISHEK PATEL – VICE PRESIDENT , STRATEGY ,
AMI ORGANICS LIMITED

MR. BHAVIN SHAH – CHIEF FINANCIAL OFFICER, AMI
ORGANICS LIMITED

MODERATOR : MR. KRISHANCHANDRA PARWANI – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to the AMI Organics Limited Q2 FY25 Earnings
Conference Call hosted by JM Financial Institutional Equities.

As a reminder, all participant lines will be in the listen-only mode and there will be an
opportunity for you to ask questions after the presentation concludes. Should you need assistance
during this conference call, please signal an operator by pressing "*" then "0" on your touchtone
phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishan Parwani from JM Financial. Thank you, and over
to you, sir.

Krishan Parwani: Good afternoon everyone and thank you for joining us on AMI Organics Q2 & H1 FY25 Earnings Conference Call.

Today, we have with us AMI Organics Management, represented by Mr. Naresh Patel – Chairman and Managing Director; Mr. Abhishek Patel – Vice President (Strategy); and Mr. Bhavin Shah – Chief Financial Officer.

I would now like to invite Mr. Bhavin Shah to initiate the proceedings. Over to you, sir. Thank you.

Bhavin Shah: Thank you, Krishan. Good afternoon everyone. Warm Diwali wishes to all of you. We are pleased to welcome you all to our Earnings Conference Call to discuss Q2 & H1 FY25 Financials.

Please note that a copy of our disclosure is available on the Investors Section of our Website as well as on the Stock Exchanges. Please do note that anything said on this call which reflects our outlook towards the future, or which could be construed as forward-looking statement must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded, and the transcript along with the audio of the same will be made available on the website of the company and exchanges.

Please also note that the audio of the conference call is the copyright material of AMI Organics and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

Now, I would like to hand over the floor to our CMD, Mr. Naresh Patel for his opening statement. Over to you, sir.

Naresh Patel: Thank you, Bhavin. Good afternoon everyone. I hope you are all doing well, from all of us at AMI Organics, I would like to extend warm Dhanteras and Diwali wishes to you and your families, may Lord Dhanvantari bless you with health, wealth and success.

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Now, let me provide some perspectives on the current state of the chemical sector:

From the demand side, the demand continues to improve albeit at a slower pace than what everyone had anticipated. Speaking of various sub segments of chemical sector, some of the pockets are witnessing growth in the demand, but majority sub segments are seeing stagnant demand. This is driven by overall slowdown in consumer spending that we all have been witnessing across the sector. Coming to pricing, even though pricing has been stabilized, the upward movement that everyone has been anticipating is taking longer than what we expected.

Now let me give some more highlights on the different industries that we serve:

Starting with pharmaceutical intermediates:

The demand have been slowly improving but what is more painful is the pricing, the pricing for the generic intermediates have been at their lowest. I strongly believe that demand will see an uptick in H1 of Calendar Year 2025 with the price slowly moving upwards.

Moving on to the battery chemicals:

We are witnessing that major car makers and industry players are deferring their additional investment in EV battery capacities and related space. I believe the big investment outlined by these companies at the start of the decade got ahead of consumers appetite for full switch to EVs.

Even though I fully believe in the future of EV and switch to EV, only point where I differ is the timeline. I believe EVs will take c

enter stage, but it will be later than sooner. That is why we are also taking each step cautiously. As you all know, we announced CAPEX for electrolyte additives only after we receive the firm contracts from the client.

Moving on, the semiconductor industry:

The part of industry we are serving is seeing stagnant demand, while we are hoping that tide will turn in our favor soon, I believe the pain will be there for a couple of more quarters.

In commodity chemicals pricing remain under pressure driven by oversupply.

Overall, I believe the industry has started witnessing revival, but the pace of revival is slower and therefore I believe even in this financial year, the pricing pain and demand weakness will continue.

Coming to the performance of AMI Organics:

Even in this difficult industry backdrop, I am delighted to share that we have been able to deliver a stellar revenue growth of 43.2% year-on-year in Q2 FY25. Our strategy of building industry

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leading infrastructure complemented by cutting edge process technology developed by our team which focus on CDMO contracts and chronic products has helped us deliver stronger results.

The growth during the quarter was driven strong performance in pharmaceutical intermediates

as well as Specialty Chemical business. I will let Abhishek to discuss this in detail.

Moving on the business update:

During the last Earning Call, we had highlighted that we successfully concluded the GMP good manufacturing practice inspection by the Pharmaceutical and Medical Device Agency (PMDA) of Japan, with no critical or major observation. I am very happy to share that during the last quarter, PMDA Japan has issued inspection result declaring the Sachin facility as GMP compliant. I believe we are one of the few, if not the only company in the intermediate segment who has successfully concluded inspection and subsequently received compliant report from PMDA Japan.

Overall, we are seeing a revival in demand for our core molecules, supported by a strong ramp up in CDMO contract and robust volume growth in our Specialty Chemical's business. Looking at the orders in our hand and the forecast what we have, we are revising our revenue growth guidance upwards from 25% to 30% for FY25.

Now, I will hand over the floor to our Vice President of Strategy – Abhishek Patel for further business updates. Over to you, Abhishek.

Abhishek Patel: Thank you, Naresh Ji. Good afternoon everyone. Happy Diwali to you and your families.

Let me elaborate more on the business performance:

Starting with the Pharmaceutical Intermediate business:

The Pharmaceutical Intermediate business grew strongly by 53% Y-o-Y in Q2 FY25. The growth was driven by strong performance in key molecule, as well as earlier than anticipated ramp up in CDMO business. Anti-cancer, anti-depressant, seizure disorder, anti-psychotic, Parkinson's disease, anticoagulants and cardiovascular continues to be top therapeutic segment for us. Coming to CDMO contract, We witness a strong ramp up in Q2 which was earlier than we have anticipated.

In Specialty Chemicals we deliver growth of 7.6% Y-o-Y, I would like to highlight here that, this was mainly driven by subpar performance in our subsidiary, Baba Fine Chem, if we look at the business ex-Baba Fine Chem, then there was a more than 25% growth in the Specialty Chemical business, which was offset by de-growth in BFC.

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As Naresh mentioned, the demand scenario for the part of semiconductor industry that we are serving remains subdued, which is impacting sales of BFC, but we are very much optimistic that this is a temporary situation and we will soon see growth coming back in FY26. As explained in last conference call as well, we have already started promoting our products of BFC to new geographies, and have already sent samples to the customers in Korea and Jap

an. This will also

add to the growth trajectory in coming years.

Now, coming back to Specialty Chemical business of ex-BFC, We have seen growth across our entire product portfolio, driven by significant uptick in volumes.

Coming to CAPEX for the year, CAPEX for H1 FY25 was 80 crore, majority of this was for remaining CAPEX of Ankleshwar site and some towards solar and electrolyte, additive CAPEX. Let me give you further updates on the CAPEX projects, starting with the Ankleshwar project, one production block has already been completed as informed earlier. Remaining work of other two blocks is progressing, and this is expected to be completed in current quarter. This was slightly delayed due to extended and heavy rains during Q2.

Extended heavy rains in Gujarat also impacted our solar project work. The work progress was impacted during the monsoon and therefore there is a delay. We now expect this project to be completed by end of Q3 FY25, with energy saving expected to start from Q4 FY25 which will contribute positively to our EBITDA.

Moving on to the electrode additive CAPEX, The project work has been started with civil structure plan in place, and construction is expected to start soon. We have started ordering machinery as well. Overall, we hope that we will complete the project in H1 of Calendar Year 25.

With that I will hand over the floor to CFO – Mr. Bhavin Shah to provide the financial update.

Over to you Bhavin.

Bhavin Shah: Thank you, Abhishek. I would like to briefly highlight the key "Performance Metrics" for the quarter before we open the floor for questions.

I will start with the Quarterly Performance:

Revenue from operation for the quarter reached 246.7 crore representing 43.2% increase year-on-year basis. Gross profit for the quarter was Rs.107.2 crore, reflecting 51.5% increase compared to the same period last year. The gross margin was 43.4% up to 239 basis point on year-on-year basis, and 136 basis point on Q-on-Q basis. Gross margin was driven by the better product mix. EBITDA for the quarter was Rs.48.9 crore, almost doubled compared to the same period last year. EBITDA margins were at 19.8% up 543 basis point year-on-year basis and 312

basis point Q-on-Q basis. EBITDA margin was driven by gross margin as well as operating
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leverage. PAT for the quarter was Rs.37.6 crore, which grew 1.5 times compared to the adjusted PAT of 14.7 crore in Q2 FY24. PAT margins for the quarter was 15.2% so the expansion of 668 basis point Y-o-Y basis, and 682 basis Q-on-Q basis.

Moving on the half yearly performance:

Revenue from the operation for the first half of the year reach for 423.4 crore representing 29.8% increase on year-on-year basis. EBITDA for the H1 FY25 was Rs.78.4 crore, up 33.4% Y-o-Y basis. PAT for H1 FY25 was at 52.3 crore, up 41.3% Y-o-Y basis.

Moving on to the balance sheet item:

Net cash and cash equivalent were at 279.5 crore. I am happy to share that even with strong growth we were able to control our working capital, which was 108 days during H1 FY25, this was driven by improved debtor and inventory days. Better working capital management lead to strong generation of cash flow from operation of 46 crore, which was 60% of the EBITDA for H1 FY25. Overall, as Naresh sir has mentioned, we are well on the track to deliver 30% growth for the year with healthy EBITDA margins. With that, I request the moderator to open the floor for question. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Sudarshan Padmanabhan from JM Financial. Please go ahead.

Sudarshan Padmanabhan: Sir, this quarter if you can give some color on how the margins for intermediate, pharma intermediate and Specialty Chemicals plan, and also some color on how do we see the margins in the next few quarters?

Management: So, as you ask the margi

n for pharma intermediate for the quarter is at 21.44% and for specialty

11.36%. And as we have already said, that we will see a better performance from here. So, on quarter-on-quarter basis, we will see improved EBITDA margin from here onwards.

Sudarshan Padmanabhan: Sir, I would just like to look at, this quarter has been quite a transformational quarter for us, specifically on this pharma intermediate side, and we do have a strong pipeline including, the contract with Fermion that is there. So, what I am trying to understand here is, you had given a 30% guidance going forward. But if you look at it slightly a little longer, we have built capacities, we have built capabilities both on the R&D as well as the product synthesis side, and having relationship built over the years. One is, primarily mining existing customers, like Darolutamide, the opportunity size is big and growing. So, how do we see the wallet share from the existing clients. And also, if you can give some color with respect to how many products we have which is in the late stage, which can give more molecules something like what we are seeing with Fermion and contract. So, what I am trying to understand is this, this year we are looking at 30%

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but if I am taking three years, what is it that we should be comfortable with as far as growth is concerned?

Management: Thank you, sir. It's a really elaborative question. First of all, considering our past performance of last 10, 12 years, on an average we have a CAGR of 25% we are growing, that growing is not only because of the one contract, but because we have a strong pipeline, which we build since 2008-09, which is now giving a fruit, which are coming to launching and all so that is how we are growing annually 20%, 25% CAGR in terms of the top line. And that is ongoing till 2035 we have, up to 2045 we have a product, but we have a good visibility of these intermediates which is apart from the Fermion, and also not only Fermion, we have other originators also with whom we are working with CDMO, as well as the regulated intermediates, and also some big generic player also is our customer. So, that is also giving us in confidence that we will grow continuously like 25% annual CAGR. Related to Fermion, whatever the mistake we had done in the past by saying product names, customers, product and everything that created a lot of problem for us in terms of competition arise, which is now we learn this mistake and hence onwards, we will be not disclosing CDMO name, products names and all, but we will give you the cumulative guidelines. So, in the CDMO, in next three years it will be 30% what we say, similar kind of growth we can consider with this kind of inclusion of the CDMO project.

Sudarshan Padmanabhan: Sure, sir. And sir, with respect to the margins, and in this quarter we are at 20%, but given that we have built so much of capacities in place, and I understand that with this capabilities, our margin should be significantly higher than where we are. So, in three years, what should be an aspirational margin that you would be targeting sir?

Management: So, the first target of our is to reach to FY21 where we were at 23% margin and from then onwards, our main target is to go beyond 25% and between 25% to 30% is our target to be

reached in next three years.

Sudarshan Padmanabhan: Sure, sir. Sir one final question before I join back the queue. If you can give some color when we see the off take on, the vinylene carbonate supplies and the battery chemicals, which we were expecting to the US large client?

Management: We had never say we have US large client, but we have a contract sign with the big manufacturer of EVs and battery manufacturers. We already done validation batches and submitted to them at a commercial scale as well, and now we are waiting for them to start revamping their system to use our chemi

cal for the commercial at their end. In commentary also, I try to highlight that all EVs are deferring the timeline, and that also impacting us as we are on the bottom of the supply chain. So, that also impacting us as well.

Moderator: Thank you. Next question is from line of Rikin Shah from The Boring AMC. Please go ahead.

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Rikin Shah: My question was pertaining to the weakness highlighted in Baba Fine Chem. So, at our clients end, is that an issue on a client specific level, or an industry level issue that is persisting right now, and with respect to finding new clients in your geographies, how big of a gestation period do we think before we can sign more clients?

Management: So, when we had the Baba Fine Chem in our basket, when we acquired a controlling stake of Baba Fine Chem, it was running at 40 crore odd of the revenue. Then there is a procedure of changing the ownership and documentation and all that has created little bit at a sluggishness at both the side and that's how our buyer has used their buffer stock to support their production. And we can be able to have a time period which can be utilized for making these changes and all, but during that period also there is some sluggishness at the end of the consumption, also little bit on a sluggish side. But this year will be the last year where we got some muted revenue. But from next year, we are looking good demand, we have already received the forecast from them that is showing that we are going back to normalization from FY26. Considering the new clientele, they are with the new product which we are getting a project from them, and a few are already we had developed in the past. See, all is a cumulative combo that help us to enter, so if there is existing product, it is a longer gestation time, but it is a new product, which is developed by cheap manufacturer or a chemical purifier, then it will be faster. So, it's a combo of that, and we have very good traction in Korea and Japan for the several molecules in this segment.

Rikin Shah: Alright, thank you so much. With respect to what we discussed in the last call for the NCE tie up for the second block, the second CDMO project. So, where are we with, in terms of the timeline with that?

Management: We are in-line with whatever the expectation of the originator that is the only disclosure I can able to provide you for that.

Rikin Shah: All right. And since you mentioned for EVs that there is a deferral at the OEM end, and projects are getting deferred. So, what does this mean in terms of our enchem project that we were anticipating to do this year?

Management: So, Enchem is one of our client including other contract manufacturer, and we got the firm contract in our hand, that is the reason why we are putting CAPEX, which is incremental capacity for VC, FEC, around 2000 metric tonne each in Jhagadia facility, and that will be ready by middle of next year. So, that we had started putting capacity, considering all this demand and projections and forecasts what we received from the customer. Enchem is also in the same pipeline, where maybe it will go faster than the others, but it is going well. If you are talking about the JV between Ami and Enchem, that is on the status quo position. We are still discussing several terms and conditions, if that will be fulfilled, then we will go ahead with that as well.

Moderator: Thank you. Next question is from the line of Saransh Gupta from SVAN Investments. Please go ahead.

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Saransh Gupta: I have two questions. Sir, one is that in your QIP that you did for 500 crore, in that utilization you mentioned that the 250 crore would be for debt utilization, but from your cash flow, I guess we can see only a 200 crore of utilization for debt repayment. If you can throw some light on the mismatch of this. And I have another q

uestion, if you want, I can ask that?

Management: Fine. So, when you see a cash flow debt repayment. So, there is a debt which we have taken during the period and which has repaid back. So, it is a net debt.

Management: So, what you are talking about is the debt figure during March '24 financials. So, you are right, it was around 200 crore at that time but during the Q1 FY25 we had raised, took the disbursement

of additional fund to complete our rest of the CAPEX work at unit two, and that was the reason the total debt repaid out of QIP proceeds is again 250 crores only. So, which is in line with the QIP object, and that has been already spent and closed in September quarter FY25.

Saransh Gupta: And I have another question in the same utilization, there is a mentioned that 88 crore will be used for general corporate purposes. So, if you can throw some light on it for which we will be using it?

Management: So, yes, there was a 88 crore of general corporate purpose that is for the purpose of some of the working capital requirement and any other future opportunity which we see during our journey, so that portion is largely unutilized as on date.

Saransh Gupta: Okay. And that lies in our cash and cash equivalence, right?

Management: Yes, we have 279 crore of cash available on our financial as on 30th, September 2024.

Moderator: Thank you. Next question is from the line of Reena Shah from Subhkam Ventures. Please go ahead.

Reena Shah: Sir, I wanted to understand your export numbers and revenue numbers, some general set of discount. Just wanted to understand what kind of adjustment is being done with the export numbers?

Management: Generally, those exports number are not completely gives the fair and true picture of the actual export done.

Management: And we are bound with that.

Management: And we are obviously not following those numbers, there may be different, different source of those numbers, and we cannot verify that numbers.

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Reena Shah: There is some dual effect, if I am understanding it correct, there is some dual effect which we generally talk that is there, and hence we got a discounted number and reported numbers. Is that something of that sort?

Management: Reena madam export number is not a legal disclosure. So, we cannot comment on that.

Reena Shah: Okay. And sir one more thing, on Japan you said that there is an approval of Surat facility. Is there going to be any benefit in terms of numbers because of this?

Management: Yes, definitely. That is one of our CDMO, which is we are doing for originator. So, now originator can sell their product in Japan with our intermediate, which we manufacture in Surat.

Reena Shah: Okay. I believe that your Surat facility is any which ways fully utilized and maybe the new orders will come from Ankleshwar itself, so that's why I have this doubt?

Management: Yes, so that is a planning with the originator, that how we can utilize both the facility with different regulatory agencies, so that we can maximize output on that.

Reena Shah: Okay. And sir you talked about your core products have started. So, can I assume that APIXABAN have started in good numbers and we can see more numbers going forward?

Management: Yes, APIXABAN has already started, and it is going slowly ramp up. But there are some other products which are also now started in launching and then slowly it will go up.

Moderator: Thank you. Next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Sir my first question was just related to the various CAPEXs which are online. I just sort of missed that, so just wanted to know the various CAPEXs which are online and when is the expected completed timeline. Now, one thing I know is that Ankleshwar 33% is been blocked for the Fermion so basically we have two third remaining. So, just some more color, and any other CAPE

X which is on the board as of now and the expected timeline?

Management: So, as of now, the CAPEX project going on at one of the CAPEX project ongoing is unit two Ankleshwar site, which is about to get completed in this quarter only, it took some more time which was expected to get completed by Q2 FY25 because of rain. So, this will get completed.

The total project size was 310 crore, out of which 70 crore was pending at the end of 31st, March 2024 and balance is getting completed in this financial year. Second CAPEX project is electrolyte additive project, which we have planned for 100 crore CAPEX and that is after we signed some of the long term contract with some of our customers. And then we have started building up a 2000 metric tonne capacity for VC and 2000 metric tonne capacity for FEC. And that is expected to get completed maybe around quarter one of FY26 and the third project, which is ongoing right now is captive solar power plant project, and this is going to get completed by

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end of Q3 FY25 maybe by December '24 and fruits we will get from the last quarter of this financial year.

Jason Soans: Okay, sir thank you so much for that. Sir, 2000 electrolyte additives, 2000 tonnes for VC and another 2000 tonnes for?

Management: FEC.

Jason Soans: Okay, sure. Sir, just one clarification, I just wanted to know in the presentation you have mentioned that your revenue bolstered by ramp up in CDMO contract of course, here you mean the Fermion contract?

Management: Yes, that is one of the CDMO contracts.

Jason Soans: Sure, sir. And sir, just wanted to know from our overall perspective, last FY24 was pretty challenging for a business as well. Now we did talk about, pricing of APIs also being under pressure, Chinese competition, pricing getting driven down. So, in this quarter of course we have seen a very, very good growth in numbers. Anything materially changed on the ground, in terms of prices or in terms of competition. Now, a lot of talk about China stimulus also. So, just wanted to understand in terms of this dumping and everything has it, the picture materially is changing on the ground in terms of pricing, is there a chance on an uptick, just wanted your view on the same.

Management: So, if you follow my last concall in Q1, we announced that we are changing back to our normal contract situation where now spot to that all helping us to go back to the improvement in our margin. Apart from that, because of the lowest price of the raw material is helping us also on the cost side, and we had improved our process and operational efficiency, that also giving us an operating margin improvement, though there is a pressure on the top line, but still we are managing to improve in our margin which is we have proved several time in last few years.

Management: And that is visible in our margins from Q4 FY24 to Q1 FY25 and Q2 FY25.

Jason Soans: Sure sir. And just lastly from my side of course our products are driven from the end product. So, just wanted to know, I don't want specific product names as such, because I understand confidentiality will issue. But just wanted to know in terms of therapies, any particular therapy helping us in terms of growth, in terms of our demand for our APIs?

Management: We are very strong in anti-cancer, anti-psychotic, anti-depression, anticoagulants and some antiretrovirals, very small amount of antiretroviral. But these are the where we are very, very strong, and our pipe line is also very strong that helping us to move very fast in this area. One is anti-diabetic as well.

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Moderator: Thank you. Next question is from line of Krishan Parwani from JM Financial. Please go ahead.

Krishan Parwani: Couple of questions from my side. Firstly, your revised guidance of 30% top line growth in FY25 translate to roughly current quarterly sale

s ended of 250 crores for the coming quarters as

well. So, are you being conservative at providing this guidance?

Management: Yes, this is the guidance which we are giving which is based on the forecast and orders are on hand.

Krishan Parwani: Okay, noted sir. And on the CDMO side, keeping confidentiality in mind. But would it be possible to kind of highlight how many intermediates you would have in your pipeline for phase two and phase three drugs?

Management: That numbers are very large in phase two, it's in a double digit and there are some are in phase three, and the larger number is in phase one, then lower in phase two, and very few are in phase three right now, in single digit in phase three. But the numbers are not disclosing because we cannot prove that number, because customer has not disclosed us the status and all. So, it's like coding number going, it's not advisable for us to say the status.

Krishan Parwani: Understood, but we don't want the names obviously, because you also mentioned in your opening remarks, or probably to one of the earlier participant, that it is attracting the competition.

But the number of molecules, probably if, but that's fine we understand it's double digit is also fine for phase two. And on JV, I know it's and you also mentioned that there has been a slight delay in the overall EV value chain. But any update you would like to give on the same because that might take care of the growth beyond let's say FY27 or so, so any update there?

Management: See growth as Naresh ji mentioned that we have a strong pipeline for our products till 45, so it's not growth is only depend on this Enchem JV or electrolyte solution business. We have other area of growth as well, but as we earlier mentioned also that we want to invest only in the business when we see the good visibility in place, and then only we will have some investment done. Considering current scenario in EV market in particular in India, because this business is focused on India market only. So, we have been little cautious and assessing the situation, and then we will move forward.

Management: And particularly this is an OEM for them. It's like a tall manufacturing from themselves. We are not going to do any marketing or something like that. It is just in job work, CMO kind of work for them. So, it is not directly or indirectly impacting on our planning. It's just an additional arm for us, giving us and leverage of selling our VC, FEC also to them that will be additional benefit to us. So, you can understand that.

Krishan Parwani: Yes, in fact I meant like additional growth beyond FY27, I understand that you have obviously

a lot of other projects that you will be working on, but I was just wondering if there is anything
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but okay, fair fund got it. And lastly, I missed your earlier commentary on the electrolyte additives. I am not sure whether you mentioned, when would they start, when would the revenue start flowing in from the electrolyte additives?

Management: If everything goes well, it can be start immediately as well. So, we are ready with everything for initial supplies. So, now we already supplied them the validation quantity at a large commercial scale. Now we are waiting for them to move ahead for placing an order which is a part of the contract, but that is all depends on how fast they will move ahead for their approval and final manufacturing. So, it will be very soon, as soon as possible, maybe in Q4, maybe in Q3 as well. But you know very well that we are always, our guidelines and guidance are always excluded from the electrolyte additive. So, that will be remaining like that, a very few minimal portion of 30 crores to 40 crore revenue we were expecting in this year. So, that may defer but it is not clear as of now.

Moderator: Thank you very much. Next question is from the line of Anubhav Sahu from MC Pro. Please go

ahead.

Anubhav Sahu: Just couple of questions, it's on the Ankleshwar plant could you tell what is the utilization level for the first block which we have, and when can this reach a steady state of peak utilization level?

Management: So, in last quarter Q2 the utilization level was around 20% for the first block which has been capitalized. And of course the full when it comes that CAPEX gets completed fully by end of this quarter, we expect around three years times to fully occupy the whole capacity.

Anubhav Sahu: So, my question was just for the first block, so 20% we have reached, so particularly for this first block.

Management: Only for the first block which is.

Management: So, 20% is the total capacity of including block one, block two and block three. Total of 20% is in block three we had utilized. And for block three itself we are utilizing around 35%.

Anubhav Sahu: Okay. And secondly, I have seen that the timeline for the CDMO, you have second large CDMO contracts which you referred to and related question would be like, for the other two blocks which you are to be commissioned in this quarter. When do we expect commercial supplies from Ankleshwar?

Management: From block two, we should be good to start supply from the Q4 FY25.

Anubhav Sahu: Okay. And the status from the second CDMO, have we already signed?

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Management: The supply of the validation batch is already given to them. So, now we will start as soon as it is, when the qualification finish we will start by Q4.

Moderator: Thank you. Next question is from line of Gautam Rajesh from North Bridge Capital Partners. Please go ahead.

Gautam Rajesh: So, I had a question regarding the electrolyte project. Is there any update on the electrolyte project, by when do we expect to sign the agreement and start the CAPEX on it?

Management: Agreement is already signed with several customers, which is we already announced in last two, three quarters. CAPEX already started and that will be finished by Q1 FY26.

Moderator: Thank you. Next follow up question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Sir, I did ask you about the CAPEX, just wanted to know, in light of the QIP, you have done this recently. So, I just wanted to know, in light of that in terms of CAPEX, could you mention giving a guidance for CAPEX for 25 and 26 both probably for standalone and subsidiaries both of course, standalone and then the electrolytes say separate and BFC also separate, if that's possible for 25 and 26 both?

Management: Yes, for 25 around 70 crore is the CAPEX for unit two Ankleshwar. 100 crore is the CAPEX for electrolyte additive and 60 is the CAPEX for so captive solar power plant project, and then around 30 crore is the regular maintenance CAPEX. These are all around 250 crore CAPEX is for FY25 for AMI Organics, and for Baba Fine Chem, it will be all normal maintenance CAPEX only which is required for regulatory purpose. And the same is for FY26 for both Baba Fine Chem as well as AMI Organics Limited, around 30 to 40 crore is the maintenance CAPEX at AMI Organics.

Jason Soans: Okay. So, sir, roughly you are saying probably around 250 to 260 crore?

Management: 250 is the CAPEX for FY25 at AMI and around 40 crore is the maintenance CAPEX for FY26.

Jason Soans: Okay, sure. And sir in terms of what I meant is, when you look at our console cash flow, the CAPEX last year for 24 was around 281 crores. So, when you look ahead 25, 26 you see roughly

on the console basis we will do around 250, 260 crore of CAPEX in both the years?

Management: No. For this year we are making CAPEX of 250 crore, and next year we will be making CAPEX of around 40 crore.

Jason Soans: Okay. So, this year 250 crore and next year 40 crores?

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Management: Yes.

Jason Soans: On a console basis, right?

Management: Yes.

Jason Soans: Okay. And sir, just to clarify this capacity utilization, an earlier participant asked of that also 20% so that capacity is also whole Ankleshwar block, just a little confusing. Could you just elaborate on that?

Management: Yes, it is for whole Ankleshwar block.

Jason Soans: Whole Ankleshwar block is 20% capacity utilization, and in three years you expect that it will get fully utilized, is that right?

Management: Yes.

Jason Soans: And you are also saying that this whole block should be ready to give supplies from around Q4 FY25, the whole block?

Management: Yes.

Moderator: Thank you. Next question is from the line of Prince Chaudhary from Pink Wealth. Please go ahead.

Prince Chaudhary: I have couple of questions. First, in last concall you have mentioned that we are in negotiation with some of our originator clients in Europe, and we expect to sign deal by the end of this Q2 or Q3. So, can you please share some traction where we are right now?

Management: Yes, so that is what we said, that it is almost done, and validation badges are sent to them. Once it will be approved, then we will go for the contract and start supplying by Q4 or maybe Q1, depends how fast they will do the vendor qualification for us from block two.

Prince Chaudhary: Okay. So, this is all related to CDMO, right?

Management: Yes, 100% CDMO.

Prince Chaudhary: Okay. Another question was, for the 30% growth guidelines which you have mentioned. So, this includes a CDMO for Fermion or it is still excluded?

Management: So, everything. it's the overall growth guidance for AMI Organics, specialty, Baba, everything included.

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Prince Chaudhary: Okay, so this includes Fermion as well right?

Management: Everything.

Moderator: Thank you. Next question is from the line of Ankur Kumar from Alpha Capital Group. Please go ahead.

Ankur Kumar: Sir my first question is on the increase in other income, which is like 8 crore and decrease in finance cost, there is a big reduction in finance cost, so is that all because of QIP money, or is there something else also?

Management: So, see, you need to understand we have repaid the debt during the quarter so there is impact of decreased finance cost. With regard to other income, we have 4 crore of interest income and around 4.5 crore of exchange fluctuation income.

Ankur Kumar: Got it sir. And sir on guidance side you are giving 30% growth guidance for this year. So, what kind of margins can we expect and also, can you comment for FY26 can we expect this 25%, 30% growth to continue?

Management: Yes.

Management: On a margin side as we mentioned earlier also, the margin is improving because of stabilizing pricing and market situation and that is going to continue for Q3 and the Q4 as well, along with the operational leverage with increased sales level, and that is expected in FY26 as well.

Moderator: Thank you. Next question is from the line of Prashant Nair from Ambit Capital. Please go ahead.

Prashant Nair: On the Fermion contract is validation for all markets done. So, are your supplies now representative of what, the overall market demand for the product is, or are some markets still, are we supplying only for a few markets now and the rest is still being supplied by where we saw some earlier?

Management: Thank you Prashant for bringing this question, because some people will might be thinking that 30% with Fermion contract why it's so low. So, it's slowly, slowly ramping up into FY25, so we already get in a few markets of these and slowly, slowly FY26 will be the fully utilize of all the

regulated market with them. So, currently we are approved in Japan, in Europe and some portion of other country, and then slowly we will go with all the countries worldwide in FY26 with the fully approval for all the embedded market.

Prashant Nair: Thanks. And this product

has patent protection till 2032-33 is that's the time frame roughly in most of the key market?

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Management: Yes, it will be and it may be extended also because they are already got new approval, two new applications already approved, other application approved in clinical trial phase three. So, it will be much, much longer than what we are expecting, and the demand will might be increased because of this new application as well.

Moderator: Thank you. Next question is from the line of Piyush Jain, Individual Investor. Please go ahead.

Piyush Jain: Just want to know how much business we did in this quarter in CDMO and can you share the margin of the CDMO business?

Management: So, as Naresh ji mentioned actually, we have stopped giving any product specific guidance for revenue or margin from this quarter onward because of confidentiality concerns.

Piyush Jain: Okay. So, just as we have spoken also that, excluding CDMO what type of margins we will do, will we expand the margin because our gross margin is expanded for 200 bps only in this quarter, whereas our EBITDA expanded around 500 bps.

Management: So, we will not be able to give you the even Ex-CDMO business. Otherwise people can make out those things, but let me give you that see, revenue has increased by 42% and that you can see in our operational margin improvement also, you can see the improvement at other cost level as well as the employee cost level. In fact, despite of increasing employee cost level, the percentage overall decrease, coupled with the improvement of 1.36% improvement at gross level.

Piyush Jain: Yes, that I understood, what I am trying to ask is the gross margin has increased by 2.5% only so, which I understand, largely supported by CDMO and all. So, let me ask in a way, have we able to maintain our margin in intermediates?

Management: We are improving margin in all sectors, in intermediates, in specialty as well as CDMO is not that large in this quarter, but definitely it will be larger from next quarter onwards.

Piyush Jain: Okay. And we have given growth guidance revised from 25% to 30% for FY25 and was this beyond FY25, 26 onwards?

Management: We are always conservative in guidance so it will remain 25% is our standard.

Piyush Jain: Okay. And can you share some details how many maybe programs which is going on CDMO which is in pipeline or which is in NCE, can we share some color on this?

Management: As we already mentioned that one of the CDMO contact is already there in advanced stage of finalization, and we are expecting this to get signed by end of this financial year and next year onwards that CDMO contact should give us a sizable revenue. In fact, apart from that CDMO

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we are working with several other originators in Europe, USA, Japan, and those CDMO projects already going on in some of them are in sampling stage, some of them are going ahead in next few quarters. So, slowly, slowly, all those projects will mature and give it as revenue, maybe from next year onwards or thereafter.

Moderator: Thank you. Next follow up question is from the line of Gautam Rajesh from North Bridge Capital Partners. Please go ahead.

Gautam Rajesh: Is the full ramp up of our CDMO project already visible in Q2 numbers or further scale ups is expected in coming quarter?

Management: It has just started in Q2, in a later part of Q2 full ramp up, for effect as well as the ramp up is still to get materialized.

Moderator: Thank you. Next question is from the line of Varun, Individual Investor. Please go ahead.

Varun: Just one question, what is the expected revenue from Ankleshwar unit at full utilization?

Management: We expect that our project, all CAPEX projects should give us more than 3x kind of revenue. And that is what we are expecting from Ankleshwar facility also.

Varun: Okay. And then

what is the full CAPEX for Ankleshwar?

Management: It is 310 crore.

Varun: Okay, so approximately 900 crores is the full expected revenue from Ankleshwar at full utilization?

Management: Yes, you can work it out that way.

Moderator: Thank you. Next question is from the line of Hemant, Individual Investor. Please go ahead.

Hemant: Sir my first question is regarding the capacity. The current capacity is 1100 KL and as per my understanding, block three of Ankleshwar unit has been commissioned. So, once that other two blocks, it's commissioned which is in Q3 FY25 it is a current quarter. So, what will it take our total capacity to?

Management: So, for the Ankleshwar unit the total capacity will be 442 KL. And that 1100 KL capacity which you mentioned, that includes this capacity.

Hemant: Okay. So, you mean to say, all the three blocks if we put together the total capacity comes out to be 442 KL and the 1100 KL capacity includes 442 KL capacity of Ankleshwar unit, correct?

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Management: Yes, sir.

Hemant: And sir, block three of Ankleshwar unit is operational now, right?

Management: Yes, sir.

Hemant: And what is the capacity of block three alone?

Management: It is somewhere around 144 KL exact number, I don't have but it is somewhere around 144 KL.

Hemant: And both the blocks, block two and block one will be operation by Q3 FY25 and the commercial production will begin from Q4 FY 25 right?

Management: Yes, sir.

Hemant: And sir, if I hear it correctly, that the Ankleshwar unit will be fully utilized over the next three years?

Management: Yes, sir.

Hemant: And we are expecting a 20% to 25% CAGR over the next three years, right?

Management: Yes, sir.

Moderator: Thank you very much. As there are no further questions, I will now hand the conference over to the management for closing comments.

Management: Thank you to the JM Financial team for hosting our conference call. We appreciate everyone's questions, and hope we have addressed most of your queries. If we miss any of the your questions, please reach out to our Investor Relations team and we will get back to you promptly.

Once again thank you very much, Happy Diwali, Happy New Year, and have a good day to you.

Thank you.

Moderator: Thank you very much. On behalf of JM Financial Institutional Equities, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

Transcript has been edited for reading purpose.

Call: Feb 2025

A■ Ami Organics Limited ' CIN. : L24100GJ2007PLCO51093

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February 1, 2025

To, To,

The Corporate Relations Department, The Listing Department
BSE LIMITED, National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,
Dalal Street, Fort G-Block, Bandra Kurla Complex,
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Scrip Code: 543349 NSE Symbol: AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q3 FY25 financial results held on January 29, 2025
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on January 29, 2025 post announcement of financial results for the third quarter and nine months ended on December 31, 2024.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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"Ami Organics Limited Q3 2025 Earnings Conference
Call"

January 29, 2025

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR, AMI ORGANICS LIMITED.

MR. ABHISHEK PATEL – VICE PRESIDENT , STRATEGY ,
AMI ORGANICS LIMITED.

MR. BHAVIN SHAH – CHIEF FINANCIAL OFFICER, AMI
ORGANICS LIMITED.

MODERATOR : MR. KRISHAN CHANDRA PARWANI – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day, and welcome to Ami Organics Limited Q3 FY '25 Earnings
Conference Call, hosted by JM Financial Institutional Securities Limited.

As a reminder, all participant lines will be in listen-only mode and there will be an opportunity
for you to ask questions after the presentation concludes. Should you need assistance during the
conference call, please signal an operator by pressing '*' then '0' on your touchtone phone.

Please note that this conference is being recorded.

I now hand the conference over to Mr. Krishan Parwani from JM Financial. Thank you, and over
to you, sir.

Krishanchandra Parwani: Good morning, everyone, and thank you for joining us on Ami Organics Q3 FY '25 Earnings
Conference Call.

Today, we have with us Ami Organics Management, represented by Mr. Naresh Patel –
Chairman and Managing Director; Mr. Abhishek Patel – Vice President, Strategy; and Mr.

Bhavin Shah – Chief Financial Officer.

I would now like to invite Mr. Bhavin Shah to initiate the proceedings. Over to you, sir. Thank you.

Bhavin Shah: Thank you, Krishan. Good morning, everyone. We are pleased to welcome you all to our earnings conference call to discuss Q3 and 9M FY '25 Financials.

Please note that a copy of our Disclosure is available on the Investor section of our website, as well as on the stock exchanges. Please do note that anything said on this call, which reflects our outlook towards the future or which could be construed as forward-looking statement, must be reviewed in conjunction with the risk that the Company faces.

The conference call is being recorded and the transcript, along with the audio of the same will be made available on the website of the Company and exchanges. Please also note that the audio of the conference call is the copyright material of Ami Organics and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the Company.

Now, I would like to hand over the call to our CMD, Mr. Naresh Patel, for his opening statement. Over to you, sir.

Nareshkumar Patel: Thank you, Bhavin. Good morning, everyone. I hope you are all doing well. On behalf of everyone at Ami Organics, I would like to extend warm New Year wishes to you and your families.

As always, I will begin by discussing our perspective on the industry landscape before moving on to our performance for the quarter.

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Starting with the global economy:

We continue to face significant uncertainty, primarily driven by geopolitical tensions and the change in the leadership in the U.S. We will closely monitor how these factors evolve as we move further into 2025.

Focusing on the Chemical Industry:

Raw material prices have bottomed out, but demand has yet to firm up as anticipated. As a result, I believe the current scenario of low raw material prices and modest demand is likely to persist through the first half of Calendar Year 2025.

Now let's look at the industries we serve.

Starting with the pharmaceutical intermediates :

Demand remains modest with raw material pricing remaining steady throughout the quarter. On the CDMO-CMO front, we are witnessing a significant influx of opportunities in India. As one of the major players in the industry, we had already anticipated this trend. Accordingly, while building the new site at Ankleshwar, we developed all 3 blocks with the latest technology and machinery, keeping these opportunities in mind. To sum up: We are fully prepared to capitalize on these opportunities, and I believe this will be one of the key growth drivers for us in the coming years.

On battery chemical side:

While the long-term outlook remains strong, we are observing delays in the commissioning of new battery capacities in the near term. We are adopting a cautious approach in the segment and focusing on capital expenditure

for additives where we already have long-term contract in place.

Semiconductor industry:

Although we are a new entrant, our discussions with both existing and potential clients have been very encouraging. We are doing some very interesting stuff with clients in Japan and Korea, and I hope that we will see the fruits of the same in coming years.

Commodity chemicals :

Situation remains unchanged from the previous quarter with pricing under pressure due to oversupply.

Overall, we remain cautiously optimistic about an improvement in the industry landscape in the coming quarters.

Moving on to the business performance:

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I am pleased to share that we have already reached nearly the same revenue as the entire previous financial year within the first 9 months of FY '25, totalling INR 698 crores.

Looking at the quarterly numbers, we have continued to deliver robust growth with revenue from operations increasing by 65.2% year-on-year, and 11.5% sequentially to INR 275 crores. This growth was driven by a ramp-up in our CDMO business, along with steady growth in the

Advanced Pharmaceutical Intermediate segment.

I would also like to highlight that we have around several additional projects in the CDMO pipeline, which has progressed to final stages. Discussions with innovators and partners are progressing well, and most of these projects are expected to begin commercialization by FY '26. Consequently, we anticipate our overall CDMO business to reach approximately INR 1,000 crores by FY '28, compared to INR 80 - 90 crores in the last financial year.

Looking ahead with a better visibility of Q4, I am confident that we will beat our previous growth estimate of 30% growth for FY '25. And therefore, I would like to revise growth guidance upward from 30% to 35% for FY '25.

Now I will hand over the floor to our Vice President of Strategy – Abhishek Patel, for further business updates. Over to you, Abhishek.

Abhishek Patel: Thank you, Naresh Bhai. Good morning, everyone. Let me provide further insight into our business performance:

Starting with pharmaceutical intermediates:

This segment delivered strong growth with revenue increase by 85.7% year-on-year, and 16.1% sequentially to INR 239 crores in Q3 FY '25.

Growth was driven by continued ramp-up in our CDMO business, and steady performance in Advanced Pharmaceutical Intermediate segment. Our focus remains on chronic therapeutic area, including anticancer, antidepressant, seizure disorder, antipsychotic, Parkinson's disease, anticoagulants and cardiovascular treatments.

Moving to the key growth driver for Pharma Intermediate business, which is CDMO business:

As Naresh Bhai mentioned, we have long-term growth plan for this segment, and we are confident in achieving our targets. However, please note that we are unable to disclose specific CDMO revenue numbers for the current and upcoming financial year due to confidentiality constraint as per agreement with the customers.

Now Specialty Chemical business:

The segment reported revenue of INR 36 crores; a slight decline compared to the same quarter last year. Sequentially, revenue dropped by around 11%, primarily due to lower volume in our commodity Chemical business.

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Within Specialty Chemicals, the BFC business remained flat year-on-year, but showed steady sequential growth. We believe Q2 was the bottom for BFC revenue, and we expect consistent growth from here onwards.

Capital expenditure side:

CAPEX for the first 9 months FY '25 stood at INR 118 crores, primarily allocated to Ankleshwar site as well as solar and electrolyte additive projects.

Let me give some further updates on the CAPEX:

At Ankleshwar site 1, I am happy to share that Block 2 has commercialized successfully, and Block 1 should be commercialized by end of this quarter.

Coming to electrolyte additive CAPEX:

The CAPEX is well

on track and is expected to be completed by H1 FY '26.

With that, I will now hand over our floor to CFO – Bhavin Shah, for the financial update. Over to you, Bhavin Bhai.

Bhavin Shah: Thank you, Abhishek. I would like to briefly highlight the key performance metrics for the quarter before we open the floor for questions.

I will start with quarterly performance:

Revenue from operations for the quarter reached INR 275 crores, representing 65.2% growth Y-o-Y and 11.5% on Q-o-Q basis. Gross profit for the quarter was INR 127.2 crores, reflecting 78% increase compared to the same period last year. The gross margin expanded by 333 basis points Y-o-Y, and 281 basis points sequentially to 46.2%. Gross margin was driven by better product mix.

EBITDA for the quarter was INR 68.7 crores, which was more than 2.5x when compared to the same period last year. EBITDA margin were at 25%, up 904 basis points Y-o-Y and 198 basis points Q-o-Q basis. EBITDA margin was driven by expansion in gross margin as well as operating leverage.

PAT for the quarter was INR 45.4 crores, which grew more than 2.5x compared to the PAT of INR 17.8 crores in Q3 FY '24. PAT margin for the quarter was 16.5%, which shows expansion of 582 basis points Y-o-Y and 130 basis points on Q-o-Q basis.

Moving on to the performance for the 9 months:

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Revenue from operations for the 9 months '25 reached INR 698 crores, representing a growth of 41.8% year-over-year. As Naresh Bhai mentioned, this is almost close to our full year revenue FY '24.

EBITDA for the 9 months FY '25 was INR 146.6 crores, up 41.8% Y-o-Y. PAT for 9 months FY '25 was at INR 97.7 crores, up 78.3% Y-o-Y when compared to the adjusted PAT for the same period last year.

Moving on to the balance sheet items:

Net cash and cash equivalents were at INR 306 crores. I am happy to share that even with strong growth, we were able to control our working capital, which was 95 days during 9 months FY '25 as against 108 days as on H1 FY '25. This was driven by improved debtor days and stable inventory. Better working capital management led to strong generation of cash flow from operations of INR 119 crores, which was 81% of the EBITDA for the 9 months FY '25.

Overall, as Naresh sir has mentioned, we are well on the track to deliver more than 35% of growth for the year with improved EBITDA margins.

With that, I request the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question-and-answer session. Anyone who wishes to ask a question, may press '*' and 1 on their touchtone telephone. If you wish to remove yourself from the question queue, you may press '*' and 2. Participants are requested to use handsets while asking a question. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

The first question is from the line of Bharat Shah from ASK Investment Managers. Please go ahead.

Bharat Shah: Yes. Hi, Naresh Bhai, good morning. After all the efforts, finally, things seem to be settling in a right direction. I just wanted to understand, we have good visibility as far as our Pharma Intermediate and CDMO business is concerned for the next 2 years. But what are the steps we are taking to build growth engine intake after 2027? Next 2 years, as I understand the business, I think business is reasonably secured and clear. But after 2027, what are the initiatives which we're building today in order to drive the growth engine ahead thereafter?

Nareshkumar Patel: Good morning, Bharat Bhai. Thank you very much for asking this question. As you know that our business model is divided into the originator business, our own generic business as well as first-to-file business. So, we have business security till 2040. We had already done developing molecules for generic application up to 2040, which will cater our steady growth up to 2040 with th

e customer also secure.

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So, in that sense, we are not worried about the business. Regarding to the growth, which is exponential growth, which is expected by everyone, which is coming from our New Chemical Entities business as well as CDMO and CMO business. In Pharma, which is going very well, we have lot of CMO and CDMO in pipelines. One is very major. That's why it is highlighted very well, but there are some others which are also moderately good in quantity and quality in a revenue point of view.

And we already said that in FY '26, some of them are coming out. Similarly, there are several which is coming in FY '27, '28, '29. So, we have a good visibility in terms of CMO, CDMO, because there are some molecules which are in Phase-III, some are in later stage of clinical approval also. So, that will bring our future growth into the business as well. And that is the reason why we had built out this new facility, considering this modern requirement and latest policy requirement by the FDA as well.

Bharat Shah: So, apart from the generics where we have long-term visibility, are there further engines being built today for maintaining or accelerating growth beyond 2027?

Nareshkumar Patel: Yes, sir. Baba Fine Chem is one of the master investments, I can say because that has a huge potential to grow in semiconductor sector. We are already producing photoresist chemical, but we have several another backend packaging side, also some chemicals, which already developed and now these monomers and chemicals we are sending in Japan and Korea, which will be mature in the next couple of years.

So, adding a new additional growth driver for our future - the Electrolyte Additives, we have only 2 in the past, but now we have more than 12 Electrolyte Additives now. And these all will be used by all the battery cell manufacturers. And we have already started qualification staging with existing customer as well as the new customer.

And beauty is that we have right from beginning, we are in line with the Chinese price. So, whether IRA will be there or not there, it is not impacting us, because Chinese price is in line with us. It will be, in fact, beneficial for us if the IRA is not there, then we can have leverage of raw material sourcing from other cheaper nations, and that will also help us to have an addition

in the margin as well. So, this is a good move for us in terms of positioning ourselves in electrolyte as well.

Bharat Shah: And on Specialty Chemicals, any insight you want to share?

Nareshkumar Patel: Specialty Chemicals segment is a highly commoditized segment, which is we acquired from Gujarat Organics. We've done a lot of development in that site. We sustain ourselves. With this highly price pressure, raw material drop-down, topline eroded by 30%, even though we are sustaining the market share so far. So, that is the reason till now in the last 3 years, we had not declined our revenue in Specialty Chemicals, with maintaining the EBITDA at a double-digit level. So, that is a good achievement for us.

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Now we had also done some good qualification in regulated market for specialty chemical as well, which is under validation right now. So, once it will go, then '27, it will also give a very good fruit in terms of specialty chemicals as well.

Bharat Shah: Yes. Thank you, Naresh Bhai, and all the very best.

Nareshkumar Patel: Thank you Bharat Bhai.

Moderator: Thank you. The next question is from the line of Krishan Parwani from JM Financial. Please go ahead.

Krishanchandra Parwani: Yes, hi Naresh Bhai, Abhishek Bhai. Congratulations on very strong set of numbers. 3 questions from my side. Firstly, on the margin front, I believe on account of higher CDMO contribution, EBITDA margins have jumped to almost like 25%. Do you think that with further ramp-up of CDMO business and solar power ben

efit, your margins could reach 26%, 27%? Or you think 25% is a peak for us?

Abhishek Patel : So, on the margin side, as you know that we have improved GM by 281 basis points in this financial and EBITDA of 5%, and we expect quarter-on-quarter improvement going forward in next financial year also. It will be always a sequential improvement in next financial year on the revenue as well as on the margin side. But on a blended side, we can expect that we will cross the EBITDA margin for the full year of the highest peak EBITDA margin of more than 23.5%, which we recorded our highest margin. But obviously, these margins are sustainable and the way the business is going, these are definitely a sustainable margin.

Krishanchandra Parwani: Got it. Got it. And on the second CDMO contract, are we on track to start the supplies from 4Q FY '25 as indicated, I think Naresh Bhai had indicated during the last call?

Nareshkumar Patel: Yes. It is – the validation is under review, and it will be definitely start from FY '26, the commercial supply from second CDMO, from Block 2 of Unit-2.

Krishanchandra Parwani: Okay. Okay. And last bit, so how is the demand visibility from apixaban and rivaroxaban intermediates?

Nareshkumar Patel: As everybody knows that it is publicly available, the apixaban is expiring in '26. So, the demand already started for API and API manufacturing. And we already have a ramp-up in this Q3 as a small quantity, Q4, it will be a little bit higher. And by FY '26, we are expecting to go at a very moderate level against the very minimized in last couple of financial years.

Rivaroxaban has an expiry in FY '26, '27. So, it will be ramp up by end of this year. But still, we are selling some quantities to our partners in Europe as well as in India.

Krishanchandra Parwani: Understood. Understood sir. Thank you so much for patiently answering my question. Wish you all the best, sir.

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Nareshkumar Patel: Thank you, sir.

Moderator: Thank you. The next question is from the line of Sundarshanadmanabhan from JM Financial PMS. Please go ahead.

Sudarshan Padmanabhan: Yes, thank you for taking my questions. Sir, quite happy to see the ramp-up in the Pharma Intermediates being much, much faster than expected, thanks to the CDMO. Sir, my question is today, what is the capacity utilization, and whatever the CAPEX that we have done in the past. Given that the existing product itself is doing well for us, and there are multiple products that are there, do we have capacities in place to cater the kind of growth that you talked about to the INR 1,000 crores? Or do you think that we will have to acquire more land? Can you give some colour?

Abhishek Patel: From a capacity front, let me update that at Unit-1 Sachin, capacity is more than 70% utilized.

At Unit-2, 50% capacity utilization we have achieved in Block 3, which is already capitalized.

And at Unit-3, the capacity utilization is 50%. So, we have room available for Pharma Intermediate business at Unit-2, and the next block is already inaugurated block #2 and block #1 is also expected to get commercialized by end of this March quarter. So, it will cater largely

our capacity requirement for next 2 to 3 years requirement. And for Spec-Chem business, the capacity is already at 50% utilization at 50% level. So, that will also cater our capacity requirement for next 3-year time.

For the new business of Electrolyte Additive, you already know that CAPEX is going on, which is expected to get completed by H1 FY '26, and that will again secure our revenue requirement for next 3 years. So, this way, we are quite very well placed to support our growth for next year. And of course, it's an industry cycle. So, as and when it's required, maybe 1.5, 2 years in advance, citing the new next level of revenue growth, we will have additional land acquired as and when required. Even today also, we have one 8,000 sq

are meter land available at Sachin GIDC, which can be used for some additional requirement. But for high CAPEX, we can have additional land in future.

Sudarshan Padmanabhan: Sure, sir. Sir, if I split the 2 businesses, you usually give the margins across the 2 businesses, I would assume that if I look at the overall margins of 25%, the Pharma Intermediates in this quarter should be north of 30%. Is that right? If you can give some colour on that?

Nareshkumar Patel: Come again?

Sudarshan Padmanabhan: The margins between the Specialty and the Pharma...

Bhavin Shah: So, Advanced Pharma Intermediate margin for the quarter is 26.4% and Specialty is 15.16% blended.

Sudarshan Padmanabhan: So, both has increased. Sir, just taking forward the previous participants, the margins today is at 25% with around 50% to 60% utilization across both the plants. Intuitively, as the CDMO

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proportion increases, from the current products and the new products, I am not talking about next year, say 3 years down the line. Should we be looking at, say, a margin closer to, say, 30%, which is also something a lot of CDMO players are doing, and it's not very different. So, just wanted to understand a bit about how much of operating leverage as you scale up your business environment.

Abhishek Patel: So, as you know that CDMO business has just ramped up in this Q3 FY '25. And with commercialization of other 2 block also, our operational efficiency will again kick in. And it will definitely go beyond the 25% mark, no doubt on this. It can reach to, let's say, 27% to 30% also. But you have to understand that this is a CDMO business, not the API, it's an intermediate business. So, that industry, other player, we maintain ourselves a little conservative as against others for guiding EBITDA margins.

Moderator: Sorry to interrupt, sir. Sorry to interrupt. I would request you to rejoin the queue for your follow-up question. Thank you. Ladies and gentlemen, in order to ensure that the Management is able to address questions from all the participants, please limit your question to 2 per participant. If you have a follow up question, I would request you to rejoin the queue. The next question is from the line of Nikhil Mathur from HDFC Mutual Fund. Please go ahead.

Nikhil Mathur: Good morning, all. Many congratulations to Naresh Bhai and team for such great execution. My first question, Naresh Bhai, is on your management commentary that the pipeline of CDMO projects is progressing well. So, just wanted to understand, are you talking here about the current couple of patented products which are kind of scaling up? Or you're also talking about projects which are beyond, let's say, FY '27, '28, which will kind of progress to Phase-II, Phase-III in the next 12 months, and you will get visibility over the next 12, 15 months or so.

So, I just wanted to understand if you can split between the next 12, 15 months, and beyond that as well, what is the visibility you're getting on some of the patented projects that you would be working on?

Nareshkumar Patel: Thank you, Nikhil Bhai. Due to confidential nature of the agreements, and because it's clinical trials, I can't disclose more on that, but you are rightly saying that I am talking about the existing as well as the new CDMO, CMO, which will be matured in '27, '28, '29. So, these all are moving very good, and it's a strong robust pipeline we have, with multiple application in terms of pharmaceutical final dosage form. So, several are moving from Phase-II to now Phase-III, some are Phase-III to the approval stage. So, that will be coming in '27, '28 like that.

Nikhil Mathur: So, can we extrapolate, sir, that the current success that you are seeing on the patented side, that is leading to better and more inquiries ever since this success has been visible to other customers as well? Can it be assumed?

Nareshkumar Patel: You

can say like that. But for me, I can say that I started my career in this Company on clinical trial only, and then I move on to the Generic. So, we have a lot of molecules which we supply sometimes in a very early-stage development or some are in the later stage development. But

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whoever the customers who are big names in Europe or U.S. or in Japan originators, they now also realize that we are fully capable enough to execute at a very large-scale production for any kind of requirement in terms of regulatory as well as in terms of supply chain, without any deviation or without any hurdle. So, that is one of the things which gives us the confidence. Definitely, you say is one of the right thing that, yes, with the success of this current project gives a lot of confidence to our buyer, and that also encouraging them to give us more project to us as well.

Nikhil Mathur: Got it. Sir, another question I had was a slightly longer-term horizon. The peptide-based development is kind of gaining, it always has been in prominence, but it is only going up and will go up in the coming 10, 15 years as well. We talk about GLP-1, but at a very broad level, peptides are finding or they are getting tested and tried for multiple other indications as well. And hence, an assumption that next 10, 15 years, a company which is on the chemistry side will have to be in the larger molecules and essentially on the peptide side as well.

So, any broad thoughts you can share on how Ami Organics is placed to latch on to this tailwind, maybe not in the next 2, 3 years, but beyond that. Is that something which we can look forward to from Ami Organics standpoint as well?

Nareshkumar Patel: Ami Organics is chemistry-driven company, and we are very strong in chemistry. This is our core strength. And based on that, we had nurtured our business in a horizontal manner. Peptide is the future, definitely, but it is not solution for all the disease. That is definitely peptide is used for some disease, but it is not future for all the disease.

Synthetic chemistry or synthetic drug will never phase out in the system, right? And there is a huge potential available for us. In fact, in peptide also, synthetic chemistries are required, and there are also opportunity available for us, and we are already catering this kind of small opportunity what we have, we are getting it.

But it's not our core area of bio. People are rushing towards the gold. I don't want to put myself into the same rush, because by this way I am risking my existing infrastructure as well as my future of my company. So, we are a highly focused company, we know our strength and weaknesses, and we are focusing on that area only. So, peptides may be good for someone, but it is not that great for me for today or for the future.

Nikhil Mathur: Understood, sir. And just one final question, if I may please squeeze in. On the base intermediate portfolio, which is on the generic side, can you give some sense, sir, how EBITDA per tonne or if you can talk about margins, how margins have played out in last 12 months or so? And if there is a recovery at some point in time, maybe not this year, but let's say, in FY '27 or sometime, can there be a big reversal in EBITDA per tonne or margins, whichever you want to talk about?

Nareshkumar Patel: To be very honest, due to the nature and sensitivity of some agreements as well as commitment, we have stopped doing this bifurcation and all because it is impacting on our future contracts as

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well. So, yes, we are committing to improve ourselves, and that you can see in last 10 quarters, 12 quarters.

Nikhil Mathur: Sir, I am talking about the portfolio where there is pricing pressure last couple of years, due to demand or Chinese dumping.

Nareshkumar Patel: As I told you every time that Chinese pressure is not directly impact

ing us. It is impacting to my manufacturer. You can see my all last 4 quarters where I did the commentary, you can get your answer from that as well, and then we find out the way to how to maintain our margin there as well.

Nikhil Mathur: Understood sir. Thank you so much and all the best.

Nareshkumar Patel: Thank you, sir.

Moderator: Thank you. The next question is from the line of Rohit Nagraj from B&K Securities. Please go ahead.

Rohit Nagraj: Thanks for the opportunity, and congrats on a very good set of numbers. So, first question is on the Pharma Intermediates front, excluding the CDMO part. So, this is just the beginning of 2025.

So, how are we expecting the pricing environment from our customers, given that the last couple of years have been relatively benign, although it is stable. But given that hopefully, the inventory situation, et cetera, has been managed, whether there is an improvement as far as the 2025 contracts are concerned? So, your views from the customer interactions. Thank you.

Nareshkumar Patel: Apart from the CDMO patented product agreements, raw material prices is stabilized. Our topline is also now stabilized. In the past, when the problem arise for our end user, we changed our contracts to the spot basis and now we return back to the contract. And this contract is now very well executed and that contract also and rolling forecast also giving us a good visibility for us for the next 1 year, 1.5 years.

So, that's why we are very much confident about our margin claim, whatever we are announcing, even our incremental forecast, the revenue forecast for this quarter also based on these contracts as well as the visibility, which is provided by the generic uptake in manufacturers from us only.

Rohit Nagraj: That's helpful. Second question on the Battery Chemicals and Semiconductor. So, here, still, we are at initial stage in terms of commercialization of the plant as well as qualifications. Maybe in FY '27, '28, when we will start the supplies, what is the kind of revenue potential that we are looking at, and whether the margins also will be in a similar range of CDMO or there will be change in terms of the margin profile for these 2 particular products? Thank you.

Nareshkumar Patel: In terms of the capacity point of view, we already announced that we are putting a plant for 4,000 metric ton inclusive of all additives, which will give you the guidance about the revenue as well as the margin right from beginning. When we develop, we always said that the margin

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will be better than Specialty, but lower than Pharma. So, this is the same thing which is right now is applicable for us in terms of Electrolyte Additives as well.

Rohit Nagraj: And the same goes for Semicon as well?

Nareshkumar Patel: No. Semicon is a very different ball of game, where we are the only company in India, who are right now have a good situation and position ourselves in this basic chemical supply, where the margins are much higher than the Pharma as well as CDMO, which it may vary from 40% to 65%, depends on which product at what scale and this all depends on customer to customer as well. So, it is not a low-margin product at all, because it's a very high purity molecules, which we are making, which is a very unique strength of Baba Fine Chem, which is they know the know-how how to produce this kind of molecule.

Moderator: Ladies and gentlemen, we have lost the connection for the current participant. We will move on to the next participant. The next question is from the line of Prashant Nair from Ambit Capital. Please go ahead.

Prashant Nair: Yes, good morning, everyone. Naresh Bhai, just one clarification. When you say CDMO, are you referring to all sales that you make to innovator pharma companies? Or is there any other way you're splitting the business?

Nareshkumar Patel: See, mostly, Ami Organics is doing the CDMO only fo

r the innovator pharma company or the

innovator pharma company's toll manufacturer based in Europe or in India. So, we don't do the generic CDMO or CMO, because we are way beyond of these kind of things. So, it's a small company, very initial company, they can do this kind of big CMO, but we are doing only CDMO, CMO for originators, either directly or supplying to the toll manufacturer of the originators based in Europe, China or in India.

Prashant Nair: Right. And that is the business which you expect to get to INR 1,000 crores by fiscal '28, right?

Nareshkumar Patel: Yes.

Prashant Nair: Yes. And just a follow-up on this. Would you be able to give a split of the supplies you make to innovators or their toll manufacturers, currently, what proportion would be for products that are off-patent versus, say, those that are under patent or those are still in development? Can you give that split?

Nareshkumar Patel: Prashant Bhai, if I will be 2 years back, I would love to do this, but this has brought a lot of problem to my marketing team. So, we have now stopped this kind of sharing, because we are generating our own competition. So, we don't want to discuss these kind of things on a call or on one-on-one anywhere.

Prashant Nair: No worries. But would the share of products that are under development or under patent go up over the next few years? I know there's one big contract, which obviously will lead in that

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direction. But beyond that, in your pipeline, would you have enough molecules, which are either under development or still on patent that are yet to scale up?

Nareshkumar Patel: So, I can narrate it like this. You maybe figure out from there. We have more than 570 molecules till last year invoice. Maybe this year, it will be added another 40, 50. Out of that, in a clinical trial, somewhere around 60 to 80 molecules are right now either in Phase-II or Phase-I kind of things, which we are supplying to them. So, from there, you can narrate about whatever you want to get an answer from that.

Prashant Nair: Great. That's useful. Thank you. All the best.

Moderator: Thank you. The next question is from the line of Yash from Stallion Assets. Please go ahead.

Yash Gandhi: Hi, sir. Thank you for the opportunity. Just with respect to your CDMO business, could you tell me what is the expected asset turns on the CAPEX that you are estimating by FY '28?

Nareshkumar Patel: Normally, we target any asset turns which we invest would be 3x. So, similar kind of use. You

should make your assumption or calculation like that.

Yash Gandhi: Okay. Okay. And just from a longer-term perspective, because we're seeing some headwinds in the Specialty Chemical business. So, like what was the reason for having that segment? Why don't we just concentrate on the Pharma Intermediate side of the business? I am sorry, I am just new to the company. So, I just wanted to understand the...

Nareshkumar Patel: No worries. See, let me tell you one thing. If I will be only pharma last 2 years, I will be in a trouble. If I will be in a specialty also, I will be in a trouble. Ami Organics is always focusing on sustainability and long-term growth. And what happened that our policy, right from beginning is that not depend on one customer, not depend on one product, not depend on one area. And this is how we develop Pharma, Agro, Specialty, Polymer, Petrochemicals. So, if one segment will not perform well, other segment will help support to us.

And that is one of the reasons that every year, every quarter-on-quarter, we have an improvement in our revenue. And also, it has been also giving us an improvement in our operating leverage as well. So, these are multiple things which help us to remain in the position. And not only that Specialty Chemicals is also very lucrative. It required a lot of efforts to make viable for that, and that's what we are doing right now. We'r

e also new in Specialty, last 4 years only, we enter in this. So, we are also learning, and we learn a lot of things in that, and that will give us a foot in the upcoming years as well.

Yash Gandhi: Okay. Okay. Got it. Thank you.

Moderator: Thank you. The next question is from the line of Rikin Shah from The Boring AMC. Please go ahead.

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Rikin Shah: Congratulation, Naresh Bhai, a very stellar quarter. I remember not too long back, there were questions on margins being ever recovering. My question is, I know you have expanded on the Battery Chemicals segment, but perhaps with the geopolitical changes that have happened, has our stance as a company changed or altered for this?

Nareshkumar Patel: No, because we have an agreement in place, and our position is great in terms of the competition against the competitor base in China as well. Thing is that our buyers, so they have some limitations to start. So, once that limitation is over and they got the green light from the final OEM EV manufacturer, it will be ramped up very quickly for us. If that not happen, then market is open for everyone. And then in that case, we are very happy in that to cater that worldwide as well.

Rikin Shah: All right. Sir, in terms of a very molecule-specific question, there is a lot of activity by Johnson & Johnson and CAPLYTA, and they have done an IMPD filing. So, they estimate this asset to be more than \$5 billion, and we sort of have a process patent for the intermediates of lumateperone. So, is there any sort of possibility of having an early entry into this molecule?

Nareshkumar Patel: We've already done that with our partners. There are 3 partners who had already filed, first to file, and now we are waiting for their upcoming. So, we are already there.

Rikin Shah: All right. Okay. That's all from my side. Thanks, sir.

Nareshkumar Patel: Thank you.

Moderator: Thank you. The next question is from the line of Manav Kapasi from Antique Stock Broking. Please go ahead.

Manav Kapasi: Yes. Sir, firstly, congratulations on a stellar set. My only question was on the Spec-Chem business. The degrowth that we've seen, the small degrowth, is it largely on account of BFC or has the base business also seen some problems? And also, if you can give the growth for this quarter ex of BFC, which you had given last quarter?

Nareshkumar Patel: Spec-Chem business, we have an order in place, but it is a deferred supply. So, that's why it is little bit degrowth in a commodity spectrum of cosmetic as well as parabens. And BFC, as we already said right from beginning of this year will be muted for us, and that will be happening in BFC. So, BFC has a stable every quarter, INR 2 crore to INR 3 crore demand right now, because of several compliances and all, which is now finished.

So, from next year, it will be uptake in BFC. But whereas here in Specialty Chemical segments where we have some orders, which is deferred to this quarter as well as we also leave some orders based on the pricing as well. So, these are the combination of both.

Manav Kapasi: Okay. And ex of BFC, if you could give us the growth for this quarter?

Nareshkumar Patel: We already announced that this quarter growth, the overall year will be 35%.

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Manav Kapasi: No, no, I am asking for the Spec-Chem business. ex of BFC, what would be the growth?

Abhishek Patel: Ex of BFC, the growth anticipated for full year is more than 15%.

Manav Kapasi: Okay. Understood. And you just said that there are some orders that are deferred to this quarter, that is 4Q and maybe 1Q. So, this quarter, maybe we should see some recovery in the spec-chem business, right?

Abhishek Patel: It's definitely going to be recovered, but you see it like this. For Q1 and Q2, the ex of BFC Spec-Chem business has done very good. And this is only a cyclical nature for temporary for

Q3. And

again, Q4 will be a normal thing. So, overall, for the full year, the expected growth is more than 15%. That's for sure.

Manav Kapasi: Great, great. Thank you so much. All the best, Naresh Bhai and team. Thank you.

Nareshkumar Patel: Thank you, sir.

Moderator: The next question is from the line of Jason from IDBI Capital. Please go ahead.

Jason Soans: Yes, hello. Thanks, sir, for taking my question. Am I audible?

Moderator: Yes.

Jason Soans: Yes. So, sir, just some quarters back, you used to give a breakup of your Pharma Intermediates business in terms of being 50%, 55% being for the generic API, then 40%, 45% for innovator pharma, 5% for CDMO, and 1% to 3% for import substitutes for domestic pharma. So, sir, currently standing, how does that mix stand as of now?

Nareshkumar Patel: So, we learned this mistake. And now that's why we are saying we are not breaking it up. We are also learning this how to handle disclosures, because disclosure is only not for the investors, but also for our partners who are buying from us. So, that's why we are now restricted ourselves to breaking out everything and giving disclosure to the people.

Jason Soans: Sure, sir. So, one thing is for sure, sir, that your CDMO business will definitely, in that mix, the revenue contribution must have increased quite a bit for that. Yes. So, sir, just in terms of that, you did mention that your tailwinds are strong for CDMO and you target to reach INR 1,000 crores. That's your target aim by FY '28. So, currently, sir, what is the revenue size for CDMO?

Abhishek Patel: The CDMO business last year was INR 90 crores. This year, we have already crossed more than double of that last year's business. But as I mentioned, we are not giving the segment-wise revenue splits from this year onwards.

Jason Soans: Okay. Okay. And sir, I understand that you are not giving specific numbers. Just wanted to understand also that, of course, one is that the darolutamide or the Nubeqa sales definitely must have helped you in your intermediate sales. So, sir, I am not asking about specific details, but

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just from a directional standpoint, how are you seeing such other long-term contracts filling up the Ankleshwar capacity?

How is the pipeline looking, going ahead for more and more contracts, vis-a-vis our competition globally as well? How are you seeing India traction playing out? Just wanted from a directional standpoint, how is that looking as you again look to basically increase capacity utilization for Ankleshwar facility as well?

Nareshkumar Patel: We look very promising in that area. We are already moving in Block 2 with some CDMO has already started, and there are other under negotiation and discussion and development. So, it's going very well. We don't see any issues in terms of demand. It is only in terms of when they are ready to transfer. That is because right now, CDMO, CMO innovators, either they make themselves or buying from someone. So, it's a procedure in pharma where we have to follow it, and it will become soon several new projects which are in the pipeline and development will be start in Block 1 as well.

Jason Soans: Okay. Sure, sir. And sir, just one final thing. For BFC, you said the year is muted, but by FY '26, are we looking at a significant ramp-up in BFC, contributing well to topline and bottom line by FY '26? Do you see whatever initiatives and whatever strength building up we are doing in BFC, with the Japanese and the Korean customers, do we see significant revenue buildup in FY '26?

Abhishek Patel: No, not in FY '26, but it can go on from FY '27. It has already started. As we mentioned, we see Q2 as a bottom out quarter for BFC. It has already started moving up. But slowly, slowly, it will ramp up, not in very big way in FY '26, but '27 onwards, because we have done a lot of seeding in market like Korea and Japan. We have already shipped

ed samples and validation batches has

started going. So, I think that will take some time, and it will from '27 onwards, it will definitely ramp up.

Moderator: Sorry to interrupt, sir. I would request you to rejoin the queue for your follow-up question. Thank you. The next question is from the line of Ajay Surya from Niveshaay.

Ajay Surya: Congratulations, Naresh Bhai, on a good set of number. Hello, am I audible?

Moderator: Yes, sir.

Nareshkumar Patel: Yes.

Ajay Surya: Yes. So, my question was like I was checking the investor presentation of the Fermion, right?

So, Fermion has not grown Y-o-Y, so my question was that the molecule we supply to Fermion in that there existing supplier we have replaced them So, my question was growth, like is it from replacing the supplier or the molecule itself is growing?

Nareshkumar Patel: Molecule is growing on its own. The data is available publicly, you can get it from there.

Whenever we have done agreements, we have announced that Fermion for utilization of its final

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product whatever molecule he used to make for that they have chosen us so they are giving us the order to make it.

Ajay Surya: So, earlier someone other was supplying, how was the quant earlier?

Nareshkumar Patel: Earlier, who was supplying, will you please tell me the name of it.

Ajay Surya: I am not aware of, so, I am asking you.

Nareshkumar Patel: No, I am also not aware of that, sir.

Ajay Surya: Okay, okay. Got it.

Nareshkumar Patel: Thank you.

Moderator: Thank you. The next question is from the line of Mohammad Abbas from InCred Financial Services. Please go ahead.

Mohammad Abbas: Hi, sir. Thank you for taking the call. Sir, I just wanted to know the revenue split between the exports and domestic business. I believe it's around INR 209 crores for Q3...

Bhavin Shah: It's around 76%.

Mohammad Abbas: 76%, right? So, we have seen a significant growth in exports compared to last 2 quarters. So, sir, also wanted to know how is demand visibility in European market as well as are we on still track for 30% growth guidance earlier...

Nareshkumar Patel: Sir, we lost your voice. Can you repeat your question, please?

Abhishek Patel: It's too low to hear us.

Moderator: Mr. Mohammad, I would request you to please use your handset.

Mohammad Abbas: Okay. Is it better now?

Moderator: Yes.

Mohammad Abbas: So, how is the demand visibility in European market as well as are we still on track for 30% growth guidance?

Abhishek Patel: Yes, Naresh Bhai has already guided during his opening remarks.

Nareshkumar Patel: And the guidance are based on the contracts and commitment from our European as well as other client.

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Mohammad Abbas: Okay, sir. Thank you. Thanks.

Moderator: Thank you. The next question is from the line of Maitri Shah from Sapphire Capital. Please go ahead.

Maitri Shah: Yes, hello. Good morning. Am I audible?

Moderator: Yes, ma'am.

Maitri Shah: So, I just wanted to know, firstly, congratulations for the great results. I just wanted to know the next 2 years kind of guidance and the growth that we are expecting in the topline and the margin?

Abhishek Patel: So, we always say that we want to double ourself in 3 years' time. And so that's a 25% to more than 25% growth guidance we are committing.

Maitri Shah: And in the top line, do we expect to achieve like 27%, 30% in the next 3 years in the margins?

Abhishek Patel: Margins are definitely going to improve from here onwards in next financial year, and next to next financial year also.

Maitri Shah: Okay. Thank you.

Moderator: Thank you. The next follow-up question is from the line of Jason from IDBI Capital. Please go ahead.

Jason Soans: Yes, hello sir. Thanks for taking my question again. Sir, this was just in response to a previous participant where you mentioned that your CDMO, what you do is basica

lly with innovator

company or you did mention that's with the CDMO or with CMOs of the innovator company.

So, just one clarification. So, if the innovator could be Bayer, and let's say, Bayer has given

Fermion to make the API, so probably you just deal with either Bayer directly or through

Fermion. That's what you meant, right? Is my understanding correct?

Nareshkumar Patel: Here, both are originators. So, say, for example, we say one hypothetical innovator based in Europe. And then they have an API manufacturer like BVC has been of a CMO for API manufacturing for them. Similarly, so they give to the API manufacturer. so this innovator asks us to supply to this API manufacturer in India.

Similarly, Innovator has another manufacturer in China. So, they also ask us to supply to China

as well. So, we have to supply to India as well as China. So, both the Fermion, they are selling right to the Bayer. So, Bayer is not an innovator there. Bayer and Fermion, joint innovator of that molecule, of darolutamide, whereas our CMO with us, there is a toll manufacturer of other innovators, to them, we supply them, but it's controlled by the innovator.

Jason Soans: Okay. But it's controlled by the innovator directly or indirectly, that's what you're saying.

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Nareshkumar Patel: Yes.

Jason Soans: Okay. Okay, okay. Sure, sir. Sure. Thanks. Thanks a lot sir.

Moderator: Thank you. The next follow-up question is from the line of Prashant Nair from Ambit Capital.

Please go ahead.

Prashant Nair: Yes. Thank you. Abhishek, you gave some outlook on margins for next year in your initial comments. Can you please repeat that, I don't think I was able to get that clearly at the time?

Abhishek Patel: So, as on date for 9 months, our blended margin is 21% in 9 months FY '24. Obviously, we are expecting it to improve in Q4 also. And for FY '26 for full year, we are expecting this margin on a blended basis to reach at a peak or highest margin ever reported by Ami Organics. It will be on a blended basis. Sequentially, it will improve from Q1 to Q4 for next financial year.

Prashant Nair: Yes. And when you say highest ever, you are talking at an annual level, right, not the highest ever.

Abhishek Patel: Annual level, of course.

Prashant Nair: All right. Thank you. That's all for me.

Moderator: Thank you. The next question is from the line of Krisha Kumar Yoga, who is an individual investor.

Participant: Hi, sir. Thank you for the opportunity. Sir, I have 2 questions. One is the recent regime change in the U.S., a large South Korean EV company is taking a little pause in the developments. So, are we seeing any sluggishness in the electrolyte CDMO with the Korean company?

Nareshkumar Patel: Can you repeat your question? I couldn't get it.

Participant: Yes. Sir, due to regime change in the U.S., there are large South Korean EV manufacturer taking a little pause in the development. So, are we also seeing any sluggishness in our domestic electrolyte, the one which we recently announced the CAPEX of INR 170 crores?

Abhishek Patel: For CAPEX of INR 170 crores, that is for the purpose of Electrolyte Additive business, which is going on. We have already signed some supply contracts, and we have long-term visibility available for Electrolyte Additive business, and we are going ahead with this business.

But for Solution business, which is the Korean JV, which we announced earlier, that status quo, we are maintaining, because we don't want to rush into the market, which is yet to get fully developed and we don't want to allocate capital or struck our capital. We are very cautious in this business, and we'll take a call at a relevant level.

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Participant: Okay. Thank you, sir. Sir, one small question. In percentage terms, what is the revenue share of ARV Intermediate?

Nareshkumar Patel: We don't have any ARV. On

ly Dolutegravir is there, but that is almost contributing 1% of the total revenue.

Participant: Okay. Okay, sir. That's all, sir. Perfect, sir. Thanks a lot, sir.

Moderator: Thank you. The next question is from the line of Prathamesh from Tiger AMC. Please go ahead.

Prathamesh Bhiwar: Yes, sir, just one question. Sir, do we have potential and capacity to clock around \$100 million in CRAMS segment in coming time?

Nareshkumar Patel: CRAMS segment, \$100 million, we are not CRAMS company dedicated only for CRAMS. We do CMO, CDMO for API early-stage, N-1 or intermediates. CRAM is clinical research related.

So, we don't do these kind of things. So, it's not relatable to us.

Prathamesh Bhiwar: Okay, okay. Thank you so much, sir, for the clarification. That's it from my side.

Moderator: Thank you. The next question is from the line of Pratik from Systematix Group. Please go ahead.

Pratik Oza: Yes. Hi, sir. Thank you for the opportunity. Sir, just one question on industry per se. Is the role of artificial intelligence can be used in chemicals also? I mean you are a CDMO company. So, can we use artificial intelligence. So, if you can throw some light on it?

Nareshkumar Patel: It's confidential, but yes, we do some AI in our products and the new plant has some AI implemented in operation.

Pratik Oza: So, the use of AI is there in CDMO and Chemical industry and Pharma industry?

Nareshkumar Patel: AI, we use in operations, some equipment controls and operations, we use some AI. But this is really an insider, we don't want to disclose these kind of things, our new things.

Pratik Oza: Thank you.

Moderator: Ladies and gentlemen, that was the last question for today's conference. I now hand the conference over to the Management for closing comments.

Nareshkumar Patel: Thank you to the JM Financial team for hosting our conference call. We appreciate everyone's question, and hope we have addressed most of your queries. If we miss any of your questions, please reach out to our Investor Relations team. and we will get back to you promptly. Thank you very much, and have a good day to you.

Moderator: On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2025

A■ Ami Organics Limited CIN. : L24100GJ2007PLCO51093

Registered Office :- Plot No. 440/4, 5 & 6, Road No. 82/A, G.L.D.C. Sachin, Surat - 394230, Dist. Surat, Gujarat, India.
May 08, 2025

To, To,

The Corporate Relations Department, The Listing Department
BSE LIMITED, National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5* Floor, Plot no. C-1,
Dalal Street, Fort G-Block, Bandra Kurla Complex,
Mumbai- 400 001 Mumbai -400051

Scrip Code: 543349 NSE Symbol: AMIORG

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q4 FY25 financial results held on May 2, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on May 2, 2025 post announcement of financial results for the fourth quarter and year ended on March 31, 2025.

The same will also be available at the website of Company at www.amiorganics.com

This is for your information and records.

Yours faithfully,

For, AMI ORGANICS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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"AMI Organics Limited

Q4 FY '25 Earnings Conference Call"

May 02, 2025

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR – AMI ORGANICS LIMITED

M R. ABHISHEK PATEL – VICE PRESIDENT , STRATEGY
– AMI ORGANICS LIMITED

M R. BHAVIN SHAH – CHIEF FINANCIAL OFFICER –
AMI ORGANICS LIMITED

MODERATOR : MR. KRISHAN PARWANI - JM FINANCIAL
INSTITUTIONAL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Ami Organics Limited Q4 FY '25 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone.

Please note that this conference is being recorded. I now hand the conference over to Mr. Krishan Parwani. Thank you, and over to you, sir.

Krishan Parwani: Yes. Good afternoon, everyone, and thank you for joining us on Ami Organics Q4 and FY '25 Earnings Conference Call. Today, we have with us Ami Organics management, represented by Mr. Naresh Patel, Chairman and Managing Director; Mr. Abhishek Patel, Vice President, Strategy; and Mr. Bhavin Shah, Chief Financial Officer. I would now like to invite Mr. Bhavin Shah to initiate the proceedings. Over to you, sir. Thank you.

Bhavin Shah: Thank you, Krishan. Good afternoon, everyone. We are pleased to welcome you all to our

earnings conference call to discuss Q4 and FY '25 financials. Please note that a copy of our disclosure is available on the Investors section of our website as well as on the stock exchanges. Please do note that anything said on this call which reflects our outlook towards the future or which could be construed as forward-looking statements must be reviewed in conjunction with the risk that the company may face. The conference call is being recorded, and the transcript along with the audio of the same will be made available on the website of the company and exchanges.

Please note that the audio of conference call is the copyright material of Ami Organics and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

Now I would like to hand over the floor to our CMD, Mr. Naresh Patel, for his opening statement. Over to you, sir.

Naresh Patel: Thank you, Bhavin. Good afternoon, everyone. I hope you are all doing well. I will start with a look at the broader industry landscape before diving into our performance for Q4 and FY '25.

The global economy continues to face significant uncertainty driven by shifting geopolitical dynamics and evolving policy decisions. For the chemical industry, a major factor will be the unfolding U.S. tariff framework. In chemicals, everyone is watching which countries win in preferential terms and how China likely facing higher duties will react. These developments will drive fluctuations in prices of both raw materials as well as finished goods, setting the stage for highly dynamic chemicals market in 2025.

Zooming in on our key industries that we serve:

Pharmaceutical industries remain our largest revenue contributor. Demand for pharmaceutical intermediates remains stable, and we are witnessing a notable increase in CMO/CDMO inquiries.

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India is increasingly recognized as a viable alternative to China, a trend that is strategically positioned us to leverage. On the policy front, pharmaceuticals are exempted from U.S. tariffs. However, the U.S. government has initiated investigation into imports of pharmaceutical and semiconductors, which may lead to future tariff measures.

Given the multifaceted nature of these potential outcomes, we will refrain from speculations, but we will continue to watch the developments as we progress through 2025.

For battery chemicals, despite moderate demand for electric vehicles globally and delays in new battery cell capacity across the sector, we are observing a positive shift. Manufacturers are actively diversifying supply chains away from China, a movement accelerated by U.S. tariff policy. The transition presents sign

ificant opportunities, and we are well prepared to capitalize on this evolving landscape.

Moving on the semiconductor industry, while appetite for chips to power the data centers behind the artificial intelligence boom continues to thrive, demand for legacy semiconductors found in cars, industrial equipment and other devices have been subdued in recent months.

Our strategic initiatives in Korea, Japan and Taiwan are yielding encouraging results, and we are confident this market will play a pivotal role in our future growth. Overall, we remain cautiously optimistic about demand even as a cloud of uncertainty continues to hover over the industry.

Coming to Ami Organics performance for the year, I'm delighted to report that FY '25 marks a landmark year for Ami Organics as we crossed the INR1,000 crore revenue threshold. This achievement is a testament for to the relentless hard work of every single employee at Ami Organics as well as the steadfast support of our stakeholders, such as our customers, suppliers, shareholders and all other stakeholders who were part of our journey directly or indirectly. On behalf of the leadership team, I express our deepest appreciation for our stakeholders' contributions to this milestone.

As we cross a big milestone in our journey and enter a new phase of growth, the need for a distinct and future-ready brand identity becomes increasingly evident.

The identity which honours our enlarged vision to build a diversified specialty chemicals company, serving various industries such as pharmaceutical, semiconductor, battery chemicals, petroleum, agrochemicals, cosmetics and preservatives as well as reflects our unwavering commitment to serving humanity in a sustainable manner. To support this transformation, the management has decided the strategic decision to rename the company from Ami Organics Limited to Acutaas Chemicals Limited.

Looking ahead in FY '26, we anticipate continued growth in our CDMO business bolstered by increasing demand and new CDMO contracts. On the generic side, as always, we have several molecules within our core generic intermediates portfolio that are expected to benefit from

patent expiration in 2025 and 2026, driving further momentum.
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Additionally, our electrolyte additives business is scheduled to commence production from new brownfield plant at Jhagadia site in the second half of FY '26, with other business segments poised for steady advancement. Based on these factors, in FY '26, we are confident in delivering 25% revenue growth, a target we have constantly achieved for the past 15 years.

To conclude, I reaffirm our commitment to delivering sustainable growth and value for all stakeholders as we navigate the opportunities and challenges ahead.

Now I will hand over the floor to our Vice President of Strategy, Abhishek Patel, for further business updates. Over to you, Abhishek.

Abhishek Patel: Thank you, Naresh Bhai. Good afternoon, everyone. Let me provide further insight into our business performance, starting with the Pharmaceutical Intermediates. This segment delivered revenue of INR273 crores in Q4 FY '25, which is a strong growth of around 44% Y-o-Y. For the full year, Pharma Intermediates business delivered revenue of INR854 crores, which is stellar 50% growth Y-o-Y. CDMO business was a key growth driver for this business, whereas Pharma Intermediates business continues steady growth momentum.

Moving on to Specialty Chemicals business. This segment reported flattish revenue of INR36 crores during the quarter. For the full year, the revenue were INR153 crores, which is a 2% growth Y-o-Y. While the overall business looked flattish for the year, this was purely driven by the degrowth in BFC business, which was offset by growth in commodity chemical business. I would like to highlight that commodity chemical business saw strong volume growth of more than 25% d

uring FY '25.

On a capital expenditure side, capex for this financial year stood at INR195 crores, primarily allocated to Ankleshwar site as well as solar and electrolyte additive projects.

Let me give you further updates on the capex. Starting with Ankleshwar site, the capex work is almost completed. And I believe during the current quarter, we will capitalize the remaining block, i.e. block 1.

On the solar side, I'm delighted to share a successful commissioning of 10.8 megawatt solar plant. A newly commissioned solar plant is projected to deliver substantial annual cost savings by meeting most of the electricity requirement of our company's Ankleshwar and Jhagadia units in Gujarat. In addition to 10.8 megawatt power plant, we are actively developing another 5 megawatts. This project is expected to complete in near term, which will fulfil electricity need of Sachin unit, Gujarat.

The capex for the full upcoming year, include spillover capex of electrolyte additive business, along with maintenance capex and new pilot plant facility at Sachin Surat. The pilot plant will help us expedite scaling up of new products as well as manufacturing of high potent chemicals and the new products under CRAM's model.

Overall capex for the upcoming year is expected to be around INR200 crores. And we have sufficient cash on hand to fund this capex through QIP proceeds and internal accruals of FY '25.

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Before I conclude, I want to reaffirm our confidence in delivering 25% revenue growth in FY '26, a milestone we have consistently achieved for the past 15 years. On the margin front, we are committed to deliver further improvements in the margin in FY '26.

I also want to highlight a key trend driven by our business cycle. Q1 is typically our weakest quarter with revenue steadily increasing sequentially until Q4, which is always the strongest quarter. This pattern results in H1 contributing around 40% of the total top line, while H2 accounts for around 60% of the total year revenue. As a result, H1 may appear softer and this will reflect in our margin with a lower margin in Q1 and Q2 due to lower top line.

With that, I will hand over our floor to our CFO, Mr. Bhavin Shah, for his financial update. Over to you, Bhavin Bhai.

Bhavin Shah: Thank you, Abhishek Bhai. I would like to briefly highlight the key performance metrics for the quarter before we open the floor for questions. I will start with the quarterly performance.

Revenue from the operations for the quarter reached to INR308.5 crores, representing 37.1% growth and Y-o-Y 12.2% Q-o-Q. Gross profit for the quarter was INR146 crores, reflecting 62.3% increase compared to the same period last year.

The gross margin expanded by 734 basis points Y-o-Y and 108 basis points sequentially to 47.3%. Gross margin was driven by better product mix. EBITDA for the quarter was INR85

crores, which was almost double when compared to same period last year. EBITDA margins were at 27.5%, up 835 basis points Y-o-Y and 257 basis points Q-o-Q. EBITDA margin was driven by expansion in gross margin as well as operating leverage. PAT for the quarter was INR62.7 crores, which grew almost 2.5x compared to the PAT of INR25.7 crores in Q4 FY '24. PAT margin for the quarter were 20.3%, which saw an expansion of 892 basis points Y-o-Y and 380 basis points Q-o-Q. Moving to the performance for FY '25. Revenue from the operation for FY '25 crossed INR1,006.9 crore, representing a growth of 40.3% year-over-year. EBITDA for the FY '25 was INR232.1 crores, up 80.6% Y-o-Y. PAT for FY '25 was at INR160.4 crores, which was almost double when compared to the adjusted PAT for the same period last year. Moving on to balance sheet items. Net cash and cash equivalents were at INR249 crores. I'm happy to share that even with robust growth, we are able to control our working capital, which was 114 days during FY '25 as against

116 days in FY '24. This was driven by improved inventory days and stable receivable days. Better working capital management led to strong generation of cash flow from operations of INR118 crores, which was around 51% of the EBITDA for the FY '25.

With that, I request moderator to open the floor for questions. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question is from the line of Sudarshan Padmanabhan from ASK MD PMS. Please proceed.

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Sudarshan Padmanabhan: Sir, my question is, this year has been very strong on the CDMO side, the pharma side, which has driven the growth. Going forward, I mean, we are very excited about this business. One, on the CDMO side, if you can give some color on the number of products in the late stage which can hit the commercial? And outside the pharmaceutical side, on the chemicals because we have a fairly exciting opportunity on the semiconductor, how do we see the scale up there? I would like to understand the opportunities on the CDMO side, how much of molecules are there in the late stage, which can go to commercial and that will drive the growth in the next couple of years.

And outside the CDMO side, specifically on the chemical side, we have exciting opportunities on the semiconductor space with Baba Fine Chem. How do we see the scale-up happening on that side? Because that has not contributed as much as what we expect this year?

Management: On the CDMO business side first, as we discussed during last call also that we are expecting this business to go up to INR1,000 crores by FY '28. And the plan is still intact and doing well on the track. We discussed during last call also that one of the CDMO project is scheduled to supply the commercial quantity that is already on track and other products are also going on track. But it is very difficult for us to share the number of products at this stage. As and when it gets completed, we will update you.

On the Spec Chem business, as we discussed, we are in a process of completing our capex for electrolyte additive production that is going on track and expected to get completed by H1 FY '26. And H2 FY '26 onwards, we should have the production facility working and that will scale up our business or revenue streams from that business also.

On the semiconductor business side, the seeding is going on. We are targeting or we are expanding our reach into newer geography of Taiwan, Korea and Japan. This is already going well with a new customer onboarding. And it will take its own time because it's an approval -- full approval system, which goes for some time. And then we can expect revenue starting from those sunrise industry in next coming years.

Sudarshan Padmanabhan: Sure, sir. And sir, we had talked about the continuous flow chemistry gathering good momentum. If you can give some color on what is the progress there? I mean, not necessarily the number of molecules, but how much have we progressed there and how much more benefit we can derive from the yield perspective?

Management: So this question is a little technical, so I will take this. In continuous flow chemistry, in last 4 years, we have converted our several chemistry like esterification, trans-esterification, ammoxidation, oxidation, chlorination, photo-chlorination, diazotization, at a very large scale from 10 metric tons to 100 metric tons. And in photo chlorination up 1,000 metric tons capacity we already developed. Some chemistries are already commercially operated, some are under installation right now.

Sudarshan Padmanabhan: Sure, sir. And I mean, how do we see the progress? I mean a large part of what we had envisaged has already been implemented or we still have a lot more way to go here?

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Management: These are the chemistries we've already implemented.

Moderator: Thank you.

The next question is from the line of Rikin Shah from the Boring AMC. Please go ahead.

Rikin Shah: Congratulations on a very strong quarter, sir. My question is pertaining the Ankleshwar unit. So I understand Block 1 is being used for our marquee customer in CDMO. But for Block 2 and 3, have we decided how it would be used? Like would it be for a specific product? Or would it depend on the multiple products that we have?

Management: So Block 3 is dedicated for the one of the marquee customer and Block 2 and Block 1 will be used for other CDMO as well as our other product as well. So it is not dedicated for anyone. It is a fungible multipurpose facility.

Rikin Shah: Okay, sir. And last question on the Baba Fine Chem part. So I understand it's the end-use segment is sort of seeing a down cycle, and that's why there is a demand sluggishness, very, very evident. So when do you foresee, first, our Heraeus side coming back; and b, addition of more customers because we are also in the process of maybe getting more approvals done with more customers?

Management: So existing business will be revamped starting from this year. And new customers, we already added 6 to 8 customers this year with already submitted samples to the various customers in Japan, Korea and Taiwan. So that will be started ramping up also from next 1 or 2 years. It will be also giving us good revenue visibility for us in semiconductor. And new customers are already enrolling. We are also in discussion with big semicon manufacturer in this area as well.

Moderator: Thank you. The next question is from the line of Jason Soans from IDBI Capital. Please go ahead.

Jason Soans: Thank you so much for taking my question. Congrats on a splendid performance in this quarter. Now sir, just highlighting from a previous participant's question also, CDMO pipeline definitely looks strong for us in terms of Darolutamide or other sales. And I remember that you are not giving any API-specific commentary for confidentiality reason, so I understand that.

Sir, but just in a directional sense, if possible, could you give some light on how is the pipeline looking in terms of -- at least in terms of therapeutic areas, how is the pipeline looking there on that side, especially with a lot of the tariff things coming on China as well. So how is the demand looking after this whole tariff thing and this uncertainty? So just at least some light in terms of therapeutic areas, if you could give in terms of the CDMO pipeline?

Management: See, therapeutic area is very wide for us, which is very core therapeutic area for us. But CMO/CDMO, it's not related to therapeutic area. It's more related to your capability and chemistry strength and how you deliver in the molecule in time with all regulatory requirements. So that is a different against the generic segment where the therapeutic area is important to launch in a generic segment.

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So this is the two difference between the therapeutic area as well as the generic segment. In the CMO/CDMO, we have a strong pipeline, number of molecules, I can't disclose over here. But we have a lot of molecules in clinical trials coming and we are working with several innovators worldwide.

And in generic segments, as I've given my commentary that we have several molecules coming in '25-'26 patent expiry. So they are now picking up very well. And there, that will be also a growth driver for our generic business in upcoming couple of years.

Jason Soans: Sure, sir. So Block 1 and Block 2 in Ankleshwar should be seeing ramp up -- good ramp-up in FY '26 as well?

Management: Yes, yes.

Jason Soans: Yes, yes. Okay sir. And sir, I just wanted to know if you could give us the revenue contribution of Baba Fine in revenue and PAT in FY '25?

Management: So see, again, what we are looking that we are giving the revenue and contribution of pharmaceutical and specialty. So speci

ality for the FY '25 is 15% of total revenue and overall

EBITDA for Specialty for the year is 14.7%.

Jason Soans: Okay. Sir, so you're not giving the numbers for Baba Fine then?

Management: No. We are only disclosing a segment of Specialty and Pharma only.

Jason Soans: Okay. And sir, could you just repeat the margin, sir, for advanced intermediates and specialty chemicals for the whole year?

Management: So advanced intermediates for the full year is 24.5% and specialty is 14.7%. Average is 23%.

Jason Soans: Yes. So advanced is 24.5% and specialty chemicals is 14.7%, right?

Management: Yes.

Jason Soans: And sir, I can understand there is -- I mean, the semiconductor space is a difficult thing to crack. But are we still looking at FY '26 being a good year for Baba Fine Chemicals in the growth sense?

Management: Yes.

Jason Soans: Okay. Okay. And sir, coming to the electrolyte additives business, I understand you've set up a facility and that's in progress and that will come in H1 FY '26. Now if you could give us some numbers in the sense, we used to talk about \$8 per kg, 200 tons to begin with.

Something like that, some numerical sense, would that be possible at this point in time? Or you could give us some revenue indication in terms of electrolyte additives for '26, '27?

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Management: So for FY '26 is the start of production facility only, the revenue -- so the capacity is 2,000 metric ton per VC and 2,000 metric ton for FEC. For initial, it will be a very, very low utilization. And for the revenue number for you to work out, it will be more or less in the range of the current market price only. We are not expecting any premium pricing. It will be a market-driven only.

Jason Soans: So sir, what is the average realization right now in the market as you can see for VC or FEC?

Management: Answer is that we have a dedicated contract for the supply to the dedicated customer. So there, we have a formula, and that formula will be implemented for our supply. So that is related to the raw material price. So that price, I cannot disclose right now to you, but that is sufficient enough to generate good revenue as well as good margin for us in this segment.

Jason Soans: Sure, sir. And sir, just lastly, I wanted to know, you mentioned about the capex for FY '26. So you also mentioned 3 parts to it, spillover capex for Ankleshwar; solar power plant, which we are, I think, increasing or putting up a 5-megawatt more in the solar side; and a Sachin pilot plant.

So sir, could you give a breakup for this? And I just wanted to know more about the Sachin pilot plant. What do you exactly want to do there? And could you give more color on this?

Management: So we have our own pilot plant, which is going on very well, but more demand and more product are coming into the pipelines. And we'll be scaling up, we need to expand our pilot plant as well to support our large capacity, which we have built up in Ankleshwar as well.

So for that reason, we are expanding our pilot plant with the new technology, new facility. Also, we are including one more segment, which is high potent chemical segment, which was not there with us in the past. So that will allow us to have also the CMO/CDMO in anticancer segment as well. So considering all this possibility as well as supporting our expanded capacity in Ankleshwar, we are expanding our pilot plant in that sense.

Moderator: The next question is from the line of Krishanchandra Parwani from JM Financial Institutional Securities Limited.

Krishan Parwani: Congratulations on a very strong set of numbers. Just 2 questions from my side. Firstly, I think, Abhishek Bhai, you highlighted that our EBITDA margin could be soft in FY '26 likely due to seasonality. But on a full year basis, will our EBITDA margin be higher than, let's say, 23% reported in FY '25?

Management: Definitely, it is going to be. That is what, in fact,

I highlighted first. And then because of the sequential nature of the business, I drilled down to the quarter-wise thing.

Krishan Parwani: Understood. Yes. So that's clear. Secondly, is there any update that you would like to share on the new CDMO contracts? I think Naresh Bhai in the last call highlighted that the revenue contribution will start in FY '26. So how far are we there in terms of the commencement of the revenue contribution?

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Management: So we are on track. These batches were finished and now qualification stage is going on. So we are on track for the time being on that area.

Krishan Parwani: Okay. So will the contribution be more in second half? Or I mean, when are you expecting, in the first half or the second half?

Management: Second.

Moderator: Thank you. The next question is from the line of Dhara from ValueQuest. Please proceed.

Dhara Ganatra: Sir, if I may have the missed the margin that you have provided for the Pharma Intermediates and the Specialty Chemicals, if you could please repeat?

Management: So as I already mentioned that margin for Pharma for full year is 24.5% and Specialty is 14.7%.

Moderator: The next question is from the line of Siddharth Purohit from InvesQ Investment Advisors Private Limited.

Siddharth Purohit: Yes. Sir, if you can give some clarity what would be the overall market size of the anticancer intermediate that we are supplying? And is the market big enough for other players to start supplying to -- like now for the same intermediate that is used Nubeqa for basically?

Management: You are talking about whole anticancer market size?

Siddharth Purohit: No. particularly for Nubeqa that -- what is the market size that is? And there is another -- probably another Indian player who is trying to scale up in the same intermediate. So what is the addressable market for that particular intermediate? And is it big enough for multiple players to supply that intermediate. That's what I want to know.

Management: Nubeqa, we can't say on that because it's not my product. And whatever the data available on the platform, you can get from that. We are a chemical supplier to our originator API manufacturer, and that market size depends on the contract what we sign. We have full visibility of the contract.

There will be definitely any originator will not remain with one supplier. They have two suppliers. So if someone else is already doing in a second supply source, it's fine enough and both will be get based on the performance and capability of the supply chain, we will get the business on that if it will be qualified and everything is done.

Siddharth Purohit: Okay. So the market size is big enough for multiple players to be present in that segment. That's what I'm trying to understand.

Management: Sir, I can't tell these kind of things publicly as well. I'm bound with so many regulations and contracts. And I don't have any rights to speak about the end user product.

Moderator: Thank you. The next question is from the line of Jash from Dalal & Broacha. Please go ahead.

Jash: Sir, if you could mention the CDMO sales for the year.

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Management: CDMO sale, we are not disclosing any -- we are only disclosing a pharma intermediate and spec chem revenues, that we have already discussed because people would like to -- can derive so many things from that.

Moderator: The next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: Just wanted my last question to be answered only. You had mentioned a capex of INR200 crores for '26. And you mentioned spillover capex for Ankleshwar solar power plant and Sachin pilot plants, just wanted the breakup. And totally, how much has been invested for Ankleshwar?

Management: So spillover capex is around INR130 crores and remaining would be rest of the capex for maintenance as well as the pil

ot plant capex for the year. And total capex for the Ankleshwar site Unit 2 is INR310 crores.

Jason Soans: Yes. Okay, sir. So basically, INR130 crore will be done in '26. The rest INR70 crores-odd for solar power plant and the Sachin pilot plant, right? That should be a fair assumption.

Management: Spillover capex is around INR130 crores, which includes the solar as well and the pilot plant and maintenance is in rest of the INR70 crores.

Jason Soans: Rest of the INR70 crores, right. So that's what I said. So INR130 crores for Ankleshwar and INR70 crores for solar and Sachin, which adds up to INR200 crores, right?

Management: Yes.

Moderator: Thank you. The next question is from the line of Dikshant Gupta from Geojit PMS. Please go ahead.

Dikshant Gupta: I would ask what are the -- expected from the solar -- every year, how much can we save?

Management: So at peak when the whole 16-megawatt project gets completed, we are expecting benefits of around INR16 crores to INR18 crores per annum in the electricity bill.

Dikshant Gupta: Okay. And from when can we expect this?

Management: 11 megawatt is already completed and 5 megawatt is under construction, expected to get completed soon.

Dikshant Gupta: Okay. And regarding the exports business, what is the vision like will we be focusing on exports or will we be focusing on the Indian market?

Management: Both are our focus market. It's a customer and product even for particular market and particular products, we are focused. It's not that we want to focus on a certain market. We follow the diversification policy. Our revenue should not be concentrated to any of the single geography or a single part of the world and both are our focus market.

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Dikshant Gupta: Okay. And even though the growth on Pharma Intermediates has been tremendous, but the growth in the Specialty segment has been flattish. So is it because of the international geopolitical tensions? Or have there been other reasons for it?

Management: So as we mentioned, the growth in the spec chem business was compromised because of Baba Fine Chem business for semiconductor for a particular customer reason. Otherwise, other Spec Chem business has grown well more than 25% volume CAGR.

Dikshant Gupta: Okay. And my final question would be, will the debt level be likely low as it has been in the current year? Or will we be waiting for debt capex to come?

Management: No, we are not taking any debt. Today, it's zero. And going forward also in next 1 year, we are not expecting any debt to be on our balance sheet.

Moderator: The next question is from the line of Akshay from AK Investment. Please proceed.

Akshay: Sir, my first question is on the capacity utilization. So what has been the capacity utilization at the end of FY '25? And what is the peak revenue capability from all our plants?

Management: So capacity utilization unit-wise, Unit 1 has a capacity utilization of around 80%. It is almost full -- operating almost at a full capacity, and that's the reason for further growth in those products. We are expecting the production to come from Unit 2 -- Block 2 and 1.

At Unit 2, the Block 3, which is already commercialized is operating around 50% capacity utilization and the Unit 3 is operating at around 60% utilization level.

Akshay: Okay, sir. And my second question is on the front of Specialty Chemicals segment. So do we expect the better FY '26 compared to the FY '25 in Specialty Chemicals segment? And if the answer is yes, you said that we had certain customer-specific issues in specialty -- sorry, in Semiconductor segment. So has it been resolved or what -- can you give some color on that?

Management: On spec chem side, our commodity -- our products like paraben and methyl salicylate are already growing, which has grown around 25% on volume basis last year. I expect it to grow at an almost similar pace in next financial year also.

On the other spec chem business, let's say, Baba Fine Chem business, is again slowly, slowly picking up and we are targeting it to scale up in next financial year.

So we have some new customers already coming in and slowly demand is picking up. And the third stream is electrolyte additive business, which is expected to start to produce revenue in H2 FY '26, so that's the reason we are expecting even Spec Chem business also to grow in FY '26.

Akshay: Okay, sir. And lastly, on the FY '28 guidance of CDMO revenue of INR1,000 crores. So it is the CDMO and the advanced intermediate would be different. Like what might be the share of Specialty Chemicals in FY '28 from our guided -- as we guided INR1,000 crores from CDMO?

Management: Sorry, I didn't get you. We are targeting around INR1,000 crores business for CDMO business by FY '28. And overall, we have already guided that we are growing at a 25% CAGR. So that is still intact without any deviation.

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Akshay Kaila: Okay. Just wanted to understand that what is the share of CDMO in Advanced Intermediate space.

Management: No, that we are not disclosing that.

Moderator: The next question is from the line of Abhigyan Srivastav from Marcellus Investment Manager.

Abhigyan Srivastav: Congratulations on the great set of numbers. I have 2 questions. My first question is in the 25% revenue growth that you are projecting for FY '26, what is the price assumption that you're taking? Are you taking prevailing prices? Or are you considering an improvement in the overall prices?

Management: So we have a large business chunk coming from our advanced Pharma Intermediate business, wherein our CDMO business already assigned and confirmed business with pricing. And as you know that on a regulatory market, most of our business -- almost all of our business is backed by long-term supply contract only. So that gives us a fair degree of visibility in terms of pricing also. On the domestic side, it is based on the prevailing market condition.

Abhigyan Srivastav: Got it. The second question is, currently, what is the price trend that you are seeing in your generic portfolio? Is it stable? Or is it going down?

Management: It is growing actually. The generic business is also growing at a good pace, and we are expecting further growth in FY '26 because of some of the products getting off patent, and we already started getting good traction in the market.

Management: Prices are stable and raw material price is also stable.

Moderator: The next question is from the line of Dhara from ValueQuest.

Dhara: Sir, how much of the INR170 crore capex that you're doing for the additives project, how much has been incurred so far?

Management: Sorry, can you repeat the question once again?

Dhara: The INR170 crores capex that has been assigned for the additives project, how much of that would be incurred so far?

Management: Yes, around INR35 crores.

Dhara: And if you can provide the split of the INR200 crores capex for FY '26?

Management: So it is already, I think INR130 crores is for electrolytes around maintenance capex and pilot plant capex, both together is INR70 crores.

Dhara Ganatra: Okay. So additives will be INR130 crores in '26.

Management: It's a spillover of INR170 crores.

Moderator: The next question is from the line of Ajay Surya from Niveshaay.

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Ajay Surya: Congratulations on the performance. Sir, my question is more on the macro side. Sir, if we look currently at the ongoing tariff situation and on the pharma front, U.S.A. being aggressive to manufacture themselves though we are part of the supply chain, supplying API intermediates. And given our strong guidance, what risk do we foresee. And if you can highlight them across the segments of CDMO because even our -- the API intermediates which we sell is being consumed though by the European customer,

but the end market for them again is U.S.A., a significant market from them.

So what risk do we foresee? And if you can highlight them across segments of CDMO, the API intermediate and the Specialty Chemicals business?

Management: I will take the first part. The second part will be taken by Abhishek. As I also brief you during my commentary that yet there is not any tariff in intermediate pharmaceutical at U.S. side. May be something will come, who will be the better position in that will be helping to grow the business in that.

Ami Organics luckily don't have any direct sales or negligible sales in the U.S. We have -- everything is either in Europe or in Asia or in India. And we are also in the supply chain at a bottom level. So impact will also that not great come to us as well. If there is a percolation, that will be supported with the operational efficiency as well as raw materials also have some advantage during that.

So we have different formulas calculated at our end. If it will become, then we will definitely come back to you if there is significant changes in our growth or revenue in the future when -- if it is a tariff implemented at U.S.

And giving phone to Abhishek for the answer.

Management: And on the second part of your question related to CDMO business, which is a large contributor for us and goes to U.S. market. So here, we are supplying it to the originator and it's an in-patent product business. So for tariff front, it is more immune to any other business on the tariff side.

Ajay Surya: Okay, sir. Got it. And sir, another question because we have seen in the CDMO business of other companies as well that when there is such ramp-up, the innovator generally builds up a lot of prior inventory. Sir, if you can highlight on this front, like whether our shipment or any risk of inventory buildup happening by the innovator going forward, which can again lead to a stable or a lesser growth for us in the future?

Management: I don't know. We don't disclose all these things.

Ajay Surya: Okay. And one last question on the -- can you please provide the capacity utilization for our Specialty Chemical business?

Management: It is 60%, as we mentioned.

Moderator: Thank you. The next question is from the line of Maitri Shah from Sapphire Capital.

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Maitri Shah: Congratulations on a great result. I just have one question. So on the Specialty Chemicals side, currently, our margins are around 14.7%, and we see a ramping up from the semiconductor business and also from the second half, we will see a ramp-up from the electrolyte business. So do we see the margins scaling up from here or they will remain in this range of 14% to 15%?

Management: Margin for Spec Chem business will be around in this range only because it's an initial year. And slowly, it can ramp up when we scale up the operations.

Maitri Shah: When do you expect like a margin effect maybe 16% to 17% in the Spec Chem business, maybe 2 years from now?

Management: So it can happen by, let's say, Q4 or next -- early next financial year.

Maitri Shah: So we do expect better margins from the electrolyte and the semiconductor business?

Management: Yes.

Moderator: The next question is from the line of Akshay from AK Investment.

Akshay: Sir, my question has been answered.

Moderator: The next question is from the line of Sujeet Shah from SK Enterprise.

Sujeet Shah: Congratulations for a good set of numbers. And my question is, what are your revenue and margin target for next 2 to 3 years?

Management: As we have already guided, we are targeting revenue growth of around 25% and margin should improve from here onwards only.

Moderator: Thank you. The next question is from the line of Sai Kumar from individual investment. Please proceed

Sai Kumar: Congratulations on a great set of numbers. So my question is on the electrolyte salts. So in the past, you said like you were dis

cussing that there were discussions going on for an investment of INR300 crores. So -- I mean in the past, you had paused it. So any changes or something, any development going on that side?

Management: Status remained the same only as on date also.

Management: So JV, what we had formed is still on the same status quo because still right now, there is no movement in that.

Sai Kumar: Okay. Got it, sir. And regarding the electrolyte additives, so you said like you have some 2,000 metric ton per annum, which is going to get commercialized in the H1. So up to what scale you are going to -- like what is your growth guidance on that? And what is the scale you're going to take it up to like 4,000 metric ton per annum. Or what are your goals on that goals on that, electrolyte additives?

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Management: So, production will start from H2 FY '26, and slowly, slowly, it will ramp up. So in 3 years' time, it should reach at the optimum capacity utilization.

Sai Kumar: Okay. So -- and recently, got Japan PMDA approval, right? So is there anything you want to talk -- I mean, like give some guidance on that, like any molecules getting from Japan side, you want to guide us something on that front.

Management: Yes. So PMDA is a good achievement for us because now we have 2 manufacturing sites approved by PMDA. So these will help us to promote our intermediates to different customers in Japan. We're already having a business in Japan. And with this accreditation, it will be more preferred vendor for Japanese buyer. So it will be definitely help us to grow our business in Japan.

Sai Kumar: Okay. In the near future, right?

Management: Yes, yes, definitely.

Moderator: As there are no further questions, I would now like to hand the conference over to management for closing comments.

Management: Thank you to the JM Financial team for hosting our conference call. We appreciate everyone's questions and hope we have addressed most of your queries. If we missed any of your questions, please reach out to our Investor Relations team, and we will get back to you promptly. Once again, thank you very much, and have a good day and good weekend.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This document has been edited for readability purposes.

Call: Aug 2025

= ACUTAAS CHEMICALS LIMITED

A A' U T A A S (Formerly known as Ami Organics Limited)

A CIN No. : L24100GJ2007PLC051093

You and us: chemistry's apex

August 5, 2025

To, To,

The Corporate Relations Department, The Listing Department
BSE LIMITED, National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,
Dalal Street, Fort G-Block, Bandra Kurla Complex,
Mumbai- 400 001 Mumbai -400051

Scrip Code: 543349 NSE Symbol: ACUTAAS

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q1 FY26 financial results held on July 30, 2025

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on July 30, 2025 post announcement of financial results for the quarter ended on June 30, 2025.

The same will also be available at the website of Company at www.acutaas.com.

This is for your information and records.

Yours faithfully,

For, ACUTAAS CHEMICALS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

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"Acutaas Chemicals Limited

Q1 FY '26 Earnings Conference Call"

July 30, 2025

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR – ACUTAAS CHEMICALS LIMITED

MR. ABHISHEK PATEL – VICE PRESIDENT , STRATEGY
– ACUTAAS CHEMICALS LIMITED

MR. BHAVIN SHAH – CHIEF FINANCIAL OFFICER –
ACUTAAS CHEMICALS LIMITED

MODERATOR MR. KRISHAN PARWANI – JM FINANCIAL
INSTITUTIONAL SECURITIES LIMITED

Acutaas Chemicals Limited

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Moderator: Ladies and gentlemen, good day, and welcome to the Acutaas Chemicals Limited Q1 FY '26 Earnings Conference Call, hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.

I now hand the conference over to Krishan Parwani from JM Financial Institutional Securities Limited. Thank you, and over to you.

Krishan Parwani: Good evening, everyone, and thank you for joining us on Acutaas Chemicals Q1 FY '26 Earnings Conference Call. Today, we have with us Acutaas Chemicals management represented by Mr. Naresh Patel, Chairman and Managing Director; Mr. Abhishek Patel, Vice President, Strategy;

and Mr. Bhavin Shah, Chief Financial Officer.

I would now like to invite Mr. Bhavin Shah to initiate the proceedings. Over to you, sir. Thank you.

Bhavin Shah: Thank you, Krishan. Good evening, everyone. We are pleased to welcome you all to our earnings conference call to discuss Q1 FY '26 financials. Please note that a copy of our disclosure is available on the Investors section of our website as well as on the stock exchanges.

Please do note that anything said on this call, which reflects our outlook towards the future, or which could be construed as forward-looking statement, must be reviewed in conjunction with the risks that the company faces. The conference call is being recorded and the transcript, along with the audio of the same, will be made available on the website of the company and exchanges.

Please also note that the audio of the conference call is the copyright material of Acutaas Chemicals and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

Now I would like to hand over the floor to our CMD, Mr. Naresh Patel, for his opening statement. Over to you, sir.

Naresh Patel: Thank you, Bhavin. Good evening, everyone. I hope you are all doing well. Let me begin by briefly touching on the key industries we operate in, and then I shall move to business updates.

Starting with pharmaceutical, raw material prices have remained stable and demand for our products is steadily improving. The CDMO segment continues to attract strong interest.

Battery chemicals – this segment is seeing significant momentum. The U.S. has introduced the One Big Beautiful Bill Act replacing the IRA. While this Act removes subsidies on EVs, which could impact consumer demand, it retains and, in some areas, strengthens the manufacturing-related incentives.

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The Act restricts participation from a set of prohibited foreign entities and accelerates the sunset of manufacturing credits. This is driving urgency among manufacturers. And as a result, we are seeing a noticeable uptick in customer interest for our battery chemicals offering.

Moving on to the semiconductor industry. We are seeing a similar dynamics. Customer wants to diversify their supply chain and are looking for partners closer to their manufacturing basis. This brings me to a key development. We have entered into a joint venture in South Korea named Indichem, where we are investing approximately KRW30 billion. We will hold a 75% stake, while our Korean partner brings in technology and market access in exchange for a 25% stake.

The facility will manufacture specialty chemicals used in chip production. We have strong visibility on both the product mix and customer base for this venture. While I can't share customer names but would like to highlight that we already have good visibility on who our custom

ers will be and what kind of business we are expecting from this venture once the plant is up and running.

Now coming to our Q1 performance. Our revenue for Q1 FY '26 grew by 17.3% year-on-year to INR2,072 million. The growth came primarily from our advanced pharmaceutical intermediates business, while the specialty chemicals business was steady. Abhishek will walk you through the numbers in more detail shortly.

Coming to the business updates, we successfully completed a virtual audit of our Unit II at Ankleshwar by Japan's PMDA. And I'm happy to share that it has been declared GMP compliant. That means both of our pharma intermediates facility are now PMDA GMP certified, something we are proud of as it reflects our strong focus on compliance and quality.

We also continue to strengthen our team, especially at the middle and senior levels, bringing in people with deep expertise to lead specific projects or business areas. This helps us operate more efficiently and allow the core leadership team to focus on long-term strategy.

To conclude, we have good visibility in our pharma intermediates business as well as for the specialty chemicals business. Therefore, I'm confident we shall deliver 25% growth with stronger margin this year.

With that, I shall now hand over to our Vice President, Strategy, Abhishek Patel, who will take you through the detailed business update. Over to you, Abhishek.

Abhishek Patel: Thank you, Naresh bhai. Good evening, everyone. Let me provide further insight into our business performances. Starting with pharmaceutical intermediates. This segment delivered revenue of INR165.8 crores in Q1 FY '26, which is strong growth of 23.3% Y-o-Y, which was driven by core advanced pharmaceutical intermediates business as well as the CDMO segment. Moving on specialty chemicals business. This business segment reported flattish revenue of INR41.4 crores during the quarter. While the commodity chemicals business saw healthy growth

driven by volumes and steady pricing, this was offset by softer performance of Baba Fine Chemicals business.

On the capital expenditure side, capex for the quarter stood at INR69 crores, primarily allocated to Jhagadia site for electrolyte additive project.

Let me give some further updates on the capex. Ankleshwar capex stands completed. Last pending block has been commercialized in the current quarter. Electrolyte additive capex at our site in Jhagadia is on track and expected to be completed by Q3 FY '26.

Coming to solar, in addition to 10.8-megawatt plant, which was commissioned last quarter, I am delighted to share the successful commissioning of remaining 5-megawatt solar plant. Now we have in total 15.8-megawatt power plant, which will offset majority of our electricity cost at our Sachin, Ankleshwar and Jhagadia unit.

Full benefit of this solar power plant will be visible from Q3 FY '26 onwards. Capex for pilot plant has already started at our Sachin unit. We hope to complete the same within a year time. Overall, the capex for the current year is expected to be around INR250 crores, and we have sufficient cash on hand to fund this capex.

On the business update, starting with Pharmaceutical Intermediates segment, our remaining CDMO projects are progressing as per plan and are expected to begin contribution to the top line from Q4 FY '26 onwards. Moving on to semiconductor business.

As Naresh Bhai mentioned, we are investing around KRW 30 billion in Korea in a joint venture named Indichem, wherein we will be holding 75% stake. Remaining 25% stake is given to our Korean partner for bringing product, technology and market access. To reiterate Naresh bhai's point, we have strong visibility on both the target customers and the product pipeline that we aim to manufacture under this venture.

The capital expenditure plan and location of the plant have already

been finalized, and we're

now moving swiftly towards execution. We expect capex to be completed in second half of the calendar year 2026 with commercial production beginning by late 2026 or early 2027. On the customer front, we continue to build strong relationship in both Korea and Japan. While we have already, we are already well advanced in customer engagement in Korea, I am pleased to share that in Japan, we are in final stage of discussion with a large multinational customer.

In our battery chemicals business, I'm happy to report that we have introduced a couple of new products with both existing and the new customers. Due to confidentiality agreements, we are unable to disclose the further details at this point of time.

However, we expect these developments to translate into commercial contracts starting FY '27.

Before I conclude, I want to reaffirm our confidence in delivering 25% revenue growth in FY '26. And on the margin front, we are again committed to drive the further improvements.

With that, I will hand over floor to our CFO, Mr. Bhavin Shah, for the financial update. Over to you, Bhavin bhai.

Bhavin Shah: Thank you, Abhishek bhai. I would like to briefly highlight the key performance metrics for the quarter before we open the floor for questions. Before I start with the quarterly numbers, I would like to highlight that, as mentioned by Naresh Bhai and Abhishek Bhai in previous earnings calls, our Q1 is always a softer quarter due to the nature of business, and this has been the case for the last 15 years. And therefore, the number might look suppressed on a sequential basis given our Q4 is always the strongest quarter.

Having said this, let me start with the quarterly performance. Revenue from operations for the quarter reached INR207 crores, representing 17.3% growth Y-o-Y. Gross profit for the quarter was INR110.3 crores, reflecting 48.4% increase compared to the same period last year. The gross margin expanded by 1,117 basis points Y-o-Y to 53.2%. Gross margin was driven by cost optimization initiatives as well as improved product mix.

EBITDA for the quarter was INR50.9 crores, which was up 72.4% Y-o-Y. EBITDA margins were at 24.6%, up 785 basis points Y-o-Y. EBITDA margin was driven by expansion in gross margin. PAT for the quarter was INR44 crores, which grew 3x compared to the PAT of INR14.7

crores in Q1 FY '25. PAT growth was driven by higher EBITDA margin and strong other income driven by foreign currency gains. PAT margin for the quarter was 21.2%, which show an expansion of 1,292 basis points Y-o-Y.

Moving on to the balance sheet item. Net cash and cash equivalents were at INR270 crores. Our working capital for the quarter was around 128 days, which was increased by 14 days compared to Q4FY '25. This is mainly on account of the lower payable days due to the advanced payment for better pricing of raw materials, while for the full year, we believe our working capital would be around 110 days.

Although there was an increase in working capital, I'm happy to share that we have generated a strong cash flow of INR94.6 crores from the operation during the quarter.

With that, I request moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. The first question is from the line of from Akhand from JM Mutual Fund. Please go ahead.

Akhand: I just wanted to understand what we are making in the battery chemicals side and how scalable and how big can this business be over the next 3 to 5 years? And what is the profitability of these products in the first place? Because we are a little confused. We say that we hear that profits are not very forthcoming in this business.

Abhishek Patel: In electrolyte segment, we have proposed to manufacture electrolyte additives, which is an ingredient for electrolyte solution, which goes into the battery. For this, we

have already done

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the market development. We have already signed contract in place with the customer. And then we are at the point of completing our capex with respect to this business.

So once this capex has completed, the commercial full-fledged supply will start. And margin will again be a function of the scalability of that product in that plant. But we are hopeful that this business will give us a good margin as compared to other spec chem business of which we are operating into as of now.

Akhand: So, what is the total investment in this business? And what is the kind of likely turnover we can make from this business?

Abhishek Patel: In this business, I will not give you the exact number for the turnover. But what we can say is we are expecting 1.5x the asset turn in this business. We have announced the capital expenditure of INR177 crores for this business, which is for 2,000 metric ton of VC and 2,000 metric ton of FEC.

Akhand: Okay. And the battery projects in India seem to be delayed if we look at Exide, Amara, Maruti and Tata Motors, almost everybody's battery projects are delayed. So, do you think that we can see any benefit of this investment in FY '27? Or will it be later?

Abhishek Patel: Good question. See, let me just bring to you notice that, as I mentioned, we have already signed agreement in place for this business. And all our capacity, what is I just mentioned, this is for our export business. We are as of now not dependent for this capacity on the India.

In future, whenever the India business gets going, we will supply with the additional capacity in place. So, we are not dependent on the domestic market. As and when the production plant gets completed, sorry, capex gets completed, we will start shipping our materials. And it will give us the revenue by end of this financial year, maybe Q4 FY '26.

Akhand: And we are cost efficient compared to Chinese?

Abhishek Patel: Sir, when we get into any business, we make sure that we should be competitive then only we launch any of our product.

Moderator: The next question is from the line of Nilesh Ghuge from HDFC Securities.

Nilesh Ghuge: Sir, my question is related to Advanced Pharmaceutical Intermediates. See, we saw a very good growth of more than 24%-23% Y-o-Y. But is it because largely because of CDMO and that too because of this Fermion contract? Is my understanding correct?

Abhishek Patel: In fact, I mentioned during my commentary also that this business growth is largely driven by our core advanced intermediate business. Of course, the CDMO business is important, but the large portion of this growth comes from the ex CDMO pharma intermediate business.

Unfortunately, I will not be able to share the exact figures on this but let me again restate that it's a large portion of growth is driven by ex CDMO business growth.

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Nilesh Ghuge: Great. And is it volume driven or there is a change, I'm comparing Y-o-Y. So, is it because of this volume has gone up? Or is it price-driven growth?

Abhishek Patel: Growth volumes are also there, but the realization has improved as compared to Q1 FY '25 because of favorable product mix.

Nilesh Ghuge: Okay. Okay. And there is, I mean, if I look at the gross profit level, there is a significant jump in the gross profit level Q-on-Q and Y-o-Y also. But at the EBITDA level, sequentially, there is a dip. So, what cost has gone up? I mean, is it because of this operating cost or is it because of the product mix that your EBITDA margin is below, if I mean lower than the Q4, but at the gross profit, it's much, much better if I compare sequentially?

Bhavin Shah: So, Nilesh, you have seen a better gross margin. And when we scale up, see, as I mentioned earlier, Q1 is always the lowest quarter. So, as we grow Q2, Q3, Q4 and our sal

es number will

also grow there. So, margin will improve from here. So, this is where we are.

Abhishek Patel: So, in nutshell, the gross margin improvement is there because of the, as I just mentioned, favorable product mix as well as the cost improvement measure which we saw in some of our largest products. And of course, as Bhavin bhai mentioned, the expense, the EBITDA margin level, the expense base expense level looks high as a percentage of sales because of the lower revenue base as compared to Q4 FY '25.

Moderator: The next question is from the line of Abhijit from KIE.

Abhijit: Just on the battery business rather, battery chemicals business, you mentioned some new developments in terms of possibility of entering into a new contract sometime towards the end of this year also. So just to understand, should we expect some further capex announcements in that business later on in this year? And are these new products also electrolytes, or are they in another part of the battery value chain?

Abhishek Patel: Yes. As I mentioned, we have a couple of new products added in this segment. And from that segment also, the customer developments are already being done and now we are at a good stage to get the revenue, but not in this financial year, it will start from next, early next financial year.

And of course, there will be some additional capex would be required in terms of additional infrastructure utility as well as some additional capex, which will be around INR40 crores to INR50 crores in total.

Abhijit: Okay. And are these electrolytes as well or there are some other categories of products?

Abhishek Patel: No, Electrolyte additive specifically.

Abhijit: You're right. Okay. Understood. Then just on Baba Fine Chemicals, as you mentioned in your opening remarks, the numbers have been a little bit soft. So, if you could please just help us understand what exactly is happening there? And how you see that semiconductor chemicals business overall trending over the next 2, 3 years?

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Abhishek Patel: On Baba Fine Chemical semiconductor business, the demand has been soft from our end customer side, which was kind of in last quarter also. But as I mentioned earlier also that the purpose of this acquisition was to get into this semiconductor business, and that's the reason we are aggressively going into other market of Korea, Japan, Taiwan and where we see a good traction coming in.

So, we are very hopeful that post acquisition of this business and the kind of market traction we are seeing in this market. And as I mentioned, we are very near to a Japanese customer in this segment. So hopefully, this business will again pick up and get us a better revenue in future along with other customers from Korea and Taiwan.

Abhijit: Right. Just 2 last quick ones from me. I'll combine both of them. One is the gross margin has gone to 53% this quarter. And from your comments, it seems like these cost improvements that we have made are sustainable in nature. So, should we kind of expect gross margins to stay north of 50% in coming periods?

That was question number one. And number 2, just on Darolutamide, I believe there has been a label expansion in the recent past. So, if you could please just share your thoughts on what this might mean in terms of implications for the growth, for our growth in that business? Also, anything you would be able to add on your new pharma CDMO projects that you're expecting by year-end?

Abhishek Patel: For gross margin improvement, as I mentioned, it is driven by some of the cost measurement improvement. So, this, it's a normal day-to-day practice for us to improve the cost for each and every product. So, this is what we have done for some of the, our largest product in last year,

and that is visible in the numbers also in Q1 FY '26. So those are kind of sustainable and favorable product mix. S

o as and when this product mix becomes favorable, it adds to the gross margin. That depends on the product mix.

On the label expansion of this Darolutamide, so the label expansion has been going on. It has been approved in some of the geography earlier. Now it has been approved in the geography of Europe, U.S. and now in Japan also.

So, this will definitely add to the demand of this product for our customer. For us, whatever guidance we are giving, that is based on the customers' demand and that demand and the projection for next 5 years remains intact, at least from our side and from customer side. Any additional demand that I think customer will communicate to us, and we are hopeful to get a significant chunk from that also.

Moderator: The next question is from the line of Krishan Parwani from JM Financial.

Krishan Parwani: Congrats on strong set of numbers. A couple of questions from my side. First, on the semiconductor JV, I wanted to understand when will you start the sampling from the pilot plant?

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Abhishek Patel: So related to Korea JV, as I just mentioned, we have finalized the capex. The location has been identified and finalized. So now it's a time for us to quickly move on to the execution of the capex. So that is expected to get completed by second half of calendar year 2026. And then by end of '26 or early 2027, we should be able to give the production.

Krishan Parwani: Yes. So, understood. I was more referring to, have you kind of made these products in Baba Fine Chem or have you worked on these products in your R&D? Or how is it? So that's probably my question was from that.

Abhishek Patel: No, no, no. These are completely new products. These are advanced products than what we have as of now. Further, more detail, I will not be able to share it as of now, but the technology for these products are being bring in by the, our Korean partner. And there, some of the R&D work will also be done at Korean site only.

Naresh Patel: I would just like to add in Abhishek's comment is that whatever the Baba Fine Chem products which we are doing and selling to, we are not touching that at all for forward integration. Whatever we are doing is apart from that.

Krishan Parwani: Okay. That's great to hear, sir. Secondly, just wanted to understand when will revenue contribution start from electrolyte additives and new CDMO project? I think you mentioned 4Q for the new CDMO, and what about the electrolyte additives?

Abhishek Patel: That is also we are expecting in Q4 only.

Krishan Parwani: Okay. And thirdly on how are things progressing on the ex CDMO products such as Apixaban, Rivaroxaban and probably Trazadone as well?

Abhishek Patel: So those products are doing good. As during the first question, as mentioned, the growth in this pharma intermediate business is being driven by ex CDMO products and that shows up in our numbers as well. So, and as I mentioned, the gross margin is driven by the favorable mix of the products. So these are the new products which are contributing in a good number along with the existing products who are doing good with the improved margin and this is how the overall pharma ex CDMO business is doing well for us.

Krishan Parwani: Okay. That's great, sir. And just the last bit, given we are doing a lot of capex. So just wanted to know what is the split of the capex in FY '26 and FY '27, just from the, how much will you spend in '26 and '27?

Abhishek Patel: So, capex number, those are similar to what we discussed earlier also. The electrolyte additives capex is INR180 crores; pilot plant is INR30 crores and maintenance capex is INR40 crores. And this includes some of the capex or infrastructure requirement in electrolyte additives segment for the new product also.

Moderator: The next question is from the line of Dhara from Valuequest.

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Dhara: All my questions are answered, I just have one last question on the margins, the segmental

margins for Pharma Intermediate and Specialty Chemicals?

Bhavin Shah: So segmental margin for Pharma is around 28% and specialty is around 11%.

Moderator: The next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: Congrats on a very good set of numbers. Sir, just wanted to understand one thing. I mean, one is that you mentioned that there is a higher other income. And you also mentioned that there is a higher foreign exchange gain for you. So, is it possible to quantify that what is the gain number in this quarter?

Bhavin Shah: So, in this quarter, we have other income of INR16 crores. So out of that, foreign exchange gain is around INR12.5 crores and interest income is INR3.5 crores.

Jason Soans: And sir, just wanted to know, I mean, of course, the electrolyte additive capacity capex will actually get commissioned, let's say, by the end of this year, as you mentioned. So, we have 2,000 tons of VEC and FEC both. Just wanted to know -- you did mention that you are looking at an asset turn of 1.5x on the capex. Just wanted to know for '27, do we have a certain volume target in mind for this capex out of 2,000, 2,000 how much are we going to looking at a sales target or something like that?

Abhishek Patel: I will not put any specific number to it. But just let me give you the update that we now have a full visibility on the capex we have planned for 2,000 metric ton of VC and 2,000 metric ton of FEC so it will ramp up very fast in FY '27. And in fact, now the next step will be for us to set up or find a new capacity to cater the demand traction what we see in the market.

Jason Soans: Okay. Sure, sure. And sir, also wanted to know, I mean, you did speak about, of course, there's a good traction in the ex CDMO business. How is the pipeline looking, sir, going ahead for the core intermediates business also and any long-term contracts? How is the Fermion order scaling up? What, how is the visibility looking at going ahead for the API business?

Abhishek Patel: For the ex CDMO business we have good visibility in terms of our product pipeline as we have very strong product pipeline, R&D pipeline up to patent expiry of API beyond 2040. So, for which we have already developed the intermediate, we have already sampled it. We already submitted to customer on a commercial scale. So that gives us the visibility and the confidence that our ex CDMO intermediate business will keep growing.

And apart from that, we have a very good pipeline with the originator business also. This is over the year we have structured our business and going well over more than 15 years. On the Fermion side, this is largely Fermion business is a large portion comes from the CDMO space.

And there, we have for that particular contract, we have long-term contract already been signed for the product which has got patent expiry beyond 2033 and most of the geography 2035, long-

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term supply contract is already in place. So that also gives us a good visibility. And apart from that, we have other CDMO business also coming in this financial year and next year as well.

Jason Soans: Okay, sir. And just one last one from my side. Sir, I just wanted to know, of course, you are investing quite considerably in the semiconductors business. Now of course, this is towards building the semiconductor materials, which goes to the likes of TSMC, the big Samsung and of course, ultimately.

But I just wanted to know like from a micro perspective, what, of course, this must be very, very critical and a very, very niche segment, a high value-add segment, probably there will be a lot of competition also. So just wanted to, if you can give us some color on how you are gearing up for this in terms of s

emiconductor, which can be a huge market for you. But just probably you are strengthening some side of R&D. Just could you give us some color on how you are gearing up for this?

Abhishek Patel: Good question. So, first thing, our existing business, it is already a proven business, proven technology is there, and that is already going into this market. So, we have that technology and proven track record already available in this segment. Now it was a matter for us to expand that existing product to a newer geography of Korea, Taiwan, Japan market. So, this is how we are now progressing or expanding our reach into other geographies.

Now apart from, so apart from now, we are venturing into the next level of technology, and which is near to the customers based in Korea and Taiwan. So that we are investing through our technology partner based in Korea. And that has got a good team of people who can help us on the commercialization of those technology in those newer products.

Naresh Patel: So, I'm just adding that, Abhishek, we are incrementally apart from various product and which is already developed by Baba that we are expanding into this area. Okay. And this will start early 2027, that is the estimate right now, production and everything, as you mentioned earlier.

Moderator: The next question is from the line of Yash Shah from Aditya Birla Life Insurance.

Yash Shah: Congrats on a great set of numbers in the first quarter. I have more of a clarification question. So, you've mentioned that you've done around capex of around INR180 crores for the battery chemical electrolyte additives business. We are going to be doing incremental of INR50 crores, as you mentioned earlier. So is it going to be for the same VC and FEC electrolyte or as you mentioned that it is for electrolyte additives only. So, what do we require this incremental capex for?

Abhishek Patel: All products are in the category of electrolyte additives, including VC and FEC. The additional capex, as I mentioned, that is because of the new introduction of new product for which the infrastructure building is being done, is going to be done in this financial year. And from next financial onwards, we are expecting the new products to start producing and giving the revenue.

Yash Shah: So this will be different from VC and FEC?

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Abhishek Patel: Yes.

Yash Shah: Okay. And can you give any kind of an indication, sir, of how much capacity for the new product are we planning.

Abhishek Patel: We have not disclosed.

Moderator: The next question is from the line of Siddharth Purohit from InvesQ Investment Advisors Private Limited.

Siddharth Purohit: Sir, as you rightly said in the opening remarks that a lot of your growth during this quarter has come from the non-CDMO pharma intermediate segment. So, when the CDMO thing scales up in a couple of years down the line, is it fair to assume that we will further have a much better margin profile in those set of products? I'm not asking for guidance, but a broad understanding.

Abhishek Patel: Of course, the CDMO business has the better margin as compared to the ex CDMO pharma intermediate business.

Siddharth Purohit: Okay. And within the CDMO, what will be the key 3 therapies that, top 3 therapies that we'll be targeting on an incremental basis?

Abhishek Patel: Sorry, I missed your voice. Come again?

Siddharth Purohit: What will be the key products in the CDMO that we will be targeting?

Abhishek Patel: So actually, we have not, we have stopped giving any product level guidance on names. But as people already know about one of the CDMO project, which was publicly announced a year back. But then we have 3 more projects which are expected to get commercialized by end of this financial year and one of that, one of those new projects for one product, we have already supplied the validation quantity in Q4 FY '25. So

now after regulatory approvals and all those things in place, it will start giving us the revenue by H2 FY '26. So those projects are on track as per our projection or as per our budget.

Siddharth Purohit: Okay. So, therapy-wise, oncology will continue to be the dominant one, both CDMO and non-CDMO right?

Abhishek Patel: CDMO – oncology is the dominating therapy. And non-CDMO business, we have 17 therapeutic segment, which includes anticoagulant, antipsychotic, anti-Parkinson, antidiabetic, cardiovascular as well.

Moderator: The next question is from the line of Pratik Oza from Systematix.

Pratik Oza: Just one question from my side. Is there any specific intermediate which we manufacture is used in the production of GLP-1 receptor like semaglutide or liraglutide?

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Abhishek Patel: No. We do not have any intermediate for GLP-1 product. We do some coupling agents here; for GLP.

Moderator: The next question is from the line of Prashant Nair from AMBIT Capital.

Prashant Nair: Just have one question on your margins. So Naresh Bhai, usually, your first quarter margins are the lowest and then it keeps getting progressively better 2Q, 3Q and 4Q. So, should we expect a similar trend this year as well, especially on the pharma side? Or would this have changed now that your CDMO contract has started? So, would it be more evenly spread? How do we think about margins now?

Abhishek Patel: On the revenue side, you rightly said revenue increases sequentially quarter-on-quarter from Q1

to Q4. Margin side, it's a function of product mix always. And as I mentioned during my commentary as well, we are committed to deliver better margin than FY '25 margins that again, we are sure to deliver in this financial year as well.

Bhavin Shah: So with a better operating leverage, there is a scope for improving the margin of 50 to 100 basis points as compared to full year last year.

Prashant Nair: Okay. Understood. And just one question on the Specialty Chemicals side. So how close are we or how much more time in terms of maybe quarters or say years will take to get to a steady-state margin profile there where say, peak margins in that business?

Abhishek Patel: See, on a steady-state side, it's always a function of market dynamics. On steady-state side, I'm seeing the gross margin in the range of 48% to 50% around.

Prashant Nair: So this is specialty chemicals that you're talking about Gross margin?

Abhishek Patel: No, Overall.

Prashant Nair: Okay. So, my question was on the Specialty Chemicals side. So where do you expect this business margins to stabilize? And how long could it take to get there?

Abhishek Patel: Specialty business as of now, it is double digit at EBITDA level. And for that business, we are expecting in same kind of territory only. Once the electrolyte additive business picks up, it will have a better margin profile than the overall spec chem business.

Prashant Nair: Okay. So basically, starting next year, you should see some pickup happening?

Abhishek Patel: Yes 2027 is the year.

Moderator: The next question is from the line of Kalpit Narvekar from EFG.

Kalpit Narvekar: Congratulations on a good set of numbers. So, I have 2 questions. So, the first one is, I mean, there's a lot of news, flow and noise around tariff and kind of dynamic changes around the tariff.

So is there any impact that you see of that on the export piece of your business and as well as on

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the customers, particularly on the CDMO or the API side? And my second question maybe that's my first question. I'll go for the second one later.

Abhishek Patel: For pharma side, we have not seeing any impact as of now on either on the demand side or pricing side because of particularly the tariff situation.

Kalpit Narvekar: Understood. And neither on the spec chem side, is

it?

Abhishek Patel: No, on the spec chem side, as Naresh Bhai mentioned on battery additive side, again, it's a regulatory environment which may trigger a further rush for the, in the large industry player to scale up the business in the supply line apart from the Chinese supply line.

Kalpit Narvekar: Understood. Sir, my second question is on the electrolyte business, right, where you are doing a lot of capex and you mentioned that customer base is from Japan, Korea and Taiwan, et cetera.

So how are you winning this business? I mean currently, those chemicals, et cetera, are supplied by some local suppliers over there or by Chinese suppliers? And what is your kind of competitive advantage versus these kind of current suppliers there, right?

Abhishek Patel: On electrolyte additive side, the customer is Japan and Taiwan are customers for our semiconductor business, not for electrolyte additive segment. For this segment, largely at present the supplies are from China only.

Kalpit Narvekar: Understood. And you're winning this business because you are more cost competitive from them versus them? Or is there some kind of move from China Plus One etcetera, that's helping the business win?

Abhishek Patel: So, players are diversifying their supply lines from China, and that is where we are targeting a small portion of that business.

Moderator: The next question is from the line of Akshay from AK Investment.

Akshay: Congrats for the excellent set of numbers. My first question is whether there has been any revenue from Baba Fine Chemicals in quarter 1? And what is our expectation of revenue in FY '26 and FY '27 from this business, semiconductor chemicals business?

Abhishek Patel: So Baba Fine Chem business side, we are expecting kind of similar revenue as compared to last year revenue.

Akshay: Sir, what was the last year's revenue?

Abhishek Patel: That is available in our published financial results.

Akshay: Okay. All right, sir. And my second question is we have hinted about 3 CDMO projects that we will commercialize by the end of financial year '26, right? So can it be large as much as our current CDMO projects in the next 2 to 3 years down the line?

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Abhishek Patel: No, no, no. The existing one is a kind of blockbuster product. These are not kind of those blockbuster products in the market, but they are, we see the revenue potential of INR50 crores to INR100 crores each for those products.

Akshay: And after this commercialization, can we expect that our margins will improve from the FY '27 onwards?

Abhishek Patel: CDMO business has a better margin compared to ex CDMO business. So as and when the revenue composition shifts towards the CDMO business, the margin keeps on improving.

Moderator: The next question is from the line of Jason Soans from IDBI Capital.

Jason Soans: Sir just had a small clarification. You've spoken about these 3 CDMO contracts. Are we looking to start it by the end of FY '26? Or are they still in talks? Just could you give me some clarity regarding these 3 which are upcoming? You spoke about INR50 crores to INR100 crores each?

Abhishek Patel: As I mentioned earlier, the one CDMO project, we have already supplied the validation quantity during Q4 FY '25. And after completion of regulatory process, we are expecting it to commercialize by end of this financial year, which is Q4 FY '26 initially for the other project also may start from Q4 FY '26. Validation is already going on.

Jason Soans: Okay. Okay. So then may come in by Q4 FY '26, all of them, basically, that's what you're saying.

Abhishek Patel: Yes, yes.

Naresh Patel: It depends on the regulatory approval. So, it could probably go to the next year a little bit but they're all INR50 crores to INR100 crores. That's the size what you're looking at.

Jason Soans: Yes.

Moderator: The next question is from the line of Rohit Nagraj from B&

amp;K Securities.

Rohit Nagraj: Congrats on good set of numbers. Sir, first question is on the South Korean investment. So do we have this exclusive partnership? And in terms of geographies, are we only looking at Korea and Taiwan or we'll be able to market those products across different geographies given that even U.S. is now going for semiconductor manufacturing. So can we sell the products across different geographies?

Abhishek Patel: So this product is not contained to any particular geography. We are mentioning this geography because these are, that is where this industry is located, other it is for worldwide, except India.

Rohit Nagraj: Okay. And second, in terms of the structure of this particular business, I mean we have not given what is the potential. But from the addressable market size for the chemicals, which will be manufactured here, what is the potential size currently, we know that the growth will be probably in double digits. But as of now, what could be the addressable market?

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Abhishek Patel: I do not have a specific number to it as of now, but it's a huge industry, and we are only aiming for very few fraction of this industry to begin with.

Rohit Nagraj: And just one clarification. These products are already established in the market, and they don't need any incremental validation be it the final scale or commercial scale. Is that understood well?

Abhishek Patel: There are some established products as well and some of the new products are also going to be there in this business. And of course, this will go through some of those standard procedure related to validation and qualification.

Moderator: The next question is from the line of Lalit Kumar as an individual investor.

Lalit Kumar: Do you want to give your guidance for FY26 like you give for 25% or increase your improvement in this guidance?

Abhishek Patel: No, no. We have already given the guidance of 25% during my commentary as well as in this commentary and we stick to this guidance.

Lalit Kumar: Okay, sir. So can we expect more growth in coming quarter? Will it remain the same as Q1?

Abhishek Patel: So it's a nature of business sequentially, it gets better and better. And ultimately, we are targeting 25% growth rate. So sequentially, it will definitely be better than the previous quarter.

Moderator: Ladies and gentlemen, that was the last question. I now hand the conference over to the management for closing comments.

Naresh Patel: Thank you to the JM Financial team for hosting our conference call. We appreciate everyone's questions and hope we have addressed most of your queries. If we missed any of your questions, please reach out to our Investor Relations team, and we will get back to you promptly. Once again, thank you very much, and good evening to everyone. Have a nice day.

Moderator: Thank you. Ladies and gentlemen, on behalf of JM Financial Institutional Securities Limited

and Acutaas Chemicals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

This document has been edited for readability purposes.

Call: Oct 2025

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A (Formerly known as Ami Organics Limited)
CIN No. : L24100GJ2007PLC051093
You and us: chemistry's apex
October 24, 2025

To, To,
The Corporate Relations Department, The Listing Department
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Dalal Street, Fort G-Block, Bandra Kurla Complex,
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Scrip Code: 543349 NSE Symbol: ACUTAAS

Dear Sir/Madam,
Subject: Transcript of Earnings Call for Q2 & H1 FY26 financial results held on October 17, 2025
Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on October 17, 2025 post announcement of financial results for the quarter and half year ended on September 30, 2025.
The same will also be available at the website of Company at www.acutaas.com.
This is for your information and records.

Yours faithfully,
For, ACUTAAS CHEMICALS LIMITED
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Company Secretary & Compliance Officer
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October 17, 2025

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR – ACUTAAS CHEMICALS LIMITED

M R. ABHISHEK PATEL – VICE PRESIDENT , STRATEGY
– ACUTAAS CHEMICALS LIMITED

M R. BHAVIN SHAH – CHIEF FINANCIAL OFFICER –
ACUTAAS CHEMICALS LIMITED

MODERATOR MR. KRISHAN PARWANI – JM FINANCIAL
INSTITUTIONAL SECURITIES LIMITED

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Moderator: Ladies and gentlemen, good day, and welcome to the Acutaas Chemicals Limited Q2 and H1 FY '26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star and then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Krishan Parwani from JM Financial Institution Limited.

Thank you, and over to you, sir.

Krishan Parwani: Good afternoon, everyone, and thank you for joining us on Acutaas Chemicals Q2 and H1 FY

'26 Earnings Conference Call. Today, we have with us Acutaas Chemicals management represented by Mr. Naresh Patel, Chairman and Managing Director; Mr. Abhishek Patel, Vice President, Strategy; and Mr. Bhavin Shah, Chief Financial Officer.

I would now like to invite Mr. Bhavin Shah to initiate the proceedings. Over to you, sir. Thank you.

Bhavin Shah: Thank you, Krishan. Good afternoon, everyone. Happy Diwali to you all. We are pleased to welcome you all to our earnings conference call to discuss Q2 FY '26 financials. Please note that a copy of our disclosure is available on the Investors section of our website as well as on the stock exchanges. Please do note that anything said on this call, which reflects our outlook towards the future or which could be construed as forward-looking statement must be reviewed in conjunction with the risk that the company faces.

The conference call is being recorded and the transcript along with audio of the same will be made available on the website of the company and exchanges. Please also note that the audio of the conference call is a copyright material of Acutaas Chemicals and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

Now I would like to hand over the floor to our CMD, Mr. Naresh Patel, for his opening statement. Over to you, sir.

Naresh Patel: Thank you, Bhavin. Good afternoon, everyone. I hope you are all doing well. Wishing you and your families a very happy Diwali. May this festival season bring happiness, health and prosperity to all of you.

The global geopolitical and economic landscape continues to remain uncertain. However, our focus has consistently been on building a long-term sustainable business rather than chasing opportunities. And that disciplined approach is now beginning to yield tangible results. Over the last couple of years, despite facing a few challenging phases, we have remained committed to strengthening our partnerships with multiple global clients. We have continued to grow our existing business steadily while simultaneously laying the foundation for new business verticals that will power our growth in the coming years.

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In our battery chemical business, we have successfully secured multiple customers across diverse geographies. Production is expected to commence in Q4 FY '26 once our ongoing capex is completed. We are confident this segment will emerge as a key growth driver going forward. For semiconductor chemicals, our engagement with new customers in Korea, Japan and Taiwan through Baba Fine Chemicals continues to progress for newer products. While there are some products, which will start in the near term, they are small in size, and we anticipate that it will take some time before we see meaningful contributions.

Our new joint venture in Korea, Indichem also marks a major milestone in our international expansion journey. The groundbreaking ceremony took place last month, and capex activities are now underway. This venture is expected to start c

ontributing to revenues from H2 FY '27.

Together, these 2 verticals, battery chemicals and semiconductors will serve as important growth pillar for us alongside our CDMO business, where we are witnessing a healthy increase in customer enquiries and new molecule additions to our CDMO pipeline.

This has significantly enhanced our future revenue visibility. Overall, we are steadily moving towards our vision of becoming a global chemical company with diversified business verticals catering to multiple industries, including pharmaceutical, battery chemicals, semiconductors chemicals, cosmetics and other specialty chemicals.

Now turning to our performance for the quarter. Our Q2 FY '26 revenue grew by 24.1% year-on-year to INR306.2 crores. This strong growth was primarily driven by our Advanced Pharmaceutical Intermediates segment, while the Specialty Chemicals business continued to demonstrate stable performance.

To conclude, our business continues to stand on a strong and resilient foundation, well positioned to deliver around 25% revenue growth for the year. With that, I now like to hand over to our Vice President, Strategy, Abhishek Patel, who will walk you through the detailed business update. Over to you, Abhishek.

Abhishek Patel: Thank you, Naresh Bhai. Good afternoon, everyone, and a very happy Diwali to all of you. Let me take this opportunity to share further insight into our business performance for the quarter, starting with the Pharmaceutical Intermediates segment. This segment delivered a robust performance with revenue of INR262.6 crores in Q2 FY '26, reflecting a strong year-on-year growth of 27.1%. The growth was primarily driven by CDMO business, supported by healthy contribution from the core Advanced Pharmaceutical Intermediates segment.

Moving on to the SpecChem, Specialty Chemicals segment. Revenue of this segment stood at

INR43.6 crores during the quarter, a steady growth of 7.3% year-on-year. Our commodity chemical subsegment recorded a strong growth both on year-on-year and sequential basis, led by higher volume as well as stable pricing. However, this was partly offset by softer performance in Baba Fine Chemicals business.

Now turning to capital expenditure. Capex for H1 stood at INR141 crores, primarily diverted towards Jaghadia site, focusing on electrolyte additive project and the pilot plant at Sachin site.

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To provide some additional update, the electrolyte additive capex at Jaghadia is progressing well and is expected to be completed by Q4 FY '26.

There has been minor delay due to extended rainy season, however, progress from our side remains on track. The pilot plant capex is proceeding as per plan and is expected to be completed by Q3 FY '26. As shared in our previous call, the total capex for FY '26 is expected to be around INR250 crores, and we have sufficient cash reserves to comfortably fund these investments.

Coming to the business update, starting with Pharmaceutical Intermediates segment. Our ongoing CDMO projects are progressing in line with expectations and expected to start contributing by end of FY '26, subject to regulatory approvals. As Naresh bhai highlighted, our CDMO pipeline continues to expand. And during the last quarter, we dispatched a couple of validation batches for new products, which mark important progress in scaling this vertical. As Naresh bhai mentioned earlier, we remain focused on building long-term sustainable business relationship rather than choosing the short-term opportunities. Over the past 2 years, the industry has navigated through volatile raw material price and global geopolitical uncertainties, which affected many chemical players worldwide. Despite these challenges, we continue to work on strengthening our existing product portfolio and developing new products to prepare for the future.

These sustained efforts are now yielding the r

esults. With pricing stability returning, we are witnessing notable margin improvements. In our core advanced Pharmaceutical Intermediates business, leading to overall margin expansion across the company. One of the reasons of the improvement in the margin is that we started restructuring our existing core pharma intermediate portfolio by churning out low-margin products, at the same time maintaining our growth guidance of 25% for overall business. This has resulted in better product mix leading to better margins.

On semiconductor chemicals, adding to what Naresh bhai mentioned, we have a couple of products that are expected to move into commercial scale production through Baba Fine Chemicals. While these products are still small in terms of overall revenue contribution, they represent an important milestone, a clear sign that our earlier efforts in this space are beginning to materialize. We believe that in medium term, our semiconductor portfolio will broaden further to become a meaningful growth driver for the company.

To conclude, we are on track to achieve around 25% revenue growth with EBITDA margin expectation to be in the range of 28% to 30% in FY '26. The change in the margin guidance is primarily driven by a higher contribution from CDMO business, product mix and improved profitability in Pharmaceutical Intermediates segment and operational efficiency.

With that, I will now hand over the floor to our Chief Financial Officer, Mr. Bhavin Shah, who will walk you through the detailed financial update. Over to you, Bhavin bhai.

Bhavin Shah: Thank you, Abhishek bhai. I would like to briefly highlight the key performance metrics for the quarter and first half FY '26 before we open the floor for questions. Let me start with quarterly performance. Revenue from operations for the quarter reached INR306.2 crores, representing

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24.1% growth Y-o-Y. Gross profit for the quarter was INR170.7 crores, reflecting 59.3% increase compared to the same period last year.

The gross margin expanded by 1,232 basis points Y-o-Y to 55.8%. Gross margin was driven by improved product mix and operational efficiencies. EBITDA for the quarter was INR95.3 crores, which grew almost 2x compared to the EBITDA of same period last year. EBITDA margins were at 31.1%, up 1,130 basis points Y-o-Y. EBITDA margin was driven by expansion in gross margin as well as operating leverage.

PAT for the quarter was INR71.9 crores, up 91.3% Y-o-Y. PAT margins for the quarter were 23.5%, which show an expansion of 824 basis points Y-o-Y. Moving on the H1 FY '26 performance. Revenue from operations for the first half of the year reached INR513.4 crores,

representing 21.3% increase year-on-year. EBITDA for the H1 FY '26 was INR146.2 crores, up 86.4% Y-o-Y. PAT for H1 FY '26 was at INR115.9 crores, which more than doubled compared to the same period last year.

Moving on to the balance sheet items. Net cash and cash equivalents were at INR240.6 crores as on 30th September 2025. Our working capital for the quarter improved to 100 days, which is 28 days improvement compared to Q1 FY '26. This is mainly on account of improved inventory days as well as debtor days. For the full year, we believe working capital would be around anything between 95 to 105 days. Improved working capital with robust business performance led to strong generation of cash from operations of INR136.5 crores during H1 FY '26.

With that, I request moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. We have the first question from the line of Mr. Krishanchandra from JM Financial. Please go ahead.

Krishanchandra: Congrats on very strong set of numbers. Three questions from my side. First, on the new CDMO contracts, I think Abhishek bhai mentioned that validation batches have already been sent. Just wanted to understand like when do you expect these

new CDMO products?

Abhishek Patel: So as I mentioned, we have sent validation batches during this quarter for a couple of our new CDMO. And again, those are subject to regulatory approval. We estimate this to start by end of FY '26, which is last quarter, again, depends on the regulatory approval.

Krishanchandra: Okay. Got it. Secondly, on the margin, given you have revised your EBITDA margin estimate for the FY '26 of 28%, 30%. So do you see this closer to 30% kind of an EBITDA margin as sustainable for the coming years?

Abhishek Patel: Yes, we feel so. That's the reason we first revised our margin guidance for FY '26 between 28% to 30%. And as I mentioned, this margin, again, is the function of the product mix. And we have slowly started redefining our product portfolio in such a way that we churn out some of the low-margin products and focus on something, which is more sustainable and with a sustainable revenue growth. And so this is how we are structuring our whole business so that it will, again, have a sustainable growth of 25% with a good margin improvement. That will, I think, will result into a better margin for next coming years also.

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Krishanchandra: Understood. And lastly, on the new business segments such as electrolyte additives or semiconductor JV. So all these are expected to contribute meaningfully in FY '27. Is that understood correct?

Abhishek Patel: First, electrolyte additives segment, we are -- we have now full visibility for all the capex plan, which is expected to get completed by Q4 FY '26. Once that plant gets commissioned because we have full visibility for the products, it will immediately start contributing, maybe not much in the Q4 FY '26 but full year for the FY '27.

Now for the second vertical, which is for the JV in South Korea, we are expecting this to get completed in next calendar year by -- and H2 FY '27 should be the time when it should start the commercial production.

Krishanchandra: Understood. And despite this new product addition, your margin guidance stays around 28%, 30%, right?

Abhishek Patel: Yes, yes.

Krishanchandra: That's great to hear. Congratulation once again and wish you happy Diwali, sir.

Abhishek Patel: Thanks.

Moderator: We have the next question from the line of Abhijit Akella from KIE.

Abhijit Akella: First, on the gross margin expansion. So is this entirely because of the shift in product mix within the Pharma catalog business? Or have there been improvement in process efficiencies, et cetera, also in that business?

Abhishek Patel: Yes, it's a function of both the overall product basket as well as the -- we have -- because it's our core competency to improve our margin through process improvement, through supply chain improvement as well as the operational efficiency. So at the gross margin, it's both function of product mix as well as the margin improvement in some of our top revenue contributing product. Apart from that, we have also improved our margins at an operational level by more than 2.5%, and that is because of operational efficiency and the contribution from our solar power plant project, which is now commissioned.

Abhijit Akella: Okay. So the solar contribution is now fully in the base, is it? Or was it only partial for the quarter and we see the full impact in subsequent quarters?

Abhishek Patel: It's completely on stream. Because the 5-megawatt project was commissioned in this quarter, it was partly accounted in this quarter for 5 megawatt out of the total 16 megawatt.

Abhijit Akella: Got it. Just one further clarification on that margin topic. So Abhishek bhai, we have seen in the past that we used to enjoy 20% plus margins on the pharma side a few years back. And then

there was some erosion that happened because of maybe Chinese competition and increasing raw material prices, et cetera. Now we have managed to claw it back. But just

sort of wondering

what gives us the confidence that the erosion that happened 2, 3 years back is not a risk factor to sort of be concerned about any further?

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Abhishek Patel: So it was a learning for us in 2022. And how we navigated through this process, that learning we convert into our SOPs to develop our business in going forward. And as we mentioned, we have taken several steps during that time and thereafter. But now because the pricing scenario got stable, it has now started showing into our bottom line from Q4 FY '24 onwards only. And this -- those are the learnings, which will definitely help us in future to have a maintain or drive the margin in future also.

Abhijit Akella: Okay. Just one last thing for me before I get back in the queue. We are guiding to 25% revenue growth for this full year. In the first half, I believe we've done about 21%. So should we expect that the second half will be significantly better from a growth standpoint? And then also on the CDMO front, how much of the first half growth came from CDMO or what was its contribution? And where do you see it going in the second half? Will it be a very much heavier contribution in the second half from CDMO?

Abhishek Patel: First of all, related to our revenue guidance for the full year, we are still very confident that we will deliver 25% growth rate for the full year after 21% growth in H1, considering whatever the pipeline we have in terms of our CDMO, our other Pharma Intermediate business as well as the newer verticals in chemical segment.

Related to your question of Pharma business split between CDMO and non-CDMO, we are not actually giving the bifurcation. But in terms of growth, the higher growth is coming from the CDMO segment as it was earlier expected than the traditional business. And going forward also, that CDMO business will definitely have a better growth than the traditional Pharma Intermediates business.

Moderator: We have the next question from the line of Nilesh G from HDFC Securities.

Nilesh G: Question is particularly on the balance sheet side. If I look at trade receivables, so after March '25, trade receivables are on the higher side. Before that, if I look at FY '24, '23 numbers, the trade receivables were quite significantly lower. But since March '25, the receivables are on the higher side if you look at...

Moderator: Sorry to interrupt, Mr. Nilesh, I request you to come closer to the microphone as we're unable to hear you very clearly.

Nilesh G: Sure, sure. So this is regarding the receivables. So receivables in March '25 also were in the range of 29,000 lakh. And now this also -- this September 30, also number is in the same range. So what has led to this? If I compare this number with the FY '24 number, it is significantly higher.

Bhavin Shah: So see, when we say for export market, our receivable is always on a 90-day side and domestic is on 120 days. And we always said that it will be average 105 to 110 days. With improved collection and our effort, we are able to bring it to 87 days for this quarter.

Abhishek Patel: So adding to this, when we talk -- you talk about the absolute number and when we are into 25% growth territory, I think you should look at the days of debtors rather than the absolute number

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because -- if you see our quarterly sales against the debtor outstanding, you will find that it is always near to the 90 days because the revenue is increasing every quarter.

Nilesh G: Okay. And secondly, on this -- our JV with -- you talked about last year in the month of June, you formed the planning to produce electrolyte. So any update on that?

Abhishek Patel: That remains still status quo only, and it has not moved further from that level.

Moderator: We have the next question from the line of Prayag Gandhi from Vruksha Capital Research.

Prayag Gandhi: I just wanted to know with respect to the Indichem project, sir, can you just reiterate exactly when we will start to commercialize the entire project?

Abhishek Patel: So as we mentioned during our commentary, the groundbreaking for this project was done in last month and project is expected to start in H2 FY '27. So from there onwards, the commercial revenue should start.

Prayag Gandhi: Okay. And sir, going forward, we do expect like a lot of chemical companies are slowly shifting

to CDMO space as well. What do you see the growth prospects over here as well? Because there will be eventually like other countries will also come into the picture. So where do we see the growth prospects for the next 3 to 5 years?

Abhishek Patel: See, CDMO business, when we talk in CDMO business in pharma segment, is not a business which can come to anyone overnight. Of course, there is a lot of work available in the market and a lot of players are there in the market to grab those business. But that business is always a function of how you are complied with the quality system.

Because originator or someone who is giving you the business for the outsourcing or the manufacturing of outsourcing in this industry, they would like to see the level of compliance related to QA, your consistency, relationship with that customer over the years. We got consistent supply, quality supply as well as the QA system in place. And lastly and not the least, the environment and the ESS compliance.

These are all the factors which contribute or which gives us the confidence that we are one of the very good players to secure that business. And I would like to share one more insight that we now are EcoVadis Platinum certified company, which is only 1% of the companies over the world are into this territory. So this gives us the confidence that because of this, we are able to sustain -- in fact, get a good share of this business in the market.

Moderator: We have the next question from the line of Ajay from Niveshaay.

Ajay: Congratulation on great set of numbers. Sir, my question is on the electrolytes and another on semiconductor. So I like to take the semiconductor. So given our JV with J & Materials to produce advanced photo acid generators like for semiconductor photolithography process...

Moderator: Sorry to interrupt, sir but your audio is not very clear. If you can come closer to microphone?

Ajay: Is it better now?

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Moderator: Yes, this is much better. Yes.

Ajay: So given our JV with J & Materials for the photo acid generators for semiconductor photolithography process. So if you can provide like what type of specific products, which will be produced by the JV? And how do they differ from existing products, which were being made in Baba Fine Chem and even the existing offering in the market?

And how will these products may be applied in the semiconductor because there are base chemicals, which are used for cleaning purposes and then there are advanced chemicals. So if you can maybe give more details on the products, particularly on the photolithography.

And anything on the customer side, like maybe because Baba Fine Chemicals was previously driven by just one major customer and have we started to get more traction from newer customers? So if you can highlight that?

Abhishek Patel: First of all, I would like to make one thing very clear that both the business of semiconductor in India through Baba Fine Chem and in Korea through Indichem are completely different business verticals, no kind of connection. That is one thing. Related to products, which are going to get developed or manufactured in Indichem, actually, we have already mentioned that those are more value-added products than those traditional product in Baba Fine Chem.

But over and above that, we will not be able to share more -- much detail on this produc

t, which

are going to manufacture there and our one customer, which is heraeus in Baba Fine Chem, we are committed to that customer fully to their product and the confidentiality of the product, and we are never going to get into their product line ever in that customer's business. It will be completely different business in Korea.

Ajay: Okay, sir. Got it. Sir, another on the electrolyte side because we have mentioned the capacities of the 2 electrolyte additives, which we are going to manufacture. And like correct me if my understanding is incorrect but like maybe there are like 20, 30 another electrolyte additives in the market.

So maybe in the overall scheme of things, like how big will be our both electrolyte VC and FEC in the additives market because these additives will again go into electrolyte, which will further go into making cells. So like if you can give maybe some color on the size of these 2 electrolyte additives and the overall scheme of things?

And also, sir, just a follow-up on this because there are different technological advancements going on and which type of cell is going to emerge like maybe from LFP to NMC and now even sodium or zinc kind of batteries are getting traction. So my question is like are these additives which are going to manufacture? So when the type of cell changes, is it like the electrolyte additives also needs to change or the existing one would be capable enough to provide the stability between the like transfer of iron from cathode to anode. If you can maybe give some color on that?

Abhishek Patel: First thing, let me give you the understanding that VC and FEC our 2 initial products which we

have several other additives already developed and commercialized and full list of those chemicals are already available on our website. So those are based on our changing needs of the market and cater to the newer requirement of the customer.

Related to your question related to sodium batteries, all our additives are for lithium-ion batteries, lithium-ion batteries. And related to your question of the size of this business, we have planned capacity of 2,000 metric ton VC and 2,000 metric ton FEC based on our signed contract with the customer and some demand. So we have full visibility of all the products, all the capacity, which we have planned. So based on that capacity requirement, you can estimate the size of this product.

Ajay: No, sir, my question is again on the market, like the global electrolyte additives market would be like how big? And in that market, VC and FEC would be how much proposition like because VC as an additive for anode is like 30%, 40%. So I just wanted to know on the size.

Naresh Patel: Sorry to interrupt you here. Sir, here, I'm saying about Acutaas not with the global. And whatever we have done in installation of the capacity, we are supported with the agreement for long-term agreement for supply of VC and FEC. So that is what we have secured for ourselves. For further, if you can come to offline or you can do the research on that later on. Let's focus on the current Acutaas related stuff. Thank you very much for understanding.

Moderator: We have the next question from the line of Abhigyan Srivastav from Marcellus Investment Managers.

Abhigyan Srivastav: Sir, a few questions. So why is the goodwill rising in the first half of the year balance sheet versus FY '25? Have we made any acquisitions?

Bhavin Shah: Yes. So if you see the consolidated balance sheet, we have invested in Indichem in Korea with some premium. So noncontrolling stake, we paid some premium to a noncontrolling stake that is showing as a goodwill. So goodwill of around INR16 crores has been generated for this quarter for investment we have done in Indichem.

Abhigyan Srivastav: Got it. Okay. Then

could you explain what the driver of the unrealized gains and losses in the cash flow statement of INR19 crores in H1? And where is it included in the P&L?

Bhavin Shah: So if you see the INR19 crores, we have shown that in other income, that is exchange fluctuation, and that is form part of other income in P&L.

Abhigyan Srivastav: Got it. And lastly, could you please explain the incidental charges that are paid towards investment, which are shown in the cash flow statement. So do these pertain to the financial investments or fixed assets?

Bhavin Shah: This is towards incidental charges we have incurred and bank charges and other things towards the investment for Indichem.

Abhigyan Srivastav: Congratulations on the good set of numbers.

Moderator: We have the next question from the line of Rohit Nagraj from B&K Securities.

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Rohit Nagraj: Congratulations for a very strong set of numbers and to the entire team and their families. So first question is on the capex front. So this year, we have spelled out INR250 crores. What is the number for FY '26? And out of this INR250 crores, how much is the growth capex and how much is maintenance? The other part is out of the growth capex, generally, what is the kind of asset turn that we look at and the peak potential revenue, how it is looked at? I mean, whether we look at 2 years, 3 years or 4 years? So if you could provide some details on this?

Abhishek Patel: So out of INR250 crores capex plan for FY '26, INR40 crores we are expecting towards maintenance capex and rest is from the growth -- for the growth capex only. out of which around INR180 crores for the full year was planned for electrolyte additive capex and INR30 crores was planned for pilot plant capex.

In terms of asset turn, we see generally around 2.5x is the asset turn we expect generally from all our capex going forward. This is what we expect from that. And around 3 years' time should be the good time by which it should scale up.

Rohit Nagraj: Sure. And FY '27, any number as of now?

Abhishek Patel: FY '27 for the growth expectation of till FY '28, we are already done with all our capex requirement, whatever projection we have done. And it will be more of a maintenance capex only.

Rohit Nagraj: Sure. Second question is on the upcoming additives capacity. So once the capacity is

commercialized, what will be the time taken to validate the products? Or since these are already being validated, we do not have to wait for the same?

Abhishek Patel: No, it is already been validated from that site, and we will be able to quickly dispatch our material once capex gets completed.

Rohit Nagraj: Sure. Just one clarification on the same. What is the kind of volume that we are looking from supplying in the domestic market and in the export market for the additives?

Abhishek Patel: It's completely for export market only, no domestic supply from this plant.

Moderator: We have the next question from the line of Rajeev Anand from Narnolia Financial Services.

Rajeev Anand: My question is related to CDMO business. So I just want to ask that why there is a lumpiness in the CDMO business? Because first quarter, it was very low, and it ramped up sharply in second quarter. And secondly, I just want to know that what would be trend in third as well as fourth quarter?

Abhishek Patel: If you see our past financial also, our first quarter was always low out of all 4 quarters. And sequentially, it grows every quarter-on-quarter till Q4 of every year. And we do not see any lumpiness in the business. It is CDMO business is based on the customer requirement, and we have a full visibility for this CDMO business for the full year as well as the projection for next years.

Moderator: We have the next question from the line of Akshay from AK Investment.

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Aksha

y: First of all, congratulations for the great set of numbers. My first question is, in the opening remarks, you said that semiconductor chemicals revenue will start flowing in, and it will be a significant growth driver in the coming years. So what percentage of revenue might be there from the semiconductor segment over the next 2, 3 years?

Abhishek Patel: No, that we are actually not disclosing anywhere for the future businesses.

Akshay: Okay. Fair enough. And Specialty Chemicals segment just grown by 7% year-on-year in first half -- sorry, in quarter 2. So can we expect higher year-on-year growth in half 2 of FY '26.

Abhishek Patel: So we are guiding that this traditional spec chem business will remain in the territory of around 10% to 15% as a growth for the business. And we feel that it will remain in that territory only by the end of this financial year.

Akshay: Okay. And lastly, sir, on the U.S. tariff impact. So what percentage of our revenue is coming from U.S.? And are there any impact of U.S. tariff in that?

Abhishek Patel: In U.S. market, we have very minimal direct sale in the U.S. market, which is even less than 1%. So we do not see any direct impact in our business from U.S. market.

Moderator: We have the next question from the line of Shreya Banthia from Oaklane Capital Management.

Shreya Banthia: I just wanted to ask one question for electrolyte additives, So you said that you have the full visibility for the segment. So without disclosing any details, are there any domestic battery manufacturers who have committed to this contract?

Abhishek Patel: I think I missed your voice in between but what I understand is you are asking about our electrolyte additive segment visibility. So for this.

Shreya Banthia: Yes. Do we have any visibility from the domestic battery manufacturers?

Abhishek Patel: So let me just give you the background. This plant, what we have set up for 2,000 metric ton VC and FEC, that is based on the customer requirement, which is export customer. So we have not planned any capacity for domestic market catering.

Moderator: We have the next question from the line of Karan Gupta from ACMIL.

Karan Gupta: Am I audible, right?

Moderator: Yes, you're audible, sir, but I believe you're on speaker phone. There's a lot of background that's coming to your call. If you could turn off your speaker phone.

Karan Gupta: So my questions is regarding CDMO side...

Moderator: I'm sorry to interrupt you but your audio is not clear. There's a lot of background disturbance that is coming in. If you could move to a place with less commotion, that would helpful. I request you to come back in the queue till the audio challenge. In the meanwhile, we move to the next question from Mr. Mihir Damania.

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Mihir Damania: Yes. I hope I'm audible. Naresh bhai, I have just one fundamental question. So a few years ago, you were purely an advanced intermediate company. Now that you have multiple segments, CDMO, battery chemicals, semiconductor chemicals, each of them with -- all of them would have different set of challenges and very, very diverse.

So I would like to understand a bit more on how the bandwidth for top management is placed, how we hired basically if we've hired some KMPs, manpower to run each of these businesses or anything else which you've done so that all the subsegments are on the right path. How do you see that kind of change over the last couple of years? And how will it change in the next couple of years?

Naresh Patel: Okay. First of all, as you're tracking us since 5, 6 years, when we started electrolyte business, we enter into the electro business only because we want to expand our chemistry. We are a very strong chemistry-driven company. So basically, chemistry don't have an application only in pharma.

So we want to expand our chemistry base out of pharma, and that's why we started acquiring

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Gujarat Organics and then we entered into the battery and then later on, we acquired Baba and now we enter into the semicon. So this is all to expand our strength into the production side and as well as the chemistry application.

And two, if you see the last 5 years, management has introduced a lot of system digitalizations, KMPs are introduced time to time required for each segment. So this is a part of the business cycle, and this is part of the business to grow from one state to another state. So when and when needed, we introduce the people as well as the system as well as the equipment to make sure that, that segment will grow.

And in the last 4 years, starting from 0 to now electrolyte, we are investing more than INR200 crores to make sure that we will start supplying in electrolyte commercially. We have already done Baba Fine Chem and then now we are doing a JV in Korea, where we are putting a new manufacturing site.

The KMP is coming from -- so the -- my Korean partner is himself, they are all our good technical background, commercial background in that segment. So automatically, by partnership, we got the KMP in Baba as well as in Indichem. So this is how either partnership or by recruiting, we got our KMP in the system. I hope I had delivered you the expected answer.

Moderator: We have the next question from the line of Raaj from Arjav Partners.

Raaj: Sir, I have on battery chemical segment, I wanted to understand how are we going to compete from the Chinese companies? Like in the earlier call, you said the EBITDA is quite higher. But if you look at China, the electrolyte additive companies, if you look at their EBITDA and their GP, they would be in single digit.

Abhishek Patel: Sorry, we will not be able to comment on how Chinese or what should be their EBITDA in this business. But at least what we know from -- since the development of these products from 2022,

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we made this product so robust in process. And at the current prevailing market price also, we are able to sustain the market and with the expected EBITDA margin.

Raaj: All right. And sir, what would be our payback period?

Abhishek Patel: For this -- any of the project, we expect the payback to be around 3 to 3.5 year kind of payback.

Raaj: 3 to 3.5 years kind of payback. All right. Yes. And sir, on the South Korea JV, we are setting up a plant in Korea, right? So what exactly is our part in that JV?

Abhishek Patel: In South Korean JV, we are the investment partner with 75% investment and 25% is with our Korean partner who will bring their technology, their market as well as the production capability.

Naresh Patel: Supplier of starting material.

Abhishek Patel: As well as the supply of starting material.

Raaj: Supply starting material. All right. And how much sales are we expecting from that Korean JV in FY '27?

Abhishek Patel: It is expected to -- the Korean JV expect it to start production in H2 FY '27.

Raaj: Yes. And how much sales are we expecting on an average?

Abhishek Patel: That we are not disclosing.

Raaj: All right. And sir, the electrolyte additive plant, are we expected to run at 100% capacity in FY '27 itself?

Abhishek Patel: No, no. It cannot go 100% in 1 year. It will take around 3 years' time to reach an optimum level of capacity.

Raaj: And are we planning to invest more in that electrolyte additives going ahead?

Abhishek Patel: As of now, we have not announced any capex around this business as of now. But as we mentioned, we have full visibility of this whole plant we have -- we are setting up for this business. And more business is expected considering the kind of business development going on. So we may announce additional capacity planning in future if needed.

Moderator: Sorry to interrupt you, Mr. Raaj. I request you kindly come back in the queue for follow-up questions. We have the next question from the line o

f Ankit Mittal, Individual Investor.

Ankit Mittal: Congratulations for a great set of results. I wanted to understand more about the EBITDA margins from a more medium-term point of view for FY '27, '28, do you think we can maintain this 28% to 30% kind of EBITDA margins? As you mentioned, now you have full visibility on the CDMO as well as the electrolyte additives business. So internally, do you have the confidence in maintaining, let's say, this 30% kind of margins for next 2, 3 years?

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Abhishek Patel: As I mentioned, we have guided for this financial year. And all the margin improvement, whatever are done, these are more kind of permanent in the nature and as well as the function of the product mix. So based on that, we are confident that we will be able to sustain this margin level in future also.

Ankit Mittal: And for the electrolyte additives business, do you think that business can have a 30% plus kind of EBITDA margins?

Abhishek Patel: Which business, sorry?

Ankit Mittal: electrolyte additives business.

Abhishek Patel: No, no, electrolyte business definitely will not have such a high margins.

Ankit Mittal: Okay. So it will be in the range of 15% to 20% then?

Abhishek Patel: That we cannot disclose.

Moderator: We have the next question from the line of Vivek Gautam from GS Investment.

Vivek Gautam: Sir, congratulations on excellent set of numbers. A few questions about -- number one was about the product. Any risk due to the product concentration and the client concentration in our case, which you have thought and competition intensity, which we face and opportunity size and expected growth path for us.

And lastly, sir, a small complaint. Ours is the only company, which is -- Ekta Srivastava, the Company Secretary, who is refusing to share the shareholder list. I've been writing many mails.

But unfortunately, out of my portfolio of 40 companies, Ours is the only company who are saying you come to Surat and have a look at the shareholder list. That's very, very unfortunate and gives a very wrong message.

Abhishek Patel: See, I think, Ekta Srivastava has to abide by all the rules and regulation. And she is, I think, working within the purview or the boundary of the legal framework only. So maybe it was because of those.

Vivek Gautam: I agreed, sir. But point is, out of -- one company out of 40, 50 companies, a small request, a small complaint only because everyone else is sharing then why is our company so hesitant to share it, sir. We are doing very good. We are having long-term point of view. We have seen the progress you have made. No harm in sharing this information also, sir.

Abhishek Patel: Actually, I'm not aware of what was conversion going but at least I can assure you that whatever possible is there within the legal framework.

Vivek Gautam: It's all legal sir. 99 companies are sharing it on the mail. Ours is the only company, which is sort of asking us to come to Surat and do it, sir. Very strange. Anyway, sir, rest is your prerogative and you're right, sir. If you want to share the information with your shareholders well and good.

Otherwise, we can't do anything.

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Anyway, second thing, sir, about the other of the questions, which you were asked, concentration risk, product risk and opportunity size and expected growth rates, sir?

Abhishek Patel: So we always believe in multiple products, we do not have any single product going to a single customer. We have more than one customer for every product. And for every customer, we have multiple products. That is what is how we have built our whole business over the years.

Vivek Gautam: Fantastic, sir. That is really visible from the numbers also, sir.

Abhishek Patel: And for CDMO business, obviously, it has to be a one-on-one business based on the contract. So we have multi

ple product as well as the multiple customer as well as the multiple industry and a good amount of diversification.

Vivek Gautam: And sir, where is -- what are our differentiators versus competition and which is helping us out, sir? And you started out as 2 chemical engineers and have really evolved over the period, sir, and that's really great progress we have seen. We are very satisfied and happy and want to keep up with the good work. But you can highlight for the benefit of your investors, the differentiators, which we have and which can withstand the risk from the China and other places also, sir.

Abhishek Patel: So as you know, for most of our top products, we have more than 50% to 80% kind of market share as against any of the competitor. So that shows our track record that we have been

competing in the market for a long time.

Moderator: Sorry to interrupt you, Mr. Gautam. I request you to come back in the queue for follow-up questions. We have the next question from the line of Tejas Arjun Sonawane from Asian Market Securities.

Tejas Sonawane: I have just one question. Last quarter, we had indicated about commissioning of a third block at Ankleshwar site. Just wanted to understand how has been the capacity ramp-up of our Block 3 and whether this has also contributed significantly to the margin expansion we have seen during this quarter? That's it from my side.

Abhishek Patel: So all the capex at Unit 2 Ankleshwar has been completed with commissioning of last block. But the capacity utilization will take its own time. And in next 2 years, it should reach to an optimum level. Margin expansion is not because of this commissioning of new block. As I mentioned, the margin expansion is a function of product mix as well as the operational efficiency as well as the cost improvement measure what we have done over the year.

Tejas Sonawane: Okay. Understood. So I believe that the Block 3 is largely towards our dedicated contract. So just wanted to understand since our commissioning in Q1, how has been the overall performance of this Block 3 in our quarter 2 numbers?

Abhishek Patel: Sorry, I didn't get you. Block 3 is for our dedicated contract and which has been commissioned last year, last quarter of FY '24. From -- since then onwards, this block is operational and catering to all the customer -- whatever the customer requirement is there. And that is sufficient to the projected customers' requirement.

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Moderator: We have the next question from the line of Nilesh G from HDFC Securities.

Nilesh G: Sir, question is on Specialty Chemicals. So what is the capacity utilization of our specialty chemicals block in Jaghadia?

Abhishek Patel: 52%.

Nilesh G: Okay. And then what kind of growth you envisage over, let's say, 2, 3 years or the utilization to, let's say, optimum level? Since last 2, 3 years it has been around 40% to 50%.

Abhishek Patel: So in this business, we are expecting growth in between 10% to 15% only going forward also.

Nilesh G: Okay. Okay. And secondly, on this Block 3 of our CDMO plant. So what kind of capacity utilization currently?

Abhishek Patel: It's 38% at Unit 2.

Nilesh G: 38% in last quarter, right?

Abhishek Patel: Yes.

Nilesh G: And what it was in FY '25 on an average utilization?

Abhishek Patel: Actually, I'm not top of this number. I can get back to you on this.

Moderator: Thank you. Ladies and gentlemen, that was the last question. I would now hand the conference over to the management for closing comments.

Naresh Patel: Thank you to the JM Financial team for hosting our conference call. We appreciate everyone's questions and hope we have addressed most of your queries. If we miss any of your questions, please reach out to our Investor Relations team, and we will get back to you promptly. Once again, thank you very much and wishing you happy Diwali and happy New Year to you all.

Thank you

u.

Moderator: Thank you. On behalf of JM Financial Institutional Securities Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: Feb 2026

A C U T ■ ■ S "" ACUTAAS CHEMICALS LIMITED A (Formerly known as Ami Organics Limited)

CIN No. : L24100GJ2007PLCO51093

You and us: chemistry's apex

February 03, 2026

To, To,

The Corporate Relations Department, The Listing Department
BSE LIMITED, National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5" Floor, Plot no. C-1,
Dalal Street, Fort G-Block, Bandra Kurla Complex,
Mumbai- 400 001 Mumbai -400051

Scrip Code: 543349 NSE Symbol: ACUTAAS

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q3 FY26 financial results held on January 28, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on January 28, 2026 post announcement of financial results for the third quarter and nine months ended on December 31, 2025.

The same will also be available at the website of Company at www.acutaas.com.

This is for your information and records.

Yours faithfully,

For, ACUTAAS CHEMICALS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

— — — e —

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"Acutaas Chemicals Limited

Q3 FY26 Earnings Conference Call "

January 28 , 202 6

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR – ACUTAAS CHEMICALS LIMITED

MR. ABHISHEK PATEL – VICE PRESIDENT – STRATEGY
– ACUTAAS CHEMICALS LIMITED

MR. BHAVIN SHAH – CHIEF FINANCIAL OFFICER –
ACUTAAS CHEMICALS LIMITED

MODERATOR : MR. KRISHAN PARWANI – JM FINANCIAL

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Moderator: Ladies and gentlemen, good day and welcome to the Acutaas Chemicals Limited Q3 FY26 Earnings Conference Call hosted by JM Financial Institutional Securities Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing st ar then zero on your touchtone phone . Please note that thi s conference is being recorded.

I now hand the conference over to Mr. Krishan Parwani from JM Financial. Thank you, and over to you, sir.

Krishan Parwani: Yes. Good evening, everyone and thank you for joining us on Acutaas Chemicals Q3 FY '26 Earnings Conference Call. Today, we have with us Acutaas Chemicals management represented by Mr. Naresh Patel, Chairman and Managing Director; Mr. Abhishek Patel, Vice President, Strategy; and Mr. Bhavin Shah, Chief Financial Officer. I would now like to invite Mr. Bhavin Shah to initiate the proceedings. Over to you, sir. Thank you.

Bhavin Shah: Thank you, Krishan. Good evening, everyone. We are pleased to welcome you all to our earnings conference call to discuss Q3 FY '26 financials. Please note that a copy of our disclosure is available on the Investors section of our website as well as on the stock exchanges. Please do note that anything said on this call, which reflects our outlook towards the future or which could be construed as forward-looking statement must be viewed in conjunction with the risks that the company faces.

The conference call is being recorded, and the transcript along with the audio of the same will be made available on the website of the company and exchanges. Please also note that the audio of the conference call is the copyright material of Acutaas Chemicals and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

Now I would like to hand over the floor to our Chairman and Managing Director, Mr. Naresh Patel, for his opening statement. Over to you, sir.

Naresh Patel: Thank you, Bhavin. Good evening, everyone. I hope you are all doing well. Wishing you and your family a very happy and prosperous New Year.

I will provide an overview of the strategic initiatives we are undertaking before handing over to Abhishek for detailed business updates. As you know, Acutaas is evolving into a diversified chemicals company with multiple business verticals. Allow me to walk you through each of them.

Starting with our core business of pharmaceutical intermediates, our focus remains on sustaining the robust growth engine that we have built over the years. Additionally, we are actively pursuing CMO and CDMO opportunities to accelerate growth in this segment. We have developed a strong pipeline with four products already validated, and we expect some of these opportunities to begin contributing to our top line from FY '27 onwards.

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Moving on to battery chemicals business. I'm delighted to share that we inaugurated a new block at our Jhagadia facility dedicated exclusively to battery chemicals on 19 January 2026. While Q4 will primarily be a quarter of trial production, testing, validation and the commencement of the commercial operations, we expect this business to ramp up significantly from Q1 FY '27. Our third important vertical is semiconductor chemicals, where we are in the early stage of seeding business both in BFC and Indichem - Our South Korean joint venture to new customers in South Korea, Japan and Taiwan. We are witnessing encouraging traction from clients in both businesses. At BFC, engagement with our Japanese customer has been very promising, in other than Heraeus products. At Indichem, we have already initiated

discussions with various clients regarding our product offerings.

Overall, I believe that FY 2028, these three business verticals will operate as independent self-sustaining growth engines, each contributing meaningfully to our overall top line.

Coming to our quarterly performance, I'm pleased to report that we continue our strong growth trajectory. Revenue from operations came in just shy of INR400 crores this quarter, which was accompanied by our highest-ever margins, leading to our profit after tax for the quarter crossing the milestone of INR100 crores mark. I will let Bhavin discuss financials in detail later.

To conclude, based on the strength of our current order book, we are revising our revenue guidance upwards from 25% to around 30% growth for FY '26.

With that, I would like to hand over to our Vice President of Strategy, Abhishek Patel, who will walk you through the detailed business update. Over to you, Abhishek.

Abhishek Patel: Thank you, Naresh bhai. Good evening, everyone. Let me take this opportunity to share further insight into our business performance for the quarter. Starting with Advanced Pharmaceutical Intermediates segment. This segment delivered a robust performance with revenue of INR351.1 crores in Q3 FY '26, reflecting a strong year-on-year growth of 47.0%.

The growth was primarily driven by our CDMO business, complemented by steady contribution from our core Advanced Pharmaceutical Intermediates segment. Moving on to the Specialty Chemicals segment. Revenue for this segment stood at INR42.1 crores during this quarter, registering a strong year-on-year growth of 16.5%. Our commodity chemical sub-segment recorded consistent growth driven by high volume stable pricing, which was supported by a recovery in BFC business.

Now turning to the capital expenditure. Capex for 9-month period stood at INR143 crores, primarily directed towards Jhagadia site for battery chemical project and pilot plant project at Sachin site. Let me provide some additional updates on our key projects.

Regarding electrolyte additive capex at Jhagadia, as Naresh bhai mentioned, first phase of electrolyte block is inaugurated on 19 January 2026. The second phase of capex is currently ongoing and is expected to be completed within next 6 months. Pilot plant capex is slightly delayed due to delay in equipment arrival.

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It is now expected to be completed by Q1 FY '27. Due to spill over of second phase of battery chemical capex as well as the pilot plant capex, total capex for the FY '26 is expected to be around INR220 crores versus INR250 crores, which we guided in our previous call. Apart from this, another major cash outlay during the year will be our investment in South Korea joint venture, Indichem. Till now, we have invested close to INR130 crores in this joint venture. The total investment we announced for this joint venture was around INR200 crores. We have sufficient cash on hand as well as strong cash flow generation to fund this cash outlay.

Now coming back to the business update. Starting with Pharmaceutical Intermediates segment. For ex-CDMO business, we have a couple of new products that have already started ramping up, and we believe they will continue to drive the growth. For some of our top products, we have been able to deliver high single growth.

Now you might look at the numbers and observe that this business is not growing as strongly as it used to. This is because we have carefully taken strategic decision to review our product portfolio and let go low-margin products. That's why you see now quality growth is coming. Coming to CDMO business, as Naresh bhai mentioned, four products which have been validated in the current financial year should start contributing to the top line from FY '27. Additionally, we are expected to complete sampling and validation batches for

or some more products in coming

quarters. This shows our CDMO pipeline continued to grow strongly, which will take us swiftly to our CDMO guidance of INR1,000 crores by FY '28.

On battery chemical side, we already have order in hand with a good revenue visibility for FY '27 for VC and FEC. As mentioned in earlier calls, we have added two more products to this business, and these products are expected to start contributing to top line from mid-FY '27. On semiconductor business side, Naresh bhai covered most of the important update in his remarks. The only thing I would like to add is the capex for the Indichem JV is progressing as per the plan.

Finally, on a note of corporate excellence, we are proud to share that our Founder and CMD, Mr. Naresh Patel, has been recognized amongst the IDFC FIRST Private and Hurun India's Top 200 Self-made Entrepreneurs for the Millennia 2025. This prestigious ranking celebrates the visionary behind the most valuable companies founded in India since 2000.

Our stakeholders, this recognition is powerful validation of the entrepreneurial grit and the leadership that has shaped our company's trajectory. As we continue to redefine our place in India's economic future, we remain committed to the same spirit of innovation and value creation that is awarded honors.

To conclude, as Naresh bhai guided, we expect revenue from operations to grow by 30% in FY '26. We also upgraded our EBITDA margin guidance from 28% to 30%, to 32% to 35% range for our full year.

With that, I will now hand over our floor to Chief Financial Officer, Bhavin Shah, who will walk you through the financial update. Over to you, Bhavin bhai.

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Bhavin Shah: Thank you, Abhishek bhai. I would like to briefly highlight the key performance metrics for the quarter and 9 months of FY '26 before we open the floor for questions.

Let me start with the quarterly performance. Revenue from operations for the quarter reached INR393.2 crores, representing 43% growth Y-o-Y. Gross profit for the quarter was INR224 crores, reflecting a 76.1% increase compared to the same period last year.

The gross margin expanded by 1,073 basis points Y-o-Y to 57%. Gross margin was driven by improved product mix. EBITDA for the quarter was INR150.7 crores, which represents more than two-fold increase compared to the EBITDA of the same period last year. EBITDA margin

were at 38.3%, up 1,335 basis points Y -o-Y. EBITDA margin was driven by expansion in gross margin as well as operating leverage.

PAT for the quarter was INR106.2 crores, up 133.7% Y -o-Y. PAT margin for the quarter was 27%, which show an expansion of 1,049 basis points Y -o-Y.

Moving on the 9 -month FY '26 performance. Revenue from operations for the 9 months of the year reached INR906.6 crores, representing 29.8% increase year -over-year. EBITDA for the 9 months '26 was INR296.9 crores, which was 2x compared to the same period last year. PAT for 9 months FY '26 was at INR222.1 crores, which more than doubled compared to the same period last year.

Moving on to the balance sheet items. Net cash and cash equivalents were at INR129.5 crores as on 31st December, 2025. Our working capital for the quarter was 111 days. This is mainly on account of higher debtor days, whereas inventory and creditors remained stable. With that, I request the moderator to open the floor for questions. Thank you.

Moderator: Thank you. We will now begin the question and answer session. The first question comes from the line of Rikin Shah with Boring AMC.

Rikin Shah: Congratulations on a blockbuster performance. First, I wanted to ask the overall direction of the semiconductor chemicals, both the verticals. So in the last call, we have mentioned about some new product launches and trial batches for Baba. And also, if you can shed in, the same question, but shed some light on the --

would you say, the guidance of the facility in Korea, coming up?

Abhishek Patel: On Baba Fine Chem business side, as we discussed last time also, as our endeavor is to promote our products ex of Heraeus business, which we were not marketing earlier at the time of acquisition that we have started marketing in a newer geography, and that has shown a very good result.

And you can see the Baba Fine Chem business has started turning around in terms of revenue. I think the last quarter was more of a kind of bottom point for us from where we have started positively from this quarter onwards. And going forward, we are expecting some more traction coming in business. It will be a slow process, but we are already on that good part of growth.

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So it's an encouraging result for us. For Indichem side, the capex has started almost 4 months back, and it is progressing well as per the plan. We have already invested INR130 crores towards the capex. And hopefully, by end of this calendar, we should be able to complete the capex and start the business.

Rikin Shah: Got it, sir. All right. So -- okay. Sir, last quarter also, we had mentioned in non -CDMO business, and you've also mentioned again, a change in the product mix. Also, you've mentioned there is some conversion to flow technology. So my question is that some of the legacy molecules, they could have been transferred to flow tech much, much earlier. So what has essentially changed? And why has this increased this much right now? Just trying to reason with what is happening?

Abhishek Patel: So when we talk about the changing to the flow chemistry and all those things, that is not related to the CDMO business. CDMO business is a completely with close connection with the customer. We cannot right away change to any of those...

Rikin Shah: Right, sir. I mean, the non -CDMO products only, sir ?

Abhishek Patel: Yes, sorry. For ex -CDMO business, this is a very standard process for us to look at every product on a monthly and a quarterly basis. If there is any threat related to margin or any cost pressure, we do the cost improvement, margin improvement measure for this. So this is how we keep on upgrading our product , working on our cost on a regular basis. And those are the permanent kind of things which get -- which is the margin improvement.

More of a margin improvement for this quarter is again for the -- because of the product mix only. If you look at the gross or material margin level, it is an improvement of 1.2%, which is where you see the product mix shifting. And rest of the margin is coming from the operational efficiency.

Rikin Shah: Got it, sir. Sir, what utilization would we be in Ankleshwar? And along the same line, sir, what is the plan for incremental pharma intermediate capex post -Ankleshwar is at peak capacity utilization?

Abhishek Patel: At Ankleshwar plant, the utilization has been 40% for the quarter. And slowly -- because see, once the plant gets ready, which was completed last quarter only, so it's a time for products to get validated from the newer site. And slowly, we will start ramping up from that side. So newer products which are coming into the basket from our product portfolio and R&D line .

That now we have started shifting -- we are doing with the Ankleshwar site as well as some of the existing product, which we are just slowly transferring to the newer site. In terms of capex for this site, it is still premature to announce anything. But as we mentioned, this largely covers

our growth requirement till FY '28. So before 1.5 years, we may come up with some capex plan based on the market condition and future growth requirement.

Rikin Shah: Got it, sir. So you've been 40% for Block 3 or for the entire site?

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Abhishek Patel: For entire

site, covering now all blocks, are available -- for availability of all block whatever time it was.

Rikin Shah: Got it. So -- and you have mentioned three new CDMO manufacture projects in H1 FY '26. And you had also guided that they will ramp up in H2 FY '26. So how has been the movement of these new CDMO projects, ex of our core CDMO molecules?

Abhishek Patel: Ex of first CDMO of which we are talking about, we have validated in total -- four number of projects have already been validated . These are already commercial products, but meaningful revenue we are expecting from next financial year onwards. Meanwhile, there are many other products which are going for validation on a continuous basis expected from -- in this quarter also.

Rikin Shah: Got it, sir. And just the last question from my side. In terms of sustainability of margins, gross margins, what would be your outlook for that for at least if you can't say for a few years, then maybe for FY '27?

Abhishek Patel: Actually, we are not guiding for any of a margin, but we can discuss at a relevant time for FY '27.

Rikin Shah: All right, sir. Thank you so much. Good luck.

Moderator: Thank you. Th e next question comes from the line of Sudarshan Padmanabhan with ASK. Please go ahead.

Sudarshan Padmanabhan : Yes. Thank you for taking my question. A ctually, taking forward from the previous participant, I mean, now two things. One is we know that the oncology product itself is doing well. If we go by Orion's commentary this year and also there is a lot of product life cycle extension happening.

So if I look at 3 years when you're talking about the INR1,000 crores target, how is the contribution from non -oncology products going to be? So if you can give some color on the dependency of oncology and how are the other products in the pipeline?

Abhishek Patel: So as we mentioned, we have already validated four more products. And during my commentary, I mentioned, this gives us the confidence that we'll be able to cross INR1,000 crore mark for the CDMO business by FY '28. So apart from that already going oncology product, we have a very good pipeline of CDMO products in our product basket. In fact, that has been very encouraging seeing the kind of growth we are seeing for al l those product development happening at our end.

Sudarshan Padmanabhan : Sure. And sir, then coming to the electrolyte business that is on the battery chemical side. Now we are looking at vinyl carbonate and fluoroethylene carbonate, a couple of products. But if I take 2, 3 years down the line, are we looking to expand this bas ket? I mean, what is the strategy here in terms of growing the booking of product?

Abhishek Patel: Yes, of course. This has been two pioneer or stepping stone kind of product for us through which we get into this business. But as we discussed last quarter also, we have already commercialized two more products in this space. Capex Phase 2 has already been announced, which is already

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under implementation and expected to get completed by Q1 FY '27. And there are additional further more products which are already under development and for which business development is also going on, you can find our list of products at our website also.

Sudarshan Padmanabhan : And this will largely be towards the OEMs, right? I mean the battery cell OEM partner?

Abhishek Patel: Yes.

Sudarshan Padmanabhan : Okay. Sure. Thanks a lot, sir. I will join back in the queue. All the best for the future.

Moderator: Thank you. Th e next question comes from the line of Krishan Parwani with JM Financial.

Krishan Parwani: Congratulations once again on very strong results. Just a couple of questions from my side. First, have you signed or are looking to sign any new CDMO contract for the four products that have been validated you mentioned?

Abhishek Patel: Yes, of course.

Those are with the originators and relevant contract will be signed at a relevant time.

Krishan Parwani: Okay. And would you be, let's say, I know you will not be giving out the names of the products, but would you be, let's say, signing the contract or no?

Abhishek Patel : Sorry, I didn't get you.

Krishan Parwani: I'm saying, as and when you sign the contract, would you be announcing the...

Abhishek Patel: We will update as and when some material update is to be provided as per the regulatory requirement.

Krishan Parwani: Sure, sure, sir. And just one clarification. On Indichem investment, you said INR150 crores will be in FY'26. So basically INR370 crores cash outflow in FY '26, correct? INR220 crores, the capex and INR150 crores investment ?

Abhishek Patel: We have invested INR140 crores by this year. With the combination of capex electrolyte, it should be INR220 crores. And Indichem investment is INR130 crores for the full year.

Krishan Parwani: Okay. So basically, INR350 crores to INR370 crores cash outflow in FY'26, correct?

Abhishek Patel: Yes. And next round of capex that can -- next round of investment for Indichem, part may come in this quarter also.

Krishan Parwani: Okay. And did you mention the battery chemicals incremental capex for the two new products that you have added? What would be...

Abhishek Patel: That is what the second phase is.

Krishan Parwani: Okay. Okay. And revenue contribution you said will begin in the mid of FY '27 from these two new products?

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Abhishek Patel: Yes.

Krishan Parwani: Okay. And VC/FECs already begin, I think Naresh bhai mentioned from 17th January, also ?

Abhishek Patel: No, let me clarify on this. On the 19th of January, plant inauguration was done. Then now we are in the process of for validation, trial batches and then commercialization will happen probably by end of this quarter.

Krishan Parwani: Understood. So basically, 1Q FY '27 is we can assume the contribution from VC and FEC?

Abhishek Patel: Yes. Yes, you rightly said, as you would know that we have already orders in place. So by quarter end, we should be able to hopefully start commercial supply.

Krishan Parwani: Perfect. And last bit, so which cost overheads, let's say, that contribute to reduction in other expenses this quarter? Because other expenses declined quite a lot in this quarter. So just wanted to understand the reason there. I mean it's only a INR3 crore s reduction ?

Bhavin Shah: So Krishan, it was largely on account of savings on energy cost, then there are a few consumable and repair items. And we have improved many of our internal processes. And -- so those all things has helped us to reduce on other overheads for this quarter.

Krishan Parwani: Understood. And the energy savings is from the solar plant that we had installed, correct?

Bhavin Shah: Largely from that.

Moderator: The next question comes from the line of Abhijit Akela with Kotak Securities.

Abhijit Akela : First, on the battery chemicals piece, if you could please just remind me what the new capacity addition is from the two new products coming up by 1H, I guess? And what is the capex that's being invested into those?

Abhishek Patel : So actually, we have not given any -- announced any capacity number for this capex. The capex plan is INR40 crores.

Abhijit Akela : Okay. Got it. And with regard to Baba, given that the business has started to turn around, is there a revenue sort of guidance that we could look at for FY '26 as a whole?

Abhishek Patel: So as of now, we have not given any guidance on this. Obviously, this is a season for budget also, we may give the guidance at relevant time.

Abhijit Akela : All right. And just one last one from my side. With regard to the product concentration, it does seem like maybe the top CDMO product is driving a lot of the growth for the co

mpany over the

last year or so. We have a lot of other growth projects coming up in the next year to 2 years. So

if we look out maybe 3 to 5 years, what sort of product concentration would you expect to see

from the top product just over that time frame? I mean, how significantly can we de -risk

ourselves from that concentration risk?

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Abhishek Patel: So as we already discussed, we are working and as we mentioned, four products are already validated and there are many more products in pipeline for CDMO business apart from the

traditional business. And then another growth engine of electrolyte and semiconductor is coming up. So obviously, the idea is to derisk product concentration going forward. But I will not be able to give you any guidance on the product mix in next 3 years' time. But on the generic side also, the products like apixaban, rivaroxaban are already progressing well. So those are also kind of engine for -- apart from this, the CDMO space.

Moderator: The next question comes from the line of Pratik with Union Mutual Funds.

Pratik: Many congratulations, Abhishek bhai, Naresh bhai, for great set of numbers. A couple of questions from my side. On your onco CDMO, how is the outlook looking in terms of new indication, new geography additions? What sort of outlook are you envisaging based on your interaction with the customers for your onco CDMO?

Abhishek Patel: See, for this business, as you know, this is a CDMO business, we are completely driven by the whatever projection has been given by our end customer. So obviously, as you read in the market and related to product and market expansion, but we are giving the INR1,000 crore guidance based on whatever the customer expectation is there for till FY '28.

Pratik: Got it. And in terms of this recent EU FTA, will we benefit in any ways?

Abhishek Patel: So let's say, for EU FTA deal, obviously, it will be a welcome deal not only for us, it's for the whole industry. So we may also be the beneficiary of whole as an industry cycle.

Pratik: Are any of our products under tariffs?

Abhishek Patel: So we are supplying on a product on a CIF basis, and it's a customer's requirement to get it custom clear at their end. But for us, it has not been any time matter of concern earlier also.

Moderator: The next question comes from the line of Rohit Nagraj with 360 One Capital.

Rohit Nagraj : Congrats on very strong set of numbers. Sir, first question on CDMO front. So during the first 9 months, how many total commercial products that we are servicing on the CDMO? And what could be the mix between pharma and agro? And an allied question to that , when we see FY '28, INR1,000 crores , what is the kind of mix that we are looking at from pharma and agro?

Abhishek Patel: No. When we talk about INR1,000 crore s revenue, it is for the CDMO business only. So it's not -- when we talk about -- it's not about split between pharma and agro.

Naresh Patel: There is no agro business in CDMO. All the CDMO is only from pharma. Rest, Abhishek will give the answer.

Abhishek Patel : Okay. So all CDMO business is to pharma only, no agro business is there. And in terms of product mix or that we are not guiding or that we have not disclosed anywhere because of the confidentiality nature of the CDMO contracts.

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Rohit Nagraj: Sure, sure. I'll just rephrase the question. How many molecules are currently being commercialized? And when we'll reach, say, INR1,000 crores, what is the number of molecules that will be commercialized and those will be serviced?

Abhishek Patel: As on date, we have already five commercialized product, as we mentioned. And going forward, obviously, the number will be higher. It is difficult to say the number of products which will be contributing till at the end

of FY '28.

Rohit Nagraj: Sure. That's clear. Second, on the Indichem venture, when do we expect the commercialization of the facility and probably the first year of operation and any visibility in terms of how the revenues are likely to be scaled up? And what kind of arrangement i n terms of product offtake that we are currently looking at?

Abhishek Patel: For Indichem project, as I mentioned, our plant -- capex should completed by this calendar year, year 2026 and next year -- calendar year onwards, we should see revenue coming up in this business. In terms of number or the size or a scale of this business, largely, you can expect that for the semiconductor business, the asset turn will be in the range of 1 to 1 and with a high EBITDA margin as compared to pharma business.

Rohit Nagraj: Sure. Just one clarification. For the first 9 months, what could be the CDMO contribution in our total revenues?

Abhishek Patel: I'm afraid I will not be able to give you this specific number.

Moderator: The next question comes from the line of Jason Soans with IDBI Capital.

Jason Soans: Really congratulations on a very strong set of numbers. Sir, first question, just wanted to understand -- I mean, of course, I understand that the CDMO piece is doing really well. But around two quarters back, you did give some color on how the CDMO piece is doing and the non-CDMO piece is doing. So CDMO, yes, doing very well. Just wanted some color on the non - CDMO business as well. How is it shaping up?

Abhishek Patel: Non-CDMO as I mentioned during my commentary also, the non -CDMO Pharma Intermediates business is also growing in a higher single -digit number. You may feel like it's a lower number. But as I mentioned, now we are more focusing towards the quality growth as compared to the

commodity intermediate products.

In terms of growth for this business, as I mentioned, some of the generic products, a couple of generic products are already doing well in this financial year and last quarter also and some of the new products are expected to join in this business for coming quarter also. So these are the products which are driving growth for us in non-CDMO business also, but because the pharma CDMO business is growing exponentially, it has become the more highlighting point for all of us.

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Jason Soans: Yes. Sure, sir. Sure. And sir, just -- I mean, you usually do give the EBITDA margins for the segment. So sir, just for the API business and for the Specialty Chemicals, what are the segmental EBITDA margins, sir, for this quarter?

Bhavin Shah: For the quarter, EBITDA margin for Pharma business is around 41% and Specialty is around 12%.

Jason Soans: Okay. And sir, related to that, just wanted to understand, I know additives hasn't started yet, but it will start, it will soon start. So just wanted to understand, initially, what kind of margin are you baking in for this additives business? And so first start and then at optimum utilization, is a 20% margin safe to basically incorporate at an optimum utilization scale?

Abhishek Patel: See, we have not guided any margin expectation for this business as of now. But what I can share is the margin profile will be below the traditional Pharma Intermediates business and above the existing paraben, the commodity chemical business. Obviously, at the beginning, the margin will be lower because of the operability or the scale of the business, but it will get better. But as you know, we have a good contract in hand, so the scale-up should be much faster to get the operational -- operating efficiencies.

Jason Soans: Sure, sure. Sure, sir. And sir, just to clarify, just if to -- the capex for the electrolyte additives was INR177 crores when you mentioned it. Now you're adding INR40 crores more to it. Is the understanding right?

Abhishek Patel: Yes.

Jason Soans: That's

right. Okay. That's good. So INR177 crores and INR40 crores, you'll be adding more.

And again, another clarification, which I had is you said that the capex is INR220 crores for '26.

So INR220 crores plus your INR130 crores going to Indichem, that kind of totally becomes INR350 crores. Is that also understanding should be right, correct?

Abhishek Patel: No. So for full year -- so for INR220 crores in full will not get completed by March '26. But when it gets completed, total -- for electrolyte, total capex will be INR220 crores. And for -- at the full company level, the total capex will be INR220 crores, including all the segments.

Jason Soans: Okay. So even including the Indichem investment, it will be INR220 crores?

Abhishek Patel: I'm talking about capex. So it will be by end of the year, capex towards electrolyte will be in the range of INR170 crores for this financial year, INR20 crores maybe towards the pilot plant and remaining will be maintenance, some portion of the solar capex, total going to INR220 crores.

Jason Soans: Okay. And INR130 crores is over and above this. Indichem is separate from this, that's what you are saying.

Abhishek Patel: Indichem investment is over and above this. Your understanding is correct. INR220 crores plus INR130 crores. Overall it will be around INR350 crores.

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Jason Soans: Yes. Sure, sure. And sir, just lastly, I wanted to understand, sir, I understand the BFC and Indichem are basically focused on the semiconductor space. Just sir, if you could give us some understanding on -- some color on how complex, high margin will these products be? Probably you are saying '28 -- by '28, you'll see meaningful revenue from these set of businesses as well. So if you could give us some color on how complex, how margin -- high margin these products can be or what potential these products can contribute?

Abhishek Patel: So what I can share to you is you already know about the margin profile of BFC because it's already our existing business. You can refer our financial also. And on top of that, I can add that at Indichem in South Korea, we are going for further value addition in this space. So these are what I can share to you on this.

Moderator: The next question comes from the line of Sajal Kapoor with Antifragile Thinking.

Sajal Kapoor: Fantastic work Acutaas team, moving -- not just looking at this quarter, I mean, moving gross

margins from 40%, 45% to upwards of 55% now in just about 2 years is a clear testament to your focus on efficiency and smart execution. So well done on that. Coming to my questions, 3 years from now, what would convince us that Acutaas successfully transition from a diversified specialty chemicals company to a sort of scientifically differentiated electronics-grade chemicals platform? And what would failure look like 3 years out?

Abhishek Patel: So as our Chairman, Naresh bhai already mentioned during his speech, for him, in next 3 years, he expects all his three verticals standing -- not only standing on its own feet, they would be contributing meaningfully and generating a good amount of profit in all those segments. This is what we would like to see in the next 3 years' time.

Sajal Kapoor: Yes. So in terms of some of the critical capabilities, I mean, be it talent, purity control, customer trust or capital, what out of these will be the hardest to scale? And how are you positioning yourself just to protect the downside?

Naresh Patel: Okay. Sajal ji, when we started this journey, we design -- when we design the plant and everything, all the time lines and requirement of the project is designed. And accordingly, we are having successful installation of the plant as well as parallelly recruitment of the people, talent and also technology implementation, everything is as per the program and time line, we are doing that.

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So we don't see any hurdle in this kind of technical people available. Secondly thing is that whatever the processes are there, that is in-house design. So we have a strong knowledge about our processes. And wherever we don't know the strongness, then we do a JV like an Indichem, where we are doing an operation, but the knowledge is coming from our partner. So this is how we solve our problem or any issues which is coming in that. So I hope this will help you to understand.

Sajal Kapoor: Yes, it does. Yes. And lastly, beyond absolute R&D headcount, which I think is currently about 130-odd scientists. So beyond the absolute headcount, how has our effective scientific throughput changed over the last sort of 12 to 18 months? I mean, be it -- I mean, you can

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measure it in terms of projects per scientist, time to qualification or successful tech transfers to manufacturing.

So I'm just trying to understand the rate of change that has happened in the organization above and beyond the R&D headcount, which we keep publishing over the last 12 to 18 months because a lot of material change has happened on the gross margin, as I said. And I've seen many chemical companies struggle with the gross margin, 40%, 35% in that range. Clearly, we have broken out. So something must have happened beyond the absolute numbers, right? I mean, so if you can just give us some sort of a qualitative understanding.

Naresh Patel: As when I started this journey in public, we always say that we are a chemistry-driven company, R&D-driven company. So our core strength is our R&D. And our team, core people are very well knowledgeable about the chemistry, what chemistry we do. We are very expertise in that. We have more than 680 molecules developed in our R&D.

So that will help us to understand the chemistry. USP of incremental margin is not only R&D, but every -- all the sectors, there are several parameters which is contributing to make the margin improvement, which is not only including the process improvement, but also energy, technology, operational efficiency, these all -- utility. Everything is combinedly work on that and that's how we had improved our margin.

Also the product mix lay off some products which are almost old age and no margins remain in that. So these are all things which is cumulatively effort done by the team. And accordingly, we improved our margin. So from R&D point of view, our run rate of developing around 50-odd molecules annually and which is we are doing very well. So -- and sooner or later, we go for the expansion of our R&D also as and when we require, we will announce that as well.

Sajal Kapoor: Right. Because I was coming to that. So currently, we are at 130, 140, you expect that number to bump up over the next 12 months or so, right?

Naresh Patel: Yes.

Moderator: The next question comes from the line of Bharat Shah, an Individual Investor. Please go ahead.

Bharat Shah: Naresh bhai, I didn't have any question, but I just wanted to congratulate you and the team from a small firm with patchy businesses to specialty and multiple products, plus much more on the unveil from kind of commodity businesses in API and intermediate to specialty and developing CDMO, semiconductor and battery chemical specialties, I think the firm has come a fantastic way and all of that in a relatively short period of time. So heartily congratulations to you and the team. This is a dramatic performance.

Naresh Patel: Thank you, Bharat bhai, all blessings of you and all investors. Thank you. Please keep us vigilant

and more vigilant to work on projects, that encourage us to perform more and more better way. Thank you, Bharat bhai for keep trusting us.

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Bharat Shah: No. And I've

also seen that interaction with your team members is never about numbers, but about the business. And how well, for example, Abhishek, invariably deals with all business - related issues and how things are progressing. It is very heartening. Otherwi se, many of these discussions end up being very mundane, but this has been a refreshing exchange of views while talking to your team.

Abhishek Patel: Thank you. Thank you, Bharat bhai.

Naresh Patel: Thank you, Bharat bhai, for admiring my team. I'm really happy to hear this kind of acknowledgment from a very veteran person like you from industry.

Moderator: The next question comes from the line of Vignesh Iyer with Sequent Investments.

Vignesh Iyer: Congratulations on excellent set of numbers. Sir, my first question is on the working capital part of it. I wanted to understand what was our working capital days in quarter 3 net working capital.

If you could give us a split of the inventory receivable an d payable, if possible?

Abhishek Patel : So it is 111 days, debtors stand at 100 days, inventory at 55 days and payable is at 44 days.

Vignesh Iyer: Okay. I mean so what is the standard -- I mean, I think the inventory days are a bit higher than usual. Any specific reason for that? Will we see that the days go down in quarter 4?

Abhishek Patel : So traditionally, we said that 110 days are the standard for many quarters. And what we try to always see that we should reduce and come it down to 100 days. But 110 days is a very standard period and comfortable for looking at our business. 55 days of inv entory, I believe that is a good benchmark in the industry also.

So 55 days is a comfortable standard for wo rking with our kind of business, In fact, there is -- obviously, there will be many scope for improvement for inventory or working capital days. And we are working and we -- in fact, if you see, we have not only gone beyond our growth for the revenue.

We have always kept our eyes on the balance sheet item and the cash flow. And if you see in last 3 years also, we have always sequentially improved our working capital days. Obviously, there will be a room for the improvement of inventory days or debtor da ys any time , but we have always been a good cash flow generating company, if you see last 3 years' performance.

Moderator: The next qu estion comes from the line of Vivek Gautam with GS Investments.

Vivek Gautam: Congratulations on a consistently good set of numbers. Sir, my question is about the opportunity size for our different segments. And number two is about the Chinese competition threat in any of the segments, sir?

Abhishek Patel: For Chinese competition, see, we are into the business of chemical and intermediate. So we cannot ignore the Chinese competition. And we have been dealing with all those competition for almost more than a decade. What I can say is that we are very good at a chemistry. That is our strength.

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And we do multiple chemistry for any of the product at a large scale, which is a key or USP for us as against any Chinese competition. And that's the reason you can see that for majority of our top products, we are the leader, covering more than 70%, 80% o f the market share. So it's nothing or something which we are dealing day in, day out.

In terms of market opportunities, let's say, for some of the products like anticancer, which is already going well, you can refer some of the presentation of our customer and end customers, which can give you the insight about these things. And in terms of this product like electrolyte additive space, where VC and FEC, we have a very humble capacity of 2,000 metric ton in terms of as against whatever -- as against the total VC and FEC market in terms.

So as of now, we are very small as against the opportunity size available, both for the VC/FEC electrolyte additive product as well

as the semiconductor space where we have only just started in this business. So 2,000 metric ton for VC and 2,000 for FEC, i t's a very small size as of now as against the full opportunity size.

Vivek Gautam: And sir, lastly, how much of the exposure we are having for the U.S. market? And any impact

of tariff and other things?

Abhishek Patel: We have a very small amount of direct export to the U.S. market. Largely, it is from our subsidiary called Baba Fine Chem only. So we do not have much of the impact for U.S. tariff.

Moderator: The next question comes from the line of Akshay with AK Investment.

Akshay : Congratulations on very strong set of numbers. Sir, all my questions have been answered. But my only question is that after FY '26, can we grow sustainably by 25% to 30% year -on-year till next 4 to 5 years for consolidated business?

Abhishek Patel : Sir, we have been growing for more than 25%, not for last 2, 3 years, we have grown more than 25% for more than decades. And that is what we have already guided the market that for next 3 years also, we would be growing more than 25% at a revenue level.

Akshay: Yes. That's right and very promising. All the best for the future. Thank you so much.

Moderator: Thank you. The next question comes from the line of Jason Soans with IDBI Capital.

Jason Soans: Just a small question I had. I mean, you have a 2,000 ton capacity of VC and FEC both, right? Now I just wanted to know you also have contracted...

Abhishek Patel: 4,000...

Jason Soans: Yes. 4000 in total, yes. So sir, with the contract in place, any capacity utilization you are looking at going ahead? I mean, how much would that -- with the contract in place, how much of that capacity of the 4,000 it would take?

Abhishek Patel: So because of the confidentiality of the agreement, we will not be able to share the utilization. Otherwise, people will figure out the contract details. So we are not disclosing it. But as I

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mentioned, we have good visibility in terms of contracts for FY '27 and going forward also. And we are expecting fast scaling up of this business.

Jason Soans: Okay. And sir, just also with all that happening in China with the anti -evolution and things and with lithium prices, electrolyte prices and additive prices also going up with lithium carbonate and all, do you think -- I mean, whatever you're seeing that bodes very positively for the additives business going ahead?

Abhishek Patel: So additive business, as I mentioned, we have already signed contract in place, which is more of a fixed pricing contract with variability if is there in terms of key raw material as well as the as well as the currency pricing. So we believe in long -term s upply or long -term relationship with the customers. And obviously, we earn our margin based on those already signed contracts.

Jason Soans: Okay. So this contract is in place probably for future contracts, it would be beneficial, correct?

Abhishek Patel: So as I mentioned, we believe not on the short -term gaining of this market movement, we more driven by the long -term supply contract.

Moderator: The next qu estion comes from the line of Chandra Rampuria with Arya Finvest.

Chandra Rampuria: Hello, can you hear me, please?

Abhishek Patel: Yes.

Moderator: Yes, sir. Please go ahead.

Chandra Rampuria: Yes. Naresh bhai, superb results and very well done. And I have been following your growth for some time now and really impressed. Short while ago, you mentioned in the context of the anticancer CDMO that the projections are from the customer are in place till '28. So just wanted to get the clarification. Is it the projections are there till '28 or is the contract till '28?

Naresh Patel: We never said that we have up to '28, we have some projection or something like that. We always said that we have a long -term supply co

ntract for the anticancer.

Chandra Rampuria: Because short while ago, you mentioned about the revenue guidance till '28 and that is based on customer projections. So that's why there's this clarity ?

Naresh Patel : No. So for '28, we announced INR1,000 crore s CDMO business. So that CDMO business is not only belongs to anticancer. This is the cumulative of several other CDMO as well. And that will be -- we will be complete by 2028. We reached this milestone. This is what I said. But that milestone, INR1,000 crores is not belongs to the CDMO of anticancer, but this is a bundle of several CDMO business. I hope this will clarify your doubt.

Chandra Rampuria: Sure. That's helpful. Thank you.

Moderator: Thank you. Ladies and gentlemen, due to time constraints, this was the last question for today. I now hand the conference over to the management for closing comments.

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Naresh Patel: Thank you to the JM Financial team for hosting our conference call. We appreciate everyone's patience and hope we have addressed most of your queries. If we missed any of your questions, please reach out to our Investor Relations team, and we will get back to you promptly. Once again, thank you very much and have a good evening.

Moderator: Thank you. On behalf of JM Financial, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

This document has been edited for readability purposes.

Call: May 2026

A C U T S® ACUTAAS CHEMICALS LIMITED
A ** (Formerly known as Ami Organics Limited)
CIN No. : L24100GJ2007PLC051093

You and us: chemistry's apex

May 06, 2026

To, To,

The Corporate Relations Department, The Listing Department
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Dalal Street, Fort G-Block, Bandra Kurla Complex,
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Scrip Code: 543349 NSE Symbol: ACUTAAS

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q4 FY26 financial results held on April 30, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on April 30, 2026 post announcement of financial results for the fourth quarter and year ended on March 31, 2026.

The same will also be available at the website of Company at www.acutaas.com.

This is for your information and records.

Yours faithfully,

For, ACUTAAS CHEMICALS LIMITED

Cs Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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"Acutaas Chemicals Limited

Q4 FY26 Earnings Conference Call "

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MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR – ACUTAAS CHEMICALS LIMITED

MR. ABHISHEK PATEL – VICE PRESIDENT –
STRATEGY – ACUTAAS CHEMICALS LIMITED

MR. BHAVIN SHAH – CHIEF FINANCIAL OFFICER –
ACUTAAS CHEMICALS LIMITED

MODERATOR MR. ROHIT NAGARAJ – 360 ONE CAPITAL

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Moderator: Ladies and gentlemen, good day and welcome to the Acutaas Chemicals Limited Q4 FY 26 Earnings Conference Call hosted by 360 One Capital. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone .

I now hand the conference over to Mr. Rohit Nagaraj from 360 One Capital. Thank you, and over to you, sir. Please proceed.

Rohit Nagaraj : Thanks, Shailendra . Good evening, everyone, and thank you for joining us on Acutaas Chemicals Q4 FY 26 Earnings Conference Call. We thank the management for providing us the opportunity to host this call. Today, we have with us Acutaas Chemicals management represented by Mr. Naresh Patel, Chairman and Managing Director; Mr. Abhishek Patel, Vice President, Strategy; and Mr. Bhavin Shah, Chief Financial Officer. I would like to invite Mr. Bhavin Shah to initiate the proceedings now. Over to you, sir. Thank you.

Bhavin Shah : Thank you, Rohit. Good evening, everyone. We are pleased to welcome you all to our earnings conference call to discuss Q4 FY 26 financials. Please note that a copy of our disclosure is available on the Investors section of our website as well as on the stock exchanges. Please do note that anything said on this call, which reflects our outlook towards the future, or which could be construed as forward-looking statement must be reviewed in conjunction with the risk that the company faces.

The conference call is being recorded and the transcript, along with the audio of the same will be made available on the website of the company and exchanges. Please also note that the audio on the conference call is a copyright material of Acutaas Chemicals and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company.

Now I would like to hand over the floor to our Chairman and Managing Director, Mr. Naresh Patel, for his opening statements. Over to you, sir.

Naresh Patel : Thank you, Bhavin. Good evening, everyone. I hope you are all doing well. I will provide an overview of industry and about our future strategies before handing over to Abhishek for detailed business updates. The chemical industry has once again navigating turbulent conditions driven by the ongoing conflict in the Gulf region, which has disrupted supply chain for key feedstocks and consequently pushed raw material prices higher.

Shipping schedules and vessel availability have also been affected. We are closely monitoring how the situation evolves. On our part, our procurement and operations teams have acted swiftly, and we do not anticipate any raw material shortage that would impact our production continuity.

On the demand side, momentum remains strong. New product inquiries continue to come in at a healthy pace while demand for existing products remain robust. We are working closely with Acutaas Chemicals Limited

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our customers to ensure on-time delivery and uninterrupted supply through this period of market uncertainty.

Turning to our strategic initiatives. I'm pleased to share that we are making strong progress on our journey to build a diversified multi-vertical chemicals company. In our battery chemical business, the foundation is firmly in place. We have successfully commercialized our first two products and have a healthy pipeline of new products in development. We expect to bring two additional products to commercial scale in FY 27, further strengthening our revenue visibility backed by long-term customer contracts.

In our semiconductor business, the product expansion strategy at BFC is clearly gaining traction. New products

other than Heraeus' products are expected to be a meaningful contributor to growth in the coming year, and we will continue building on this momentum to establish BFC as a sizable business over the medium term.

On Indichem, our South Korea joint venture, while Abhishek will walk you through the capex details, I am pleased to share that the R&D centre is up and running. We have already started sending samples to prospective customers, a critical step that we expect will significantly reduce our time to market.

On the CDMO front, we continue to build a strong and differentiated pipeline. While commercialization in this business takes time, the ramp-up on initiative tends to be steep and sustained.

Overall, I believe that by FY '28, our both business verticals, which are in investment phase now, battery chemicals and semiconductors will evolved into independent self-sustaining growth engines.

Each contributing meaningful to our top line along with pharmaceutical intermediates business. This multi-vertical model is central to our vision of building a truly diversified chemicals company. Turning to our financial performance for the year. I'm pleased to report that we have continued our strong growth trajectory, closing the year with revenue of INR1,339 crores and our highest ever PAT of INR356 crores. These results reflect the strength of our business model and the disciplined execution of our teams. I will request Bhavin to take you through the detailed financials shortly.

To conclude, we enter FY '27 from a position of strength with a clear strategy, a strong pipeline across all 3 verticals and a proven track record of execution. I'm confident of delivering 25% revenue growth in FY '27.

With that, I would now like to hand over to our Vice President of Strategy, Abhishek Patel, who will walk you through the detailed business update. Over to you, Abhishek.

Abhishek Patel : Thank you, Naresh Bhai. Good evening, everyone. Let me take this opportunity to share further insight into our business performance for the quarter. Starting with Advanced

revenue of INR392.4 crores in Q4 FY '26 reflecting a strong year -on-year growth of 43.9%. Growth was primarily driven by CDMO business. Complemented by steady contribution from our core Advanced Pharmaceutical Intermediates segment. Here, I would like to mention that our process of reshuffling portfolio was mostly over during first 9 months, and we have seen healthy growth in this business sequentially.

Moving on to the Specialty Chemicals segment. Revenue for this segment stood at INR40.3 crores during the quarter, registering a steady year -on-year growth of 12.3%. Our Commodity Chemicals subsegment recorded degrowth during the quarter, which was offset by strong recovery in BFC business.

Now turning to capital expenditure. Cap ex for FY '26 stood at INR195 crores primarily directed towards the Jhagadia site for battery chemical project and then pilot plant at Sachin site and maintenance capex. Let me provide some additional updates on our 3 projects. Regarding the electrolyte additive capex at Jhagadia , the first phase of electrolyte capex is completed. The second phase of capex is currently ongoing and expected to get completed by Q1 FY '27. Pilot plant capex is slightly delayed due to delay in equipment arrival. It is now expected to get completed by Q2 FY '27. Apart from this, another major cash outlay during the year was our investment in South Korea joint venture, Indichem Inc. We have invested INR190 crores in this JV during the year FY '26.

Turning to our strategic infrastructure update. While Naresh bhai has covered our key growth drivers in detail, I would like to focus on the infrastructure that will support and enable growth in the years ahead.

Our existing infrastructure is well positioned to support our growth through FY '28. However, looking further ahead, we have already begun laying a groundwork for the next phase of infrastructure development, which will underpin our growth over the next 5 to 10 years.

As immediate priority, we are embarking on ambitious expansion of our R&D centre, one that will elevate it into world -class internationally renowned facility, purpose-built to meet the demand of tomorrow's industry. With planned 10x capacity expansion, the new centre will feature dedicated sections spanning pharmaceuticals, battery chemicals, semiconductor, electronics and cosmetics, et cetera. Each housed as distinct division under one roof, bringing together deep specialization and power of cross -disciplinary innovations.

This is a defining investment for our future designed to sustain our innovation pipeline and fuel long -term growth in the years ahead. In parallel, we are actively evaluating land acquisition opportunities to develop new infrastructure that will support our long -term growth ambitions.

Alongside physical infrastructure, a key pillar of strategy is deliberate migration of our portfolio towards higher-value products. The first step of strategic reshuffling of our core advanced pharmaceutical portfolio has been completed. The next phase involves the systematic replacement of commodity chemical products with a higher value differentiated

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offerings. We'll begin phasing out select commodity products this year, replacing them with a new product using same infrastructure with slight modification in calibrated phase manner.

Moving on, as Naresh bhai outlined, we are guiding 25% revenue growth in FY '27. On margins, while we remain mindful of the near -term cost pressures stemming from global supply chain disruption. We are confident in our ability to maintain EBITDA margin at a similar level in the coming year. Underpin our product portfolio upgrade strategy and improving business mix. I also want to highlight a key trend driven by our business cycle. Q1 is typically our weakest quarter with revenue steadily increasing sequentially till Q4, which is always the strongest quarter. This pattern results in H1 contributing around 40% of our top line, while H2 accounts for generally around 60%.

With that, I will now hand over our floor to our Chief Financial Officer, Bhavin Shah, who will walk you through the detailed financial update. Over to you, Bhavin Bhai.

Bhavin Shah : Thank you, Abhishek bhai. I would like to briefly highlight the key performance metrics for the quarter and FY '26 before we open the floor for questions. Let me start with quarterly performance. Revenue from operations for the quarter reached INR432.8 crores, representing 40.3% growth Y -o-Y.

Gross profit for the quarter was INR268.3 crores, reflecting 83.8% increase compared to the same period last year. The gross margin expanded by 1,467 basis points Y-o-Y to 62%. Gross margin was driven by improved product mix. EBITDA for the quarter was INR183.5 crores, which represents more than twofold increase compared to the EBITDA of same period last year.

EBITDA margins were 42.4%, up 1,487 basis points Y-o-Y. EBITDA margin was driven by expansion in gross margin as well as operating leverage. PAT for the quarter was INR134.3 crores, up 114.1% Y-o-Y. PAT margins for the quarter were 31%, which show an expansion of 1,070 basis points Y-o-Y.

Moving on the FY '26 performance. Revenue from operations for FY '26 reached INR1,339.4 crores, representing 33% increase Y-o-Y. EBITDA for the FY '26 was INR480.4 crores, which is 2x compared to the same period last year. PAT for FY '26 is at INR356.4 crores, which more than doubled compared to the same period last year.

Moving on to the balance sheet item. Net cash and cash equivalents were at INR1

98.3 crores

as on 31st March 2026. Our working capital for the year increased to 120 days from 114 days.

There was some improvement in debtor and inventory days, which was offset by lower payable days.

With that, I request moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. We have first question from Rikin Shah from Boring AMC.

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Rikin Shah : Congratulations on a fantastic set of results. I would just like first a little bit if you can expand on the R&D centre that you mentioned? And what is the idea behind that going ahead?

Naresh Patel : So thank you, Rikin. The R&D centre, which we are doing is for upgrading and enhancing our capability and capacity with our existing R&D centre because our existing R&D centre is having a capacity which can cater all the requirements, but we are expecting a lot more inquiries and more traction towards the new molecule.

So we don't want to remain out of capacity when it came. That's why we decided to have a new expanded R&D centre. And this R&D centre will be equally facilitating all the vertical in the chemical sector, which we are catering right now. So, it is designed in a single complex with all multiple outlets in the chemical.

Rikin Shah : Another question. So naturally, if I see our spec chem business is not relatively grown as quickly as our Advanced Intermediates business. And thanks to our marquee CDMO project, the differential is far higher at this point. But going forward, with -- even within Advanced Intermediates per se, we have spoken about churning out lower-margin products in Q3. So what is the base business looking like today? And do we have any growth plans for the same for the next 2 financial years?

Abhishek Patel : So basically, as we mentioned, we had some portfolio reshuffling for our pharma intermediate business ex of CDMO, and that has yielded us fruit in terms of margin expansion. I already mentioned during my commentary that after 9 months of FY '26, it has grown sequentially in Q4 FY '26 and expected to grow further in FY '27 as well.

The volume-wise, that business has grown despite of being a flat in terms of revenue. And obviously, going forward, we are expecting good kind of revenue expectation from our ex CDMO business also. Now coming to your question related to intermediate -- sorry, spec chem business, we have to understand that initially what the business we acquired through an acquisition of sites.

That business has grown in the range of 12% to 15% despite of some price reduction. But now this segment is expected to grow with additional revenue coming in from battery electrolyte additive space. And that the plant has already been constructed and the production has started. So this year, we will have a very good exponential growth coming in from Spec chem business as well.

Rikin Shah : Got it, sir. So within that, let's say, in battery chem, we have sent samples and now we've completed our first leg of capacity expansion. So in terms of contributing a little bit meaningfully to FY '27, maybe we cannot give a number today. But do we have that sort of target or understanding inside that this segment will contribute meaningfully this year? I understand you have that sort of longer-term vision of scaling this as a big business. But in FY '27, does this seem like a decent contribution?

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Abhishek Patel : Definitely, in FY '27, it will have a meaningful revenue contribution. It will start slowly with Q1 and till Q4, it will keep on ramping. And at the end of complete financial year FY '27, we will definitely have a meaningful revenue contribution. I will not put any number to it as of now because there are many variables, but it will be a meaningful contribution.

Rikin Shah : Sure. And are we taking any sort of contribution from the 2 new electrolytes we have added? Or this is just the 2 products we have discussed before?

Abhishek Patel : So as I mentioned, the capex is already going on for the third electrolyte additive product, and which is getting completed by Q1 FY '27. So once that gets completed, it will also start contributing in the revenue. And the fourth product, we are in the phase of business development.

Rikin Shah : Got it. Within the CDMO piece, we have now, I think, a basket of 5 products other than the key project that is going on today. And we have been in the process of validation and approval with the innovators and originators. So yes, the longer-term INR1,000 crore s guidance in CDMO for FY '28 is intact. But within that, obviously, for FY '27, do these 4 to 5 products also contribute something?

Abhishek Patel : Yes, definitely. As you mentioned, those are all validated products, and we are building a good revenue expectation from these four products as well apart from the first product.

Rikin Shah : All right. And last question from my side.

Moderator: Rikin sir please two questions per participant. Please come back into the queue.

Rikin Shah: Okay. I will join back the queue.

Moderator: Thank you. We have next question from Bharat Shah from BCS Capital Ideas Limited.

Bharat Shah : Congratulations, Naresh bhai and the entire Acutaas team. Once again, very robust delivery. I had only one suggestion to make and which is, in general, the feature of Indian corporate sector per se. You see a lot of businesses which have been successful over a period of time but remain underinvested in building the future by underinvesting into the innovation pipeline, underinvestment into research and development capability.

In short, building the future. Software services business is an example of that where huge cash flows, but very limited investment into building the future technology. And therefore, the struggle is evident as we are seeing. Similarly, we have seen in consumer businesses in India, which have been very successful, but invested in the new consumer-facing technology and the way of delivering.

Even our -- a lot of banks are underinvested in technology to build it in the contemporary manner. Therefore, Acutaas, which has displayed a remarkable capability in a relatively smaller size of our operation, I don't think we should remain limited in ambition by our current size. If we want to build the future, I think meaningful intelligently kind of plan within our Acutaas Chemicals Limited

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balance sheet capability. But sustained investment in building future is absolutely vital, especially in our chemical business like this because otherwise, the business will get commoditized at some stage. To kind of summarize, if we don't want the business to be commoditized, investing into the future to build it is an absolutely very vital one.

And we have done very well by taking up intelligent bets and we have to consolidate. So I think we shouldn't get deterred by our current size in order to build our future, which can be very exciting. I thought I'll just put in that word, Naresh Bhai. But once again, hearty congratulations, I mean, delightful results and the entire team deserves the credit. And congratulations.

Naresh Patel : Thank you, Bharat bhai. It's a good advice and it is coming from the veteran. It's really meaningful to us. And if you remember, in my commentary, I said that we are going to be put up a new R&D centre, which will be versatile. It is not a conventional R&D centre, but it is a versatile R&D centre, which will cater across the sector of semiconductor, electronics, electrical, battery, pharma, agro and cosmetics.

So it's a versatile R&D centre with a different segment. So you are rightly saying t

hat we need

to invest into the innovation, and this is what we do continuously. Initially, we started with the conventional chemistry to the flow chemistry, which is successfully imparted and now commercialized.

Then we enter in India in the electrolyte then -- so we're continuously making ourselves learning and then putting into the system and then executing it. So we've taken serious note on that, what you suggested. And in future, we will keep in mind when we do any new things.

Thank you very much.

Moderator: Thank you. Next question is from Garvit Goyal from Serene Alpha. Please go ahead, sir.

Garvit Goyal: Good evening, sir and congrats for a good set of numbers. My first question is on the goodwill.

Can you please elaborate on this increase in the goodwill happened in FY26 over FY25.

Specifically if this pertains to the Indichem which is a newly incorporated entity. I would like to understand what is the rationale for goodwill at this stage? And can you also give some clarity on the basis for which the management is showing the confidence on the recover of this total goodwill of INR104 crores? That's my first question, sir.

Bhavin Shah: So when you talk about INR104 crores, it has a two part. One goodwill which was created in the past that was towards the acquisition of BFC, is addition of around INR48 crores in the -- so when we have made an investment of INR190 crores in Indichem, so the partner has brought in the capital that was at par value only for 25%, which is there for our partner.

So whatever we have paid INR190 crores, out of that 25% is going towards the goodwill in our books of account. Now since this is the investment we have made and we are very much confident that this business in coming years is going to do excellently well. There is a

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valuation also attached to it is the future projection. So this has been correctly accounted as per the accounting standard guided by ICAI.

Garvit Goyal: Regarding this partnership, this JV, what is the background of that partner, what kind of expertise they are bringing -- because this JV is not having any revenue so far. So booking the goodwill is something which I'm not able to understand. Maybe they are bringing some tech.

So can you please elaborate on that part?

Abhishek Patel: First, about the background of our partner, he has been working in this space for more than 30 years. So he is a veteran in this business, understand the Korean ecosystem well apart from the international customer outside Korea like Taiwan and Japan. And he has assembled a good team of people coming from the production and R&D and regulatory side.

So this is how we have joined hand with our partner. Your question related to goodwill,

Bhavin Bhai has mentioned, for this JV, all the investment -- financial investment has been done by Acutaas, and we've given the 25% equity to the partner. So that's the reason we have to account 25% of those investment in the goodwill as per accounting standard. This is how it is going. And as we mentioned, we have a good confidence in our business with the project on and we see that definitely the goodwill is recoverable in future.

Garvit Goyal: Got it. And sir, your revenue contribution from Baba Fine Chemicals has remained limited.

And now we are doing this JV with Indichem so just wanted to understand from you how do the product offerings of Indichem and BABA Fine Chemical complement each other? Are there any clear synergies in the terms of products in the terms of customers or maybe in the terms of end application sir?

Abhishek Patel: We mentioned previously also for our semiconductor business, we have 2 different stream of revenue. One is our Baba Fine Chem business. And then in Korea, it is advanced stage product than what we offer in BFC. So these are different from what BFC is manufacturing for Heraeus

. So these are a more value-added product and a different stream of revenue.

Garvit Goyal: Okay. So what kind of peak revenue are we anticipating maybe from this capex of INR200 crores?

Abhishek Patel: We are expecting around 1x kind of revenue from this plant.

Garvit Goyal: What kind of margin, sir?

Abhishek Patel: It is very premature to say as of now because it is in a construction phase. But generally, you can expect a good margin from semiconductor business as an industry you study.

Garvit Goyal: Maybe in line with the Specialty Chemicals, sir?

Abhishek Patel: No. Obviously, not in line of the traditional specialty. It should be in line of the BFC business.

Moderator: The next question is from the line of Sanil Jain from Ambit Capital.

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Sanil Jain: Congratulations on a good set of numbers. So I just have a couple of questions. So the first question from my side is, can you give us some developments on the new CDMO products under progress other than the Fermion contract? And what can be the potential opportunity size of it?

Abhishek Patel: Okay. So obviously, we have a long pipeline of CDMO products, but we have announced validation of four more products after the first one. And those are -- when we say validation, it's a commercialized product already submitted to the customer. And now it's a process of

getting regulatory approval from those. Once that gets completed, it will keep on going on large quantity. And in terms of revenue potential, we are expecting those products to be between INR50 crores to INR100 crores each at a peak level.

Sanil Jain : That's INR50 to 100 crores each, right?

Abhishek Patel : Each.

Sanil Jain : Okay. And the second question is that we have reported excellent EBITDA margins of 42%. So can you tell us what was the EBITDA margin for Specialty Chemicals and Advanced Intermediates separately?

Bhavin Shah : So for our Pharma business for this quarter, EBITDA margin is around 44% and for specialty, it is around 13%. Sorry, for pharma, it is 44% and specialty it is 29%.

Sanil Jain : And just one more that are we planning to expand our Fermion capacity given the improved outlook by the innovators?

Abhishek Patel : So, as we earlier also said that we have got good visibility for the -- from this particular CDMO contract, and we have already built our capacity, which can suffice those production requirements.

Moderator: The next question is from the line of Nikunj Gupta from AK Investment.

Nikunj Gupta: Congratulations for the great set of numbers. My first question is, previously, we had talked about semiconductor chemical shipments to Japanese and Korean customers. So has it already been started?

Abhishek Patel : Yes.

Nikunj Gupta: Okay. And my next question is what is the revenue potential from the semiconductor chemicals and battery chemicals business over the next 3 to 5 years? And also, if you can put some light on EBITDA margins as well, that would be very helpful?

Abhishek Patel : So for electrolyte additive business, it's a function of capacity what we have built in. And as of now, the capacity for electrolyte additive is 2,000 metric ton for VC and FEC. So based on that, you can see the revenue potential coming in from that business. And related to semiconductor business, that business has been going through some difficult phase in last Acutaas Chemicals Limited

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financial year, but now it has recovered from Q4 onwards, and it will continue to ramp up in future also.

Moderator: The next question is from the line of Sai Kumar from Family Fund.

Sai Kumar: Congratulation on a great set of numbers. So my question is on, sir, this year, you have consolidated yearly EBITDA margins around 34.5%, somewhere around 35%. So for the FY '27, what kind of range you are expecting?

Abhishek

Patel : So as I mentioned during my commentary also, we are expecting a similar kind of margin in FY '27 also. For us, the margin is a function of product mix, and we expect similar kind of product mix in FY '27. That's the reason we see that it should be in a similar range...

Sai Kumar: Okay. Got it, sir. And regarding this Indichem JV, so you said like around end of FY '26, you are going to commercialize the plant. So when can we expect supplies do we need to go any valuation phase for that molecule? And when can we expect the commercial revenue from that Indichem JV?

Abhishek Patel : So as soon as the plant gets constructed, we will have commercial production going on from that plant. As Naresh bhai mentioned during his commentary, that we have already started our R&D centre in Indichem and from we have already started supplying the samples to the customer. So parallelly, by the time the capex complete, we should have some customer onboarding happening. So it can make our process faster in terms of commercial production ramp-up.

Sai Kumar: Okay. And one last question. I see -- I mean, in the China, the BYD shifting more of their battery like from lithium to sodium ion. So what is the risk you see for that shift coming for sodium ion batteries or do you supply the molecules eligible for sodium-ion battery technology as well?

Naresh Patel : See sodium-ion battery is not new. It is started inventing 7, 8 years back, and it was -- now it is full. whereas lithium battery has still potential of next 10, 15 years. So it's not that 100% replacement of sodium ion battery with lithium. So we are -- whatever we are targeting is even not 1% of the demand. So for us, it's not an impact.

Contrary, whatever the new molecule, which is coming into the electrolyte segment, there are some which is also going in this kind of area, but we can't disclose based on our contract. So it's a confirmation for us. But yes, whatever the segments are working in electrolyte battery area, either it's sodium or lithium or solid-state battery, we are there -- we are trying to supply our molecule in that segment.

Moderator: The next question is from the line of Jason Soans from IDBI Capital.

Jason Soans : First question just wanted to know the capacity utilization for the Sachin plant, the Jagadia plant and the Ankleshwar facility?
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Abhishek Patel : For this quarter under review, Q4, utilization at Sachin plant is 75% Unit 2 Ankleshwar is 31% and Unit 3 Jagadia is 50%.

Jason Soans : And sir, just wanted to understand in terms of -- you said the EBITDA margin for Specialty Chemicals in this quarter is 29%, right? Now generally, the margins are quite low. I mean, 15%, 20%, that is the kind of margins we clock. So just wanted to know what is the reason for this jump?

Abhishek Patel : So Jason, we need to understand that Chemical segment includes our traditional product as well as semiconductor and electronic business. So for the quarter, we have seen a very good growth in the BFC business, which has a very high EBITDA margin, and which is recovering from Q4 onwards. So because of this, we have seen a better margin in Chemical segment. So basically, that's a mix of both traditional spec chem margin as well as the BFC product margin.

Jason Soans : Okay. Battery chemicals also will be a part of this only, right, the specialty chemicals?

Abhishek Patel : Yes, it is part of this business only. It is a part of this business.

Jason Soans : Okay. And just one question, if I may just add on. Sir, just -- I mean, I understand 2,000 tons of both products in the battery chemicals, electrolyte additives segment. Just wanted to understand, sir, what utilization are we looking at? I mean, just -- you have those binded by long-term contracts. So you would have some idea if you could give some colour, whatever possible of what

revenue we can look at in FY '27?

Abhishek Patel : Yes. So we have 2,000 metric in capacity for both each. And as we mentioned during last commentary also that this plant is fully covered back by the customer contracts for all the capacities in next 3 years' time. I will not put in any figure around the capacity utilization expected in this financial year. But as I mentioned during my first Q&A that it will -- production has already started, and it will keep on adding quarter-by-quarter from first quarter to fourth quarter, it will definitely have a meaningful contribution from electrode additive space.

Moderator: The next question is from the line of Raj Agrawal from Niveshaay .

Raj Agrawal: I had a question on CDMO business. We have a lot of these new businesses like battery chemicals, chemicals that are scaling up. So -- and we have guided for 25% kind of a growth for the next year. So are we anticipating any kind of slowdown in CDMO or basically if CDMO performs well, then we can surprise on the upside?

Abhishek Patel : So we are guiding 25% growth with mix of all the verticals and over the total top line what we have achieved in FY '26.

Raj Agrawal: Got it, sir. And sir, on the margin side, so this CDMO business as a whole has a relatively higher margin, right? So this battery chemical business and our specialty chemical business, on the other hand, does not have that kind of margin profile. So will it be difficult to maintain the current margin profile in FY '27 or we will be able to do it with the current mix?

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Abhishek Patel : So as I mentioned during my commentary also, we are expecting similar kind of margin in FY '27 because as I said, the margin is a function of product mix, and we are expecting similar kind of margin in similar kind of product mix in FY '27 as well. So as I mentioned, there will be some meaningful contribution coming from electrolyte additive space, but there is additional delta coming from CDMO business also. So that's the reason we are expecting similar kind of margin.

Raj Agrawal: Sir, just one last thing on this. If you can just explain, what do you mean by the mix will remain the same because the mix will change, right, because you have new business that is entering this ?

Abhishek Patel : So as I said, there is some portion of additional revenue coming from the spec chem business because of battery electrolyte additive segment. And there is a CDMO additional revenue also coming. So percentage-wise, it looks similar.

Moderator: The next question is from Mehul Panjwami from Forty Sense.

Mehul Panjwami : Congratulations on a great set of numbers. My first question is what proportion of our growth in FY '27, '28 is backed by confirmed orders and long-term contracts across CDMO and the battery segment, battery chemical segment?

Abhishek Patel : For CDMO business, as I mentioned, for this customer first customer, we have long-term

supply contract already in place for 10 years. So that's backed by good visibility from the customer. And on the electro space also, as I just mentioned, we have already got customer contract in place and already signed.

Mehul Panjwami : Right. Sir, can you throw some light on -- because I'm new in tracking our company. You mentioned in one of the responses that we have a partner who is having 30 years of experience. So is it a firm or is it the individual or can you just elaborate on the contract which we have signed with the entity?

Abhishek Patel : So this partner with the contract which we have entered is a proprietary firm the experience of that part, which I just mentioned during our Indichem business partner profile.

Moderator: The next question is from the line of Krishan Parwani from SBI Mutual Fund.

Krishan Parwani : Congratulations on once again a great set of numbers. Just two questions. First, on the CDMO

pipeline, I believe, you know, we had certain production validation phases in the last quarter, and we expect them to commercialize in the first half of FY27. Has there been any update on the new products commercial. Yes. So that's question about it ?

Abhishek Patel : These are already commercialized products because it is validation, large value, and these are already supplied. Now it's not in our hand or customers' hand because it's a regulatory approval. And we have already got some projection from the customer. That's the reason I'm saying in FY '27, we will definitely have a revenue coming from other four CDMO as well. Apart from the first one.

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Krishan Parwani: Okay. And the ramp -up of those will be majorly in F'28, right?

Abhishek Patel : Yes.

Krishan Parwani : That's great, sir. And secondly, on the margins, I believe Abhishek, you mentioned margins at a similar level similar level as 4Q or similar level to FY '26?

Abhishek Patel : Similar level as FY '26. Q4 is too ambitious.

Krishan Parwani : 36% is great. And just lastly, if I may squeeze one more. So Baba Fine Chem, I think Naresh bhai in his opening remarks mentioned that there is a strong pickup that you expect over the next 2 to 3 years for the BFC -- so are the things really picking up pace right now? Or what stage are we? So just some in sights on that would be helpful?

Abhishek Patel : So just we mentioned that in Q4, the spec chem EBITDA was 29%, driven by the very good recovery business of Baba Fine Chem in Q4. So that's a sign of already recovered business for BFC and we have similar kind of visibility for FY '27 as well.

Krishan Parwani : Okay. And I believe you don't need to do a large capex for the BFC because I think you didn't mention in the plan. So is that correct?

Abhishek Patel : Yes, that's correct.

Moderator: The next question is from the line of Hemaant as an Individual Investor.

Hemaant: Congratulations on a very good set of numbers. Sir, what I understand is that since you have guided for 25% kind of revenue growth in FY '27, so I think the main contributor will be the electrolyte additive division, right? So if I take a little longer view, maybe from FY '28 and all, what can be the growth drivers for the company, sir?

Abhishek Patel : No, it's not only electrolyte additive, which will be driving the growth for FY'27. Both our pharma intermediate business is also growing very fast, and that is the biggest engine for us for the growth. And then slowly, slowly this additive business is also taking charge of our growth. And then we have a battery -- sorry, semiconductor business picking up first started with BFC and then maybe in next 2 to 3 years' time, it should be from Indichem as well. So there are 3 different growth engines, which is driving our growth for next 3 years.

Hemaant : So can we expect a similar kind of run rate, sir? I think you had earlier mentioned that 25% kind of revenue growth till FY '28, I guess, in one of the previous calls. So can we expect the same ?

Abhishek Patel : Yes, we have always guided that we are growing 25% growth. That's our history for more than a decade.

Hemaant : So any other major capex lined up? And what is the contribution from CDMO side? Because I think we have a guidance of INR1,000 crores of revenue from CDMO by FY '28?

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Abhishek Patel : Yes, that is the guidance, correct. And on the capex side, I already mentioned that for next year, our capex will be the sum of the spillover of FY '26 capex, which is around INR50 crores and around INR40 crores will be maintenance capex. And then there will be capex around the

R&D centre and the figures are yet to get finalized. We will update at a relevant time.

Moderator : We have a follow-up question from Jason Soans from ID

BI Capital.

Jason Soans : I just wanted to ask you on the -- this Indichem acquisition -- I'm sorry, the Indichem investment has been done. And -- but earlier in the last con call, you had guided for that the facility will be on stream by the start of CY '27. Is that plan on? Or has it been delayed or something like that?

Abhishek Patel : No, it is -- plan is on. In fact, it will be even earlier than what it was guided. So as I said, it will -- it should get completed in second half of calendar year '26.

Jason Soans : Okay. And sir, the capex you just mentioned, some spillover capex of this year. So basically probably around INR100 crore s odd number for '27 capex should be fine. And after that, for the R&D centre, I know you would need to firm up those numbers. So INR100 crores odd for '27 would be okay, that would be a good figure?

Abhishek Patel : So that is already planned capex. And then as I mentioned, the R&D and any other capex, we will update as and when it gets finalized.

Jason Soans : Okay. And sir, just lastly, I wanted to know, sir, this -- of course, we know the Fermion contract is doing very well. And sir, I mean, the numbers are the \$5 billion kind of peak revenue potential by the next 3 to 4 years. So just how do you see this contract ramping up? Just wanted to get some colour on from your side, how is it doing label extensions, et cetera? How do you see the contract ramping up for you?

Abhishek Patel : So those things are already available in the presentation of Bayer as well as the Fermion -- sorry, Orion presentation. And they have also guided the market about the growth of those products. So I think being their primary supplier, we should be the beneficiary of those business. And we have already guided the market that how the business is going on and further expect it to ramp up in FY '27 and going forward as well.

Moderator: The next question is from Dhara Ganatra from Value Quest .

Dhara Ganatra : Just a follow-up on the previous participant. You mentioned that there is a INR50 crores spillover of capex that will be done in FY '27. What is this INR50 crores spillover sir?

Abhishek Patel : Capex of electrolyte additive and the pilot plant.

Moderator: Thank you. The next question is from the line of Ankit Mittal , Individual Investor .

Ankit Mittal: So I was asking for the first question and that is regards to the revenue growth guidance. So as you mentioned in the last, we already know about the Fermion project and the growth

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guidance given by Bayer, which is for 50% growth in calendar year 2026. Given that we have that outlook from Bayer, so -- and also, we have this electrolyte business coming up in this financial year. So I wanted to know if we are being conservative in giving this 25% revenue growth guidance for this year? And would it be like if all the things remain condition with respect to this project, we might have an opportunity to revise this guidance later in this year?

Abhishek Patel : So we have always guided the market about 25% growth CAGR, and that has been our history. And we would be happy to revise our guidance if that business potential goes beyond those 25% at a relevant stage of this financial year.

Ankit Mittal: And secondly, on the seasonality of the business, which you mentioned in the introductory remarks, which is 40% in the first half and 60% in second half. But with this Fermion contract this year, which has already been ramped up to a decent size, do you think that seasonality will reduce this year? And I mean, Q-o-Q decline which we usually see in the first quarter, that might be limited this year given that the kind of growth we are seeing in that Fermion project?

Abhishek Patel : Yes, that is also expected in FY '27 as well.

Ankit Mittal: Expected meaning in Q1, I mean, I wanted to check if -- I mean, the usual

seasonality will

there because usually, we see 20%, 30% revenue decline Q-on-Q in Q1. But given that the significant ramp-up of Permian project...

Abhishek Patel : The impact was there in FY '24 and FY '25 and FY '26 as well. And both year has shown the similar kind of revenue trajectory Q1 to Q4. And that's our history for more than decade.

Ankit Mittal: Okay. Any particular reasons why we see it because we don't see similar, I mean, seasonality when we look at the numbers from Orion or Bayer. Any particular reasons why we see it at our level?

Naresh Patel : Sir, this is my company history is that we have always -- Q1 is lower than Q2, Q2 is lower than Q3. Q3 is low than Q4 . In last 15 years, it is like that. We are not only dealing with Fermion . We have more than 600 customers. So each customer has different require at different time, and we have more than 100 products. So it's my company's seasonality and working like that. I'm not representing fermion here.

Moderator: Ladies and gentlemen, due to time constraint, we will take this as the last question. I now hand the conference over to management for closing comments. Over to you, sir.

Naresh Patel : Thank you, 360 One Capital team for hosting our conference call. We appreciate everyone's questions and hope we have addressed most of your queries. If we miss any of your questions, please reach out to our Investor Relations team, and we will get back to you promptly. Once again, thank you very much, and good evening to all of you.

Moderator: Thank you. On behalf of Acutaas Chemicals Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

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This document has been edited for readability purposes.

Call: Jul 2026

L ACUTAAS CHEMICALS LIMITED A U T (Formerly known as Ami Organics Limited)

CIN No. : L24100GJ2007PLC051093

You and us: chemistry's apex - —

July 28, 2026

To, To,

The Corporate Relations Department, The Listing Department
BSE LIMITED, National Stock Exchange of India Limited,
Phiroze Jeejeebhoy Towers, Exchange Plaza, 5th Floor, Plot no. C-1,
Dalal Street, Fort G-Block, Bandra Kurla Complex,
Mumbai- 400 001 Mumbai -400051

Scrip Code: 543349 NSE Symbol: ACUTAAS

Dear Sir/Madam,

Subject: Transcript of Earnings Call for Q1 FY27 financial results held on July 24, 2026

Pursuant to Regulation 30 of the SEBI (Listing Obligations and Disclosure Requirements) Regulations, 2015 we hereby enclose the transcript of the Earnings conference call held on July 24, 2026 post announcement of financial results for the quarter ended on June 30, 2026.

The same will also be available at the website of Company at www.acutaas.com.

This is for your information and records.

Yours faithfully,

For, ACUTAAS CHEMICALS LIMITED

CS Ekta Kumari Srivastava

Company Secretary & Compliance Officer

Encl: As Above

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"Acutaas Chemicals Limited

Q1 FY27 Earnings Conference Call"

July 24, 2026

MANAGEMENT : MR. NARESH PATEL – CHAIRMAN AND MANAGING
DIRECTOR – ACUTAAS CHEMICALS LIMITED

MR. ABHISHEK PATEL – PRESIDENT – STRATEGY –
ACUTAAS CHEMICALS LIMITED

MR. BHAVIN SHAH – CHIEF FINANCIAL OFFICER –
ACUTAAS CHEMICALS LIMITED

MODERATOR MR. ARCHIT JOSHI – NUVAMA INSTITUTIONAL
EQUITIES

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Moderator: Ladies and gentlemen, good day and welcome to the Acutaas Chemicals Limited Q1 FY27 Earnings Conference Call hosted by Nuvama Institutional Equities. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone.

I now hand the conference over to Mr. Archit Joshi from Nuvama Institutional Equities. Thank you, and over to you, sir.

Archit Joshi: Good evening, everyone and thank you for joining us on Acutaas Chemicals' Q1 FY27 Earnings Conference Call. Today, we have with us Acutaas Chemicals management represented by Mr. Naresh Patel, Chairman and Managing Director; Mr. Abhishek Patel, President, Strategy and Mr. Bhavin Shah, Chief Financial Officer.

I would now like to invite Mr. Bhavin Shah to initiate proceedings. Over to you, sir, and thank you.

Bhavin Shah: Thank you, Archit. Good evening, everyone. We are pleased to welcome you all to our earnings conference call to discuss Q1 FY '27 financials. Please note that a copy of our disclosure is available on the Investors section of our website as well as on the stock exchanges.

Please do note that anything said on this call which reflects our outlook towards the future or which could be construed as forward-looking statement must be reviewed in conjunction with the risk that the company faces. The conference call is being recorded and the transcript along with the audio of the same will be made available on the website of the company and exchanges.

Please also note that the audio of the conference call is the copyright material of Acutaas Chemicals and cannot be copied, rebroadcasted or attributed in press or media without specific and written consent of the company. Now I would like to hand over the floor to our CMD, Mr.

Naresh Patel for his opening statement. Over to you, sir.

Naresh Patel: Thank you, Bhavin. Good evening, everyone. I hope you are all doing well. We began the financial year on a turbulent note, driven by geopolitical tensions in the Gulf. While these tensions persist, our team has done a commendable work in securing raw material availability and ensuring supply continuity.

The demand environment for our products remains strong as reflected in the quarter's results. We continue to see healthy RFP activity across our CDMO and NCE products. And our R&D team is working around the clock to service this pipeline on time.

Within Specialty Chemicals, demand for battery chemicals remain exceptionally strong. I'm pleased to share that we have successfully completed the trial run of our battery chemicals plant and started commercial supply. Demand here is unprecedented, driven by tight global supply and we, therefore, expect a rapid ramp-up over the coming quarters.

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Let me now turn to semiconductor chemicals. What we are seeing is that AI is starting to push CPU demand higher and that's pulling memory chip demand up right along with it. At a time when supply is already tight. To us, this isn't the passing phase. It is a structural phase. As more of the world adopts AI over the coming years, the appetite for CPUs and memory chip will only keep growing. Our ongoing engagement with customers reinforces our conviction that memory chip demand will remain strong. Which, in turn, will drive demand for the materials we manufacture in BFC, and plan to manufacture at Indichem.

Turning to our performance for the quarter. We delivered strong revenue of INR329.7 crores, which is growth of 59.1% Y-o-Y. This strong performance reflects the agility of our business model, our ability to adapt quickl

y to changing environment and keep delivering the products to our customers on time and without compromise. I would also like to complement our team for mitigating the logistical challenges through the quarter.

On a different note, I'm delighted to say that we have been certified as a Great Place to Work. This recognition means a great deal to us because it reflects the culture our people have built together. One of trust, collaboration and genuine pride in what we do. Our team is the engine behind everything we achieve. And this certification is proud valuation of their efforts.

I'm equally pleased to report that we have received the Responsible Care certification from the Indian Chemical Council. Responsible Care is the chemical industry commitment to the highest standard of safety, health and environment performance. And earnings it reaffirms our results - resolve to operate responsibly and sustainably even as we grow.

To conclude, we have started the new financial year on a strong note and I remain confident of delivering 25% revenue growth for the full year with stable margins. With that, I would now like to hand over to our Vice President of Strategy Abhishek Patel. He will walk you through the detailed business update. Over to you, Abhishek.

Abhishek Patel: Thank you, Naresh bhai. Good evening, everyone. Let me share some additional insight into our business performance for the quarter. Starting with Advanced Pharmaceutical Intermediates segment, this segment delivered robust performance with revenue of INR292.7 crores in Q1 FY '27, reflecting a strong year-on-year growth of 76.5%. While CDMO grew strongly year-on-year as we expected, the core Pharmaceutical Intermediates business also delivered a robust growth. This was driven by our top products as well as by a couple of new products that are gaining volume traction.

Moving on to the Specialty Chemicals segment. As communicated on our previous earnings call, we are gradually phasing out commodity chemicals from this financial year, replacing them with newer higher-margin products. Revenue stood at INR37 crores for this quarter in this segment, a decline of 10.6% Y-on-Y. Therefore, even though the BFC business recovered strongly, this

was offset by decline in commodity chemical business, which is in line with our expectations. It is worth noting that while overall capacity remains largely unchanged, some minor capex is required to align the plant for the new products. As a result, there may be a transition gap between

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phasing out of the old product and ramp-up of revenue for new ones. Having said that, we don't expect the overall specialty chemical business to decline this full financial year. While commodity chemical revenue will keep declining over the coming quarters, we expect that to be more than offset by growth in BFC and new revenue from battery chemical as well as the new specialty chemical products having better margin. Overall, we are projecting good growth in the new age specialty chemical business.

Now turning to the capital expenditures. capex for Q1 FY '27 stood at INR56 crores, out of which INR15 crores were at the Indichem site, remaining INR41 crores in ACL site, which is primarily diverted towards the battery chemical project at the Jhaghadia site. And then pilot plant at our Sachin site and maintenance capex.

As mentioned on our previous earnings call, we will incur additional capex for a new R&D center and for the acquisition of land for further capacity expansion, we will update the market once these projects are finalized. With that, I will now hand over our floor to our Chief Financial Officer, Bhavin Shah, who will walk you through the detailed financial update. Over to you, Bhavin bhai.

Bhavin Shah: Thank you, Abhishek bhai. I would like to briefly highli

ght the key performance metrics for the quarter before we open the floor for questions. Let me start with quarterly performance. Revenue from operations for the quarter reached INR329.7 crores, representing 59.1% growth Y-o-Y. Gross profit for the quarter was INR190.9 crores, reflecting a 73% increase compared to the same period last year. The gross margin expanded by 466 basis points Y-o-Y to 57.9%. Gross margin was driven by higher contribution from Pharma Intermediate business compared to same period last year.

EBITDA for the quarter was INR113.1 crores, which represents more than twofold increase compared to the EBITDA of the same period last year. EBITDA margin were at 34.3%, up 973 basis points Y-o-Y. EBITDA margin was driven by expansion in gross margin as well as operational efficiencies.

PAT for the quarter was INR74.9 crores, up 70.4% Y-o-Y. PAT margins for the quarter were at 22.7%, which show an expansion of 151 basis points Y-o-Y.

Moving on to the balance sheet item. Net cash and cash equivalents were around INR314 crores as on 30th June 2026. Our working capital for the quarter stands at 99 days versus 91 days in Q4 FY '26. This was driven by improvement in debtors and creditors, which was offset by higher inventory days.

With that, I request the moderator to open the floor for questions. Thank you.

Moderator: Thank you very much. We will now begin the question and answer session. The first question is from Abhijit Akella from KIE. Please go ahead.

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Abhijit Akella: Congratulations on a good quarter. First one, just on the battery chemicals business. Are there any revenues that we have recognized this quarter? If so, if you could please quantify those? And for the balance of this year now, what sort of revenue number can we work with for that side of the business?

Abhishek Patel: So as mentioned during commentary by our CMD Naresh Patel, the validation from new plant has already been successfully completed, and that means that we have started the supply from that plant. Now going forward, quarter-on-quarter from second, third, fourth quarter onwards, it will keep on ramping up the production. I'm afraid I will not be able to share the a particular number to it, but we are very confident that we will grow very fast in those 2 business because, as you know, we have already supply contract in place from our customer, and it will ramp up very fast going forward.

Abhijit Akella: Okay. Got it. And on the semiconductor side, the Indichem plant construction, if you could please just help us with a status update on that plant in Korea. What's the time line over there?

Abhishek Patel: So this plant, we are happy to share that this is getting constructed even before the schedules and expected to get -- capex is expected to get completed by end of this quarter. And maybe from

next financial year onwards, we will have the revenue coming up from that plant.

Abhijit Akella: Okay. Got it. And just the last one from my side. On the Pharma Intermediates piece, is it possible to just split out the growth rates between CDMO and the base Advanced Intermediates business? And also possible to just split the margin between Pharma Intermediates and Specialty Chemicals?

Abhishek Patel: So again, as we mentioned earlier, that we are not giving any split between the CDMO and non-CDMO in Pharma Intermediates space, we have already guided about the growth in the Pharma Intermediates side. So I'm afraid I will not be able to share those numbers on that side. But yes, on the margin side for those 2 segments, Bhavin bhai will update on this.

Bhavin Shah: So with regard to margin, our Spec Chem business is having around 24% margin and Pharma business is having around 36% margin.

Moderator: Next question is from Rikin Shah from Boring Asset Management.

Rikin Shah: J

ust adding on to the question for Indichem. So once the plant commissions, what would be your typical time line in terms of trials, vendor cycle approval and ramp up? Basically, are we expecting any sort of delay or time to be dedicated for this?

Abhishek Patel: So as you know, this is a newly constructed plant. The R&D facility has already commissioned there, and we have started product development from the R&D side. So I think this will reduce our time lines to commercialize the product. But obviously, because it's a new product, we are not committing any time line as of now. But what -- as I said, we are expecting this to get into a good commercial business from next financial year onwards.

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Rikin Shah: Okay. Got it. And in terms of the type of products that we manufacture in Indichem, what is something that we are going to be doing here apart from photoresist chemicals that we do for BFC? Or are we going to be targeting a similar line of products here?

Abhishek Patel: So there are -- of course, there are photoresist chemicals, what we would be doing, but there are multiple projects we are working on Indichem R&D as of now, but I'm afraid I will not be able to share details about those things as of now.

Rikin Shah: Sure. In our electrolyte subsidiary, we have sort of had a dilution and given 10% stake to ARZ.

Can you explain the sort of rationale here? And what are we thinking, broader term, for this?

Abhishek Patel: So this is basically we awarding our business partner, their equity share, which was decided earlier only. This is the one -- the partner is one who actually has been there with us since the starting of this business, when we started with the product development and then the marketing of all those. So he is the one who will be -- who has been responsible for the whole business development as well as the future business development and the sales for all our electrolyte additive products and against which we have given them the equity share in that business.

Moderator: The next question is from Nilesh Ghuge from HDFC Securities.

Nilesh Ghuge: Congratulations on a good set of numbers. First question to Bhavin. Bhavin, if you look at the employee cost, it is continuously going up. So what number we should take for our, let's say, FY '28 as far as the employee cost is concerned?

Bhavin Shah: So employee cost, if you see typically, so this quarter, we have rolled out our annual increments and there is -- there are performance bonuses also given. So there are onetime performance bonus for the current year is also there in this year. We should typically look at around INR150 crores of employee cost for the current year.

Nilesh Ghuge: Okay. And second question to Abhishek. Abhishek, last quarter you mentioned that the Phase 2 will be commissioned in FY '27 -- Q1 FY '27 in the electrolyte business. So what is the current status of that?

Abhishek Patel: So for the Phase 2 of this -- Phase 2, which is for the third product of our Electrolyte Additives segment, which is going on schedule. And as we mentioned earlier also by end of Q2 FY '27, we would be completing our capex. So that looks very well on track, and we are expecting the trial runs to commission very soon.

Nilesh Ghuge: And I think for this product 3 you're talking about, for that also, there has been already a tie-up with the customer, similar to for our...

Abhishek Patel: We have a signed contract in place.

Nilesh Ghuge: Okay. So ramp-up will be very fast. I mean in FY '28, we will see ramp-up from -- not only from first 2 products, but the third one also? Is my understanding correct?

Abhishek Patel: Yes.

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Moderator: Next question is from Aksh

ay from AK Investment.

Akshay: First of all, congratulations on the great set of numbers. Sir, how do we look at the EBITDA margin for the current financial year?

Abhishek Patel: For current financial year, for the full year, as we guided during the commentary also, we are expecting a similar kind of margin as we had for full year FY '26.

Akshay: Okay sir. My questions have been answered. Thank you so much and all the best.

Moderator: Thank you. The next question is from Vikas Angude from Paras Asset Management. Please go ahead. We seem to have lost the line for Vikas. We'll take the next question. The next question is from Jason Soans from IDBI Capital.

Jason Soans: Sir, first question, just I just wanted to know, I mean, we have had a good profit growth trajectory after Q4, even Q1 has been good. But you did allude to some caution regarding to the Middle East crisis and in terms of raw material supply and stuff like that. So just wanted to know our profit growth trajectory, 25% revenue growth. Do you see any moderation going ahead with our CDMO in other growth areas? Or are they still on track to post good growth? Or do you see some moderation or some optimism tempered going ahead into '27 for the whole year?

Abhishek Patel: We are still very much confident to deliver 25% growth rate for the revenue as confirmed by the CMD also. And for the margin side also, again, I want to reaffirm that we are confident to achieve similar margins as compared to last financial year.

Jason Soans: Sure, sir. And sir, for this year, what is the capex estimated for '27 and '28? If you could give me, kind of, breakup also, if possible for '27 and '28, what kind of capex are we looking at?

Abhishek Patel: For FY '27, capex is largely the spillover capex of electrolyte additives as well as the pilot plant capex, which is around INR50 crores and around INR40 to INR45 crores of maintenance capex, that is what the already planned capex for this year. Over and above, as I mentioned during my commentary that we are going to have R&D capex also and the land acquisition for our future expansion for our Pharma business or any other business. But for those 2 projects, we are yet to announce that capex. We will announce it at a relevant time when the full capex plan is in place.

Jason Soans: Okay. Sure, sir. Sir, this land acquisition still would be for what exactly? I mean, I know we are still firming up the plans, but what exactly would the purpose of this land acquisition be?

Abhishek Patel: For our Pharma Intermediate business, Sachin plant is already hitting the capacity utilization roof. And the Ankleshwar plant is expected to get filled up in 3 years' time, maybe by FY '28.

So we should be ready with some land parcel, which -- where we can have a new plant for our future capacity need, as well as the newer project for our chemical business. That's the reason. We don't have any much larger piece of land. That's why we are seeking some additional land parcel.

Jason Soans: Okay. Okay, sure. And sir, also when you mentioned that you are phasing out the commodity chemicals and basically replacing with high-margin chemicals, that is basically only for the Spec

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Chem business or I believe in the Pharma Intermediates piece in the other piece, in the core product side also, you're doing the same strategy. Could you just give some color on that?

Abhishek Patel: If you go through our commentary last year, we have already done with the similar exercise for our Pharma Intermediates business last financial year FY '26. And now for this year, FY '27, we are doing some of the restructuring in our old commodity chemical portfolio. So that Pharma Intermediates is already done in last financial year.

Jason Soans: Okay. So Pharma Intermediates, that rationalization is over. Now it moves to the

Spec Chem

side of the business. So that will also basically drive margins improve margins ahead, improve margins going ahead. Okay that's all from my side. Thank You!

Moderator: The next question is from Abhigyan Srivastav from Marcellus Investment Managers.

Abhigyan Srivastav: Congratulations on the great set of results. Sir, there's a dip in other income this quarter, from around INR11 crores in the previous quarter to around INR1.8 crores in this quarter. Is there a particular reason for that?

Bhavin Shah: So Abhigyan, in previous quarter, it was largely driven by positive exchange fluctuation rate available with regard to euro. So in current quarter, we have only positive fluctuation of INR10 lakhs as compared to INR10 crores in the previous quarter.

Moderator: The next question is from Juhi Kumari from Narnolia Financial Services.

Juhi Kumari: Congratulations on good set of numbers. I had -- my first question is, other expenses like for this quarter has been in line with the previous quarters or has been moderated. So what would you

give as a guidance for the rest of the FY '27 other expenses line?

Bhavin Shah: So with regard to other expense, it is in line with the previous quarters. We have seen some savings due to our solar project. We have also seen operational efficiencies. So whatever the expense for the quarter, we are looking the similar kind of expense for the rest of the year.

Juhi Kumari: And next question from my side would be regarding the EBITDA margin, which has expanded sharply to 34.3% in this quarter. So you have given guidance for 25% margins for FY '27. So do we expect to exceed this margin with this kind of run rate in the first quarter?

Abhishek Patel: The 25% figure is coming from our guidance related to revenue growth. And for the margin, we have guided that it will be in a similar line, which was for full year FY '26. So that will be reflected maybe around a similar line in FY '27 as well.

Moderator: The next question is from Archit Joshi from Nuvama Institutional Equities.

Archit Joshi: Sir, I have 2 questions, slightly more strategic. Firstly, we've seen quite a few plants of the electrolyte salts, electrolytes, cathodes coming in recently. And given that we have made some inroads starting with the additives, have you given it a thought that there are export opportunities available that we should maybe go a bit more into the value chain to start up with salts, electrolytes. What are your thoughts on that, if you can help us with that?

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Abhishek Patel: No, no, we do not have any plan for those -- business related to either electrolyte solution or the LiPF. We are sticking to the electrolyte additive segment only. That is our core strength. We want to stick to our strength only. We don't just want to get into other people's shoes.

Archit Joshi: Understood. Understood. Sir, secondly, you've known the developments and solid growth that we are doing in CDMO. Sir, if you can explain what are the things that we are doing to get some of these larger available APIs from a business development perspective or development of chemistries?

And if there is anything in the pipeline or anything that we are exploring to sustain the growth momentum, even though we have right now for the forthcoming quarters and maybe a few more years. But how would that CDMO journey be if I have to make a, let's say, 5- to 7-year assessment of how our growth trajectory will be?

Abhishek Patel: So we will not be able to share any particular details about any particular projects or CDMO business. But what we can assure is we are doing a lot of work related to newer projects. There is a healthy pipeline of products for R&D, and there are various stage of R&D as well as the validation and some of the projects already we have mentioned that a few proje

cts have already
validated and there are many more to come.

So there's the kind of normal day-in, day-out job for both our business development as well as the R&D team. And what I can assure you is that we have a very good healthy pipeline for the product in the CDMO space. But due to confidentiality nature of those businesses with the customer, we -- under those agreements, we will not be able to share that particular detail about that business.

Archit Joshi: No, no, of course, sir, I was not meaning to go into the confidentiality sort of things. Not the exact details, but just to get a sense of maybe, let's say, what kind of therapeutic areas we are looking at or any particular or a few chemistries that we target where we have some leverage or rather how are we getting the inquiries from the customers? A qualitative aspect of that will also be very helpful to understand. That would be my last question?

Abhishek Patel: Let me give you -- let me address your question other way around. Let's say, we have already guided the market that we would be hitting INR1,000 crores revenue from our CDMO business. That is based on our confidence and looking at our upcoming product pipeline for our CDMO business. And we are very much confident to not only achieve this target. And in fact, we are confident to beat this target. So that is what I can at least give you assurance on this business side.

Archit Joshi: Sure, sir. I was actually -- while we know that given that the molecule itself is a very high growth engine, I was slightly speaking something beyond that, the other pipeline, if you could qualitatively help us, on those accounts, not the one that we already know of which you have very well guided in the past?

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Abhishek Patel: So that, when we see the CDMO business, it's not only that particular product. It's a mix of

products along -- obviously, that product is an anchor product, but there are other CDMO products based on which we are -- consolidated revenue for CDMO, that is what we are guiding.

Moderator: The next question is from Shreya Banthia from Oaklane Capital Management.

Shreya Banthia: Congratulations for the great set of numbers. I wanted to understand from the standpoint of darolutamide. So since there are new indications that are being currently under trial, which according to the report suggests that it will double the addressable patient pool. So does it also double the revenue opportunity for NUBEQA? That would be my first question -- any indicator from the innovator?

Abhishek Patel: So it will be difficult for us to comment on our customers' pipeline and the research indication, research work. But what I can reassure that we are confident on our business. And as I said, we are confident on our -- whatever the guidance we have given for our CDMO business.

Shreya Banthia: Understood, sir. Sir, just if I can ask related to this, Bayer has improved their revenue target to - which would be somewhere around EUR 5 billion. So does it include these -- Any sense on that, sir?

Abhishek Patel: As I mentioned, see, we are guided by customers' purchase order for the year as well as the revenue expectation they will give. We are not guided by the market expectation or whatever the buyer would have propagated in the market.

Moderator: Next question is from Rohit Nagraj from 360 ONE Capital.

Rohit Nagraj: Congrats on a strong set of numbers. First one on the battery chemicals front. So you said that we have contracted out the capacities. In terms of customers, is it a single customer or multiple customers and which geographies are we going to cater to?

Abhishek Patel: So it's not driven by single customer. There are multiple customers. We have time to time shared that we have a number of customers already in place for both VC and FEC. And they are

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eography -- in terms of geography, they are based in North America also, they are based in Korea also and other part of the world.

Rohit Nagraj: Sure. And if we are commissioning -- I mean, we have commissioned the plant now and the ramp-up will happen subsequently in the next few quarters. Can we expect that we will hit the peak revenue potential by, say, FY '29?

Abhishek Patel: Yes. We have already guided that it's in 3 years' time, it should hit our full capacity utilization, and we are more than confident to achieve that target.

Rohit Nagraj: And we are now looking at the third product commercialization. Beyond that, how many -- are there any more products which are in pipeline? And as and when we find the commercial viability, what could be the gestation period to commercialize or put up the capex and commission the project?

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Abhishek Patel: So after this third product, product has already been developed and now we are in the final stage of signing a long-term supply contract with the customer. Once that gets completed, based on the customer quantity requirement, we will plan and announce the capex for the fourth product. Apart from that, we have many other products which are already developed by our R&D and which are in the stage of business development. And once those product gets done with the business development part, we will announce those thing and the capex related to that. So we have versatile large pool of basket in the product pipeline so that it will keep on growing our electrolyte additive business in future also apart from first 2 products.

Rohit Nagraj: Right. And second question is on the semicon side. So here too, for the initial set of capex and products that we are targeting, are we completely sold out and the same trajectory would replicate here that within a period of, say, 3 years after commercialization, we'll hit the peak run rate?

Abhishek Patel: As of now, as I mentioned, product development and business development work has already started with the commissioning of the R&D facility. It will be a slow start because it's a new business, but maybe in 3 to 4 years' time, we should be able to fill up our full capacity at Indichem.

Moderator: The next question is from Krishna Yoga from Family Fund.

Krishna Yoga: So my question is very specific on the molecules. I know you don't want to reveal such specific molecules. It's related to Johnson & Johnson and CAPLYTA. In previous calls, you mentioned about it. So what is the status on that particular molecule?

Abhishek Patel: Sorry, your voice is a little not clear. Can you come again?

Krishna Yoga: Am I clear now?

Abhishek Patel: Yes. A little.

Krishna Yoga: Sir, actually, my question is specifically on the product. Of course, I don't want to mention the name also. The molecule, which is from Johnson & Johnson and CAPLYTA, in the previous

calls, you mentioned about it. So what is the status on that particular molecule as of now?

Nareshkumar Patel: So I'm giving the answer for that. That product, we don't deal with the Johnson & Johnson. We have a generic...

Krishna Yoga: Yes, other key partners.

Naresh Patel: Yes. So that we already qualified with them. DMF is already filed and now we are waiting for the launching of the same product.

Krishna Yoga: Okay. And what is the current status about the apixaban? Because apixaban is going to expire - the patent expiry in 2026, and next one is 2027. So are we ready for the next -- I mean our capacity is sufficient to fulfill that demand in the upcoming years?

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Abhishek Patel: Yes. That product has already started picking up for us, and we have a sufficient capacity to cater that demand for that product.

Krishna Yoga: Okay. So another question, what is the status of the capacity utilization of the all 3 plants?

Abhishek Patel: Okay. For the capacity utilization for the Sachin unit, the capacity is 83%. For Unit 2 at Ankleshwar, it is 23% and at Unit 3 Jhagadia, 55% for the quarter.

Moderator: The next question is from CA Nupur Kokta from NIPL. Please go ahead.

Nupur Kokta: Sir thank you for the opportunity. My first question is like we had four validated CDMO products, which were expected to start contributing to revenue this year. Could you share the specific time lines and commercial ramp-up curve for these products? And also additionally, like we have a CDMO revenue target of INR1,000 crores maybe by FY '28. So what percentage of this target is backed currently? Like do we have offtake contracts or long-term supply agreements or any pipeline opportunities for these CDMO products?

Abhishek Patel: For these products, we have already mentioned that these are already validated products. And with regulatory approval in place, we are expecting revenue to kick in from H2 FY '27 onwards. And on a revenue potential side, these all products are expected to generate revenue between INR50 crores to INR100 crores for each year at a peak.

Nupur Kokta: Okay. My second question is, when do we expect our commercial revenue recognition to begin from the electrolyte additive capacity that we inaugurated this year?

Abhishek Patel: We have -- the revenue has already started. As we mentioned, we have done with the validation batches -- sorry, trial batches from that plant.

Nupur Kokta: Okay. So like trial revenues are done and the products are to be commercialized very soon. So commercial revenue would begin soon, right?

Abhishek Patel: Yes.

Moderator: The next question is from Rikin Shah from Boring Asset Management.

Rikin Shah: It's perhaps adding on to an earlier participant's question on expanding our sort of pipeline, which I think you have answered. But if I can perhaps add on to that part, maybe you can help us understand what is Acutaas today doing in terms of targeting new modalities, therapies, R&D with the new pilot plant at Sachin that you will be happy with the CDMO sort of pipeline expanding in a very meaningful manner over the next 2 to 3 years so that we are not prone to an anchor product in the CDMO basket?

Abhishek Patel: Okay. I'll let Naresh bhai come in to answer this question.

Naresh Patel: Thank you, Abhishek. Thank you, Rikin bhai. So basically, Acutaas is highly focused on different segment and this clinical research molecule and CDMO segment is also vital for us.

And we are continuously getting a lot of traction. Our BD team is doing excellent job. And in

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our core chemistry strength, we are getting a lot of inquiries, and we have converted this inquiry into the commercial samples as well.

So it's not a one way or it is not a stop kind of thing, but it's a continuous process. So annually, we are developing around 30, 40 molecules and submitting to the different customer at a different level of investigation or I can say the innovation. So it is continuous. And out of that, some are moved to the second phase, third phase, fourth phase like that way. So it is a continuous process for us. And we are adding molecule every year, 30, 40 molecules in this basket.

Are you there, Rikin?

Moderator: We've lost the line for Rikin. We'll take the next question. The next question is from Jason Soans from IDBI Capital.

Jason Soans: Sir, just -- I mean, in terms of battery chemicals, I just wanted to know, I understand that you have long-term contracts for VC, FEC. So just -- I mean, I understand the revenue and all you're not -- but probably some ballpark or something you would like to share for 2 to 3 years, how -- just it will g

ive us an idea of how it can scale up because battery chemicals is quite in a growth phase right now, right, and it's really doing well. So just if you could give us a ballpark number or something just to get an idea of how this business will shape up going ahead?

Abhishek Patel: So for Battery chemical business, what I can say is we have already plant in place for the manufacturing. And this business, let me assure that this business is not constrained by the demand in the market. There is a huge demand available. It is constrained by our plant capacity. So you know that the plant, we have a capacity of 2,000 metric tons for VC and 2,000 metric tons for FEC. So it's a total 4,000 metric ton capacity and for which we are more than confident that we will be able to hit the full capacity utilization by end of 3 years. So that's a kind of ramp-up.

And how the pricing are there in the market. So you can easily calculate the revenue potential at least from these 2 products only. And apart from that, we have a third product already signed with the customer, and the fourth product is in the pipeline and there are many more to come, but this is how you can work out the ramp-up in this business.

Jason Soans: Okay. Sure, sir. And sir, one question, I just wanted to know, I mean, of course, I know early days in Indichem. But sir, just wanted to know, I mean, in terms of margin profile in the Indichem product, will it be similar to our -- the API business or it will sit somewhere between the Specialty Chemicals and API business? Just some color on that?

Abhishek Patel: For the margin profile of Indichem business, I think you should not look at the API -- Pharma Intermediate business margin, but you should benchmark it with our BFC product or the business margin. It is very preliminary to give any number on this, but because it is a similar kind of -- even better product portfolio than what we are used to manufacture at BFC.

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Jason Soans: Sure. So any ballpark, sir, would you want to give on that on a steady-state basis, what will it be?

Abhishek Patel: It is still premature as of now to give any number on this.

Moderator: The next question is from Manav Kapasi from Antique.

Manav Kapasi: Am I audible?

Abhishek Patel: Yes.

Manav Kapasi: Congratulations on a good set of numbers. Sir, my question was more on a broader view, given that our battery chemical efforts will soon bear fruit and also the Indichem plant will start contributing to revenues maybe next year or FY '29. Where do you see our overall revenue mix going from the FY'26? Do we see the Spec Chem business contributing a little more as compared to now? Or do we still anchor on the Pharma Intermediates business in the next 3 to 5 years?

Abhishek Patel: That's a good question. So as you know, last financial year, our total revenue from Pharma Intermediate business were 87% of the total revenue and 13% was the Spec Chem business. And from here onwards, because of these 2 growth engines related to electrolyte additive and the semiconductor business, it will grow very fast. But you also know that the CDMO business is also at this base revenue, it is growing -- expected to grow faster -- even faster. But net-net, we can expect that this revenue composition should come down to around maybe 80% from 87% in next 3 years' time.

Manav Kapasi: Got it. Sir, that is helpful. Additionally, sir, given that we are phasing out the commodity grade chemicals in the Spec Chem business and the new products which will come up from Indichem as well as the battery chemicals, which will have better margins. Do you see Spec Chem margins moving up, which will also, in turn, give us a push on our overall consol margin. So question being where do we see margins, let's say, 3 to 5 years down the line, do we see them meaningfully imp

roving from my FY '26 number?

Abhishek Patel: You know that margin -- overall margin of the company is a function of the product mix. As I mentioned, CDMO business contribution is increasing in the overall pie of the business in the Pharma Intermediates business. But similarly, meanwhile, battery business is also going to fire from this year onwards and which has a lower margin as compared to the Pharma Intermediates or CDMO business. So that's the reason we are -- net-net, we are targeting that the overall EBITDA margin should be similar as compared to what it was last year, even at a higher revenue base also.

Manav Kapasi: Got it. But from a more 5-year perspective, do we see it meaningfully improving considering

that all of our commodity grades would have been phased out even in the Pharma business, even in the Spec Chem business. 4, 5 years out, do we see margins at similar levels? Or would there be a 200, 300 bps improvement from these levels?

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Abhishek Patel: So as of now, I will not be able to guide you related to 5 years margin. But as I mentioned, it will be a function of the product mix between Pharma Intermediate, which is particularly CDMO as well as the newer business like battery and semiconductor. So obviously, it will depend on how fast the ramping up happens with respect to battery as well as the -- sorry, semiconductor business.

Moderator: The next question is from Tirumala Reddy who's an Individual Investor. Please go ahead.

Tirumala Reddy: Am I audible?

Moderator: Yes.

Tirumala Reddy: So my question is around the CDMO business, Pharma Intermediates. So with respect to the concentration risk, so I think currently, majority of the business is coming from very few molecules now. So going forward, how are we going to address this molecule risk or customer risk?

Abhishek Patel: So as Naresh bhai already mentioned, we have -- we are working on multiple projects. And every year, there are a number of projects are coming in the R&D pipeline. And slowly, slowly, it will derisk our revenue concentration for the single product also. You know that by nature, we have been -- always been a very diversified company, both in terms of product as well as the customer. And because of the very fast ramp-up in this particular product, the revenue concentration moved towards that product. But obviously, it will get diluted over the years once the new CDMO and other products keep on adding to the basket.

Tirumala Reddy: Yes. So -- and my next question is about forward integration. So as we are very well placed on Advanced Intermediates. Is there any plan to move forward to APIs? Or are there any queries from customers for asking API development and manufacturing as well?

Abhishek Patel: Yes, we received so many inquiries or requests from the customer. But as we mentioned multiple times in early discussions as well, we do not have any plan move to the upward in the value chain. We do not compete our customer. That's our policy, and we would like to stick to it.

Moderator: We'll take that as the last question. I would now like to hand the conference over to the management team for closing comments.

Naresh Patel: Thank you, Nuvama team for hosting our conference call. We appreciate everyone's questions and hope we have addressed most of your queries. If we missed any of your questions, please reach out to our Investor Relations team, and we will get back to you promptly. Once again, thank you very much, and happy weekend to all of you.

Moderator: Thank you very much. On behalf of Nuvama Institutional Equities, that concludes the conference. Thank you for joining us, ladies and gentlemen. You may now disconnect your lines.